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TABLE OF CONTENTS

Acknowledgements	ii	3.3 Principles	47
Foreword	iii	3.4 Criteria and the roles a future system needs to perform	49
Table of contents	iv	3.5 A final thought on ethics, principles and the roles of the system	51
List of figures	vii		
List of terms	viii		
EXECUTIVE SUMMARY	1	4 WHAT WE HAVE NOW: THE CURRENT SYSTEM	55
In a nutshell	1	4.1 Introduction	55
1 Introduction	4	4.2 The current system	55
2 Criteria for reform	5	4.3 The RMA	57
3 The current system	6	4.4 Local government and infrastructure legislation	59
4 The legislative and institutional architecture of a future system	7	4.5 Building Act 2004	61
5 A reformed RMA	14	4.6 Heritage legislation	61
6 A new strategic statute: The Future Generations Act	18	4.7 Climate change legislation	61
7 Climate change	20	4.8 Marine legislation and mining	62
8 Other legislation for the built and urban environments	22	4.9 Conservation legislation	63
9 A new Oceans Act	24	4.10 Biosecurity	65
10 Nature conservation: A new Protected Areas and Species Act	25	4.11 Hazardous substances and new organisms	65
11 Wider system reform	26	4.12 Waste management	66
12 The importance of resource management reform	27	4.13 Other sectoral frameworks	66
		4.14 Cross-cutting frameworks	66
		4.15 Problems with the current system	70
		4.16 Future challenges	71
		4.17 Reform measures underway	71
		4.18 Concluding comments	73
1 INTRODUCTION	31	5 THE FUTURE OF THE RMA: LEGISLATIVE DESIGN AND PART 2	77
1.1 The context	31	5.1 Introduction	77
1.2 The EDS project	32	5.2 Should we split the RMA?	78
1.3 The structure of this report	33	5.3 What do we mean by integrated management?	79
1.4 The importance of system reform	35	5.4 An Oceans Act	82
		5.5 Significant change to the RMA: Why is it needed?	82
		5.6 What's wrong with Part 2 of the RMA?	82
		5.7 Is changing Part 2 worth the effort?	88
		5.8 Concluding comments	92
2 PREFERRED CRITERIA FOR REFORM	37		
2.1 Options for criteria	37		
2.2 Which criteria set is best?	38		
2.3 Concluding comments	43		
3 CRITERIA, ETHICS AND THE ROLES OF A FUTURE SYSTEM	45		
3.1 Introduction	45		
3.2 What criteria mean for ethics and worldviews in a preferred model	45		

11 OCEANS LEGISLATION 225

11.1	Introduction and context	225
11.2	The unique nature of the marine environment	226
11.3	Jurisdictional boundaries for marine management	228
11.4	Institutional responsibilities in a future system	230
11.5	Legislative arrangements in a future system: A focus on environmental effects	231
11.6	Marine conservation: A proactive role	231
11.7	Biosecurity	232
11.8	An Oceans Act	232
11.9	Institutional arrangements	233
11.10	Oceans strategy and planning	234
11.11	Marine spatial planning	235
11.12	Concluding comments	238

12 CONSERVATION LEGISLATION 241

12.1	Introduction	241
12.2	The importance of a separate layer of conservation legislation	242
12.3	Issues to be addressed in a future system	244
12.4	Legislative design: A Protected Areas and Species Act	244
12.5	Protected areas	246
12.6	Subordinate instruments	249
12.7	Protected species and habitats	249
12.8	The nature of bottom lines under a Protected Areas and Species Act	252

12.9	Novel tools	254
12.10	The importance of funding and incentives in nature conservation	256
12.11	Concluding comments	258

13 WIDER SYSTEM CHANGE 261

13.1	Introduction	261
13.2	Other statutory frameworks	261
13.3	From resource management legislation to wider system change	264
13.4	Economic incentives: Funding	264
13.5	Economic instruments	267
13.6	User charging	267
13.7	Resource rentals	267
13.8	Green taxes	270
13.9	From green taxes to an environmental footprint tax	271
13.10	Subsidies	273
13.11	Other "economic" incentives	274
13.12	Non-economic incentives	276
13.13	A self-evaluative system	278
13.14	The importance of information	279
13.15	Reporting	281
13.16	Evaluation	281
13.17	Corrective action	283
13.18	Concluding comments	285

**14 CONCLUDING COMMENTS:
A PATHWAY TO REFORM 291****LIST OF SOURCES 307**

11.5	Marine spatial planning and instruments under other frameworks	236	12.4	Management of threatened species and ecosystems under a Protected Areas and Species Act	250
11.6	An alternative process for marine spatial planning	237	13.1	Towards a circular economy	263
11.7	A proposition for oceans legislation	239	13.2	Monitoring and reporting requirements needed to ensure the effective evaluation of council performance in a future system	284
12.1	Conservation legislation in the current system	243	14.1	Legislative design: Statutes in the current and future system	294
12.2	Statutes relating to conservation in the current system and proposed future system	246	14.2	Key elements of a proposed future system	296
12.3	A potential hierarchy of protected areas under a Protected Areas and Species Act	248	14.3	A rough timeline for system reform	305

LIST OF TERMS

CCO	Council-controlled organisation
CME	Compliance monitoring and enforcement
CESIG	Compliance and Enforcement Special Interest Group
EDS	Environmental Defence Society
EPA	Environmental Protection Authority
EEZ	Exclusive Economic Zone
EEZ Act	Exclusive Economic Zone and Continental Shelf (Environmental Effects) Act 2012
GDP	Gross domestic product
GPS	Government policy statement
GST	Goods and services tax
IUCN	International Union for Conservation of Nature
NEP	National Environment Plan
NES	National Environmental Standard
Nimby	Not in my backyard
NPS	National Policy Statement
NZCPS	New Zealand Coastal Policy Statement
NZTA	New Zealand Transport Agency
RMA	Resource Management Act 1991
Three waters	Drinking water, wastewater and stormwater
UNCLOS	United Nations Convention on the Law of the Sea

Other legislation for the urban and built environment

- Integrate the Local Government Act 2002, Land Transport Management Act 2003, and other infrastructure-focused legislation into a single **Local Government and Infrastructure Act**
- Amalgamate **councils** where they are no longer viable economic entities
- Over time, provide a process for **regionalisation** of some council functions, and for conversation to continue as to how exactly that would look in terms of structural reform of local government
- Align planning and funding **decision-making processes** more closely under the RMA and infrastructure-focused legislation
- Strengthen the regulation of “**three waters**” (drinking water, wastewater and stormwater) services for environmental and health reasons
- Establish regional or cross-regional **council-controlled organisations** for the delivery of drinking water and wastewater services, including Crown involvement
- Establish an **economic regulator** to oversee three waters services investment and pricing
- Expand the **funding and financing** tools available to councils, including the further investigation and deployment of a locally levied GST (although not as a replacement for rates)
- Strengthen the **Building Act 2004** and Building Code to enhance environmental outcomes
- Establish an **urban development authority** framework, but make considerable changes from what is currently proposed

A new Future Generations Act

- Create a new, overarching piece of strategic legislation: a **Future Generations Act**
- Establish a new **Futures Commission**, an independent, standing watchdog body having roles under various other statutes (including in the review of instruments under the RMA)
- Alongside, or within, this Commission, establish a **Tikanga Commission** (or commissioners) having a comparable watchdog and review role, but from a Māori perspective
- Over time, merge other independent institutions with the Futures Commission, such as the **Parliamentary Commissioner for the Environment** and the **Climate Change Commission**
- A Futures Commission would be charged with periodically issuing public authorities with a **scorecard**, auditing their performance against criteria in the Act. Public authorities would be required to respond.
- A Futures Commission would have a **futures scanning** role (looking ahead to identify threats and opportunities), to which the government would be required to respond
- Establish a standing, cross-departmental grouping of officials to act as a steward for the resource management system as a whole, and to provide integrated advice to Ministers and Cabinet (a **Futures Group**)
- Provide a set of general **duties and criteria** that would apply to all public decision-making (including non-statutory decisions like investment and procurement)
- Provide for the creation of national and regional **strategic spatial plans** with meaningful legal influence on other frameworks, such as the RMA and infrastructure legislation (to, among other things, provide coordinated management of urban growth)
- Require strategic spatial plans to be accompanied by indicative sources of **funding**
- Strengthen **Māori** involvement in strategic spatial planning
- Over time, integrate various pieces of existing cross-cutting legislation into a Future Generations Act (eg the framework for environmental reporting and legislation establishing institutions)
- Establish a process for **reviewing all other relevant legislation**, including their purposes and principles, to align them with new imperatives (including climate change) in a Future Generations Act

1 Introduction

In its *Reform of the Resource Management System* project, EDS has taken a fresh look at Aotearoa New Zealand's resource management system and presented a model for fundamental change. System reform is not just about the Resource Management Act 1991 (RMA). It is much wider than that, and includes many different laws, institutions, processes and incentives. The need for a comprehensive rethink is urgent, given the sub-optimal environmental outcomes we are currently seeing and the scale of future challenges before us. There has been cross-sectoral and cross-party support for a comprehensive review for some time now, and the government has recently established an independent review group to do just that. At the time of writing, the review group's Issues and Options paper has just been released.¹

The EDS project had two phases. Phase 1 (*The Next Generation*) was completed at the end of 2018, and culminated in the publication of a final report in February 2019. That outlined three possible broad models for what a reformed system could look like, and provided the analytical foundation for Phase 2. We encourage readers to engage with it separately.²

Phase 2 of the project was undertaken over the course of 2019. This synthesis report is the culmination of that work. The overall intention of Phase 2 of the project has been to provide a tangible vision and roadmap for change. It presents a preferred model for a future system. Our hope is that it will serve as a useful reference for a government embarking on its own reform journey,³ and as a platform for others wishing to be part of that process.

The overall structure of the report is presented below in Figure 0.1. Broadly speaking, it is structured according to the key pieces of legislation we see operating in the future. These are highlighted in beige below. We then address, in Chapter 13, aspects that cut across multiple statutory frameworks or are not directly related to legislation (wider system change).

Ch	Topic
1	Introduction
2	Preferred criteria for reform
3	Criteria, ethics and the roles of a future system
4	What we have now: The current system
5	The future of the RMA: Legislative design and Part 2
6	Planning under a new RMA: Central government
7	Planning under a new RMA: Local government
8	Strategic legislation: A Future Generations Act
9	Climate change legislation
10	Other legislation for the "built" or "urban" environment
11	Oceans legislation
12	Conservation legislation
13	Wider system change
14	Concluding comments: A pathway to reform

Figure 0.1: Structure of this report



Ultimately, there is growing acceptance and convergence among New Zealanders about the outcomes we need to see. If changes in ethics – eg seeing nature as having moral worth rather than just instrumental value – help us to achieve those, then that is a positive thing. In particular, while economic tools (eg natural capital valuation, taxes and resource rentals) will be important in driving change, we should not be attached to a narrow neo-liberal economic orthodoxy in how we manage our taonga and resources. There is a strong moral component to be considered here, too, over which experts and technicians have no particular claim.

In Chapter 3 we also reinforce the conclusions reached in the Phase 1 report about when it will be appropriate for the system to intervene (ie when public intervention is appropriate).⁵ In short, we consider that a narrow rationale based on remedying market failure or internalising externalities would be overly constraining, and that the system should have a role where either the public interest is at stake or where the interests of Māori as Treaty partners need to be addressed. This leads to seven core roles we see the system as a whole needing to perform:

- 1 Imposing and maintaining firm biophysical bottom lines or limits
- 2 Facilitating trade-offs above bottom lines
- 3 Actively pursuing positive outcomes – managing a transition to something better
- 4 Providing public goods – particularly in the built or urban environment
- 5 Protecting and respecting the interests of Māori, including giving effect to the principles of the Treaty of Waitangi
- 6 Allocating non-private resources
- 7 Resolving disputes

Key points

- Many ethics and worldviews will need to be reflected and embraced in a future system.
- Nodes of agreement and convergence should be embraced, as in the concept of Te Mana o Te Wai.
- Intervention will be appropriate where there is a public interest or where needed to provide for the interests of Māori.
- That leads to seven core roles that a future system as a whole will need to perform. Central to that will be the imposition and maintenance of firm environmental bottom lines.

3 The current system

In Chapter 4 we briefly outline the core features of the current system, by looking in turn at our existing statutory

frameworks. This is important because what we have now is a reference point for what needs to change. Yet the “current” system is actually a moving feast, especially in light of a range of proposed changes being floated and progressed by the government. What some of these will end up looking like (eg an urban development authority model, or institutional arrangements for drinking water and wastewater services) is unclear.

We highlight the most important of these, and the need to consider how they would (or would not) be integrated into a future model. Of particular importance is the government’s recent establishment of a panel looking at the future of the resource management system as a whole, which is due to report back to the Minister for the Environment in May 2020.⁶

Key points

- The current system provides an important foundation upon which reform would be built. In light of the government’s active reform agenda, it contains many moving parts that need to be considered, integrated, or reconfigured.
- Of particular importance is the government’s independent review group for resource management system reform, which is due to report in mid-2020



Wharehau, Ōrakei Marae

Separate statutes can also be appropriate where they use quite different tools, as long as they can operate largely independently from each other. For example, the Building Code, RMA plans, council long-term plans, product stewardship schemes and hazardous substances approvals may have a degree of overlap in terms of outcomes sought (eg sustainability), but they rely on very different trigger points for action. We would not expect to see a framework for the emissions trading scheme or the Building Code integrated into the RMA. Fragmentation is, therefore, a good thing to some extent; but only insofar as the system's statutes are consciously designed to form pieces of a coherent overall solution. They should not pull in different directions. We envisage that an umbrella Future Generations Act, with a common set of high level principles, will provide a degree of alignment across all of them.

In short, we do not see an unlimited scope for legislative integration. A "super RMA" should not devour all other frameworks, even environmentally protective ones (eg the Conservation Act or Waste Minimisation Act). The RMA's purpose is broad, but the kind of restrictions/tools it provides for are narrow when compared to the bigger picture. Nor would a Future Generations Act be a place where all other statutes are simply stitched together. Its role would be to provide strategic alignment at the top of the system (in ways outlined further below), not to combine every kind of plan, permit and other mechanism in one place.

Key points

- We envisage a number of other targeted statutes continuing to exist in a future system, alongside the RMA and a Local Government and Infrastructure Act.
- There would also be a higher level layer of strategic legislation above these – a Future Generations Act.
- Among other things, this Act would provide a framework for regional level spatial planning to coordinate land use and infrastructure planning in areas of high urban growth or change.

That said, in the longer term we see a case for integrating several existing statutes into a Future Generations Act. These would be statutes that are about establishing the broad architecture of the system rather than those (eg regulatory statutes like the RMA) that are about making direct, on the ground change. For example, environmental reporting (including the Environmental Reporting Act 2015) could be subsumed, recognising that this activity needs to cut across and influence all other frameworks, in the ways that a Future Generations Act would be designed to do.

State of the environment monitoring requirements under the RMA, which are crucial to inform such reporting (and

not just for RMA functions), could be shifted too. Other legislation of a cross-cutting or "strategic" nature could also be integrated – such as the Energy Efficiency and Conservation Act 2000, the Environment Act 1986 and the Environmental Protection Authority Act 2011. While it would not be strictly necessary, it may make some sense for the Environment Court to eventually be established/continued under such a system-wide statute, given that the Court has roles under multiple statutes and not just the RMA.

Of particular significance here is Zero Carbon legislation, which has been recently enacted. This has taken the form of an amendment to the Climate Change Response Act 2002 (which under current settings makes a great deal of sense), but it is at heart a framework for strategic planning for climate change mitigation and adaptation. It provides for targets and carbon budgets, and for the preparation of emissions reduction and adaptation plans. All of those things will need to have meaningful flow-on effects under multiple frameworks, not just the Climate Change Response Act itself. For example, it is hard to picture a world in which a climate change adaptation plan did not rely heavily on land use restrictions under the RMA, or infrastructure investment decisions under a Local Government and Infrastructure Act. Clear links therefore need to be made between those frameworks. Strategic planning for climate change seems well suited to integration within the high level strategic planning framework of a Future Generations Act.

Key points

- A Future Generations Act could subsume some existing statutes (or parts of them) having "system-wide" application.
- In particular, the Act could be a suitable location for the strategic aspects of climate change mitigation and adaptation currently contained within the Climate Change Response (Zero Carbon) Amendment Act.

We also see significant room for the further rationalisation of legislation. Our statute book has become unnecessarily complex and fractured. For example, consideration should be given to integrating components of the Forests Act 1949 into the RMA and the Climate Change Response Act, and a new Local Government and Infrastructure Act would seem a logical home for legislation concerned with erosion and flood control responsibilities.¹³ Of greater significance is the fact that our current set of "conservation" statutes is defined by considerable fragmentation and cross-referencing between acts that, broadly speaking, seek to do very similar things. We envisage that these would be integrated into a single "Protected Areas and Species Act", encompassing both land and sea. The Act would have a clearer purpose and principles, and rationalise our complex array of protected area categories.

There are persuasive reasons to keep other more targeted frameworks separate (but with links between frameworks clarified). Into this category would fall:

- The Hazardous Substances and New Organisms Act 1996
- The Building Act 2004 (and Building Code)
- The Waste Minimisation Act 2008
- The Biosecurity Act 1993 (except for its marine components)
- The Climate Change Response Act 2002 (which would remain a framework primarily targeted at the emissions trading scheme)
- The Ozone Layer Protection Act 1996
- Dedicated urban development authority legislation (Kāinga Ora – Homes and Communities Act 2019), which would be subject to considerable change from what is currently proposed
- The Crown Minerals Act (integrating the Continental Shelf Act 1964)
- The Marine and Coastal Area (Takutai Moana) Act 2011
- The Heritage New Zealand Pouhere Taonga Act 2014

Treaty settlement legislation (eg the Māori Fisheries Act 2004 and Te Urewera Act 2014, alongside many other acts) would remain, but we see a case for embedding their provisions more clearly in the more general frameworks (like the RMA) that they alter or influence. That could occur through simple cross-referencing or “flagging” provisions.¹⁴ The complexity of bespoke processes is inevitable here, but accessibility could be improved. As the government’s resource management review panel has pointed out:¹⁵

There are now 70 pieces of settlement, collective redress or hapū/iwi specific legislation with 76 groups (comprising a mix range of iwi, hapū and various collectives). It is timely to consider how the resource management system responds to this new landscape.

Key points

- There are good grounds for keeping many other targeted frameworks separate in a future system.
- Generally, stronger links would be made between them, and an overarching Future Generations Act would provide a stabilising force and common principles.

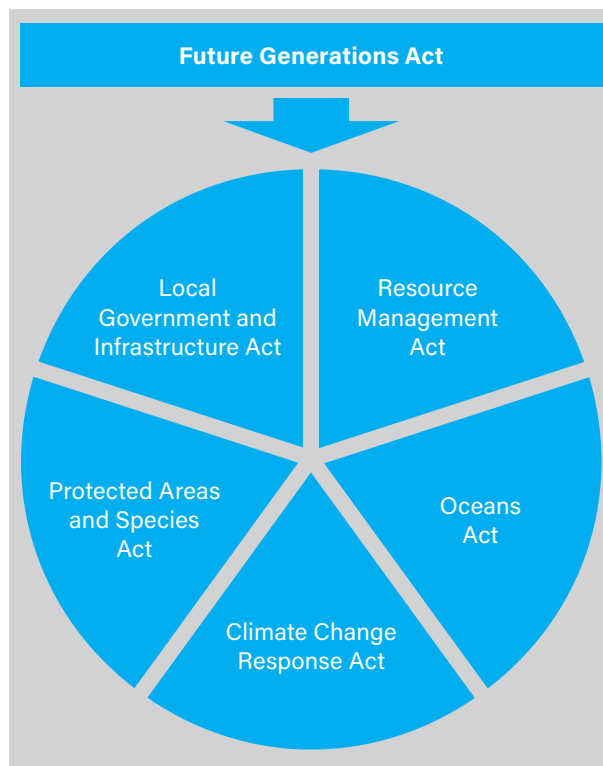


Figure 0.2: Six core statutes in a future resource management system. A strategic Future Generations Act would have overarching principles and provide for higher level strategic planning to occur, which would influence other frameworks. Significant rationalisation of statutes would occur, but many frameworks would remain separate. Closer links would need to be made between many of them.



Kawau Island

Alongside legislative design considerations, it is worth flagging some high level points about institutions in a future system. Notably, while it is crucial that decision-makers remain accountable when making decisions about policy and values (eg through Ministers and councils), we also see dangers in a system that relies too much on political will to make change, and the incentives provided by short-term political cycles. There need to be firmer checks and balances through institutional design, and we need to enhance the voice of independent institutions.

Central to this is the idea of a standing, independent “Futures Commission”. A Futures Commission would be charged with taking a long-term view and safeguarding the interests of future generations. We are already seeing this type of concern being addressed in a piecemeal way (eg in the idea of a Climate Change Commission, an Infrastructure Commission, and a Chief Freshwater Commissioner).¹⁶ As outlined below, a Futures Commission would take on a number of roles under different statutory frameworks, including the RMA and a new Future Generations Act. For example, it would have a role in reviewing various instruments under the RMA, a role in issuing public authorities a scorecard based on their environmental performance, and a role in futures scanning (looking ahead to identify threats and opportunities). It would be accompanied by a separate Tikanga Commission (or by dedicated tikanga commissioners within the Futures Commission), to provide a tikanga Māori focus.

We see potential, in the longer term, for other independent or arm’s-length commissions to be incorporated within the umbrella of a Futures Commission. Another way of looking at this would be an expansion of, and a more structured role for, the Parliamentary Commissioner for the Environment. It would be most appropriate for a Futures Commission to be an officer of Parliament.

Key points

- We see potential for the establishment of a Futures Commission, a standing, independent institution with structured roles under multiple pieces of legislation. It would be tasked with safeguarding the interests of future generations.

We also see value in other institutions that are more holistic and cross-cutting in their concerns. For example, it makes little sense to take a siloed approach to something like climate change policy, or to give responsibility for it to one particular Ministry. While different agencies are important to provide focus, leadership and accountability, it is troubling that they can pull in different directions on issues that require a common approach. There is considerable potential to make improvements through current state sector reforms.

We are proposing the establishment of a formal, permanent cross-departmental group within central government that would be tasked with providing integrated advice on the resource management system to

Ministers and Cabinet. This would be a true, accountable, whole of system steward, comprised of senior officials from various departments and chaired by a senior official from the Department of the Prime Minister and Cabinet. We are calling this a “Futures Group”. It would be complemented by a Futures Commission, in that both would have a system-wide focus, but one would be accountable and the other independent. A proper balance between those two things will be crucial in the future, as we face environmental challenges that are long term and require a degree of policy stability.

We also propose the creation of various other national-level institutions. An “Environmental Water Holder” would represent the public interest in any future trading or auctioning framework for freshwater. A cross-agency behavioural insights group would assist public authorities, including councils, with driving behaviour change on the ground. And an independent, publicly funded “Environmental Defender’s Office” would be charged with taking on public interest litigation. Among other things, it would have appeal rights in relation to notification decisions under the RMA.

Key points

- A future system should see greater alignment and integration of mandates across central government. That would see the formal establishment of a standing, cross-departmental grouping of senior officials concerned with the resource management system as a whole (a Futures Group). In other words, we would have a true whole of system steward.
- In addition, various other national-level bodies should be created: an Environmental Water Holder, an independent Environmental Defender’s Office, and a cross-agency behavioural insights group.

Last, but by no means least, we turn to local government. We see a strong case for amalgamation where councils are no longer viable economic units relative to the challenges they face and the populations they draw on. While we are not suggesting *instant* wholesale structural reform of local government across the country, we do see a compelling case for change over time. Scale needs to be embraced for some matters (eg water infrastructure at a regional or cross-regional level), and the transfer or escalation of some functions needs to be progressed (eg stronger enforcement and regulation-making jurisdiction for the arm’s-length EPA). Indeed, central government needs to move into spaces where it has traditionally been absent or weak, especially through active support and resourcing for the implementation of a coherent package of nationally important environmental limits. We also support an ongoing conversation around how we test evolving communities of interest, and who should be responsible for what. That includes what council boundaries should be.

Our model sees regional cooperation as crucial, and would be consistent with a shift towards regionalisation of council

5 A reformed RMA

Having described the high level architecture of our model from a legislative and institutional design perspective, from this point we explore the key legislative frameworks we see operating in the future.

In Chapter 5, we consider the future of the RMA. While we do not recommend “scrapping” the Act or splitting it along fundamentally different lines (with a partial exception in relation to oceans beyond 3 nautical miles), we do contemplate substantial change to it. Key changes would be to the Act’s purpose and principles (Part 2), planning processes at national and local level, and associated institutional arrangements. The RMA would continue to be the place where allocative issues were addressed in relation to resources protected under it (eg freshwater, coastal space), but it would do so in a more proactive and structured manner than at present.

5.1 A new purpose and principles

We propose that Part 2 of the Act be rewritten, and in Chapter 5 we provide some potential drafting. We consider that a redraft is required for several reasons, including:

- There needs to be a clearer distinction between matters that require true “bottom lines” and those that involve balance, as well as a stronger direction about the pre-eminence of bottom lines
- There needs to be a stronger recognition of the need to enhance the natural environment
- Climate change mitigation needs to be recognised
- The language used needs to be more “outcomes-focused” and contemplate active positive change, not “effects based” and responsive to harm
- Subject to a clear statement of bottom lines, there needs to be greater recognition of the benefits of environmentally sustainable resource use (including considerations of good urban design)
- There should be a stronger statement to give effect to the principles of the Treaty
- There is the need to provide a stronger normative “hook” for allocative decision-making

On balance, we consider that the need to drive change through a revised Part 2 outweighs legitimate pragmatic concerns about change (eg risks of losing case law). Careful drafting would be needed to retain aspects on which valuable case law depends.

Key points

- We see room for significant changes to Part 2 of the RMA to, among other things, better provide for environmental bottom lines, implement Treaty obligations, and recognise the importance of good urban planning and design

5.2 A new approach to national direction

We see considerable merit in changing our approach to national direction under a revamped RMA. We look at this in Chapter 6. In particular, we envisage a more proactive and coherent role for central government, alongside a greater role for independent institutions, in how decisions are made. At the moment, the Act does not compel central government to plan or intervene, other than in the context of the coastal environment. It does, however, *enable* government involvement in a wide variety of ways.

We are suggesting a *requirement*, not just a power, for central government to promulgate national direction that gives effect to a revised purpose and principles of the Act. This would mean that matters identified as being of national importance – including where they impose environmental bottom lines – then have an expectation of at least *some* national policy response. This would be accompanied by a clearer definition of subsidiarity, outlining what can reasonably be expected (and not expected) from central, regional and local government. There would be an obligation to set time-bound targets for key areas of environmental wellbeing or improvement, and pre-set trigger points requiring a review or corrective action.

Presently, national direction under the RMA is at risk of misalignment. It is not always clear how different National Policy Statements (NPSs) are meant to work together or influence each other. In other words, we lack a “regional policy statement”-type instrument for the country as a whole. Furthermore, regulatory provisions in a National Environment Standard (NES) can exist in a vacuum, without any clearly associated policies in an NPS. The format and structure of national direction can also look very different, adding to confusion for councils expected to give effect to it. This issue is becoming more pronounced as more national direction is promulgated to target particular problems.

We are therefore proposing that existing national direction (NPSs and NESs) be incorporated, over time, into a single, internally coherent and comprehensive “National Environment Plan” (NEP). There will be gaps to be filled, notably in relation to climate change. In relation to the climate, important links will need to be made between national direction in the RMA and broader climate change-focused instruments like emissions reduction plans and adaptation plans (currently provided for under the Climate Change Response (Zero Carbon) Amendment Act. An NEP will be one place in which a nationally coherent approach to mitigation and adaptation could usefully be implemented. National Planning Standards would remain separate, but would have no substantive content and would standardise the format of both council plans *and* national direction.¹⁷

Transitional arrangements leading to an NEP would be crucial. We do not want to lose much of the valuable work that has been done to create national direction over the past decade, including processes that are underway (eg see the recently released discussion document on an NPS for Indigenous Biodiversity). That is particularly important for national direction that imposes firm environmental limits.

There would still, however, be a need for a formal hearings process. One option would be to adopt a variant of the Auckland Unitary Plan model (Option 1). Here, multiple councils (in collaboration with Māori and others) would work together to produce a single proposed combined plan for a region (incorporating both regional and district instruments). Merits appeals to the Environment Court would be constrained by whether councils accepted or rejected the recommendations of the standing, independent Futures Commission mentioned earlier. In other words, the Commission would perform a role comparable to that of the Independent Hearings Panel of the Auckland Unitary Plan process.

Another option would be to have a single stage hearing by a “hybrid” institution (Option 2). This hybrid institution would combine representatives from the Environment Court, commissioner(s), council and iwi/hapū. There would be no integrated combined plan across a region (unless local government itself were to be unitised), although councils would be encouraged to work together across boundaries. Appeals from the hybrid panel’s decisions, to a separate appellate division of the Environment Court, would be limited to points of law.

Both of the options outlined above have positive and negative features. We think that a useful direction of travel could be to adopt both, but in different circumstances. Option 1, involving a wide ranging independent review from a standing Futures Commission and the ability for constrained appeals to the Environment Court, could be used as a robust process for “resetting” multiple existing plans under a reformed RMA at an integrated, regional level, in a similar way that the Auckland Unitary Plan “reset” the planning environment in Auckland. It could also be used for periodic whole of plan reviews, and where significant plan changes were escalated on the initiative of the responsible Minister or the Futures Commission itself (a form of “call in”).

Option 2, involving a single-stage hybrid decision-making panel, would be used as a process for other plan changes. Careful consideration would have to be given to the relative membership of such panels, especially the balance of independent and accountable members and Māori and non-Māori members. A third option for changing council plans in the coastal environment, which would be designed to give more direct effect to a marine spatial planning process, is discussed below in the context of an Oceans Act.

It would be vital to have a level of regional strategy sitting above, or embedded within, combined plans. However, there is a question over whether this should be in a purely RMA instrument (a regional policy statement) or a broader regional futures strategy produced under a separate Future Generations Act (see below). If both were to exist, they could be duplicatory. We leave that as an open question.

Regional combined plans would continue to contain both policy provisions and regulatory provisions (eg rules and standards). It is essential for policy making functions to

remain with accountable local government members, elected on behalf of their communities to make such value judgements. However, we see merit in providing a stronger role for the EPA to develop some regulatory elements of plans, especially where they are necessary to give effect to policy in national direction. Freshwater would be a good example, but there may be other areas in which the EPA could have a stronger role (eg biodiversity protections). In some cases, this might involve a transfer of regulatory functions for a period of time until performance or capacity could be improved, rather than a permanent removal of functions from local government. There should be stronger safeguards and criteria around when such transfer powers could (and should) be used.

Key points

- We propose revising council planning under the RMA to involve a single-stage hearing process (or a truncated two stage process).
- A feasible way forward may be to use a robust Auckland Unitary Plan-style process to “reset” plans at a regional level under a revised Part 2 (and to periodically review plans), but to use a more streamlined “hybrid” panel model for plan changes.
- Combined plans should be created in a cooperative manner (including with iwi and hapū) at a regional level, even if extensive local government restructuring did not occur.
- For some things, we see a case for regulation-making responsibility to be given to a strengthened EPA, on a temporary or permanent basis.



5.5 A more structured and principled approach to allocative issues

We consider that a future system will need to approach allocative questions in a much more proactive and courageous way than in the past, especially under the RMA. That is particularly important in the context of freshwater (both abstraction of water and the use of its assimilative capacity). Most urgent is the need to reduce total allocation where environmental limits have been exceeded, and (failing consensus through collaborative processes) to provide a regulatory mechanism for the relative reductions of existing uses to be determined and enforced. That will require the development of allocative principles, both through a revised Part 2 of the RMA and in national direction.

Yet at some point in the near future we will also need to grasp the nettle on questions about reallocating rights, not just to meet environmental limits but also to meet concerns about fair distribution. The current landscape of rights has emerged in an ad hoc way where questions around fairness have not really been considered, largely based on who has applied first and an expectation that rights will continue in perpetuity. Relying only on a “first in, first served” model will not be good enough in the future, and there should be no general expectation of grandfathering based on existing or historical use (although reforms will need to be sensitive to issues of fairness in any transition). Of course, looming large over all such questions are issues of Māori rights and interests.

There are no clear answers to allocative questions, and they will need to be explored in depth through the government’s ongoing freshwater programme over the course of 2020 and beyond. However, we see merit in having a more structured approach for allocating new freshwater abstraction rights (including where existing consented rights expire). We suggest a potential way forward, involving the allocation of two separate tranches of rights:

- (1) a regulatory allocation (to fulfil Treaty obligations, to allocate to public important uses, and to allow communities a degree of control through an attribute weighted tendering process); and
- (2) a purely economic allocation above regulatory allocation (eg auctioning).

To the extent that market mechanisms were to be adopted in the allocation and reallocation of water rights (auctioning and trading), a publicly funded Environmental Water Holder should be established to operate in markets (buy and sell water rights) to pursue public interest outcomes. Over all of this, the system will need to provide for issues of Māori rights and interests in freshwater to play out, and to provide a pathway for those outcomes to be implemented. It is hard to predict what shape that will take.

A more consistent approach to resource rentals should be deployed over time (including for freshwater), and implications for Māori interests need to be closely considered here too. An option would be for a portion of a rental to be directed to Māori for use in environmental restoration activities as kaitiaki, and a portion to be directed to councils for similar purposes.

We see significant merit in water trading being deployed more in a future system. The use to which our water is put needs to be fairer, more efficient and more responsive to change once it has been allocated initially. However, we do not see it as a complete replacement for a more structured regulatory approach to allocation, and we need to be careful to counteract the potential social and environmental impacts of trading (eg the potential for the corporatisation of water rights in water barons, financial speculation, and localised ecological impacts).

Key points

- Allocative issues need to be addressed more directly in a future system, particularly for freshwater. The law needs to provide for common allocative principles, including through national direction.
- A reduction in existing freshwater “rights” is urgent in overallocated catchments, and where collaborative processes are not likely to succeed, a regulatory backstop is required.
- A more structured approach to allocating new rights, and for reallocating rights upon the expiry of existing consents, should be implemented where scarcity is reasonably foreseeable.
- This could involve a portion of regulatory allocation (eg through attributed weighted tendering) and a portion of “economic” allocation (eg through auctioning).
- Trading should be closely considered where appropriate, subject to careful constraints.
- A nationally consistent approach to resource rentals should be deployed over time in a way that is fair.
- Across all of this a reformed system will need to offer pathways for issues of Māori rights and interests to be addressed.

6 A new strategic statute: The Future Generations Act

Overarching the RMA, as well as other resource management “implementation” statutes, we envisage the enactment of a new Future Generations Act. We consider this in Chapter 8. The Act would form something of a “constitution” for the environment, and would do two key things:

frameworks (eg the RMA and a Local Government and Infrastructure Act). We do not think it would be feasible for strategies and spatial plans to be *given effect* to in these other statutes – and for good reason: Acts like the RMA have their own specific purposes and processes to work through. But a reasonably strong legal direction should be put in place to ensure strategic planning is worth doing. One option would be for spatial plans to be given effect to *unless there were good reasons not to*. “Good reason” could be defined to include inconsistency with the purpose of other frameworks (eg bottom lines set under the RMA).

Regional and cross-regional spatial plans would be particularly important to manage rapid urban growth, where (as mentioned earlier) alignment is required between the land use components of RMA instruments and the infrastructure planning and funding components of other legislation. For example, a spatial plan with real legal influence would be useful in coordinating various agencies’ functions and activities when planning integrated urban growth and transport development between Auckland, Hamilton and Tauranga. But they would be useful in other contexts too; for example, as a mechanism to coordinate actions across multiple statutes, institutions and tenures to create a drylands protected area in the Mackenzie Basin.

Futures strategies and spatial plans should also, from the outset, be accompanied by a description of anticipated costs, and where funding is envisaged to come from. A vision in a spatial plan that relied on significant sums of money should not fall over later because there was no real plan for where the money was going to come from. This could still be of a general nature, however; we want a vision to be realistic, but we do not want its ambition to be overly constrained by having to secure specific sources of funding in advance. (For example, water clean-up costs can run into the millions or billions of dollars, which could not realistically be earmarked in advance).

The other important thing to note here is that a national strategy and spatial plan would not be binding on regional ones as a matter of law. They would be integrative *within* each level of government, not hierarchical *between* levels of government. A National Spatial Plan should not, for example, be a back door for central government to influence decision-making by councils under the RMA – the appropriate routes for that would be contained in the RMA itself. That would be supported by a clearer definition of subsidiarity.

However, if all partners in the spatial planning process agreed, there would be a case for them to be obliged, to some degree, to follow through. That might be necessary, for example, to implement a spatial plan coordinating urban growth (where expensive infrastructure may be involved) or providing for climate change adaptation (where it would be crucial for central and local contributions to be aligned).

As mentioned earlier in the context of the RMA, it would be possible to replace regional policy statements under

a revised RMA with regional futures strategies created under a Future Generations Act. Otherwise, there may be concerns that the two would be too duplicatory. This would, however, have its risks, in that regional futures strategies would contain a wider and more balanced range of matters than a regional policy statement. An alternative would be for a more focused regional policy statement under the RMA to remain, and be given effect to in a regional futures strategy.

Finally, national level spatial planning would not be about giving central government greater powers. It would be about coordinating the use of existing powers, including under specific statutory frameworks, towards a more joined-up end point. It would certainly not be an opportunity for a government to override environmental considerations in other statutes, and safeguards in the Act would make this clear.

Key points

- A Future Generations Act would provide for integrated strategic and spatial planning at national and regional levels.
- Futures strategies and accompanying spatial plans would not be binding, but would have strong legal influence over decision-making under other regimes.
- Regional (or cross-regional) spatial plans would be particularly important to align land use and infrastructure planning under the RMA and a Local Government and Infrastructure Act in the context of urban growth, but would not be limited to that context.

7 Climate change

Climate change will need to inform almost all decision-making in a future resource management system. As foreshadowed earlier, we see potential for the “strategic” elements of climate change legislation, contained in the recently enacted Climate Change Response (Zero Carbon) Amendment Act, to be integrated into a Future Generations Act. Emissions reduction plans and adaptation plans would be contained in a National Futures Strategy, and expressed in an associated National Spatial Plan. They would have real legal weight.

A strengthened purpose and principles for climate change action (including seeking overall carbon neutrality by 2050), and the target and budget setting/review process, could also be integrated into the Future Generations Act framework. Furthermore, we see room for stronger enforcement mechanisms for a failure to achieve climate change targets and budgets. And, in the longer term, we would suggest giving close consideration to integrating the Climate Change Commission into a broader framework of a Futures Commission.

8 Other legislation for the built and urban environments

In the model we are floating, many statutory frameworks will be relevant to the management of built or urban elements of the environment. The RMA and the Future Generations Act (especially in its provisions for regional spatial planning) would be among them, and we explore those aspects in Chapters 5–8. In particular, the RMA needs to provide for quality and environmentally friendly urban intensification rather than facilitating unchecked, car dependent urban sprawl, and reflect urban planning principles in Part 2. However, there is a need for an additional layer of legislation, primarily to ensure that certain public goods and services – notably three waters and transport – are planned for and delivered effectively and efficiently. That is well beyond the remit of the RMA, and is currently performed under local government legislation and the Land Transport Management Act. In Chapter 10, we consider this layer of legislation.

Alongside robust strategic and spatial planning, we see a strong case for further aligning decision-making processes under more targeted statutes that would implement it. In particular, land use planning and infrastructure funding should occur in a more connected manner, and along timeframes that are more coordinated. To facilitate greater alignment, we have suggested integrating the Local Government Act and Land Transport Management Act (and other relevant legislation) into a Local Government and Infrastructure Act.

Frameworks for the delivery of public infrastructure and services are intimately related to the ways in which those things are funded. That raises broader questions about how responsible institutions raise revenue. For example, three waters services are currently provided and funded largely by councils through processes under the Local Government Act (and related statutes), giving rise to questions about how councils raise revenue and finance their activities. In short, we are suggesting the following.

- Environmental considerations within development-focused legislation (including a Local Government and Infrastructure Act, the Building Act, and a proposed Urban Development Bill)¹⁹ would be strengthened and aligned with imperatives in a new Future Generations Act, including to reflect climate change.
- Regulation of the three waters sector, for both health and environmental reasons (in particular, wastewater and drinking water) would be strengthened, consistent with measures being proposed in the government's three waters review.
- We see merit in deploying jointly owned council-controlled organisations (CCOs) at a regional level for the planning, funding and delivery of drinking water and wastewater infrastructure and services. A "regional" level would not necessarily reflect the

current boundaries of regional councils, and may well be wider (or just different).

- A CCO model could be altered by allowing for the Crown to be a partner in these organisations alongside local government, reflecting the considerable Crown funding commitment that may be required in some places.
- An economic regulator would be created (which could be a new institution like the Futures Commission or an existing one like the Commerce Commission) with responsibility to ensure that investment levels and pricing in water services were sufficient and fair when looked at from an inter-generational perspective.
- We see a continued role for central government, through the New Zealand Transport Agency (NZTA), in co-funding local transport infrastructure through the Land Transport Fund.
- A conditional reform may be the deployment of regional CCOs (alongside the NZTA) for land transport planning and delivery, although such CCOs would continue to require council funding.
- A greater focus on regionalising key functions might lead to regionalisation of local government units over time, as long as there were strong mechanisms for retaining truly local decision-making at a more devolved level. As mentioned earlier, this conversation needs to be focused on which functions we locate where, not simply redrawing the boundaries of existing institutions.

Key points

- We see potential in the deployment of regional level CCOs, with a degree of Crown support, for the delivery of drinking water and wastewater services (and potentially transport infrastructure).
- That should be accompanied by the introduction of an economic regulator, with responsibility to ensure that investment levels and service pricing were sufficient and fair (especially for water services).
- We see merit in integrating the Local Government Act and Land Transport Management Act into a single Local Government and Infrastructure Act, with planning processes under that Act and the RMA more closely aligned.

To complement institutional and legislative change for the built environment, reform is needed to underlying funding mechanisms. Here, we largely echo the recent findings of the Productivity Commission. We see a strong case for expanding funding and financing tools to address issues in the built environment (including rapid urban growth,

- Treat regional councils more like territorial authorities and require their agreement up front to establish a project.
- Build key environmental protections – and enhancements – into strategic objectives when a project is established.
- Emphasise that national direction under the RMA (an NEP) would, as elsewhere, need to be given effect to.
- Clarify that a project is a way to implement a regional spatial plan made under the Future Generations Act, not an excuse to override it for a narrower purpose.

Key points

- The Building Act should be strengthened to contribute to positive environmental outcomes.
- Dedicated urban development legislation is probably necessary in a future system as a backstop measure, but should be significantly amended from the current proposal in the interests of environmental wellbeing.

9 A new Oceans Act

We are floating the idea of a separate legislative framework for oceans management – an Oceans Act. We describe this in Chapter 11. There has been a complex history of oceans management in New Zealand, resulting in a patchwork of legislation targeting different things. Much is no longer fit for purpose, and a more integrated approach to oceans management is needed. The marine environment is quite different in character from the terrestrial environment and needs to be managed in different ways. In particular, jurisdictional boundaries do not always reflect the interconnected nature of the marine environment.

In a future system, regional councils would continue to have jurisdiction over truly coastal matters, out to a 3-nautical-mile boundary (which would be mapped on ecological grounds). This would reflect the need to have integrated management of catchments and coasts, and the RMA would continue to apply there. Other parts of the marine area would be managed by a well-resourced, dedicated “Oceans Agency”. This would be the operational agency for the Oceans Act, and operate at arm’s length from the government. Alternatively, a strengthened EPA could take on this role. Either way, Māori input into decision-making by the Agency would be strengthened.

Waitematā



responsibility for biodiversity would be set firmly at a regional rather than district level, including under the RMA.

As in most other parts of the system, funding will also be crucial if we are to improve nature conservation outcomes. That must involve significant sums from public authorities for activities like pest management, proactive restoration, investment in fundamental science, and advocacy.

Key points

- Conservation legislation could be integrated into a single Protected Areas and Species Act.
- Requirements relating to species protection would be strengthened, protected area categories would be rationalised and strengthened, and there would be clear requirements for corrective action for the exceedance of pre-set triggers.
- More (and more consistent) funding would be required, and a biobanking model would be further explored and deployed.
- Clear stewardship responsibility for biodiversity outcomes would be placed on the Department of Conservation, with biodiversity functions under the RMA squarely placed on regional rather than district councils.

11 Wider system reform

In Chapter 13 we explore two kinds of matters. First, we identify a range of separate statutes that we generally see continuing to operate in a future system. These include statutes relating to hazardous substance and genetic modification, biosecurity, heritage, and the management of Crown land. We suggest that these frameworks should be subject to more in-depth review over time to align them with a reformed system's core (including a Future Generations Act and climate change imperatives), and point out some areas for further consideration.

We look at waste minimisation in more depth, concluding that the Waste Minimisation Act should remain the cornerstone of New Zealand's efforts to move towards a circular economy. Yet the Act and its tools (eg product stewardship schemes, product restrictions, Waste Minimisation Fund and waste disposal levy) need to be strengthened.

Secondly, we consider more systemic, cross-cutting, kinds of reforms that would not comfortably fall within any given statutory framework, or that require a more holistic perspective. Central to those are questions of funding. Not much will be able to be achieved in a future system without money. Many funding issues play out in the context of the built environment (discussed in Chapter 10), and climate change (discussed in Chapter 9) given that a lot of pressures arise from the need to create, move and maintain infrastructure. Overall, we see merit in expanding the funding and financing tools available to public authorities (especially local government) and providing

a more active and strategic deployment of central government funds. We also propose that a future system needs to protect vulnerable but essential public functions, like environmental enhancement and nature conservation, through greater hypothecation (requiring defined sources of revenue to be used for particular purposes). Funding for pest management activities and environmental advocacy are particularly vulnerable.

It is vital that adequate revenue be collected and spent by public authorities to discharge their functions, but money can be powerful in other ways: to incentivise private action. We consider that economic instruments should be used in a more deliberate manner in a future system to improve environmental outcomes. We see a case for gradually deploying resource rentals over time in a way that is fair and sensitive to context. That should include freshwater and a consistent approach to coastal occupation charges. We also echo the findings of the Tax Working Group that we need to deploy green taxes with more vigour. Similarly, we suggest more strategic deployment of subsidies to drive environmental enhancement.

Over the longer term, we support further investigation and transition towards measures that will more fundamentally transform our tax base by embedding positive incentives into the way we raise revenue. That would be in the form of an environmental footprint tax (and rebate) system.

Furthermore, a future system should seek to influence people's underlying behavioural drivers, not just financial ones. We recommend the creation of a cross-agency behavioural nudging unit, and a more active mandate to investigate and deploy behavioural incentives to improve environmental outcomes. We also see value in imposing firmer environmental duties and disclosure requirements on company directors (not just for financial risks created by climate change), and propose a more active role for government in robust green certification. Education is crucial as well, and we have proposed a future system in which environmental and climate issues are embedded in the Education Act 1989 and school curriculum, and where there is a more active approach to public service messaging.

We conclude Chapter 13 by exploring the importance of a system that is self-evaluative. Neither the system nor the environment in which it operates will remain static. It needs to constantly test its performance, and respond to change. Effective information gathering is crucial here and needs to be broadened and strengthened. There are too many gaps in our knowledge at present. We recommend a system of environmental monitoring and reporting that more effectively links outcomes with both causes and the responses of public authorities and others.

The system also requires a much stronger approach to corrective action. In particular, more effort needs to go into establishing trigger points, in advance, for when pre-planned responses get deployed. In short, we suggest that our system for environmental management needs to resemble more closely frameworks for biosecurity incursions and civil defence. A breach of bottom lines should set off alarm bells.

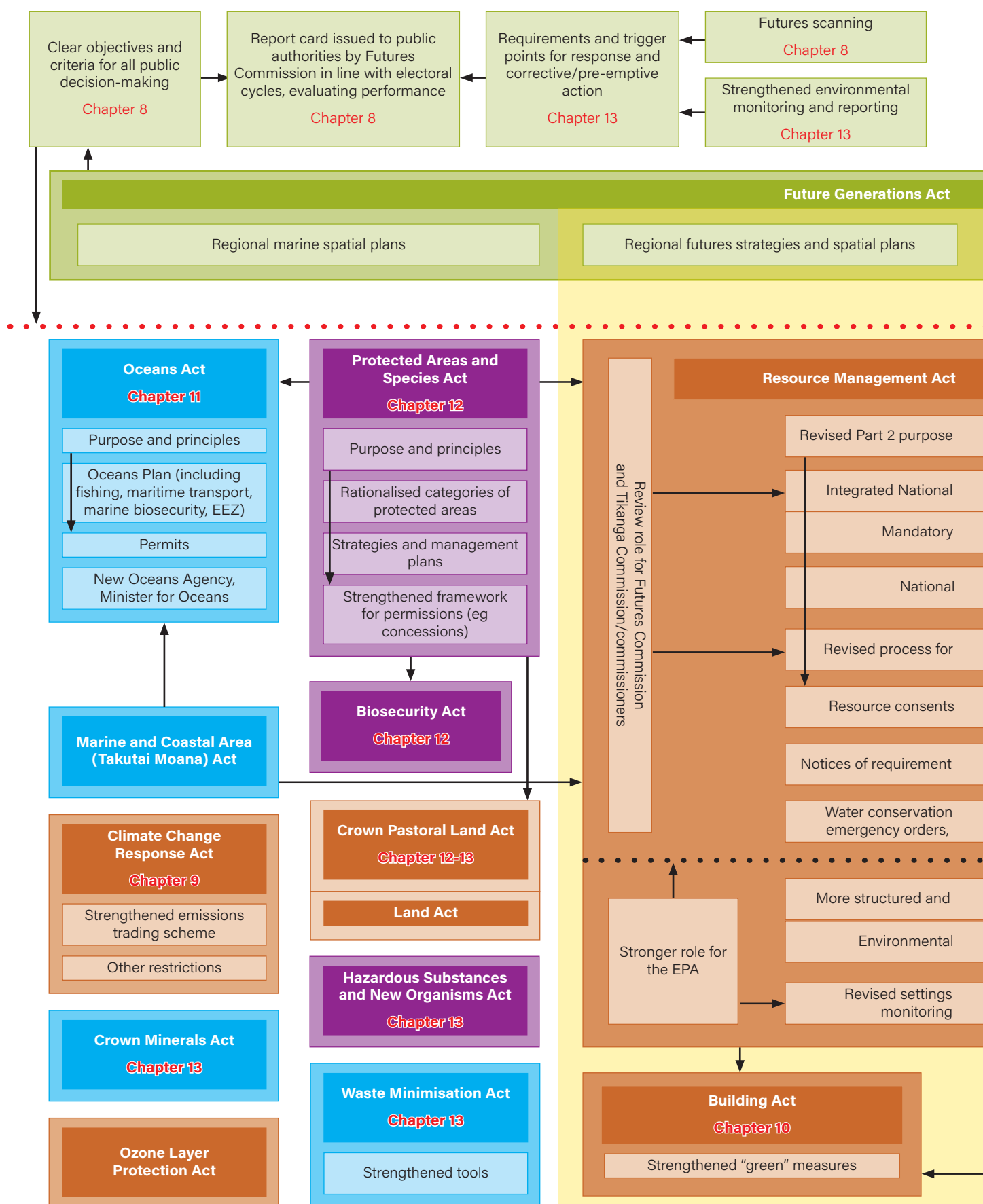


Figure 0.5: Key elements of a proposed future system. Yellow shading indicates frameworks particularly important for managing

ENDNOTES

- 1 Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019).
- 2 See <www.eds.org.nz/our-work/rm-reform-project/>
- 3 On the use of EDS's work as one input into the process, see *Comprehensive review of the resource management system: Scope and process* (2019 Cabinet Paper) at 18.
- 4 Available at <www.eds.org.nz/our-work/rm-reform-project/>
- 5 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 6.
- 6 Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019).
- 7 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 8.4, on different lenses that could be used to divide our statutes.
- 8 See Chapter 4 of the report, describing the current system. Statutes would do different things, or the same kinds of things for different reasons.
- 9 It is unclear what proposals for infrastructure and service delivery will emerge from the government's three waters review, but options being seriously considered include some that would see responsibility for planning and funding being shifted away from councils. Generally, see <www.dia.govt.nz/Three-Waters-Review>
- 10 New Zealand Infrastructure Commission/Te Waihanga Act 2019.
- 11 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 123; *Legislative Design and Advisory Committee Legislation guidelines: 2018 edition* (2018) at 9; Parliamentary Commissioner for the Environment *Making difficult decisions: Mining the conservation estate* (2010).
- 12 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 124.
- 13 The Land Drainage Act 1908 and the Soil Conservation and Rivers Control Act 1941.
- 14 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 123, 125, 152; *Legislative Design and Advisory Committee Legislation guidelines: 2018 edition* (2018).
- 15 Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 6.
- 16 See <www.mfe.govt.nz/climate-change/climate-change-and-government/establishing-climate-change-commission>; New Zealand Infrastructure Commission/Te Waihanga Act 2019; Resource Management Amendment Bill 2019, cl 13.
- 17 Although the Ministry for the Environment is now moving towards a more standardised and directive format for NPSs.
- 18 The scale of investment that will be required will be enormous, given that billions of dollars of assets and tens of thousands of people are at risk. New funding mechanisms will likely be needed: see J Boston and J Lawrence *The case for new climate change adaptation funding instruments* (Institute for Governance and Policy Studies and New Zealand Climate Change Research Institute, 2017); New Zealand Productivity Commission *Local government funding and financing* (Draft report, July 2019).
- 19 See below on the concept of an urban development authority model.
- 20 An integrated Act would also continue to address issues other than ones relating to species and particular areas (including heritage, fish and game provisions, and general nature conservation advocacy).
- 21 *Ko Aotearoa Tenei* (Wai 262 Waitangi Tribunal Report, 2011).

It is crucial that the government's numerous other reform measures relevant to resource management – almost too many to count⁷ – are thought about in the context of this wider system change. New Zealand is well placed, as a small country with a strong history of innovation and reliance on a clean, green image, to achieve meaningful change in environmental management. The main point may be to protect our own interests, but (particularly for climate change) there is an opportunity to be leaders, encouraging other countries to follow our example.

There is now substantial political, sectoral and public appetite for exploring significant change. New Zealand has the potential to be world leading.

1.2 The EDS project

EDS has been pushing for a broad conversation about fundamental reform. In our *Reform of the Resource Management System* project, we have been looking, over the past two and a half years, at how we could do better. We are asking fundamental, future-focused questions about how our overall package of relevant laws and institutions should and can work. We are not just reacting to particular problems or looking at better ways to do the same things. We are asking *why* we do certain things, *whether* we should be doing them, and *how* we should be doing things in the future. Rethinking the RMA is a part of that, but by no means the only part.

The project has had two phases. Phase 1 (*The Next Generation*) was completed at the end of 2018, and culminated in a final synthesis report that was launched in February 2019. This outlined three possible broad models for what a reformed system could look like. That report

is referenced extensively in this report, and provides its analytical foundations. We also encourage readers to engage with it separately, and the two should be read as a package.⁸

The project's second and final phase – of which this report is the culmination and synthesis – seeks to complete the project in three key ways:

- 1 A normative element: generating a set of criteria to guide reform choices
- 2 A descriptive element: outlining the core elements of a preferred model
- 3 A temporal element: identifying how reforms leading to a preferred model can be staged

In a nutshell, the intention of Phase 2 of the project is to provide a tangible roadmap for change that will serve as a reference for a government embarking on its own reform journey⁹ and as a platform for others wishing to be part of that process.

We recognise that the process of change is not easy. It has costs, must be carefully managed, and does not have to happen all at once or by the same means. However, that should not be used as an excuse to be less ambitious, or to compromise, about much needed reform. A model that some may disagree with may seem less objectionable when reasonable timeframes and safeguards are put around the process of getting there. Meaningful and durable reform is about the journey as much as the product.

This report builds on Phase 1 of the EDS project, and outlines the bones of a preferred future system and how it could be implemented over time.



Ch	Topic
1	Introduction
2	Preferred criteria for reform
3	Criteria, ethics and the roles of a future system
4	What we have now: The current system
5	The future of the RMA: Legislative design and Part 2
6	Planning under a new RMA: Central government
7	Planning under a new RMA: Local government
8	Strategic legislation: A Future Generations Act
9	Climate change legislation
10	Other legislation for the "built" or "urban" environment
11	Oceans legislation
12	Conservation legislation
13	Wider system change
14	Concluding comments: A pathway to reform

Figure 1.2: *Structure of this report*

There is no one "right" way to describe or split up a future system. In the Phase 1 report we structured our thinking according to a cascade of "themes": from norms (ethics and principles), to functions (what roles the system should and should not play), to structures (laws, institutions, public participation), and finally tools (concrete interventions, like regulations and taxes, which shape people's actions). The idea was that higher level themes (eg our ethics and principles) needed to be discussed before others, to inform later ones (eg what tools we use). For example, deploying legal personhood for nature, or auctioning rights to common pool resources, requires us first to think deeply about our worldviews and values. A thematic approach was useful because it encouraged thinking about the system as a highly interconnected whole, not just as a collection of independent sectors, spaces and domains, or a series of existing statutes or discrete topics.¹⁰

However, this report is different. Its purpose is to describe a single preferred model for the future.¹¹ In our minds, this requires a different approach. It is most useful, and intuitive, for readers to be guided through the legislative "skeleton" of a future system, off which most formal regulatory, policy and institutional measures will hang. For example, a reader will probably want to know what the RMA will look like in the future before asking about how will ecocentrism be provided for. Proposed statutes are a much more digestible way to *present* a future system, even if the underlying thought process has still been based on cross-cutting, system-wide themes like legislative and institutional design or public participation.¹²

That said, the system cannot always be confined to sharp legislative boundaries.¹³ For example, are the Education

Act 1989, the Companies Act 1993, and the State Sector Act 1988 resource management statutes? It is not immediately obvious that they are, but they can still have influence on how we use and protect resources. Important things go on in boardrooms and classrooms. Some reform measures may even be so systemic as to not comfortably fit within a specific statutory framework at all. We might think, for example, about things like how the government makes budget, investment and procurement decisions.

We structure this report primarily by considering, in turn, the key statutory frameworks we envisage operating in the future. Because they are connected, there will be extensive cross referencing between chapters. Some aspects of the system do not comfortably fit within legislation.

Throughout the report, we provide boxes (in blue, like the one above) summarising particular sections, and shine "spotlights" on specific features and examples that warrant more in-depth exploration. The temporal element of reform (how we see reforms being introduced over time) is also crucial in the report's structure. Within each chapter, we consider how a particular statutory framework would emerge or change over time. There are many reasons why a staggered approach to reform looks best, and these were explored in Working Paper 1.

As such, we do not just select one arbitrary point in time at which we propose that a single preferred model would snap into existence. Roughly speaking, we are thinking about a reform pathway in three broad steps (short term, medium term and longer term), without putting a specific timeframe around them other than to say we will need to be ambitious while taking into account the resourcing that is available. The important thing is to prioritise effort and build up reforms over time towards a coherent vision or end point, not continue to tinker in response to particular problems.

No doubt readers will be most interested in short- or medium-term reforms, as only they could probably involve realistic policy proposals to put before a reform-minded government. It is therefore useful to identify and describe those kinds of reforms in more detail (eg how we might redraft Part 2 of the RMA). However, longer-term reform is equally important, and a transformational end point is still desirable. Thinking a decade or more ahead should not simply be dismissed because it cannot form an immediate reform bill or the focus of a political mandate defined by parliamentary terms.

Our short-term proposal is primarily about building on the basic frameworks we already have, with some significant additions. This still requires considerable legislative change. In the medium term, we see more far-reaching reforms, albeit still ones that build on many of the basic structures we already have (including the RMA, or a renamed statute resembling it). Longer-term proposals will be more about far-reaching systemic change to the underlying drivers of human behaviour (eg the tax system), not just the legal frameworks that

ENDNOTES

- 1 In the general meaning of this term, which is not to imply a return to the "wise use" provisions in the Town and Country Planning Act 1977 that carried with it the assumption of command and control planning.
- 2 See Ministry for the Environment and Statistics New Zealand *New Zealand's environmental reporting series: Environment Aotearoa 2019* (2019).
- 3 <www.mfe.govt.nz/rma/improving-our-resource-management-system>
- 4 Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019).
- 5 M Steeman "A coalition of powerful business groups urges a complete overhaul of the resource management system", <www.stuff.co.nz>, 19 November 2018.
- 6 For example, the "Founders debate" at the 2017 Resource Management Law Association (RMLA) conference; the system-focused theme of the 2014 and 2018 RMLA conferences; "blue-skies" work by Local Government New Zealand; work by the Productivity Commission on the urban planning system; and work by Infrastructure New Zealand on integrated planning, governance and delivery.
- 7 For example, the "three waters" (drinking water, wastewater and stormwater) review, the creation of an urban development authority, the Essential Freshwater programme, the (recently enacted) Climate Change Response (Zero Carbon) Amendment Act, measures to tackle plastics and other waste, new and reviewed national direction under the RMA (on productive soils, urban development, biodiversity, water, and forestry), a pending review of the Building Act 2004 and heritage system, and a raft of other proposals. See Chapter 4.
- 8 See <www.eds.org.nz/our-work/rm-reform-project/>
- 9 On the use of the EDS work as one input into the process, see *Comprehensive review of the resource management system: Scope and process* (2019 Cabinet Paper) at 18.
- 10 For example, one sector (eg agriculture) can use multiple resources and impact multiple domains (eg water, soil), while one domain or resource (eg water) can support multiple sectors (eg fishing, electricity generation). Sectors (eg transport) and domains (eg air) can also cut across multiple spaces (eg urban, rural), while multiple sectors and domains can exist within one kind of space (like a city). As described in the Phase 1 report, we also have existing statutes that focus on domains, on sectors, on general outcomes, on particular institutions, or on particular spaces; see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 8. Finally, "problems" or "topics" (eg housing affordability) cut across all of the above categories. A system needs to be cognisant of the links between all of them.
- 11 The system as defined in the project is one of *public interventions*, so does not include "informal" social, moral or ecological systems. We are not describing how nature works, or promoting a moral utopia; we are presenting a system of laws, institutions and tools that we can look to public authorities to implement.
- 12 On the importance of statutes in resource management law, and in law reform, see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 8.
- 13 For example, the property system (eg dealing with covenants on land or access to minerals) and local government system (eg how councils are funded) intersect strongly with the resource management system, even if entire statutes cannot be called "resource management" statutes.
- 14 J Diamond *Collapse: How societies choose to fail or survive* (Penguin, 2011) at 17.
- 15 For example ecosystems, including their constituent parts, freshwater, air and atmosphere, land/soil, marine and heat.
- 16 However, acknowledgement is also made of the existence of broad claims by Māori around rights to water.
- 17 Purely private actions are not conceived of as forming part of the "system", although public actions that influence private behaviour are.

which urban planning restrictions have been responsible for housing unaffordability.⁴ Sometimes hard evidence is impossible to find. For example, how does one prove that splitting the RMA would produce better outcomes? The reality is that we often lack clear information to base decisions on, or people interpret it differently.

Furthermore, applying criteria is not *just* about assessing evidence – considerable subjective judgments can remain. What does a criterion of “fairness” or “efficiency” mean in specific contexts? In short, criteria are useful to provide an anchor for debate, but by no means a substitute *for* that debate.

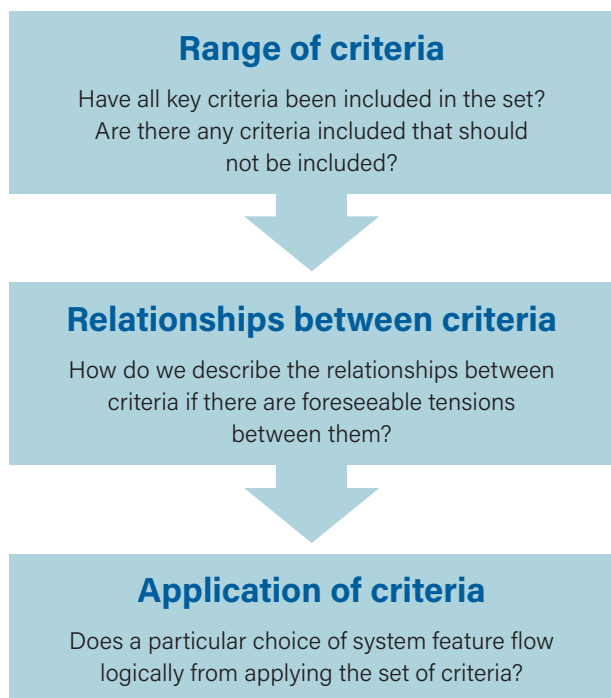


Figure 2.1: *Three points at which debates are needed in relation to criteria. In Working Paper 1, we looked at the first and second boxes. In this report, we choose a preferred set of criteria and then apply it (the third box) to construct a recommended model for the future.*

Criteria do not spit out a blueprint for system reform. Instead, they offer a guide, and an anchor for discussions. These discussions are often about evidence – which reform options would best fulfil the criteria and why. Relatively few models that have been proposed for reform are actually seeking completely different outcomes; they simply see different mechanisms as being more effective at achieving them.

In Working Paper 1, we concluded by offering three alternative sets of criteria that could be adopted. These were described respectively as “progressive”, “transformational” and “market-led”. Other sets are possible, but we considered that these three spanned an appropriate range of viewpoints while all being realistic. The differences between them were not so much based on the inclusion of entirely different criteria, but rather subtle differences in language within criteria and in the

descriptions of relationships between them. We direct readers to Working Paper 1 for descriptions of these.⁵

2.2 Which criteria set is best?

Generally, we have adopted the “progressive” criteria outlined in Working Paper 1. We emphasise, however, that there is no objectively *correct* manner in which one set of criteria can be chosen over another. We are not adopting a particular pre-existing theory or ideology to drive our choice, nor have we chosen criteria based on a general sense of what current New Zealanders as a “whole” currently value (eg based on surveys or interviews).

Instead, we are adopting criteria that we think will drive changes that are the best fit for New Zealand now and in the future. We entirely accept that this is a matter of judgement. Yet while people are certainly free to disagree, we do not think that the criteria we have selected are one-eyed. Indeed, we think it is important that most New Zealanders see their own concerns, and outlooks, reflected or respected. Those are about social and economic wellbeing as well as environmental protection, and as much about Māori concerns as Western perspectives. The system needs to work for all, even if it is not *perfect* for all. And we think that a degree of consensus is needed to make a system durable, even if some aspects of change may be confronting for some.

We also note that substantive criteria – an expression of the outcomes we want – ultimately come from a person’s worldview. However, it is equally true that a person’s worldview can be changed or influenced by the outcomes he or she experiences or desires. In other words, if people are faced with the hard reality of choices, changing societal perspectives, or a growing body of evidence, they may choose to change their outlooks in response. One hundred years ago, for example, it would have been extremely challenging to convince a government to curtail the emission of greenhouse gases, to recognise the intrinsic worth of nature, or to implement co-governance arrangements with Māori. Times have changed, and so have most people’s perspectives. Similarly, we think that the coming decades will demand a different perspective to that which shaped twentieth-century resource management systems. The system itself can actively shape people’s outlooks to achieve the best outcomes for the future, not just respond to them as “bad stuff” happens.⁶

In our view, the “progressive” criteria set presented in Working Paper 1 generally offers the best fit for the New Zealand of the future. We present this criteria set in full below. This is not intended to be something that actually appears in a statute; it is, instead, an overall guide for the reform exercise.

As a whole, our adopted criteria generally reflect the need for real change – not just tinkering around the edges. We are convinced that the system needs fixing, and not just through “soft” mechanisms or a focus solely on “implementation”.⁷ That said, it is by no means a foregone

A preferred set of criteria for reform

(1) The reform choice will protect and enhance aspects of the natural world on which all humans (including present and future, and of all socioeconomic circumstances) rely for their survival and basic quality of life. This includes the idea that nature is a human habitat, and must retain its ecological ability to function and provide services in the future.

(2) **Reinforcing (1)**, the choice will recognise people's responsibility to protect the intrinsic right of nature as a whole, and indigenous species specifically, to exist and thrive in New Zealand.¹⁰

(3) **Subject to (1) and (2)**,¹¹ the choice will protect and enhance aspects of the natural world on which humans (present and future, and of all socioeconomic circumstances) rely for overall collective wellbeing.¹²

(4) **Reinforcing the biophysical protections in (1)–(3)**, the choice will strengthen biophysical resilience to disruptive change.

(5) **Within the constraints of the biophysical protections in (1)–(3)**,¹³ the choice represents a fair allocation of rights and responsibilities between people (including present and future, and of all socioeconomic circumstances).

(6) **Subject to the biophysical protections in (1)–(3)**, the choice will promote the social wellbeing (Te Oranga), economic wellbeing (Te Ōhanga) and cultural wellbeing (Te Rarawatanga) of New Zealanders where it is in the public interest (including the protection of cultural and non-natural heritage).¹⁴

(7) **Reinforcing the promotion of wellbeing in (6) and biophysical resilience in (4)**, the choice will result in social and economic resilience to disruptive change where the change would impact on the public interest.

(8) **Subject to the public interest restrictions in (1)–(7)**, the choice will provide people the freedom to provide for their own social, economic and cultural wellbeing.

(9) **Subject to biophysical protections and fairness in (1)–(5), and in considering the promotion of wider human wellbeing and resilience in (6) and (7)**, the choice will promote efficiency and cost-effectiveness in resource use.

(10) **In considering all substantive criteria (1)–(20)**, the choice will implement the Crown's obligations under the Treaty of Waitangi and reflect the principles of the Treaty, including greater recognition of Māori rights to exercise tikanga and upholding Treaty settlements.

(11) **In considering the biophysical protections in (1)–(4)**, the choice will implement an anticipatory and precautionary approach to risk and uncertainty associated with actions that threaten survival, intrinsic values, and collective wellbeing in the future.¹⁵

(12) **Subject to the public interest restrictions in (1)–(7), Treaty and precautionary obligations in (10)–(11), and process concerns in (15)–(18)**, the choice will ensure an efficient management system (including decision-making processes).¹⁶

(13) **To achieve the biophysical protections in (1)–(4) and broader human wellbeing outcomes in (6)–(7), and taking into account fairness in (5) and subject to Treaty obligations in (10)**,¹⁷ the choice will provide sufficient agility to address existing problems and future challenges in a timely way.

(14) **Subject to the need for agility in (13)**, the choice will maximise regulatory certainty to users and permit holders, and respects existing property and statutory rights.¹⁸

(15) The choice will promote transparency in public decision-making.

(16) **Subject to the flexibility in (13) and Treaty obligations in (10)**, the choice will allow and encourage people to have a say to the extent there is a public interest (unless their interests are already represented) or their interests are directly affected.¹⁹

(17) **To the extent it reflects fairness in (5) and reinforces either Treaty obligations in (10), efficiency in (12) or transparency in (15)**, the choice will maximise knowledge and facilitate its transmission.

(18) **Subject to the need for certainty in (14)**, the choice will make the system accessible to users.

(19) **Reinforcing, but also subject to the biophysical protections in (1)–(3)**,²⁰ the choice will address current problems according to their urgency.

(20) **Reinforcing the biophysical protections in (1)–(3), and Treaty obligations in (10)**, the choice will allow New Zealand to meet its international obligations.²¹

(21) **All substantive criteria (1)–(20) are subject to** the need for choices to be within the realms of political possibility and workable in practice.

(22) **In considering what is workable and achievable in (21)**, choices are to take into account the feasibility of staggering or ramping up reforms over reasonable timeframes, keeping in mind the urgency of issues and the likelihood of imminent social change.²²

(23) Prefer choices that minimise disturbance to the status quo, retain existing case law, and support legal stability **only if they are equally or more effective at achieving all substantive criteria in (1)–(20) than alternatives.**

A	All substantive criteria are subject to the need to implement the Crown's obligations under the Treaty of Waitangi, including reflecting Treaty principles, as well as greater recognition of tikanga. However, while this is a hierarchical relationship, it should be emphasised that the nature of Treaty obligations and principles themselves are not absolute, and are constantly evolving. More specifically, actual Treaty settlements will need to be upheld in any reform.
B	As in (A) above, Treaty obligations and a greater recognition of tikanga are to be reflected in the <i>processes</i> of the system. In particular, the need for flexibility is subject to the need to uphold specific Treaty settlement rights.
C	The human responsibility to protect the intrinsic worth of nature as a whole, and indigenous species specifically, will realistically be subject to the need to manage resources in a way that allows for the survival and basic quality of life for all New Zealanders. Primarily, the two things reinforce each other, but there may be some tensions in particular applications.
D	Protecting the natural world (natural capital, natural resources) on which humans rely for wellbeing <i>above a basic quality of life</i> is subject to the intrinsic worth of nature as a whole and indigenous species.
E	If the ecosystems/biosphere on which humans and indigenous species rely for survival and wellbeing are resilient to disruptive change, the latter reinforces and supports the former. Precaution is related to resilience, because it recognises that sometimes we do not know how far human use can push ecosystems/resources before they reach tipping points.
F	Promoting the social, cultural and economic wellbeing of people more broadly (ie everything in the yellow box) is subject to protecting the natural world/natural capital to the extent needed to achieve human survival/basic needs, recognise the intrinsic value of indigenous species, and secure overall human wellbeing (ie everything in the green box).
G	Securing people's social, economic and cultural wellbeing over time is supported by increasing the resilience of people and communities to disruptive change.
H	Using resources in the most efficient way possible is desirable, but is subject to the need for fairness (in allocating both rights and responsibilities) and subject to what would promote overall social, economic and cultural wellbeing and resilience. In some cases, the most efficient resource use may support those things, but in other cases it may not. Similarly, in some cases, enabling people to provide for their own wellbeing may produce efficient outcomes, but not always (indicated by the overlap between boxes 8 and 9).
I	People are to have the freedom to manage resources to provide for their own wellbeing, as they are often best placed to decide such questions. However, that is subject to the need to defend biophysical bottom lines (ie everything in the green box) as well as to secure overall human wellbeing more broadly where there is a public interest (eg urban planning, infrastructure, green spaces etc – ie everything in the yellow box).
J	Processes are ultimately designed to achieve the system's substantive outcomes (ie those in the blue box), but can do so in different ways. Specific process outcomes are important. In particular, flexibility and adaptability are needed to ensure that biophysical protections can be implemented in a timely way where needed (to achieve those things in the green box), but also to achieve change where there is an element of public interest in securing social, economic and cultural wellbeing (ie those things in the yellow box). Some of these are urgent and should not be delayed. Flexibility is subject to Treaty obligations – see (B) above.
K	Efficiency and cost-effectiveness in the design of the system, including in its processes (ie more than just the efficient use of resources), is subject to the need to achieve its other substantive outcomes (ie those matters in the blue box).
L	Subject to the need for the system to be flexible enough to achieve its substantive outcomes in a timely way (ie address problems and future challenges), it must provide as much certainty and security to people (eg property and statutory rights holders) as possible. Fairness is important to consider here, not necessarily to determine whether change should happen (although that may well be fair in some contexts), but to determine what should happen in response to change (eg compensation).
M	There is a need for public participation not to come at the expense of timely outcomes where needed urgently to achieve matters contained in (1)–(3) and (6)–(7) (those in the green and yellow boxes). However, broader "efficiency" is subject to other outcomes we wish to see from giving people a voice (fairness and where a public interest is at stake). Furthermore, constraints on involvement do not apply where needed to implement Treaty obligations – see (B) above.

ENDNOTES

- 1 Or at least, if there is not agreement, in a way that makes it obvious what is being sought and in what measure.
- 2 For example, how do we measure if the intrinsic value of indigenous species has been recognised and provided for?
- 3 For example, it requires us to consider counter-factual scenarios (what if the RMA had not been enacted?).
- 4 See T Hazledine "Economics and the resource management system" in G Severinsen and R Peart *Reform of the resource management system: The next generation – Working paper 3* (EDS, 2018) at 158.
- 5 G Severinsen and R Peart *Reform of the resource management system: A pathway to reform – Working paper 1: Criteria for reform* (EDS, 2019) available at <www.eds.org.nz/our-work/rm-reform-project/>
- 6 Education or advocacy campaigns are examples of this (eg the recent advertising of the Energy Efficiency and Conservation Authority concerning climate change and energy use).
- 7 This is a common thing to hear: that the RMA itself is not broken, it is just implemented poorly. That may well be the case, but our formal system of laws and institutions should also be expected to facilitate or demand effective implementation.
- 8 M Williams "Resource management system: Reform or transform?" (April 2018) *Resource Management Journal* 3 at 4.
- 9 For example, section 17 of the RMA imposes a general environmental duty on all people, but has not really been used in a meaningful way.
- 10 Including the natural systems on which they rely for these things. A focus on indigenous species (as opposed to introduced species) is deliberately broader than endemic species (those that exist *only* in New Zealand). This is on the basis that intrinsic or moral value is not just about preventing the extinction of a species on a global scale; it is also about preserving New Zealand's unique natural heritage and respecting a Māori perspective on kaitiakitanga.
- 11 The hierarchy here is significant, because enhancing natural resources for overall human wellbeing (eg forestry, horticulture) can still threaten the survival of indigenous species. Furthermore, enhancing natural resources to increase the wellbeing of some may threaten the basic quality of life of others (eg through some forms of offsetting that mean adverse impacts are felt in some places and benefits are felt in others).
- 12 Where wellbeing is measured in an inclusive way (eg the wellbeing that people obtain from connection with nature and wilderness).
- 13 This means fairness is important *within* criteria (1)–(3) (eg environmental protection that produces human wellbeing means sufficient wellbeing for people of all socio-economic circumstances and generations), but also that fairness is *subject to* the outcomes in criteria (1)–(3) (eg one cannot breach environmental bottom lines in order to give additional rights to people who are currently deprived of them).
- 14 In many cases that will be consistent with safeguarding and enhancing natural resources/natural capital, because there is a direct link between them. In some cases, it may not (eg urban expansion into versatile soils), hence the need for a hierarchy.
- 15 This may include proactive measures to prevent tensions between different outcomes from arising in the first place (eg over allocation of freshwater can produce issues over fairness, so it is prudent not to over allocate).
- 16 Efficiency should not necessarily be equated with centralisation or a drive for economies of scale.
- 17 For example, if measures are needed to compensate or reduce the impact on people where not to do so would be unfair, or where there is a tension between Treaty obligations and urgent action.
- 18 This is intended to safeguard Treaty settlement rights encompassed by (10), as well as support people's freedom to provide for their social and economic wellbeing (8).
- 19 Reinforcing (5), concerning fairness.
- 20 "Subject to" in the sense that addressing one problem should not exacerbate problems that threaten the outcomes contained in criteria (1)–(3).
- 21 In particular, in the context of climate change mitigation.
- 22 In that more measures may become politically possible if these matters are considered.

on the weighing of a broader range of human values concerning the environment, and rejects money as the only measure of value. In contrast, an ecocentric worldview sees the natural world as having intrinsic value, dignity and rights beyond its usefulness to humans. It rejects economic measurement and human values as the only metrics for valuation.

Māori worldviews – Te Ao Māori – are arguably more closely aligned to Western notions of ecocentrism than to anthropocentrism or an economic worldview. However, they are by no means the same thing. Te Ao Māori is a specific way of seeing the world, developed over centuries and incubated within an integrated social and cultural setting. It does not so much put nature at the heart of things or as something apart from human activity, rather it sees humans and nature as part of the same cosmology where the physical, economic and spiritual cannot be separated.

So should an ethical theory drive the outcomes we are seeking or, instead, should the outcomes we desire shape what our ethics look like? This is a chicken and egg situation. However, as will be obvious from our discussion of criteria, we have chosen the latter approach. We therefore emphasise again that we are not adopting a single theory or worldview.³ We will not, for example, be seeking to construct an “ecocentric” system or an “anthropocentric” one.⁴ Nor – even though we envisage a significant space for its growth and influence – are we proposing a future based entirely on tikanga Māori.⁵ In fact, the plural worldviews and norms reflected in our criteria set make this kind of thinking impossible. So while different worldviews are highly visible *within* criteria (eg it is easy to see a generally ecocentric train of thought in the notion of intrinsic worth, and an economic perspective in the notion of efficiency), as a whole our criteria are not driven by a particular ethical perspective.

On this approach, worldviews, ethics and principles are not ways to decide what we want. Instead, they are useful tools in legal frameworks for achieving the outcomes we already know we want. For example, we see legal personhood (eg for a river or mountain) less as something that is necessary to reflect an inflexible moral perception of the natural world, and more as a potentially useful way to ensure it is protected in a way that achieves what society is seeking (eg healthy water, respect for tikanga, landscape value etc).⁶ In some situations, that may be useful (eg in the situation of Te Urewera – a former national park). In others, it may make less sense (eg giving legal personhood to a dairy farm – what would we assume such a “person” to want?).⁷

Similarly, the use of economic instruments (eg in the use of resource rentals or water trading schemes) would not be embraced because we see the world in an instrumentalist way (property to be exploited), but rather because they could be useful tools to achieve outcomes we want (eg to reduce wasteful consumption, to provide a return to New Zealanders for the private use of a non-private resource, or to direct things to their highest value use).⁸

That said, “changes in people’s mindsets may happen over time in response to the ways in which they are compelled or encouraged to behave”.⁹ Thus the use of more ecocentric language and tools in the system may, over time, mould people’s perspectives so that they become much stronger, self-regulating social norms, driving action that is considered natural rather than as something being imposed on them. That might be a very good thing given the nature of the ecological challenges we are facing.

Our preferred criteria describe the outcomes we would like to see the system deliver. They reflect many different ethics and worldviews. These outcomes, rather than any given ethical theory, are our starting point for reform. The extent to which changes in ethics and worldviews can help us achieve those outcomes will then determine how, and in which parts of the system, those ethics and worldviews are embraced.

In particular, we consider that embracing synergies between anthropocentrism, Te Ao Māori and ecocentrism more, within a plurality of ethics, will provide both a positive normative direction of travel and bring better recognition of the Treaty relationship. We need to seek nodes of agreement where possible, rather than ringfencing Māori concepts like kaitiakitanga (broadly, stewardship) as islands surrounded by a sea of Western ideas, or simply mentioning nature’s intrinsic value within a framework still targeted at “resources”.¹⁰ This is not to suggest that Māori concepts (or, indeed, ecocentrism) have a monopoly on environmental wisdom, or that a Western Judeo-Christian tradition is responsible for environmental decline.¹¹ It is simply to say that no worldview has an unassailable claim to be “right”. A more integrated ethical approach can be seen within concepts like Te Mana o Te Wai,¹² in which most people, we think, could see something to identify with.¹³ That approach should be continued and extended to other domains and statutes.

Our approach here is partly because a multiplicity of worldviews reflects the reality of New Zealand society (and therefore future political appetite for change). It is a pragmatic concern. In fact, we see much more room for agreement and constructive dialogue over the *outcomes* we want as a country than in a debate about the value of particular ethical, religious or cultural traditions. There is growing convergence about the former, even if there are considerable tensions about the latter. And we are a diverse country, with a multiplicity of people and cultures, and we will do well to remember that our future will not be one ruled by philosopher kings trumpeting ideologies (even if we may listen to what they have to say from time to time). As we have said previously, “a system in which significant parts of the population cannot see their own basic outlooks reflected is unlikely to be durable”.¹⁴

Aside from practical considerations, though, we also think that plurality is a very good thing.¹⁵ There are many synergies to be explored.¹⁶ Almost 20 years ago, one commentator described the RMA simply as “a complex set of values enshrined in law”,¹⁷ and this, we think,

Common but differentiated responsibilities ²⁵	The principle of common but differentiated responsibilities seeks to distribute the costs of environmental protection among the international community. It means that New Zealand bears greater responsibility for the costs of mitigating climate change than some other countries. It also has relevance in other contexts (eg responsibility for reducing relative contributions to pollution in catchments). ²⁶
Subsidiarity ²⁷	Subsidiarity seeks to locate decision-making responsibilities closest to (and according to the values of) the relevant community of interest. There is a separate Māori community of interest alongside national, regional and local ones. Subsidiarity is not the same thing as devolution, and communities of interest can change over time in light of social, cultural and biophysical circumstances. A future system will need to be much clearer about what subsidiarity actually means, and expectations as to what will be done at a local and central level.
Principles of the Treaty of Waitangi ²⁸	The principles of the Treaty of Waitangi include active protection, good faith, remediation of past grievances, and informed decision-making. They will be extremely important in a future system and will need to be given effect to beyond the context of specific Treaty settlement acts.
Kaitiakitanga, mauri and mātauranga Māori ²⁹	Māori values in the system are not just a way to provide recognition or power to Māori as a distinct group. They also have merit in their own right. In the resource management context, the central Māori idea is often kaitiakitanga (stewardship), but other important concepts are mauri (life-force or essence) and mātauranga Māori (knowledge and ways of knowing). A future system will need to provide recognition not only for these concepts, but also for the ability of Māori to exercise them.
Resource development	The development principle is a convenient label for a principle that recognises that the resource management system should place value on, and incentivise or mandate, some resource uses that are in the public interest. It is not usually recognised as a separate “principle”, but in reality underlies many frameworks for the provision of public goods. A future system will need to more explicitly recognise the need for the development of resources, but ensure that this does not infringe biophysical bottom lines and that it also complements efforts to improve environmental wellbeing.
Conservation ³⁰	The conservation principle recognises that protection and enhancement of the environment must be relatively absolute in some geographical areas, for some species, and for the functioning of the natural world as a whole. It encompasses the principle of non-regression, which states that measures beneficial for the environment should not subsequently be removed or eroded, and the public trust doctrine, under which the state acts as trustee of the ecological health of public areas. It demands an ecosystem wide view to be taken. It is not just about preventing extinctions or saving threatened species from further decline.
Precaution ³¹	The precautionary principle states that where there is uncertainty as to the adverse effects of an activity, this is not a reason to fail to take action to address them. It includes approaches to risk identification, risk assessment, and risk management. Precaution will need to be implemented at a system-wide level in a future system, not just on a project-level basis.
Participation ³²	The participatory principle provides that the public have a legitimate interest in being involved in decisions about resources and the environment that impact on them or are of significant public interest. It is essential that decisions are based on robust information, which can be provided by offering wide participation. But such rights are not absolute. They must be balanced against the need for efficiency, and cannot be permitted to prevent timely decision-making where the need is urgent. Māori should have relatively strong participatory rights because of their status as Treaty partners, but that is not a substitute for other Treaty obligations. Access to information, transparency of process, and access to justice are also important.
Efficiency ³³	In terms of process, decisions should be streamlined and use comparable units of measurement where possible, but must be balanced against the need for good information, public participation, and the evaluation of values, not just monetary units. It must also be remembered that efficiency is only about the most efficient way to achieve a desired outcome, not a substitute for a debate about what that outcome is. Sometimes the best outcomes will require time and cost.

Figure 3.1: *Principles that a future system will need to adopt*

We recognise that there are legitimate concerns underlying such perspectives. We do not want disproportionate regulation or objective overload. However, in our view, there are risks in going too far in the other direction. We have previously pointed out several reasons why a narrow focus on externalities would have significant risks.⁴³ Our criteria support the general view expressed in the Phase 1 report that public intervention is warranted in broader circumstances – where there is a public interest in how we interact with our environment and use resources, and where it is needed to implement the Crown’s Treaty relationship.⁴⁴ In fact, this broader rationale for intervention already underpins a lot of our current system.⁴⁵

Ultimately, our future is too full of challenges – including climate change and the need to restore and enhance degraded aspects of the environment – to unduly narrow the scope of what the system can do based on an outdated neoliberal orthodoxy and arguments about market freedom. As we pointed out in the Phase 1 report, the public interest may need to encompass:⁴⁶

a set of incentives to encourage the uptake of electric vehicles, funding for community-led environmental enhancement measures, or measures to transition land uses to those that are more sustainable for the country as a whole (eg [permanent] forestry on erodible hill country). It embraces the principle of resilience, and could proactively shield people from external and non-attributable impacts (such as natural hazards, a changing climate, and global economic shocks). It also recognises

that outcomes-based urban planning is not just about guarding against “bads” or providing public goods like infrastructure. It is also about creating a wide variety of future-focused strategies to enhance the wellbeing of communities and to move our collective human endeavour forwards – getting people on bikes, reducing criminal activity, encouraging social connection.

Again, we emphasise that this does not mean a regulatory approach is always the right one.⁴⁷ Regulation, where used, also needs to be proportionate. It is simply to recognise that the system has a broad role to play in the resource management system of the future, for many reasons. We are not convinced that intervention should be constrained to where the market has clearly “failed” – rather, the market should be seen as a tool that is useful if it helps achieve the outcomes we want. In many cases it will, but sometimes it will not.⁴⁸

Therefore, although we are not adopting an ecocentric approach, we also resist the idea of limiting the role of the system to the language of economic approaches. As Professor Tim Hazledine has said, giving legal personhood to the natural world is “fundamentally subversive of economic orthodoxy”⁴⁹ and is clearly much more than the internalisation of a negative externality. But we shouldn’t close our minds to it. Similarly, Dr Tim Denne has pointed out that the relative reduction of people’s existing rights to pollute (eg nutrients in an overallocated catchment) is a dilemma well outside the comfort zone of traditional environmental economics.⁵⁰ But it is a pressing problem and one that people are increasingly willing to grapple with.



Fiordland

Degradation of our natural environment is reducing ecosystem resilience to system shocks that can radically alter the flow of ecosystem services, affecting associated livelihoods and the wellbeing of communities.

Environmental decline will affect our daily lives. But there is not just an economic or even anthropocentric element here – there is a moral imperative too. We are used to moralising over the extinction of creatures like the dodo, the deforestation of the Amazon rainforest, or (closer to home) the threat to iconic features or species like kiwi, kākāpō or kauri. But there is much less recognition of the moral place of nature as a whole in our collective consciousness. We need to push back against the idea that moral, spiritual or emotional concern has no place in public policy discourse on environmental matters, or that it is *only* the concern of integrated socio-spiritual systems like tikanga Māori.⁶¹ As one commentator has noted, it is:⁶²

important to acknowledge that the natural environment has intrinsic value that goes beyond utility, because our sense of who we are as people is deeply embedded in our connection to it. Through manaakitanga (care and respect) we are incentivised to practise kaitiakitanga and our whanaungatanga (relationships to each other) are enhanced.

These values are not exclusive to Te Ao Māori. It is evident ... that many New Zealanders are deeply concerned about the state of the environment. Their concerns cover effects at the local, national and global levels including pollution in our waterways, declining biodiversity, threats to our coastal zones and the impacts of climate change.

Falling back only on the economic language of externalities, management, transactions and cost-benefit analyses can de-emphasise the importance of an ethical element in what we are trying to do. For example, some have suggested that while cost-benefit analysis is certainly useful, it should deal with trade-offs only where they are small scale and within our moral comfort zone.⁶³ It is not a substitute for values-driven and regulatory environmental limits.⁶⁴ As discussed in Chapter 13, we also need to be wary about crowding out positive moral responses by replacing them with economic instruments (the idea that if one is charged for something, then there may be a perception that no further action is needed).

The biggest question for our future, and one that encompasses all others, is about the balance of values we hold. When conflicts emerge between them, we can ask: are we a market-driven, primary-producing nation seeking to maximise its economic output? Or are we a clean, green, beacon in the South Pacific that will maintain a sustainable, fair and inclusive society for those living centuries from now? As Jared Diamond has noted, "Perhaps a crux of success or failure as a society is to know which core values to hold on to, and which ones to discard and replace with new values, when times change."⁶⁵ How will we respond to that challenge?

There is a considerable moral component to be considered in resource management reform, which cannot be answered by economists or experts. We require a nationwide conversation about what we value and why.



McNeills Beach, Westland

- "The Resource Management Act – from principles to practice" in T Daya-Winterbottom (ed) *Frontiers of resource management law* (Thomson Reuters, 2012) at 226; *Ko Aotearoa Tenei* (Wai 262 Waitangi Tribunal Report, 2011).
- 33 See generally E Hudspith "Freshwater management in New Zealand" (2013) 16 NZJEL 277 at 284; Resource Management Act 1991, s 32(2)(b); M Christensen "Valuation of natural assets under the Resource Management Act" (2013) 17 NZJEL 291 at 294; JR Jackson "The role of economics in the RMA" (1999) 3 NZJEL 19 at 32.
- 34 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), esp 94–100 concerning the imposition and defence of biophysical bottom lines.
- 35 There are many other forms of public intervention (eg education, subsidies, economic penalties, formal collaborative processes, behavioural incentives and so forth).
- 36 A formal system of public intervention can, of course, influence connected social and moral systems (eg through public education campaigns), so that remains within scope. The point, however, is that we are not concerned with reforms to informal systems themselves, only with reforms to public interventions that can influence them.
- 37 For example, people are unlikely to degrade their own property (eg land) to the extent that it loses value in their own lifetimes, and many feel a moral or spiritual connection to the world around them and act accordingly.
- 38 For example, people wanting to grow food on road margins.
- 39 See New Zealand Productivity Commission *Better urban planning* (2017) at 39 and 47; (4 July 1991) 516 NZPD 3019–3020. On externalities, see G Hardin "The tragedy of the commons" (1968) 162 Science 1243; T Denne "Resource management law reform and economics" in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018).
- 40 New Zealand Productivity Commission *Better urban planning* (2017).
- 41 On statutes that span different "systems", see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 132 (Figure 8.13).
- 42 See New Zealand Productivity Commission *Better urban planning* (2017) at 412.
- 43 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 83. These include risks of an overly short-term focus; undervaluing intangible or immeasurable effects, including nature; a lack of information until it is too late; giving up opportunities to improve people's and nature's wellbeing; and removing the impetus for changes in ethics.
- 44 Ibid at 88.
- 45 Ibid at 85.
- 46 Ibid.
- 47 Ibid at 88.
- 48 For example, the market has failed to provide for large scale urban development projects where land parcels are fragmented or the development landscape is complex. This is one legitimate reason for the introduction of an urban development authority model looked at in Chapter 10.
- 49 T Hazledine "Economics and the resource management system" in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018) at 154.
- 50 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 244, and endnote 33.
- 51 See generally ibid at 110. For perspectives on what that role entails, see R Beverley "The incorporation of the principles of the Treaty of Waitangi into the Resource Management Act 1991" (1997) 1 NZJEL 125; R Boast "The Treaty of Waitangi and environmental law" in R Harris (ed) *Handbook of environmental law* (Royal Forest and Bird Protection Society of New Zealand, 2004) at 513.
- 52 We went through these at some length in the Phase 1 report (pp 100–114), and those general conclusions are applied when we cover particular statutory regimes in a future system, rather than being repeated here.
- 53 Many people have pointed out to us that the allocation of things like freshwater cannot be meaningfully separated from decision-making on limits to human use as a whole, and decisions on trade-offs above those limits.
- 54 Although in some cases it may make sense. For example, we floated one option in the Phase 1 report where the RMA would be split into separate acts focusing on (1) bottom lines and (2) making trade offs above them.
- 55 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 9.
- 56 See ibid at 148.
- 57 See Crown Minerals Act 1991, s 1A, which promotes the mining of Crown-owned minerals.
- 58 As proposed in the concept of an urban development authority (see Chapter 10).
- 59 J Diamond *Collapse: How societies choose to fail or survive* (Penguin, 2011) at 16.
- 60 Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 11.
- 61 We would suggest that a great many New Zealanders have strong emotional or spiritual connections to aspects of the natural world.
- 62 Tax Working Group *Future of tax: Final report volume 1 - recommendations* (2019).
- 63 T Hazledine "Economics and the resource management system" in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018).
- 64 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 255.
- 65 J Diamond *Collapse: How societies choose to fail or survive* (Penguin, 2011) at 433.

Outcomes-based statutes	Domain-specific statutes	Location-specific statutes	Sector-specific statutes	Institution-specific statutes
Resource Management Act 1991	Climate Change Response Act 2002	National Parks Act 1980	Crown Minerals Act 1991	Local Government Act 2002
Exclusive Economic Zone and Continental Shelf (Environmental Effects) Act 2012	Ozone Layer Protection Act 1996	Reserves Act 1977	Forests Act 1949	Environment Act 1986
Biosecurity Act 1993	Marine Mammals Protection Act 1978	Marine Reserves Act 1971	Land Transport Management Act 2003	Heritage New Zealand Pouhere Taonga Act 2014
Hazardous Substances and New Organisms Act 1996	Wildlife Act 1953	Continental Shelf Act 1964	Fisheries Act 1996	Environmental Protection Authority Act 2011
Waste Minimisation Act 2008	Native Plants Protection Act 1934	Numerous location-specific conservation statutes	Building Act 2004	Queen Elizabeth II National Trust Act 1977
Litter Act 1979	Marine and Coastal Area (Takutai Moana) Act 2011	Numerous Treaty settlement statutes	Housing Accords and Special Housing Areas Act 2013	Local Government (Auckland Council) Act 2009
Environmental Reporting Act 2015	Wild Animal Control Act 1977	Conservation Act 1987	Electricity Act 1992	
		Crown Pastoral Land Act 1998	Energy Efficiency and Conservation Act 2000	
			Gas Act 1992	
			Kāinga Ora – Homes and Communities Act 2019	
			New Zealand Infrastructure Commission/Te Waihanga Act 2019	

Figure 4.1: Core statutes in the current system

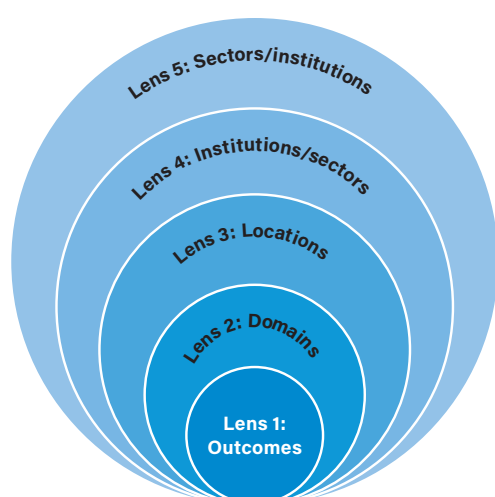
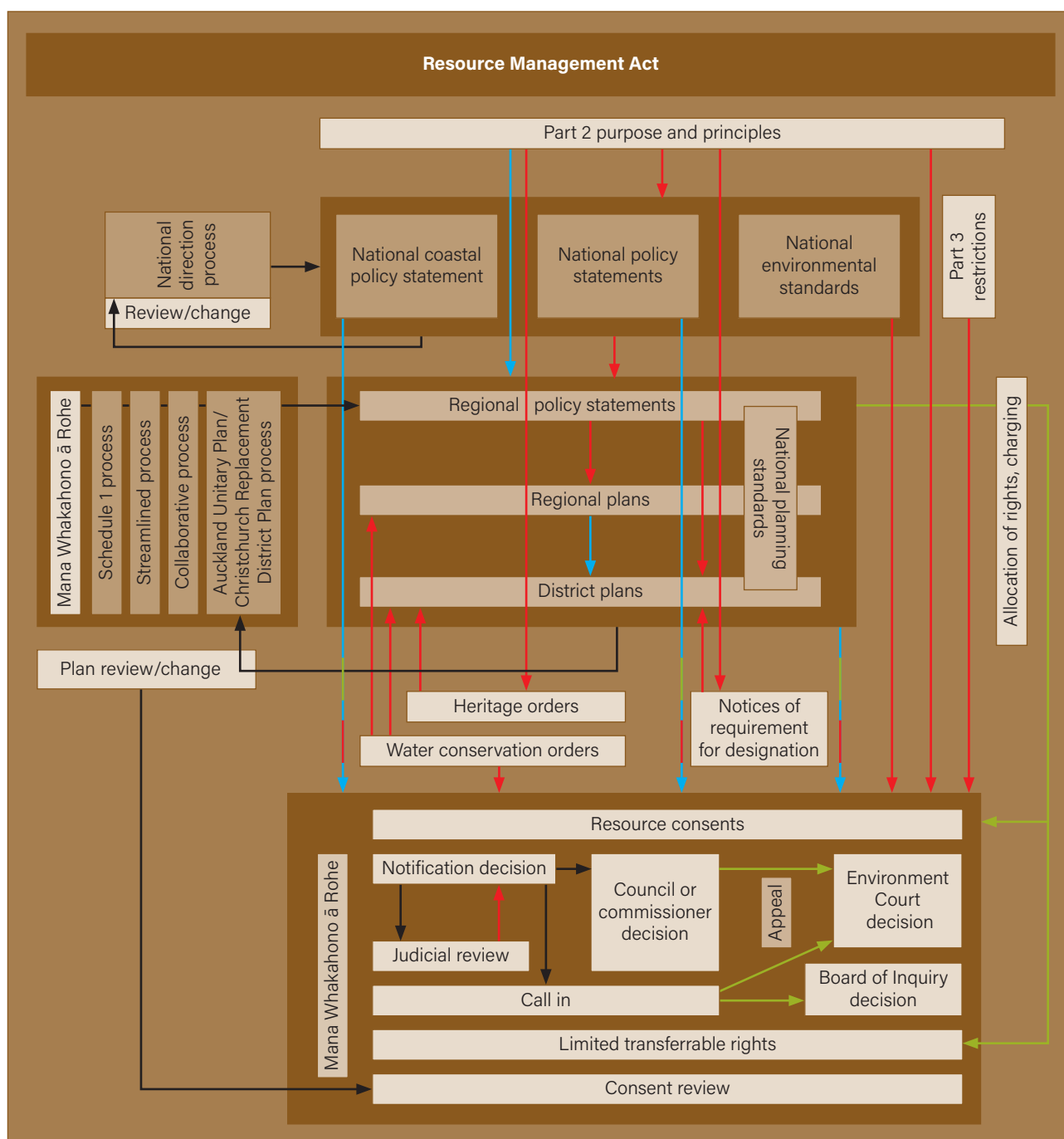


Figure 4.2: How statutes of different types tend to relate to each other in the current system. The widest circle represents the boundaries of the system as a whole. Outcomes-based statutes like the RMA form the core of the system. Subsequent layers of statutes generally fill the gaps left by previous ones (represented by layers of crescent shapes), rather than overlap with them.

In the Phase 1 report we also canvassed the core institutions in the current system, in terms of the characteristics they have (eg central or local, independent or accountable),¹⁰ and the appropriateness of those characteristics for the roles they should play (eg to what extent independence is desirable in setting bottom lines).¹¹ Furthermore, we outlined the key planning instruments used in the system (and permits), and the relationships between them, both within statutes and across statutes.¹² For example, under the RMA a regional plan must give effect to a national policy statement (NPS), but there is a much weaker connection between an NPS under the RMA and the land transport programme under the Land Transport Management Act.¹³ Relationships across statutory boundaries tend to be relatively weak, unclear and complex even where strong coordination is required (eg between the RMA and infrastructure-related legislation to manage urban growth).¹⁴

The purpose of this chapter, then, is to draw all that theme-based analysis together to provide a more holistic bird's eye view of what we have now in terms of statutory frameworks. It provides a snapshot of the current system that can be compared to a snapshot of a future one.



KEY

Arrows indicate different relationships between elements of the system

➡ Red arrows: a strong direction (eg "give effect to", "directly insert" or equivalent)

➡ Blue arrows: a medium strength direction

➡ Green arrows: a weak direction (eg "have regard to", simple "input", or equivalent)

➡ Black arrows simply indicate the direction of a process without a particular normative instruction

Figure 4.3: A simplified outline of the RMA planning and consenting framework

provisions, including abatement notices, enforcement orders, and prosecutions.⁴³

There is the ability under the RMA for councils to transfer powers to iwi authorities, or for joint management agreements to provide for the shared exercise of powers

with Māori.⁴⁴ However, uptake has been patchy. Some Treaty settlement legislation requires joint management agreements to be entered into.⁴⁵

The RMA has been subject to many amendments over its lifetime, and has become significantly larger and more

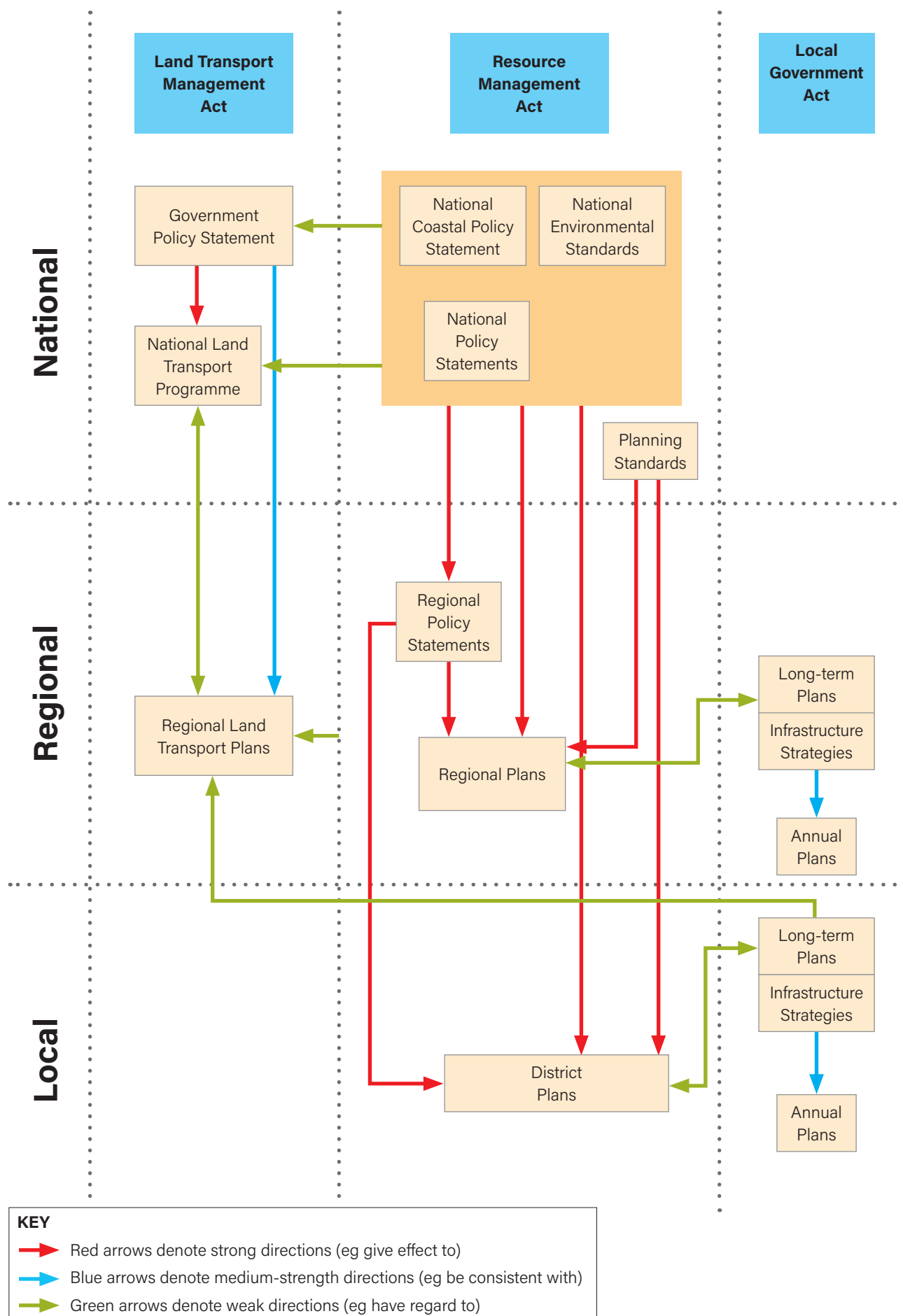


Figure 4.4: National, regional and local planning instruments under the Local Government Act, Land Transport Management Act and RMA.

central government has not chosen to exercise its powers to fill that gap through national direction.⁷⁵ The RMA itself goes further in the context of climate change adaptation,⁷⁶ although it still lacks national direction on the subject.⁷⁷ Alongside climate change legislation, New Zealand's commitments under the Montreal Protocol on substances that deplete the ozone layer are contained in the Ozone Layer Protection Act and regulations. That Act establishes broad controls for ozone-depleting substances.

As discussed further in Chapter 9, the Climate Change Response (Zero Carbon) Amendment Act has recently been enacted.⁷⁸ This strengthens the Climate Change Response Act considerably beyond being a framework for emissions trading. It endows the Act with a stronger purpose, a legislated set of targets, a carbon budgeting framework, and roles for a new and independent Climate Change Commission. There are to be national level plans for emissions reductions and adaptation.

4.8 Marine legislation and mining

The RMA encompasses the management of most natural and physical resources within New Zealand's coastal marine area. Regional councils are largely responsible for this, alongside roles for the Minister of Conservation.⁷⁹ But fisheries are managed separately to the RMA, partly for historical reasons and partly in recognition that allocative issues, and proactive stock management of fish as a renewable resource, require more targeted attention than under a laissez-faire environmental effects regime.⁸⁰ The Fisheries Act – a sectoral framework – therefore governs fisheries management throughout New Zealand's territorial sea and EEZ. There are property rights – quota – by which rights to take fish are recognised.⁸¹ Alongside the Fisheries Act is the Māori Fisheries Act 2004, which puts into effect a settlement with the Crown concerning Māori fisheries rights.

More generally, the Fisheries Act encourages utilisation (different from the RMA's effects-based ethos), while ensuring sustainability.⁸² The Minister of Fisheries is responsible for taking sustainability measures and for approving fisheries plans under the Act. Sustainability measures can include setting a total allowable catch, and implementing measures to manage the impacts of

fishing activities on fish stocks and the broader marine environment. Fisheries plans are not mandatory. Regional councils under the RMA are not allowed to regulate coastal wild fisheries takes or quota, although they retain a role in managing aquaculture (more directly relevant to the use of coastal space).⁸³ There is a tricky interface between what can be done under the RMA and what can be done under fisheries legislation to protect the natural environment.⁸⁴ That said, the Court of Appeal in a recent judgement has confirmed that a regional council may include provisions in its plans to protect or control indigenous marine biodiversity provided it does not stray into managing resources for Fisheries Act purposes.⁸⁵

Also relevant to the environmental management of the coast and oceans are aspects of the Biosecurity Act, the Maritime Transport Act 1994, various conservation statutes (explored further below), and the Marine and Coastal Area (Takutai Moana) Act. The latter Act restored a right for Māori to claim customary rights and title over parts of the common marine and coastal area.⁸⁶ As to be expected, there is a complex relationship between these rights and the RMA and plans made under it, including provision for additional permission rights to be granted by rights holders and for customary activities to occur.⁸⁷ Regional councils must consider whether RMA plans need to be changed to recognise and provide for plans concerning customary rights. But subject to existing private rights and the establishment of Māori interests, the Act makes clear that no one can own the foreshore and seabed.⁸⁸ The Act also safeguards access rights for all New Zealanders as well as fishing and navigation rights.⁸⁹

The RMA is complemented by a similar, but much simpler, framework for managing natural resources in the EEZ and continental shelf.⁹⁰ Decision-making here is much more centralised, with roles performed by central government and the EPA through regulations, national policy, and the issuing of permits.⁹¹ The Act has a generally comparable purpose to the RMA based on sustainability, but a number of novel features (including a much more directive purpose relating to marine pollution, and a firm statutory precautionary principle).⁹² This framework has proved controversial, especially in the wake of high profile applications for seabed mining being declined.⁹³



national interest”.¹⁰³ Status as a national park requires legislative change to remove.

There is also the Reserves Act, which provides a different kind of area-based protection for many different reasons (eg recreational use, wildlife, landscape amenity or scenic value; the preservation of representative natural ecosystems or landscapes and the survival of indigenous species; and the preservation of public access to the coastline, islands, lakeshore and riverbanks).¹⁰⁴ Reserves can be administered by many different bodies, depending on who is appointed or in whom the reserve land is vested (including the Department of Conservation, councils, or trustees). There are many different kinds: national, recreation, historic, scenic, nature, scientific, government purpose, and local purpose.¹⁰⁵ Reserves can be specified as wilderness areas under the Conservation Act, which has further implications for their management. Crown land can be set apart as a reserve for any public interest reason under the Land Act 1948.¹⁰⁶

Then there is the Wildlife Act, under which many wildlife species are absolutely protected and some partially protected. No one is allowed to kill or capture any bird or animal that is absolutely protected unless a permit is obtained.¹⁰⁷ Various types of areas can be recognised under the Act: wildlife refuges, sanctuaries (which may prohibit entry of the public), management reserves and districts.¹⁰⁸ The Act provides for management plans to be developed. Alongside these protections for fauna is an act focused on flora: the Native Plants Protection Act,¹⁰⁹ and wild animals are controlled (eg through hunting) under the Wild Animals Control Act 1977. Public access for recreation and enjoyment, one important (albeit not pre-eminent) consideration in conservation efforts, is facilitated through the Walking Access Act 2008. This seeks to open up access to the outdoors, including on private land.¹¹⁰

Some frameworks are focused more specifically on *marine* conservation. Notable are the Marine Reserves

Act and the Marine Mammals Protection Act. Some conservation statutes span both terrestrial and marine environments (eg the Wildlife Act). To add further complexity to the conservation regime, we have a range of bespoke statutes that set up distinct management and institutional frameworks for particular areas (eg for the Waitākere Ranges, Fiordland’s marine area, and the Hauraki Gulf).¹¹¹ Some acts, like the Queen Elizabeth II National Trust Act (which provides for, among other things, the imposition of open space covenants on properties and an advocacy role for the Trust), are not limited to a particular place but instead targeted at the roles of a particular institution or a specific kind of tool.¹¹² Others, like the Crown Pastoral Land Act 1988, have important conservation elements, but are focused mainly on particular kinds of Crown land and tenure types that also require management for other reasons (eg as a working and productive landscape).¹¹³ The process of tenure review (by which different parts of leasehold land are reduced to full public and private ownership, potentially with covenants and easements applied) has proved controversial, and is being phased out.¹¹⁴

Various Treaty settlement statutes complete the picture, some of which can be described as being focused on conservation (eg the Te Urewera Act 2014, which provides legal personhood and a bespoke co-management framework for a place that used to be a national park).¹¹⁵ Similarly, legislation for Te Awa Tupua/Whanganui River and Waikato River can be said to contain important conservation components.¹¹⁶

Overall, the regime has become complex and fragmented. Generally speaking, links between conservation legislation and the RMA are not strong, and there are effectively two layers of plans that apply on conservation land. In practice, RMA plans tend to reflect that reality, by zoning areas for “conservation”.



Figure 4.6: Legislation in the current system relating to “conservation”

4.12 Waste management

Waste management (in the sense of the disposal of unwanted material)¹²⁷ is the concern of a number of statutes and institutions in the current system. The RMA, for example, deals with pollution by prohibiting discharges of contaminants (including solid or liquid waste onto or into land) unless expressly allowed.¹²⁸ Aspects of this “pollution” control are overseen by regional councils (eg in relation to risks to waterways).¹²⁹

However, we also have a more targeted framework for waste *minimisation*. The Waste Minimisation Act seeks to protect the environment from harm and to provide environmental, social, economic and cultural benefits. It is a more proactive regime than the RMA, in that it tries to prevent waste issues from arising in the first place, rather than just dealing with the effects of things that can become waste when discarded. To do that, it allows for harmful “priority products” to be declared, and mandatory product stewardship schemes created (cradle to the grave management of the product).¹³⁰ Businesses can also be accredited in relation to voluntary schemes.¹³¹

Some products can be banned altogether (we have recently seen a ban on single-use plastic bags).¹³² The framework also allows for the development of incentives for waste reduction. For example, the government has recently signalled the introduction of measures like a deposit refund scheme.¹³³ Funding is another component of the framework; a waste disposal levy is imposed on disposal facilities (and is set to expand).¹³⁴ Half of this is received by territorial authorities and the other half made available to projects aiming to reduce waste through the Waste Minimisation Fund. The Act also creates a Waste Advisory Board to advise the Minister.¹³⁵ The legislation specifically outlines its relationship with the Local Government Act, given that waste management needs to be planned for under the latter’s long-term and annual plans.

Alongside this broad statute is the narrower Litter Act, which deals with one particular problem of waste disposal: littering. Among other things, it provides for enforcement officers and litter wardens who may issue fines and abatement notices for littering offences, allows councils to require the removal of litter, and provides for the making of bylaws.¹³⁶

4.13 Other sectoral frameworks

We have mentioned the Crown Minerals Act, Land Transport Management Act and Fisheries Act above, but there are other sector-focused frameworks in the current system. For example, there is the Forests Act, which is concerned with imposing restrictions on felling, processing and exporting indigenous timber,¹³⁷ and with aspects of climate change.¹³⁸ While they stray beyond the resource management system, aspects of the Electricity Act and Gas Act are also relevant to the provision of particular types of publicly important goods that are largely privatised.

4.14 Cross-cutting frameworks

Most of the statutory frameworks described above could be described as “implementation” statutes – they target particular outcomes, domains or sectors and impose restrictions and obligations on government and people. However, we also have a large number of statutes that are concerned with establishing more cross-cutting or framework-type features – eg creating institutions with multiple roles, producing cross-cutting strategies, and outlining general processes that feed into other statutes. We have mentioned Treaty settlement legislation in the context of protected areas (eg the Te Urewera Act), but such statutes can also alter how more general acts like the RMA apply.¹³⁹ A good example is settlement legislation relating to the Waikato River, on which we shone a spotlight in the Phase 1 report.¹⁴⁰

We also have a dedicated Environmental Reporting Act, which requires the government (the Ministry for the Environment and Stats NZ) to issue information on the state of the environment at a national level, including a rolling cycle of reporting on particular domains (eg the atmosphere and climate, air, freshwater, land, and marine).¹⁴¹ The Environmental Protection Authority Act establishes the EPA as a Crown entity (with a fairly loose mandate), although it is given particular roles mainly under other acts (eg the RMA, EEZ Act, Climate Change Response Act and hazardous substances legislation).¹⁴² Some cross-cutting institutions (like the Environment Court, Department of Conservation and Conservation Authority) are established/continued under legislation where they have their primary or initial role (eg the RMA and Conservation Act),¹⁴³ not in bespoke legislation. However, both the Parliamentary Commissioner for the Environment and the Ministry for the Environment are established under a statute (the Environment Act) where that act of creation (and associated mandate) is the Act’s primary purpose.¹⁴⁴ It is fairly unusual for a ministry to be established formally in legislation.

The Parliamentary Commissioner is a particularly significant framework feature of the system. This officer of Parliament has a wide but firmly protective mandate, and is charged with conducting investigations and reviews on environmental issues.¹⁴⁵ It is strongly independent, and reports directly to Parliament. There is also a targeted statute for energy efficiency and conservation.¹⁴⁶ This establishes an arm’s-length Energy Efficiency and Conservation Authority, and provides for strategies to be created which must be had regard to when making plans under other statutory frameworks (including the RMA and Land Transport Management Act).¹⁴⁷

Finally, the system contains a number of non-statutory measures, including the management of various government funds (eg the Housing Infrastructure Fund, Freshwater Improvement Fund)¹⁴⁸ and initiatives (eg the One Billion Trees programme; a “wellbeing framework” for the government budgeting process; and cooperative arrangements with local government, Māori and others – like the Auckland Transport Alignment Project,

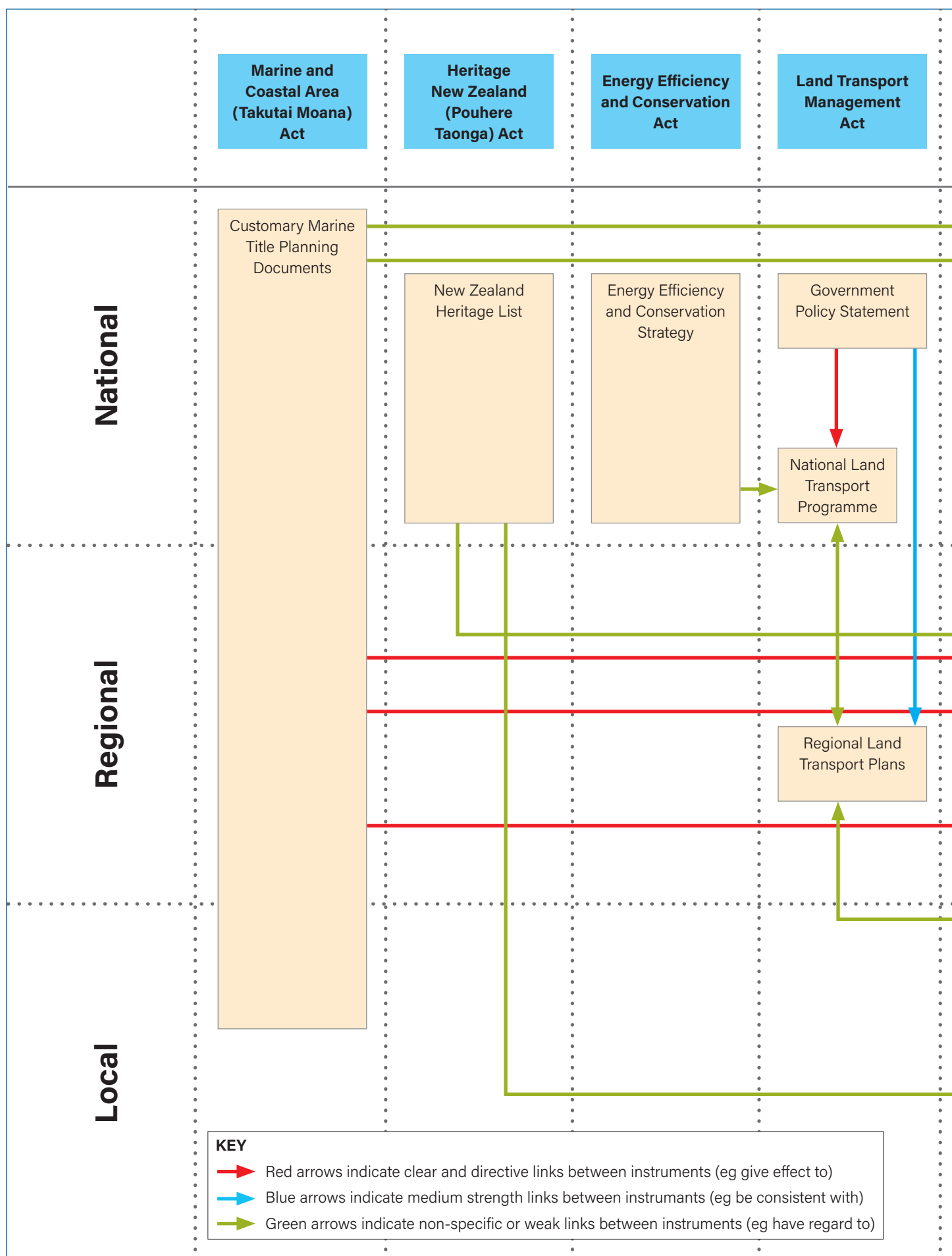


Figure 4.7: A simplified representation of the current system, based on key statutory frameworks

4.15 Problems with the current system

Having described the features of the current system, it is worth briefly thinking about what is wrong with it. Fixing problems is not the entire basis for a reformed system. It is equally about what as a nation we want the system to look like, the need to have laws that are fit for purpose for a future that will look very different,¹⁵⁰ and the desire to have a system that is sensitive to a uniquely New Zealand cultural and historical context.¹⁵¹ Central to that is the contested relationship between Māori and the Crown, which forms an important backdrop to reform.¹⁵² Yet problems – poor outcomes that are manifesting now – also need to be addressed.

We outlined a number of problems and challenges in the Phase 1 report.¹⁵³ We will not repeat those in full here. Suffice it to say that, despite some areas of improvement,¹⁵⁴ overall a concerning number of environmental indicators are poor and continuing to decline (notably in relation to biodiversity, freshwater, soil, coastal and marine areas, and climate change).¹⁵⁵ More recent results of national environmental reporting over the last year have told a similar story.¹⁵⁶ New Zealand is among the highest emitters of greenhouse gases per dollar of GDP;¹⁵⁷ nearly three-quarters of native forests have been cleared; nearly 4,000 native species are threatened or at risk of extinction; almost one-third of our waterways are not swimmable.¹⁵⁸ Environmental issues arise in both urban and rural areas, and substantial and largely unchecked expansion and intensification of agricultural activity has had a large impact on rural water quality in the last two decades.¹⁵⁹ Problems also exist with monitoring, compliance and enforcement across the board.¹⁶⁰

Urban-specific challenges are becoming increasingly prominent too (eg housing affordability, homelessness, urban congestion, resistance to densification, climate risks, and the need for major infrastructure upgrades for things like water supply and treatment).¹⁶¹ Significant challenges have been driven by population growth, especially in urban areas.¹⁶² Many have complained that the RMA is unresponsive to such growth, preventing expansion outwards (eg through urban limits) and through densification (because of nimbyism), while others have highlighted that, even where growth is allowed, infrastructure funding and financing arrangements can prevent residential land actually being developed in practice (a new subdivision is useless without running water). Some have expressed disappointment with economic and productivity outcomes more broadly, too.¹⁶³ The increasing scarcity of natural resources in parts of the country, including freshwater, has put pressure not just on environmental limits but also raised questions of fairness over resource allocation.¹⁶⁴

Across all of this, the system has become increasingly complex and fragmented, and inaccessible to users. That will be obvious from the description provided earlier in this chapter, but is equally true of specific statutes within it (like the RMA). Former Chief Justice Sian Elias put it well when she said that the RMA is “meant to engage communities, not alienate them” and bemoaned the

“impenetrability” of the Act.¹⁶⁵ Multiple carve-outs exist,¹⁶⁶ some frameworks pull in different directions,¹⁶⁷ and there has been a proliferation of alternative processes.¹⁶⁸ Māori voices are saying that they feel excluded or marginalised from decision-making processes and that the system does not reflect Treaty principles.¹⁶⁹ The government’s resource management system review panel has pointed out, for example, that “much remains to be done to ensure that the principle of partnership inherent in the Treaty moves towards an everyday reality.”¹⁷⁰ When considered against criteria, in our view all of these are significant deficiencies in the current system that need to be addressed.

We also identified in previous work that problems can be of a very different character. “Systemic” challenges, for example, exist because the system was not really designed to do some things it should have been required to do (eg resolve allocative questions, coordinate tools needed to support urban growth, or provide for environmental enhancement under the RMA).¹⁷¹ Part of these deficiencies may be down to the market-led ethos of the era in which much of the system was put in place.¹⁷² “Coherence” challenges are different: they exist because of ad hoc changes that have, over time, resulted in an excessively complicated and fragmented system (eg carve-outs for special housing areas and a proliferation of distinct planning processes under the RMA).¹⁷³

Some challenges are not problems per se, but reflect inherent tensions that will never be resolved or “fixed” to the satisfaction of all parties (eg the tension between participation, efficiency and timeliness of decision-making).¹⁷⁴ These can *become* problems, however, if the balance is skewed too far in one direction. In our view, for example, there is a need for more timely decision-making in RMA planning even if it means limiting opportunities for public involvement in some ways. But perhaps the most significant problem is that the system has failed to achieve what it was always clearly meant to: notably in its establishment and defence of many environmental bottom lines and associated limits on human activities. Some of these problems are nearing crisis point.¹⁷⁵

The current system has a great many problems and challenges. Some are gaps to be filled, some are tensions to be recalibrated, and others are broken promises to be fixed. There is also a great deal of complexity in the system.

We have broadly defined the resource management “system”, but it is not easy to define an associated set of peculiarly resource management “problems”. Problems often defy such neat categorisation because their causes (and their solutions) can come from multiple places. This is important, because it shapes our expectations of exactly what things reforms will be expected to “fix”.

It is often more appropriate to talk not about resource management problems, but rather the extent to which the resource management system – a particular collection of public interventions – can address more general problems. These problems can arise from, and can cut across, many other systems.¹⁷⁶ For example, the problem of obesity is not a “resource management” problem; it is a general problem

terms of reference to investigate the future of the resource management system.¹⁸⁹ However, the focus of the terms of reference as it stands is on the RMA and its connections to other legislation, rather than the broader system defined in this project.¹⁹⁰ Our work is intended to feed into that process to the extent it falls within its scope.

There is an active reform programme being pursued by the current government. Wider system reform will need to be cognisant of such measures. Of particular importance is the government's establishment of an independent review group to rethink the resource management system as a whole.

Kāinga Ora – Homes and Communities (an urban development authority proposal)¹⁹¹

Three waters review (not only how we regulate the supply of drinking water and the disposal of stormwater and wastewater, but also how we deliver those services)¹⁹²

A short-term amendment bill to the RMA (focusing on a bespoke freshwater planning process, greater enforcement role for the EPA, and the repeal of several previous RMA amendments)¹⁹³

A review of the Building Act

A review of the state sector, and a new Public Services Act (among other things, to encourage cooperative working arrangements within the public service)¹⁹⁴

The Essential Freshwater Programme (including a proposal for NESs for Freshwater and for Ecological Flows, and a new NPS for Freshwater Management, under the RMA)¹⁹⁵

A proposed NES for Marine Aquaculture

A review of the NES on Plantation Forestry under the RMA¹⁹⁶

The development of an NPS for Urban Development (to replace and expand on the NPS on Urban Development Capacity)¹⁹⁷

Development of a (non-statutory) forestry strategy, and rollout of the One Billion Trees programme¹⁹⁸

Development of an NPS concerned with the protection of highly productive land¹⁹⁹

Implementation of the Climate Change Response (Zero Carbon) Amendment Act 2019,²⁰⁰ including the development of subordinate instruments under it (eg adaptation and emissions reduction plan)

An amendment bill to the Climate Change Response Act, concerning (among other things) a backstop provision for the entry of biological emissions into the emissions trading scheme²⁰¹

A refresh of New Zealand's Biodiversity Strategy²⁰²

The development of an NPS on indigenous biodiversity under the RMA (following a report and draft NPS produced by the Biodiversity Collaborative Group)²⁰³

Spatial planning work under the urban growth agenda²⁰⁴

Work exploring New Zealand's heritage protection system

A Productivity Commission inquiry into local government funding²⁰⁵

Review of the biosecurity framework

Ongoing work to consider or implement the environmental aspects of the Tax Working Group's recommendations²⁰⁶

Figure 4.8: Resource management reform measures and instruments currently being pursued

ENDNOTES

- 1 For example, in the Phase 1 work we looked at different statutes' approaches to public participation, and provided a brief history of the current system. See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 3.2; G Severinsen and R Peart *Reform of the resource management system: The next generation – Working paper 2* (EDS, 2018), appendix 3.
- 2 This will not be exhaustive as a problem definition, and there would be merit in future work unpicking this further. We will be focusing on big picture problems (eg a failure to achieve environmental bottom lines) that need to be addressed in changes to resource management frameworks.
- 3 Again, this is not to say that we have approached our analysis by looking at the statutes we have and how we could change them. Our thinking has been more systemic and cross-cutting than that.
- 4 D Young *Values as law: The history and efficacy of the Resource Management Act* (Victoria University of Wellington Institute of Policy Studies, 2001); G Palmer "The Resource Management Act – how we got it and what changes are being made to it" (2014) RM Theory & Practice 22. See also the historical account of Catherine Knight in *Beyond Manapouri: 50 years of environmental politics in New Zealand* (Canterbury University Press, 2018).
- 5 Which was a deliberate choice by the framers of such statutes.
- 6 Some sectors are managed within broad institutionally focused legislation (eg water services under the Local Government Act), while some narrower institutional arrangements are subsumed within sectoral legislation.
- 7 See Chapter 7 on the reasons we may wish to integrate allocative frameworks with protective frameworks or keep them separate.
- 8 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 136; *Attorney-General v The Trustees of the Motiti Rohe Moana Trust & Ors* [2019] NZCA 532.
- 9 There are numerous other examples, including the boundaries between the Wild Animal Control Act, Biosecurity Act, Local Government Act, and RMA in the context of biodiversity (see *Report of the Biodiversity Collaborative Group* (2018)).
- 10 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 164-173.
- 11 *Ibid* at 174-193.
- 12 See *ibid*, Fig 14.3 at 280-281 for brief descriptions of relationships between instruments, and Fig 14.5 (*ibid* at 285) for a description of relationships between permits.
- 13 *Ibid* at 277.
- 14 *Ibid* at 280-281 (Fig 14.3).
- 15 *Ibid* at 39-40.
- 16 Resource Management Act 1991, s 5.
- 17 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 97; *Environmental Defence Society Inc v The New Zealand King Salmon Co Ltd* [2014] NZSC 38, [2014] 1 NZLR 593. See also *Report of the Minister for the Environment's Resource Management Act 1991 Principles Technical Advisory Group* (2012).
- 18 Especially in the context of urban planning and allocation of resources. Triggers for urban planning are weak in Part 2 of the Act, relying on things like the efficient use of land as a resource, the improvement of a widely defined "environment", and amenity effects.
- 19 Sections 9, 11, 12, 13, 14, 15, 15A and 15B of the RMA impose restrictions on the use of land, subdivision, the use of the coastal marine area, the use of lake and river beds, the use of water, and the discharge of contaminants into the environment.
- 20 In accordance with their property rights, of course.
- 21 Section 9.
- 22 See section 7 of the Act, in relation to environmental enhancement.
- 23 For example, there are issues with imposing green taxes, which require clear statutory authorisation: see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 13.
- 24 See New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015). See also G Severinsen "Glass half empty or glass half full? Adverse effects, positive effects and conditions under the Resource Management Act 1991 and Resource Legislation Amendment Bill 2015" (2016) 11(9) BRMB 110. For example, the RMA requires consent conditions to be linked to adverse effects (s 108AA), as does the EEZ Act (s 63(1)).
- 25 See *Report of the Environmental Defence Society Technical Advisory Group on the review of sections 6 and 7 of the Resource Management Act 1991* (April 2012); Ministry for the Environment *Building competitive cities: reform of the urban and infrastructure planning system* (2010).
- 26 See New Zealand Productivity Commission *Better urban planning* (2017); Ministry for the Environment *Building competitive cities: reform of the urban and infrastructure planning system* (2010).
- 27 See <www.mfe.govt.nz/rma/rma-legislative-tools>
- 28 *Environmental Defence Society Inc v The New Zealand King Salmon Co Ltd* [2014] NZSC 38, [2014] 1 NZLR 593.
- 29 Resource Management Act 1991, s 30. Regional councils also regulate land use for particular reasons.
- 30 Resource Management Act 1991, s 31.
- 31 Note, however, the proposal to replace this process with a more directive one related only to freshwater: see Resource Management Amendment Bill 2019.
- 32 Local Government (Auckland Transitional Provisions) Act 2010; Canterbury Earthquake (Christchurch Replacement District Plan) Order 2014.
- 33 Resource Management Act 1991, ss 58B-58J.
- 34 The Act classifies activities into six primary categories: permitted, controlled, restricted discretionary, discretionary, non-complying and prohibited.
- 35 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 10.
- 36 For example, councils are heavily restricted from considering impacts of activities on climate change. Controlled or restricted discretionary activity status can also constrain the matters that can be considered by a consent authority.
- 37 Resource Management Act 1991, pt 6AA.
- 38 *Ibid*, pt 7 and 7A; s 31(1)(fa).
- 39 *Fleetwing Farms Limited v Marlborough District Council* [1997] 3 NZLR 257 (CA).
- 40 Often for significant infrastructure having public importance (eg networks like transmission lines, prisons, schools etc).
- 41 Resource Management Act 1991, pt 8.
- 42 *Ibid*, pt 9.
- 43 *Ibid*, pt 12.
- 44 For example, that established between Taupō District Council and the Tūwharetoa Māori Trust Board on 17 January 2009. This agreement provides for publicly notified resource consents and private plan change applications, in relation to multiply owned Māori land within the rohe of Ngāti Tūwharetoa and within the Taupō district, to be decided by a panel of decision makers comprising two commissioners chosen by each party and a jointly appointed fifth commissioner and chairman.
- 45 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 9.
- 46 Resource Management Amendment Bill 2019.
- 47 Local Government Act 2002, s 10.
- 48 *Ibid*, ss 93-97.
- 49 *Ibid*, pt 7.
- 50 A previous obligation to have particular regard to core services (eg network infrastructure) has recently been repealed, reflecting a return to the idea of local government being about broader wellbeing, not just about infrastructure provision.
- 51 See <www.dia.govt.nz/Three-Waters-Review>
- 52 Local Government Act 2002, pt 5.
- 53 See Wellington Water "Our story" <www.wellingtonwater.co.nz>
- 54 For example, the Smart Growth initiative in the Bay of Plenty and Urban Development Strategy in greater Christchurch: Greater Christchurch Partnership "Urban Development Strategy" <www.greaterchristchurch.org.nz>; SmartGrowth <www.smartgrowth.org.nz>
- 55 For example, the Christchurch Urban Development Strategy (including an urban boundary) needed to be translated into the Canterbury Regional Policy Statement through extensive litigation under the RMA.
- 56 Land Transport Management Act 2003, s 95(1)(c).
- 57 *Ibid*, s 10.
- 58 *Ibid*, ss 66-91.
- 59 *Ibid*, s 105.
- 60 *Ibid*, s 13.
- 61 *Ibid*, ss 13-18H. Regional councils also adopt regional public transport plans: see *ibid*, ss 117-129.
- 62 *Ibid*, s 14(c)(iii).
- 63 See Soil Conservation and Rivers Control Act 1941; Land Drainage Act 1908.
- 64 See <www.hud.govt.nz/urban-development/kainga-ora-homes-and-communities/related-documents/>; Kāinga Ora–Homes and Communities Act 2019.
- 65 Local Government (Auckland Transitional Provisions) Act 2010; Local Government (Auckland Council) Act 2009.
- 66 Building Act 2004, s 3.
- 67 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 151.
- 68 Resource Management Act 1991, pt 8.
- 69 *Ibid*, ss 72-77.

of the 2017/2018 compliance monitoring and enforcement metrics for the regional sector (The Catalyst Group, 2018).

- 161 Beca *Cost estimates for upgrading water treatment plants to meet potential changes to the New Zealand drinking water standards* (2018); GHD and Boffa Miskell *Cost estimates for upgrading wastewater treatment plants to meet objectives of the NPS Freshwater final report* (September 2018).
- 162 Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 11.
- 163 Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) from 9.
- 164 See New Zealand Government *Essential freshwater: Healthy water, fairly allocated* (2018) at 14.
- 165 S Elias *Righting environmental justice* (address to the Resource Management Law Association, 25 July 2013) at 2. Compare TM Lenihan and J Bartley *Review of Māori planning futures: Review of the Productivity Commission's "Better urban planning" draft report* (Nga Aho and Papa Pounamu, 2016) at 36.
- 166 For example, in the use of special housing areas under bespoke legislation (altering the application of Part 2 of the RMA), and in the removal of local government consideration of climate change mitigation.
- 167 For example, the idea of a development-oriented Government Policy Statement on Housing and Urban Development could jar with protective instruments under the RMA.
- 168 For example, in the streamlined and collaborative processes available as alternatives to the normal planning process.
- 169 See R Joseph "The Treaty, tikanga Māori, ecosystem-based management, the RMA and power sharing for environmental integrity in Aotearoa New Zealand – possible ways forward" in G Severinsen and R Peart *Reform of the resource management system: The next generation – Working paper 3* (EDS, 2018).
- 170 Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 4.
- 171 For example, there is very little guidance in the Act about how to allocate resources like freshwater.
- 172 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 3.2.
- 173 See S Berry and H Andrews "The final straw for the RMA? Some shortcomings of the Resource Legislation Amendment Bill 2015" (2016) *Resource Management Journal* 1; S Berry S, H Andrews and J Vella "The death of the RMA by a thousand cuts: The next two incisions" (2017) *Resource Management Journal* 3.
- 174 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 10.
- 175 See Ministry for the Environment and Statistics New Zealand *New Zealand's environmental reporting series: Environment Aotearoa 2019* (2019).
- 176 Or that arise outside any formal system; for instance, where human behaviour or natural systems create outcomes that are undesirable and require intervention.
- 177 See New Zealand Productivity Commission *Better urban planning* (2017); Ministry for the Environment *Building competitive cities: Reform of the urban and infrastructure planning system* (2010).
- 178 See T Hazledine "Economics and the resource management system" in G Severinsen and R Peart *Reform of the resource management system: The next generation – Working paper 3* (EDS, 2018) at 158.
- 179 Which the market might not ordinarily be incentivised to provide.
- 180 Compare Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 6.

- 181 Again, "solving" problems here means reflecting a better *balance* of outcomes, not pleasing everyone (or solving one problem while creating a worse one). Conceivably, that may mean in some cases that housing would be less affordable than it would if the resource management system did not exist.
- 182 See G Palmer "Law-making in New Zealand: Is there a better way?" (2014) 22 *Wai L Rev*.
- 183 This has occurred in some overseas jurisdictions.
- 184 It may be beyond its capacity to fix, or it may be required to pursue other outcomes more vigorously and leave it to other systems to mitigate impacts.
- 185 Reflected in the proposed NPS on Highly Productive Land.
- 186 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 3.5.
- 187 A specifically Māori economy is thought to currently be around \$50 billion. See Chapman Tripp *Te Ao Māori: Trends and insights* (June 2017) <www.chapmantripp.com>; Treasury *He tirohanga mokopuna: 2016 statement in the long-term fiscal position, New Zealand* (2016).
- 188 See G Palmer "Law-making in New Zealand: Is there a better way?" (2014) 22 *Wai L Rev*; S Berry and H Andrews "The final straw for the RMA? Some shortcomings of the Resource Legislation Amendment Bill 2015" (2016) *Resource Management Journal* 1; S Berry S, H Andrews and J Vella "The death of the RMA by a thousand cuts: The next two incisions" (2017) *Resource Management Journal* 3.
- 189 See <www.mfe.govt.nz/rma/improving-our-resource-management-system>
- 190 The group has released an Issues and Options paper: Resource Management Review Panel *Transforming the resource management system: Opportunities for change – issues and options paper* (2019).
- 191 The entity itself has been established under the Kāinga Ora – Homes and Communities Act 2019, and further legislation is anticipated later in the year to give development powers to it.
- 192 See <www.dia.govt.nz/Three-Waters-Review>
- 193 Resource Management Amendment Bill 2019.
- 194 <<https://ssc.govt.nz/resources/changes-state-sector-act-1988/>>
- 195 New Zealand Government *Essential freshwater: Healthy water, fairly allocated* (2018); New Zealand Government *Action for healthy waterways* (2019).
- 196 <www.mfe.govt.nz/land/land-acts-and-regulations/national-environmental-standards-plantation-forestry/about-standards>
- 197 New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* (2019).
- 198 <www.mpi.govt.nz/funding-and-programmes/forestry/one-billion-trees-programme/about-the-one-billion-trees-programme>
- 199 New Zealand government *Valuing highly productive land: A discussion document on a proposed national policy statement for highly productive land* (2019).
- 200 Climate Change Response (Zero Carbon) Amendment Act 2019.
- 201 Climate Change Response (Emissions Trading Reform) Amendment Bill 2019.
- 202 Department of Conservation *Te Kōihoa o Te Kōihoa: Our shared vision for living with nature* (2019).
- 203 A discussion document on a proposed NPS has, at the time of writing, recently been released. See <www.mfe.govt.nz/more/biodiversity/upcoming-government-biodiversity-initiatives/developing-national-policy-statement>
- 204 <www.hud.govt.nz/urban-development/urban-growth-agenda/>
- 205 <www.productivity.govt.nz/inquiries/local-government-funding-and-financing/>. At the time of writing, the Commission has released a draft report and is in the process of completing a final report.
- 206 <www.beehive.govt.nz/release/govt-responds-tax-working-group-report>

In light of the disruption that a fundamentally new approach to legislative design could create, we think that it is at least worth thinking about whether the outcomes we are seeking could be delivered by building on the basic framework we already have. We need to be cautious about getting rid of something simply out of frustration at some of its features, just as we need to be cautious about retaining something just because we are wary of change. In other words, it may be possible for the RMA to change considerably while still retaining its basic integrity as an integrative, outcomes-based statute at the heart of our system.

Some have suggested throwing the RMA away and starting again. Others have said we should keep it and focus on “implementation”. We see merit in exploring the middle ground – where we build on the RMA to make meaningful legislative change. We should not treat this as another round of tinkering, however.

5.2 Should we split the RMA?

Let us consider the question of splitting the RMA more specifically, not just whether we chuck the Act in the bin. Should the RMA continue to do the very wide range of things it does (or is meant) to do? There are, after all, many conflicts and gaps in it.⁹

In the Phase 1 report, we looked at principles of legislative design,¹⁰ and investigated various options for splitting the RMA by looking through different lenses.¹¹ One option was for “bottom line” outcomes to be established and defended in one act (eg freshwater quality limits), and for the facilitation of trade-offs to occur in another (one might think of urban amenity concerns). That would reflect the idea that balancing equally weighted considerations does not belong in a truly protection-focused act, which must be uncompromising.¹² While it makes some conceptual sense, this kind of hard split is not an immediately attractive option because of the complexity it would create. There would be a need for complicated links to be made between different statutes dealing with the same ecosystems and the same resources, where the distinctions between bottom lines and balance would not always be obvious (and may shift with time). Instead, as explored later in this chapter, we think the RMA itself needs to be much firmer about the distinction between bottom lines and trade-offs.

Nor do we recommend redesigning our legislation along completely sectoral or spatial lines (eg one act for agriculture and one for forestry, or one for cities and one for the countryside). Similarly, although we already have a domain-based split for climate change (which is largely carved out from the RMA),¹³ we think returning to separate statutes for domains like freshwater, land, air and so forth would be a retrograde step.

A different way of splitting, however, which has received a lot of traction in recent times, is to have separate statutes dealing with environmental protection on one hand, and “planning” on the other.¹⁴ This idea is summarised below.

A spotlight on a Planning Act

Infrastructure New Zealand and others have proposed a radical rethinking of what resource management legislation could look like in the future.¹⁵ There would be a separate “Development Act” alongside a specific statute designed to protect the biophysical environment: an “Environment Act” (not to be confused with the existing Environment Act). Three core statutes – the RMA, Local Government Act and Land Transport Management Act (and potentially others)¹⁶ – would be rearranged along different lines to morph into these two new acts. The Development Act would be concerned with “planning”, and might alternatively be called a Planning Act.¹⁷ The Environment Act would be concerned with environmental sustainability.

There would be a cascade of plans created under a Development/Planning Act at a national and regional level¹⁸ (including regional unitary plans, regional spatial plans, long-term plans, various targeted investment plans, infrastructure strategies, asset management plans and transport plans), which would be subject to national and regional environmental policies and regulations made under an Environment Act. We summarised how that would look in the “Model 2” option floated in the Phase 1 report.¹⁹

Such a proposal is designed to address a wide range of very real and legitimate issues. In particular, it would address the fact that the:²⁰

existing planning framework (the Land Transport Management Act, Local Government Act and RMA), requires separate plans without strong linkages between them. Where linkages do exist, these have different weightings and are often inconsistent between the statutes.

This results in a “complex maze of approvals” and a situation where there is “a lack of common purposes and goals across the planning framework and the hierarchy between the ... plans is unclear”.²¹ There is also temporal misalignment to be fixed – plans under the different acts are made according to different timeframes and processes. The overall thrust is that land use and infrastructure planning and funding are not well aligned, and that this leads to confusion, complexity, and a lack of timely outcomes, particularly in fast-growing urban areas. Misalignment has serious implications for the availability of developable land, which in turn affects housing affordability.

There is a lot to be said for having this kind of split, as long as planning/development legislation were firmly subordinate to “natural environment” legislation (in other words, “the Environment Act would put the environment first”).²² Indeed, we have heard from some environmentalists, not just the development community, that such a strict separation could be a very good thing. It could help to enshrine a hierarchy (one act trumps another) under clear and distinct environmental principles. It therefore avoids the balancing approach that has

infrastructure legislation] is desirable in a future system. Connections can [instead] be made through aligning planning processes under each. Some may, however, see the connection between infrastructure planning and land use as more significant. That could see the integration of the infrastructure and land use components of the ... acts within a single statute (such as a Planning or Development Act).

Intuitively, splitting the RMA sounds like a good idea. The natural environment would get its own act, with firm purpose, principles and restrictions, to which a separate Planning/Development Act would be subservient. And the latter would then be free to extol the virtues of development and focus on getting it done in a timely and integrated way. That is also important, alongside environmental protection, for human wellbeing. But what exactly do we mean by the natural environment? Is it just about preventing “pollution” or maintaining the quality of common pool resources like water and air? And is the control of land use distinct enough from the rest of the environment to warrant a separate act? That is largely how things are still done overseas, but in the RMA have we moved on from all of this?

Building on our conceptual analysis of legislative design in the Phase 1 report, there seem to be four key grounds on which we might want land use controls to be put into a separate act from other aspects of resource management. We address each below.

1. To better align decision-making on land use with associated planning and funding of infrastructure

This is a legitimate concern, especially in the context of urban growth, and we have touched on it above. However, we also note that there are other ways to align statutory frameworks without integrating them into one act (eg aligning decision-making processes, and engaging in higher level spatial planning – which would also have many farther reaching benefits). We also see potential, in the longer-term, for separate infrastructure planning and funding components to be integrated more closely, in a single “Local Government and Infrastructure Act”. These measures are discussed in Chapters 8 and 10.

2. The kinds of tools used under each framework are fundamentally different

The purpose and principles of the RMA are broad enough already to encompass the minimisation of waste, construction standards, climate change mitigation, pest management, hazardous substances and genetically modified organisms (among other things). But these don’t generally happen there;³⁶ they have more targeted frameworks, largely because they provide for a very different architecture of decision-making from the planning and consenting framework of the RMA.³⁷ However, we are not convinced that this is a reason to separate land use controls from controls relating to other aspects of the environment. The RMA planning and consenting framework already comfortably encompasses the core kinds of tools

needed for managing land use. It is not clear that fundamentally different kinds of mechanisms would be used under a Planning Act than, for example, those contained in a district plan (zoning, rules, performance standards, policies and objectives, resource consents, designations etc).³⁸

3. To provide for a different or faster process for decision-making concerning land use

There has been much debate in recent years about the need to make land use planning faster. The RMA has proved too slow to deliver timely outcomes. The most tangible examples of responses to this issue have been in the bespoke planning process by which the multiple plans in the Auckland region were combined into a single unitary plan (although this was not limited to land use or, indeed, to the urban context),³⁹ and the introduction of a streamlined planning process in the RMA.⁴⁰ Special housing areas were introduced in 2013 to partially override the RMA, and (as discussed in Chapter 10), there is now a proposal for an urban development authority to do so in a much more comprehensive manner.⁴¹

However, we do not consider this need for speed to be an issue unique to urban planning or land use, or a reason to split its management into another act. Equally pressing is the need to ensure planning for other aspects of the environment – notably freshwater and climate change – are progressed in a much faster way.⁴² In fact, plan agility is a concern across the board and our criteria reflect this. As such, we are proposing a revised planning process, the development of new tools, and stronger support for the implementation of national direction (see Chapters 6 and 7).

4. To provide for a different purpose and principles under which land use decisions are made

In our view, this comes to the crux of the debate. A key reason to separate statutes is because different acts are directed by different purposes and principles.⁴³ We do not, for example, provide for the funding and construction of roads under the RMA, because that is not the point of that act (sustainable management does not demand the construction of roads, only that their construction is done in a way that does not unduly harm the environment). Clarity of purpose is important when it comes to defending the environment from harm, as we have seen from a turbulent history of interpreting Part 2 of the Act.⁴⁴ For that reason, we do not suggest that we integrate all acts – including those concerned with infrastructure development and funding – into one “super-RMA”, just as we should not integrate laws promoting mining into conservation legislation.

So where does land use fit in this legislative puzzle? Rather than land per se, some have suggested that the “built” environment should be subject to different decision-making principles to the “natural” environment *within* the RMA (a soft split, if you will).⁴⁵ As discussed in the Phase 1 report, we are certainly sympathetic to the

5.4 An Oceans Act

Finally, we note in the context of splitting the RMA that we are floating the idea of a separate “Oceans Act” (see Chapter 11). This would not be a split between domains (eg land vs other domains) in the same way as the concept of a Planning Act, but rather a spatial separation (applying beyond 3 nautical miles) in a conceptually similar way that the RMA is currently separated from the EEZ Act. An Oceans Act would provide for the more tightly integrated management of the deep sea, by integrating various other legislation relevant to oceans in one place.⁵³ An integrated RMA would continue to apply to the coastal area within 3 nautical miles.

We are floating the idea of a separate Oceans Act managing the marine area on the seaward side of a boundary 3 nautical miles from land, which is discussed in Chapter 11.

5.5 Significant change to the RMA: Why is it needed?

Although we recommend keeping the RMA broadly intact, we see merit in some fairly significant legislative, institutional and process changes to it. In particular, change to the RMA is needed to protect biophysical bottom lines, to more actively recognise and pursue positive outcomes above bottom lines (including environmental enhancement and urban development), to implement the Treaty relationship, and to provide for allocative functions. In the remainder of this chapter, we consider changes to the purpose and principles of the Act. In the chapters that follow, we consider changes to planning processes (and related reforms) at both national and local levels.

Of overriding importance is the fact that the current RMA has failed to protect many biophysical bottom lines that it was meant to.⁵⁴ This is a serious problem. A new RMA must, and will, do so better, even though it will not be the *only* framework under which bottom lines are imposed.⁵⁵ In the Phase 1 report we looked at the question of what a biophysical “bottom line” means.⁵⁶ Not all environmental protections warrant this term. Instead, we are treating bottom lines as those aspects of the biophysical world that are sacrosanct, and are described in terms of inflexible outcomes rather than trade-offs. Many are fundamental to human survival and basic wellbeing (eg a drinking water supply that does not make anyone sick, or rivers that are swimmable), while others recognise the intrinsic worth of elements of the natural world (eg preserving the wild and scenic nature of some rivers).⁵⁷ Often these things go together (eg the moral right of nature as a whole to persist and regenerate, by which it also supports human life and wellbeing). Some bottom lines may express general outcomes, but others may be more specific (eg no further loss of wetlands or no further loss of indigenous forest cover).

Bottom lines (statements of outcomes) also need to be translated into firm limits or restrictions on what people are or are not allowed to do. They need to “bite” in a regulatory sense.⁵⁸ For example, to achieve waterways that are swimmable, firm restrictions are needed on diffuse discharges from both urban and rural activities. Specific regulatory limits may need to change over time (eg become tighter) in order to make sure bottom line outcomes are not infringed or (where they have been overshot already) are recovered, but the overall goalposts should not be anticipated to shift according to changing government policy. They are about preventing or fixing a clearly defined outcome, not weighing up various matters or mitigating harm.

Environmental bottom lines are outcomes-based lines in the sand that need to be defended strictly and vigorously against erosion by cumulative human actions. They are not just about preventing harm; in some cases securing bottom lines is about enhancing the environment to an acceptable state. They need to be translated into firm regulatory restrictions on human action.

In workshops, we heard some people object to the very concept of a “bottom line”. It was described as unambitious and as setting a low bar when what we need is a more aspirational, proactive push towards enhancement and restoration. Let us be clear: in no way are we advocating for a system that *only* imposes bottom lines. We also see a pressing need to improve environmental outcomes considerably, and to align incentives so that economic and social drivers actually enhance the environment.⁵⁹

However, we still see a bottom line as a valuable concept. If we do not set a firm threshold between the outcomes that are absolutely unacceptable and those that we are wanting to push towards (improvement), it raises risks that the two get blurred in decision-making, to the detriment of bottom lines. That has been the experience under the RMA, because the distinction between bottom lines and trade-offs has been conflated in interpreting Part 2 of the Act.⁶⁰ Bottom lines are a necessary safety net, not a goal.

The concept of an environmental bottom line is not enough for environmental wellbeing. However, it is a valuable and necessary measure in a future system.

5.6 What’s wrong with Part 2 of the RMA?

With the necessity of bottom lines in mind, we can turn to what specifically needs to change about the RMA. This will not *just* be about recognising environmental bottom lines. The Act is also deficient when it comes to urban issues and allocative questions, as well as Treaty obligations. Part 2 – the RMA’s purpose and principles – has been described as the normative “engine room” of the

A spotlight on the protection of “common” species⁷⁶

The resource management system has long placed emphasis on threatened species management, as a logical response to the large number of species threatened with extinction, and in order to retain the greatest diversity of species compositions with limited resources to do so. In more recent decades, there has been a shift to wider ecosystem and habitat management, albeit still with an emphasis on threatened species. Outside of conservation land, policy and protection has focused on biodiversity that has been identified to be “significant indigenous vegetation and significant habitats of indigenous fauna” and therefore a matter of national importance under section 6(c) of the RMA.

Criteria commonly used to identify “significant” areas include the presence of threatened or at-risk species, and habitat types that have been substantially reduced from their former extent. Thus, controls on the management of biodiversity on private land have also had an emphasis on rare and threatened species and habitats, and captured only a subset of what is arguably “significant”, and focused even less on what is common.⁷⁷ It is possible that this has resulted from legacy institutional arrangements, which saw the former Wildlife Service focus on wildlife, and the former Forest Service focus on commercial forestry and the recreational aspects of native forests.

Other RMA provisions can require or encourage vegetation retention (or reinstatement) on hillslopes or within riparian margins, and these initiatives can have the added benefit of providing some protection or enhancement for biodiversity (including more common species and habitats). Examples include erosion control regulations that protect indigenous woody vegetation, and riparian planting programmes. However, these policies and strategies, like those for meeting section 6(c) requirements, are ad hoc and inconsistent when considered at the national scale. Critically, they do not have biodiversity outcomes as the primary consideration.⁷⁸ Consequently, our current approach to nature conservation has largely ignored common species outside of conservation land.

Common species are the species which occur in high abundances, are typically widespread within their natural range, and are encountered frequently – they make up the bulk of the biomass and create structure in ecological systems. Common species are therefore critical for sustaining ecosystem processes that enable ecosystem function (eg nutrient cycling, pollination, energy transfer between trophic levels) as they collectively make the greatest contribution to these processes. For example, common bird species such as tūi play an important role as pollinators and dispersers. Sustaining these ecological processes are fundamental to the provision of ecosystem services that underpin our ability to produce food and fibre, and on which food and water security and human health are reliant.⁷⁹

Unfortunately, the systematic decline of common species has been a frequent occurrence, despite these species being equally worthy of conservation effort.⁸⁰ Ecological fragmentation, habitat loss and degradation,⁸¹ and invasive species all impact on common species,⁸² and these events and processes have led to reductions in their areal extent and condition as well as the loss of individuals.⁸³ Such losses have cascading effects. For example, in New Zealand birds play an important dispersal role, and declines in once common and widespread bird species (eg korimako/bellbird and hihi/stitchbird) have consequential impacts on plant communities.⁸⁴ We cannot hope to halt the decline of biodiversity, much less turn the tide, when impacts on a substantial proportion of our natural assets are given relatively low weight or relegated to unmonitored, resource-user implemented permitted activity standards.

Conservation of common species and habitat is important for both their own sake (a moral recognition of intrinsic value) and ours. Providing greater levels of protection for them will also help ensure the persistence of species we as yet know little about, beyond the important functional role they play in maintaining systems (eg insects). Further, protecting common species will help address the need to maintain functioning, resilient landscapes which will be of increasing importance as the imperative to address climate change and biodiversity loss becomes more pressing. In that regard, it makes little sense to continue to relegate wider considerations of biodiversity conservation to a largely uncontrolled, unmonitored framework. These wider considerations need to be better incorporated into a formal decision-making process, and strengthening their recognition in Part 2 of the RMA would be a good start.

Tūi (Bernard Spragg)



practices for thinning, fertilising, weeding, and pest control. The importance of considering firebreaks, in particular, is emphasised by the fires that occurred in the Tasman area earlier this year.

5. The weak obligation in section 8 to take into account the principles of the Treaty of Waitangi, in a framework with environmental wellbeing and natural resource management at its heart, strikes us as being inconsistent with the Crown's Treaty obligations.¹⁰²
6. There is a need to provide some kind of meaningful normative "hook" for resolving allocative questions (eg for freshwater and coastal space). This function is specifically provided for in the Act,¹⁰³ but there is no meaningful guidance in the purpose and principles as to what should drive such decisions or what outcomes that should be achieved.¹⁰⁴ That is a fairly astonishing (albeit politically understandable) omission, given how foreseeable these issues have always been. The relationship between the principles of the Treaty of Waitangi and allocative guidance will be significant, especially in the context of freshwater.

We see a need for Part 2 of the RMA to be reconsidered rather than just added to or amended. It needs to better provide for a more coherent set of true environmental bottom lines (including action where these have already been infringed). That is its first, and overriding, task. Beyond that, it needs to more explicitly pursue positive outcomes, recognise the value of responsible resource use (including urban design), give effect to the principles of the Treaty of Waitangi, and provide a normative hook for questions of allocation to be considered.



Coromandel coast

A spotlight on Part 2 of the RMA: Why is *King Salmon* not enough to protect bottom lines?

The *King Salmon* jurisprudence has made a significant positive contribution to how environmental bottom lines are recognised in the RMA.¹⁰⁵ The legal position prior to the case was that decision-makers were to engage in reaching what was generally called an "overall broad judgment" when making decisions.¹⁰⁶ That meant that a decision-maker was ultimately to have recourse to Part 2 of the RMA in balancing the benefits and costs of a proposal, even if objectives and policies in lower planning instruments were much more specific, directive and protective.

In *King Salmon*, the Supreme Court overturned that approach. It emphasised that in certain circumstances the Act was about defending firm environmental bottom lines set under it, not weighing up many factors. Central to the decision was the fact that the NZCPS contained directive and firm provisions concerning the protection of the coastal environment.¹⁰⁷ It made clear that national direction could impose firm, policy-based¹⁰⁸ bottom lines and that subsequent lower level decisions would not be allowed to undermine them by referring back to the wider, more balanced set of considerations in Part 2 of the RMA. Since 2014, the Supreme Court's message has been applied and refined through a number of other decisions.¹⁰⁹

However, overall, this line of case law still falls short in a number of senses. It has since been made clear that a balancing approach (including in the consenting context) will often still need to happen (eg where there are no firm and directive policies to point to, or where there are multiple provisions that conflict).¹¹⁰ The Supreme Court also said that Part 2 is not an operative set of provisions; it sets an expectation that a cascade of subordinate instruments will impose strict protections.¹¹¹ But it does not itself *demand* that firm bottom lines are generated through planning instruments; regional plans are not mandatory, rules are not required, and the government could make the NZCPS *less* protective if it wished.¹¹² *King Salmon* does not change the "deliberate openness" of Part 2 itself, and questions still abound over what exactly the Court means when it concluded that the word "while" means "at the same time as" – after all, enabling people to provide for their economic wellbeing cannot always happen at the same time as protecting crucial biophysical bottom lines.¹¹³ The important lesson from the Supreme Court is, essentially, that authorities can impose bottom lines if they consider Part 2 demands it, and it is not permissible to undermine a higher level authority's decision to do so.¹¹⁴

In the context of the coastal environment, that is a very good thing. Reasonably firm environmental bottom lines are imposed under the NZCPS for varying (including historical and cultural) reasons. That has been confirmed in a number of subsequent cases in which litigants have tried to carve out exceptions

The RMA needs to set firm environmental bottom lines, but also provide for greater recognition of the benefits of good urban design and environmentally sustainable development as long as those bottom lines are not infringed. Good urban design should include strong recognition of the synergies between urban and environmental outcomes.

5.7 Is changing Part 2 worth the effort?

When it comes to changing Part 2, pragmatic considerations are important. It has become something of a political football,¹³⁴ and that is unlikely to change. Amendments would also involve disruption to provisions that have proved remarkably resilient and stable when



Wynyard Quarter, Auckland

We consider that this change to Part 2 of the RMA could usefully happen in the short term. This is because it is something that would be able to be drafted in a single bill, and norms are a good starting point for change (they need to drive all subsequent decisions). There would, of

course, need to be an appropriate term for transitional arrangements (eg for planning instruments to be reworked over time to give effect to it). Below, we offer our thoughts on what a revised Part 2 would do differently, and then offer a potential way in which that could be drafted.

- Replace “sustainable management” with the need to manage Aotearoa New Zealand’s environment sustainably and fairly (including for reasons of resilience)
- Specifically refer to the importance of climate change mitigation
- Remove the specific reference to avoidance, remediation and mitigation. Decisions could still *require* these things, but they would need to do so in a way that complied with the purpose and principles of the Act
- More clearly define the kinds of things that are subject to bottom lines (eg including freshwater, but excluding urban amenity),¹⁵⁰ including recognising the intrinsic worth of nature as a whole¹⁵¹
- Strengthen and clarify the legal direction in relation to things that are truly bottom lines (in that broader considerations of wellbeing would be “subject to” biophysical bottom lines)
- Clearly set bottom line outcomes (not just provide for them to be set in subordinate instruments). These would be expressed in language embracing both Māori and European traditions (as in Te Mana o Te Wai), although we welcome thoughts on how that could happen in the suggested drafting below
- Make clear that bottom lines are not just about protecting and preserving what we have left, but also about returning to acceptable outcomes where the environment has been degraded already
- As time went on, Part 2 could more clearly articulate the bottom line outcomes that are being imposed (eg rather than just “preserve” or “protect”, state that the Act requires freshwater to have a particular set of characteristics or attributes, or that species are no longer threatened).¹⁵² Alternatively, this could take the form of mandatory targets set elsewhere in the Act, or required to be set in national direction.
- Explicitly recognise that environmental bottom lines require limits on human activities
- Recognise that the natural world is a human “habitat” vital for life, not just a supermarket shelf of resources to be exploited or “environmental” values to be protected
- Be geared towards positive action (including environmental enhancement), not management
- Strengthen directions in relation to the Treaty of Waitangi (including to “give effect to” Treaty principles)
- Embed synergistic concepts like Te Mana o Te Wai, including the development of similar concepts for other domains
- Better reflect the wording of the Declaration on the Rights of Indigenous People, and envisage the growth of ancestral relationships
- Provide for the consideration of mātauranga Māori alongside other forms of knowledge
- Subject to (and embracing synergies with) bottom lines, recognise the importance of good urban planning and design and responsible resource use
- Recognise that people’s wellbeing is not to be secured only by enabling them to do so themselves, but also by proactively pursuing wellbeing (especially in urban contexts)
- Provide a normative hook for allocative decision-making based on fairness, efficiency and the public interest
- Provide an explicit principle of precaution
- Clarify that the interests of future generations (of both people and nature) are as important as the interests of current generations, and that a long-term view must be taken in all decision-making
- Recognise, in accordance with the Rio Declaration, that access to information, public participation and access to justice are key pillars of sound environmental governance

Treaty obligations

- (8) Without limiting section 5(c), giving effect to the principles of the Treaty of Waitangi includes:
- (a) the protection of protected customary rights; and
 - (b) protection and enhancement of the relationship of Māori and their culture and traditions with their ancestral lands, water, sites, wāhi tapu and other taonga.¹⁶¹

Exercise of functions and powers

- (8A) All persons with functions and powers under this Act must:
- (a) exercise their functions and powers in a manner that implements the purpose of the Act;¹⁶² and
 - (b) adopt an approach by which they:
 - (i) have particular regard to cumulative effects of use and development;
 - (ii) take a long-term view;
 - (iii) take a precautionary approach where effects on the environment are uncertain, unknown, or little understood, but potentially significantly adverse; and
 - (v) promote the alignment of measures under this Act with measures under other relevant statutes;
 - (c) take steps to restore and enhance natural heritage and social wellbeing; and
 - (d) without limiting (a), have particular regard to and make provision for:
 - (i) the exercise of kaitiakitanga;
 - (ii) the ethic of stewardship;
 - (iii) protection of the habitat of trout and salmon;
 - (iv) the benefits of environmentally sustainable social and economic development, including infrastructure, affordable housing, and a quality urban environment;
 - (v) the efficient use of natural and physical resources;
 - (vi) the finite characteristics of natural and physical resources;
 - (vii) the importance of energy security, and the benefits to be derived from renewable electricity generation.

Definitions (to add to section 2):

Circular economy means an approach to resource use in which resources are kept in use for as long as possible, the maximum value is extracted from them whilst in use, and then their products and materials are recovered and regenerated at the end of their service life.

Quality urban environment means an urban environment that makes it possible for all people, whānau, communities and future generations to provide for their wellbeing, including by:

- a) offering people access to a choice of homes that meet their demands, jobs, opportunities for social interaction, high-quality diverse services and open space;
- b) providing businesses with economies of scale, with access to many consumers, suppliers, skilled people and sources of innovation;
- c) using land, energy and infrastructure efficiently;
- d) responding to changing needs and conditions;
- e) protecting natural heritage and ecological connectivity, enabling people to experience nature and open space close to their homes, and adopting environmentally sustainable design approaches.¹⁶³

5.8 Concluding comments

In this chapter, we have considered two related matters. The first was a question of legislative design at the heart of a future system: should we keep, or split, the RMA? In particular, we have put forward a view that there is considerable strength in having an integrated, wide-ranging, and protective statute like the RMA at the core of the system. While there are many attractive things about splitting the RMA into separate statutes for planning and environment, on balance we do not recommend doing so. In particular, we need land use to be proactively managed alongside other domains, in a tightly knit planning regime, to produce better environmental outcomes. That said, we do stress the need to better align land use decision-making

under the RMA with infrastructure planning and funding under separate legislation. Central to that will be a role for spatial planning, explored in Chapter 8.

The second matter we have considered in this chapter is the place of the purpose and principles of the RMA. In short, we see considerable potential for revision rather than just further tinkering, and we have offered some potential drafting as a prompt for debate. Part 2 is legally significant in a way that the purposes of other statutory frameworks are not (or are less so), and is therefore well placed to drive the real change that is required for the future. The mechanics of how that would be realised in practice – through planning processes that implement the normative direction of a new Part 2, and consent decisions that are consistent with it – are explored in the chapters that follow.

environmental impacts or risks (eg planting new trees requires a lot of water, and planting a monoculture can create risks of disease).

- 51 Duplication and overlap should be avoided unless there is good reason for it: see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 125; Legislation Act 2012, s 3(e)(ii).
- 52 Compare G Palmer and R Blakeley *Submission on the New Zealand Productivity Commission's better urban planning inquiry draft report* (2016).
- 53 For example, the EEZ Act, Maritime Transport Act, Fisheries Act and aspects of the Biosecurity Act.
- 54 See Ministry for the Environment and Statistics New Zealand *New Zealand's environmental reporting series: Environment Aotearoa 2019* (2019).
- 55 For example, environmental bottom lines are also found in conservation legislation, biosecurity legislation, and many other acts.
- 56 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 94-100.
- 57 Some may argue with the concept of intrinsic value, and an alternative way of thinking about it is the overriding value that *people* place on particular aspects of the natural world (eg the survival of the kiwi) even if they do not affect people's basic needs.
- 58 Compare Parliamentary Commissioner for the Environment *A Zero Carbon Act for New Zealand* (2018) at 10.
- 59 For example, through valuing the natural world (through ecosystem services or natural capital accounting).
- 60 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 7.2.
- 61 *Auckland City Council v John Woolley Trust* (2008) 14 ELRNZ 106 (HC) at [47].
- 62 In particular, the most recent proposals to reshape sections 6 and 7 into a completely different configuration were unsuccessful.
- 63 *Environmental Defence Soc Inc v New Zealand King Salmon Co Ltd* [2014] NZSC 38, [2014] 1 NZLR 593 at [151].
- 64 Of course, the *King Salmon* jurisprudence has, in a sense, reduced the direct effect of Part 2 in cases where subordinate instruments are clear on a matter, but those subordinate instruments themselves are only influential because they have been created to directly implement Part 2.
- 65 Many other discretionary decisions of a public nature are made in accordance with a prescribed process and guided by decision-making principles, but with legal challenge by way of general administrative law principles (reasonableness, relevance etc) rather than an extensive legal definition of a statute's purpose statement.
- 66 M Williams "Resource management system: Reform or transform?" (2018) Resource Management Journal 3 at 3. On sections 6-8 as a hierarchy, and the nature of the language used, see *Unison Networks Ltd v Hastings District Council* EnvC Wellington W011/09, 23 February 2009.
- 67 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), at 156.
- 68 On the view that sustainability is inherently value based, see N Robinson "Re conceptualising sustainability: The Anthropocene agenda" (2015) 11 RM Theory & Practice 99 at 100-102; D Young *Values as law: The history and efficacy of the Resource Management Act* (Victoria University of Wellington Institute of Policy Studies, 2001) at 31; B Harris "Sustainable management as an express purpose of environmental legislation" (1993) 8 Otago Law Review 51. Compare E Louka *International environmental law: Fairness, effectiveness, and world order* (Cambridge University Press, 2006) at 19.
- 69 Richard Macrory describes these as having a moral dimension if contained within primary legislation: see R Macrory *Regulation, enforcement and governance in environmental law* (Bloomsbury, 2014) at 264.
- 70 Dr Tim Denne has pointed out that "decision-making criteria can become paralysed" in the absence of trade-offs: see T Denne "Resource management law reform and economics" in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018).
- 71 See *Report of the Environmental Defence Society Technical Advisory Group on the review of sections 6 and 7 of the Resource Management Act 1991* (April 2012) at 13; *Wakatipu Environmental Society Inc v Queenstown Lakes District Council* [2000] NZRMA 259.
- 72 For example, section 7 provides for things like the "efficient use and development of natural and physical resources".
- 73 Compare R Peart *A place to stand: The protection of New Zealand's natural and coastal landscapes* (EDS, 2004), in which this was identified as an issue in the context of natural landscapes 15 years ago: the Act is not clear on what it is actually trying to achieve, other than ensuring the recognition of landscape.
- 74 For example, there is a significant difference between having to "recognise and provide for" something like the maintenance of wetlands and a direction that there be "no further loss" of wetlands.
- 75 See, for example, Resource Management Act 1991, ss 6(a) and 6(c).
- 76 Acknowledgement: M Doole *Conservation system reform: A proposed model to better protect and enhance species and ecosystems in New Zealand* (Unpublished commissioned paper, The Catalyst Group, 2019).
- 77 FJF Maseyk and P Gerbeaux "Advances in the identification and assessment of ecological significant habitats in two areas of contrasting biodiversity loss in New Zealand" (2015) 39(1) New Zealand Journal of Ecology 116; S Walker and others "Halting indigenous biodiversity decline: Ambiguity, equity, and

outcomes in RMA assessment of significance" (2008) 32(2) New Zealand Journal of Ecology 225.

- 78 FJF Maseyk, EJ Dominati and AD Mackay "More than a 'nice to have': Integrating indigenous biodiversity into agroecosystems in New Zealand" (2019) 43(2) New Zealand Journal of Ecology 3372.
- 79 FJF Maseyk and others "Managing natural capital stocks for the provision of ecosystem services" (2017) 10(2) Conservation Letters 211; KJ Gaston and RA Fuller "Biodiversity and extinction: Losing the common and widespread" (2007) 21(2) Progress in Physical Geography 213.
- 80 KJ Gaston and RA Fuller "Biodiversity and extinction: Losing the common and widespread" (2007) 21(2) Progress in Physical Geography 213.
- 81 See, for example, A Monks, E Hayman and S Walker "Attrition of recommended areas for protection: Clearance of ecologically significant vegetation on private land" (2019) 43(2) New Zealand Journal of Ecology 3367.
- 82 See, for example, GP Elliott and others "Declines in common, widespread native birds in a mature temperate forest" (2010) 143 Biological Conservation 219.
- 83 KJ Gaston and RA Fuller "Biodiversity and extinction: Losing the common and widespread" (2007) 21(2) Progress in Physical Geography 213; KJ Gaston "Valuing common Species" (2010) 327 Science 154.
- 84 SH Anderson and others "Cascading effects of bird functional extinction reduce pollination and plant density" (2011) 331 Science 1068.
- 85 Compare A Dormer and others *Report of the Minister for the Environment's Technical Advisory Group* (February 2009) at 38.
- 86 Compare M Williams "Resource management system: Reform or transform?" (2018) Resource Management Journal 3.
- 87 Resource Management Act 1991, s 6.
- 88 There is a specific function for councils to pursue environmental improvements (See *ibid*, ss 30(1)(a) and 31(1)(a)), but the strength of direction in Part 2 ("have particular regard to") is fairly weak. Furthermore, enhancement needs to be accompanied by practical measures to achieve it, which are weak under the primarily regulatory framework of the RMA. Triggers are generally focused on adverse effects: see *JF Investments v Queenstown Lakes District Council* EnvC Christchurch C48/2006, 27 April 2006 at [40].
- 89 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 7.
- 90 For example, Rt Hon Simon Upton said that the RMA would impose "tightly targeted controls that have minimum side effects" (4 July 1991) 516 NZPD 3020.
- 91 See N Robinson "Re-conceptualising sustainability: The Anthropocene agenda" (2015) 11 RM Theory & Practice 99 at 108; MH Benson and RK Craig "The end of sustainability" (2014) 27 Society and Natural Resources 777 at 778. See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 224.
- 92 Compare Resource Management Review Panel *Transforming the resource management system: Opportunities for change - Issues and options paper* (2019) at 14.
- 93 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 95, 106. Compare *Report of the Biodiversity Collaborative Group* (2018) at 90.
- 94 *Ibid* at 105; Well-being of Future Generations (Wales) Act 2015 (UK), s 4.
- 95 Environment Bill 2019-2020 (UK).
- 96 Resource Management Review Panel *Transforming the resource management system: Opportunities for change - Issues and options paper* (2019) at 14.
- 97 This lack of urban-focused content has legitimately been seen as a barrier, but we also note that it has not in practice prevented much good urban planning from occurring: see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 7. On the inadequacy of Part 2 in urban planning see, for example, *Report of the Minister for the Environment's Urban Technical Advisory Group* (2010) and New Zealand Productivity Commission *Better urban planning* (2017).
- 98 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 95.
- 99 See, for example, S Upton "The Stace Hammond Grace Lecture: Purpose and Principle in the Resource Management Act" [1995] 3 Wai L Rev 17 at 40.
- 100 Resource Management Act 1991, ss 7(b), 7(g).
- 101 See generally M Wright, S Gepp and D Hall *A Review of the Resource Management (National Environmental Standards for Plantation Forestry) Regulations 2017* (2019).
- 102 Compare R Joseph "The Treaty, tikanga Māori, ecosystem-based management, the RMA and power sharing for environmental integrity in Aotearoa New Zealand - possible ways forward" in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018).
- 103 Resource Management Act 1991, s 30(1)(fa).
- 104 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 111-112. There is no provision for allocative policies to be developed, and no recognition that allocation is at all a function of central government (despite some more general policy development outside the RMA: see, for example, Ministry for the Environment *Water programme of action: Water allocation and use* (2004)).
- 105 *Environmental Defence Soc Inc v New Zealand King Salmon Co Ltd* [2014] NZSC 38, [2014] 1 NZLR 593.

- A new phrase "natural and physical environment" rather than "natural and physical resources"
- An express reference to use within environmental limits as being essential
- A clear hierarchy (instead of the current term "while") of protecting natural heritage and promoting essential social wellbeing and mitigating significant natural hazard risks, and only then enabling people and communities to provide for their economic wellbeing and resilience, and other aspects of their social wellbeing. No express hierarchy is proposed as between protecting natural heritage and promoting essential social wellbeing. The two provisions are unlikely to conflict because the requirement to protect essential social wellbeing is concerned with ensuring use and development does not compromise social wellbeing; it is not about enabling development
- A direction to give effect to the principles of the Treaty of Waitangi would sit outside the hierarchy
- The reference to certain matters being of national importance (the current section 6) is retained
- A new provision about public participation and access to information and justice is included. In principle, the RMA implements the Rio Declaration on Environment and Development, but Principle 10 is not expressly incorporated and this has led to an erosion over time of its public participation and devolved decision-making aspects, contrary to New Zealand's commitment to the Declaration.

- 157 In relation to the list that follows, further work should be done to explore whether more specific bottom line outcomes could be enshrined in legislation, rather than general references to "maintenance" and "protection". For example, see the attributes for freshwater identified as national bottom lines in New Zealand Government *Action for healthy waterways: A discussion document on national direction for our essential freshwater* (2019).
- 158 The policy intention is to cover natural landscapes and those with some human modification. The courts' interpretation of the term "outstanding natural landscape" encompasses landscapes with some modification. In *Long Bay-Okura Great Park Soc Inc v North Shore City Council* EnvC A078/08, it was held that a natural landscape does not mean one that is pristine, as this will only ever occur in very rare instances. There is a spectrum of naturalness from a pristine natural landscape to a cityscape, and a cultured nature landscape could still be an outstanding natural landscape. In *High Country Rosehip Orchards Ltd*

v Mackenzie District Council [2011] NZEnvC 387 the Court stated that criteria of naturalness include relatively unmodified and legible landforms, the presence of water, the presence of (usually native) vegetation, and being uncluttered by structures and/or obvious human influence.

- 159 The proposed section 6 includes the natural heritage aspects of the current section 6 as environmental bottom lines, plus several new natural heritage aspects for which there should be environmental bottom lines (eg maintenance or enhancement of water quality) along with the climate goal from the Climate Change Response (Zero Carbon) Amendment Act. For some aspects of natural heritage, maintenance of current state is acceptable. For others, restoration or enhancement is necessary where current state is degraded. The drafting identifies where restoration or enhancement is part of the environmental bottom line. This strong enhancement focus significantly changes the current approach of maintaining current state (other than for freshwater quality and coastal and freshwater ecosystems, where there is an existing requirement to maintain or enhance quality in section 30).
- 160 Proposed section 7 describes essential social wellbeing requirements. As climate change is both a natural environment and a social wellbeing threat, it is included again in section 7. The provision includes historic heritage protection (currently in section 6), along with other essential social goals such as food security that are not currently expressly provided for in the RMA but are inferred from other provisions (such as the finite characteristics of resources). It provides for fair and efficient allocation (between people and communities in the current generation, and between current and future generations). It provides for consideration of waste as part of use and development.
- 161 Proposed section 8 contains the section 6 matters that are relevant to Treaty obligations. This is proposed as a starting point only. Tangata whenua input on the content of this provision would be essential in legislative processes.
- 162 This provision is arguably unnecessary, as statutory powers must always be exercised in accordance with the statutory purpose, but it provides a clear directive linking the hierarchy in the Act's purpose with actual decision-making.
- 163 This definition is based on objective 2 of the proposed NPS on Urban Development, with an additional reference to the need for urban environments to protect natural heritage, enabling people to experience nature and adopting environmentally sustainable design approaches (eg water sensitive design, sediment controls).

on which national direction can be promulgated. Not all nationally significant matters are specified as being nationally important. For example, freshwater quality, which is managed under an NPS and listed as a regional council function to maintain or improve, is not contained in section 6 of the Act. Furthermore, not all nationally important matters need be seen as nationally significant (warranting national direction). For example, for a long time the NZCPS was the only national direction made under the Act.

We have heard, in equal measure, from people who think that in creating national direction the government is finally discharging its responsibilities and people who think it is intruding into local democracy and frustrating the chance for communities to take action in their own way. Either way, there is a great deal of uncertainty, which can result in either droughts of national direction (too little guidance) or avalanches (which councils are expected to implement). National direction can also be, and frequently is, changed in significant ways with little notice, and often according to the political dynamics of central government.

Part of this issue may be due to opposing views about the role of the government in general terms. Localists may feel that local action is more effective across the board.¹¹ But it is equally about what *kinds* of things belong where. For example, there has always been a strong case for national direction on freshwater quality, climate change, and biodiversity. In a similar way that New Zealanders would not expect significantly different health outcomes in different parts of the country (witness the outrage and subsequent review from the contamination of Havelock North's drinking water supply), there is increasingly a consistent expectation of clean waterways and thriving nature across New Zealand.

There is also a strong case for some central levers to control land use – not to shape local communities, but because broad land use choices (eg forestry, urban growth, agriculture) have significant implications for many nationally important outcomes.¹² That is not limited to nationally important environmental bottom lines; indeed, as we have seen, national concern can be equally about resource development (eg in forestry, aquaculture urban development and housing). Planning – even in the sense of town and country planning – is therefore not *just* a local thing.¹³

There is always going to be a difficult line to draw here between overlapping national and local communities of interest. In some countries, the nationally important status of some large urban centres sees much greater central intervention,¹⁴ whereas in New Zealand things have tended to progress in a more ad hoc way.¹⁵ But there is a significant risk in throwing out the baby with the bathwater. Central influence should not be too strong. The most extreme example of this risk is in the concept of an urban development authority, and its potential powers to plan large chunks of urban areas to progress narrow (albeit still important) government agendas (like housing) at the expense of local place shaping and essential environmental protections. We discuss an urban development authority model further in Chapter 10.¹⁶

A sensible approach would seem to be that if a matter is identified as being of national importance, then there is a reasonable expectation that some form of national guidance will follow.¹⁷ A degree of clarity is desirable as to what things are – or are not (or for what reasons) – nationally important and therefore open to a role for central government. The existing Part 2 of the RMA (particularly section 6 matters) provides a useful starting point for matters of “national importance”, although this hierarchy has been used mainly to refer to things that are *more* important rather than to provide a transparent trigger or justification for when central government can step in.¹⁸ Some nationally significant matters may be locally controversial, such as a proposition that the government be required to proactively identify and map important natural and cultural landscapes across the country.¹⁹

For now, we leave this as an open question, and simply note that we see a case for some more formal expression of subsidiarity in the system.²⁰ This could form a “principle” in Part 2 of the RMA, but would probably be more suited to parts in the RMA dealing with the functions of various levels of government.²¹ It could also be expressed more broadly as a quasi-constitutional principle in local government legislation, or in higher level “strategic” legislation (described in Chapter 8).

We suggest that a future system should more clearly define what subsidiarity means (which things are to be locally or centrally decided and for what reasons). If a matter is identified as being of national importance, then there is a reasonable expectation that some form of national guidance should follow.

6.3 A more proactive role for central government

Central government needs to be both a system steward (providing oversight, and making sure the system as a whole is working well) and an active player (making decisions). The RMA already allows it to be both of these things,²² but does not generally require it to be the latter. For example, the only national direction that is mandated by the Act is the NZCPS. Ministers generally have rights, rather than responsibilities, to intervene in instruments at regional and local levels.²³

Is that the right approach for the future? We have heard many people express a frustration that the government has, over most of the life of the Act, failed to produce national direction, even though it was intended to happen.²⁴ We share that sentiment. For example, it is concerning that national direction on indigenous biodiversity is only now forthcoming, even though that was already a pressing issue when the RMA was enacted almost 30 years ago. More generally, many issues facing New Zealand are of a scale or complexity that could prove challenging for councils to address, and require more central government involvement. Climate change is a good example, although there are many others.

the NZCPS (the interpretation of which, incidentally, *still* required litigation to the Supreme Court to clarify).³⁶ The outstanding example may be the NPS for Renewable Electricity Generation, which arguably expands very little beyond what the Act already says and certainly does not meaningfully resolve direct tensions between renewables projects and other RMA concerns like landscape or biodiversity protection.

Some policies in NPSs can even pull in different normative directions. They seek to achieve quite different (and arguably not entirely compatible) things, which we might call “horizontal misalignment”. For example, there are real tensions between the NZCPS and NPS on Urban Development Capacity, and between the proposed NPS for Urban Development and the proposed NPS for Highly Productive Land. Again, part of this might be due to the crisis of identity at the core of the RMA (is it about imposing environmental bottom lines? Or is it also about preventing the extent to which environmental protections can be imposed?). But it is also a product of a system that sees central government as a reactive intervenor rather than proactive planner. We are left with “a rather curious collection [of national direction] given the original [environmental] intention of the legislation”.³⁷

We can also see “vertical misalignment” in the system. There is no express hierarchy between NPSs and NESs, but the function of rules (NESs) is to implement objective and policy direction (contained in NPSs). It would appear to follow that rules in NESs should be fully consistent with achieving the objectives and policies of any applicable

NPSs. Yet that is not always the case: for example, the proposed NES on Marine Aquaculture does not enable effects on marine species’ habitat to be considered when reconsenting existing marine farms, despite the NZCPS requiring that adverse effects on threatened and at risk species are avoided.

Regulatory provisions in an NES can even exist in a kind of policy vacuum, with no clearly associated policies (in an NPS) to clarify why rules and standards are there, or even to guide decisions where rules require resource consent. For example, it seems anomalous that there are (admittedly very limited) regulatory provisions relating to biodiversity protection in the NES for Plantation Forestry, but no accompanying NPS on indigenous biodiversity (which is set to follow only years afterwards). This begs the question: if a permitted activity rule is not met, what policy framework is the consent authority to apply in considering whether to grant consent? That is not to say that it would have been preferable to delay addressing real issues with forestry;³⁸ it is simply to point out that there are drawbacks in having a legal regime where sector-specific regulation can realistically be created without a formal or consistent policy framework to drive it.

A positive sign is that more specific sectoral provisions under an NES (for agriculture) are being developed as part of a wider package of measures for freshwater under the Essential Freshwater programme (including a new NPS).³⁹ However, there is nothing in the law that *requires* that to happen.

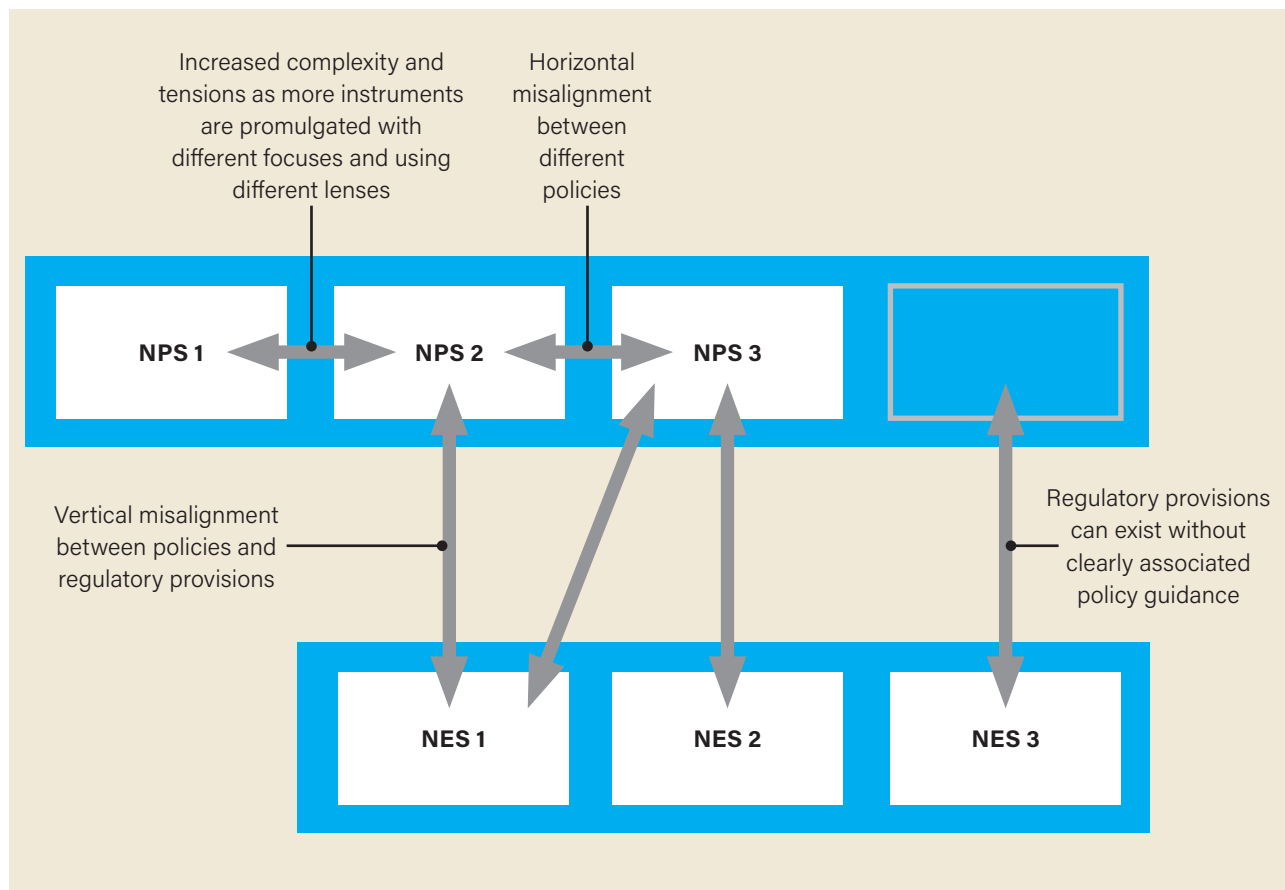


Figure 6.1: National direction: Potential for horizontal and vertical misalignment

A spotlight on a National Environment Plan

An NEP would be a one-stop shop for central government direction under a new RMA. It would encompass all matters that the government would be obliged, in a new RMA, to provide direction on. This would ensure (1) coherence across policy provisions (currently contained in different NPSs); (2) consistency between regulatory and policy provisions (which can currently exist as islands); (3) adequate connections (all direction would be in one place with close links);⁴⁹ and (4) completeness (it would be an integrated instrument covering all matters of national importance). An NEP would have a broadly defined structure and format either in the Act itself or in National Planning Standards. It would be designed to dovetail with a more standardised format and structure of council plans.

An NEP would be required to give effect to a revised Part 2 of the RMA. This means that its first task would be to provide a comprehensive coverage of the biophysical bottom lines set out in those provisions, on a domain by domain basis (those things we want to protect and enhance) but within an overarching concept of the ecosystem or biosphere. There would no longer be a situation where nationally significant development priorities could be given effect to – through a targeted NPS – without corresponding environmental bottom lines. Nor could there be regulatory provisions (eg for forestry) that did not link closely to associated policies and objectives (eg for biodiversity and climate change). There could still, of course, be targeted, sector-specific provisions (eg regulatory provisions on electricity transmission). But all such parts would need to be created within a broader policy framework targeted at domain-based bottom lines. Clear national level biophysical thresholds or indicators would be established in an NEP that, if breached, would trigger an obligation for the government to investigate and take corrective action.⁵⁰

The role of central government here would not, however, just be to expand on the RMA's bottom lines and impose associated limits. It would also be to resolve tensions between matters requiring a coherent framework for trade-offs at a national level, and to embrace synergies. Many matters of national importance involve complex trade-offs (eg a tension between landscape values and renewable electricity projects; between the provision of housing and the protection of highly productive food growing land; and between the necessity for climate change adaptation measures and respect for private property interests). If such tensions were addressed in a single instrument, the idea would be that they would be identified and addressed in a much clearer way than at present.⁵¹ To reflect its more nuanced role, the Ministry for the Environment's mandate under the Environment Act could usefully be expanded to more explicitly include good urban planning and design.⁵²

It would be important for targets to be accompanied by an assessment of (and indicative source for) the funding required to achieve them.⁵³ In the Phase 1 report, we pointed out that "it does not seem unreasonable for central government to fund local planning to the extent needed to implement national level instruments

We have heard from some people that the concept of an NEP would amount to a considerable centralisation of functions, and the decline of a devolved system. That is not the intention, other than to say that central government should be expected to produce at least some direction concerning matters of national importance. We also note that while the current system may in practice be fairly devolved, it could in theory actually be highly centralised (and is becoming more so by the day as more national direction is produced).

That said, an NEP *could* be a place in which more directive and geographically targeted powers were exercised by central government, if outcomes were nationally important. This could include particularly vulnerable, at risk, or valuable areas. Some matters can be nationally important but locally unique, and these are not limited to Crown-owned land or the conservation estate. For example, an NEP could provide a useful integrative policy environment under the RMA for an area like the Mackenzie Basin,⁵⁴ which spans multiple local authority boundaries, or to develop policies for areas defined by ecology or landscape rather than catchments (regions) or communities of interest (districts). The RMA already provides for NPSs to be regionally targeted,⁵⁵ and this cross-cutting aspect could be a key part of an NEP to encourage a more nuanced, place-based integration that councils may not be able to achieve as effectively.

An NEP would not, however, just be an integrated set of NESs and NPSs. It would also be oriented towards change and "anticipatory governance",⁵⁶ to reflect the nature of a revised Part 2 of the RMA. In this sense, it would be an "action plan" (a way to get from A to B)⁵⁷ as well as a "regulatory" plan (a framework for making decisions about what is and is not allowed). Central to that would be the mandatory establishment of targets for nationally important environmental indicators, especially (but not solely) to achieve bottom lines that had already been breached. These would be a form of commitment device,⁵⁸ elevating the status of the outcome and ensuring a long-term view is taken.⁵⁹ We have heard from many people that we are now at the point where we need to change footing from management to action, and our legal regimes need to reflect that. This is increasingly being recognised anyway (through climate change targets and freshwater targets),⁶⁰ but we see merit in embedding that approach in the RMA itself. In the United Kingdom, for example, there are legislative proposals for mandatory targets to be set and for timeframes to be established for various elements of environmental enhancement.⁶¹

There could even be a cascade of responses "waiting in the wings", to be deployed if targets were not met. For example, some have suggested the use of fast-track measures to allow changes to input controls for nutrient management (eg stocking rates) if output controls were not effective at achieving targets.⁶² Careful thought should be given to what such "Plan B" measures could look like when establishing targets in an NEP.

It would be important for targets to be accompanied by an assessment of (and indicative source for) the funding required to achieve them.⁶³ In the Phase 1 report,

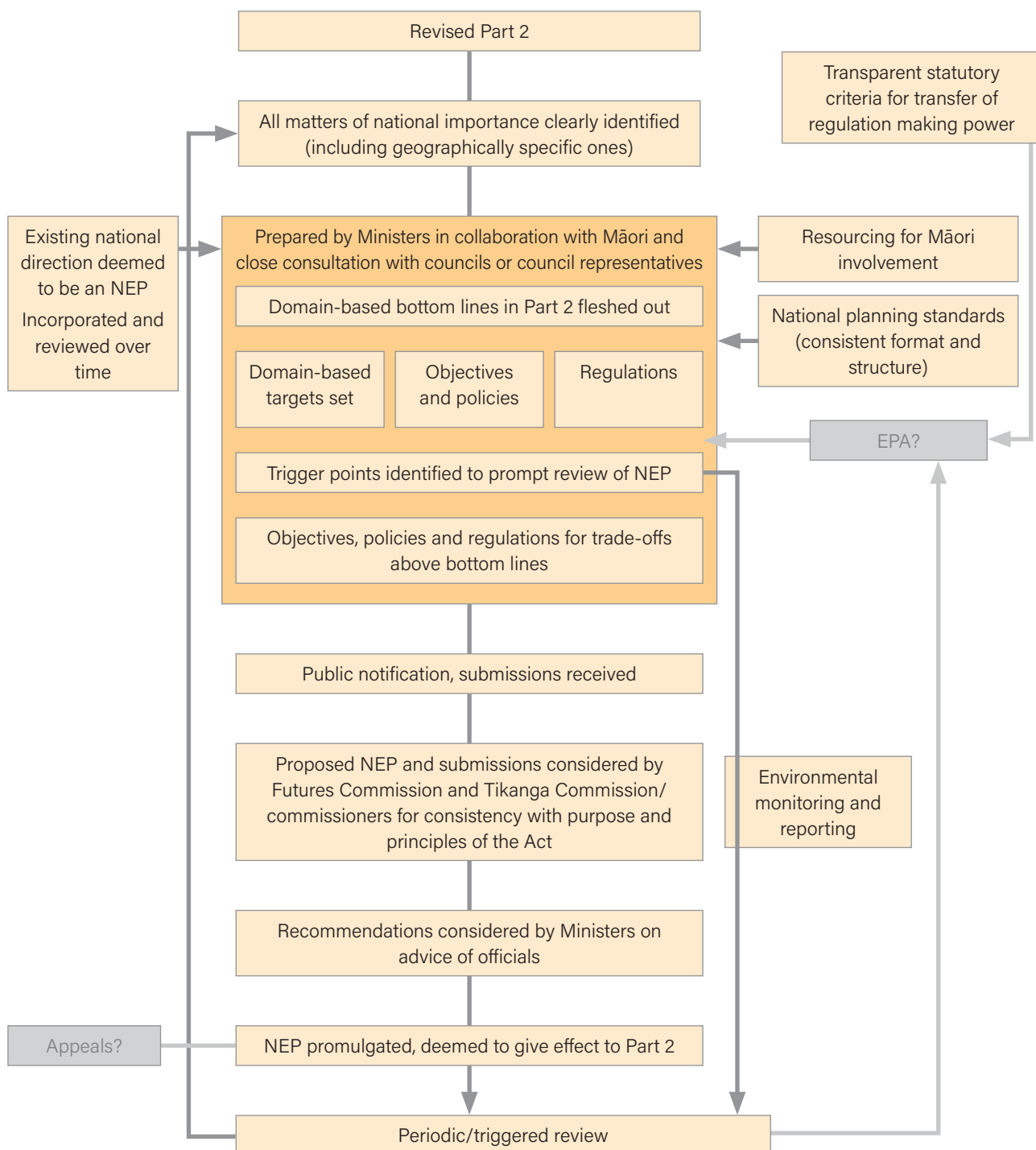


Figure 6.2: A process for producing a National Environment Plan

There are several novel elements of this process to note. The first is that an NEP would be prepared and reviewed in close collaboration with Māori, to better reflect the importance of the Treaty partnership. How that would happen in practice poses significant challenges, especially in terms of what a “representative” Māori body would look like at a national level with whom the Crown would collaborate.⁷³ To some extent that kind of question needs to be resolved by Māori, not imposed from the top as part of “system reform”. However, we think it merits close attention and further investigation, as part of a broader process for defining relevant iwi and hapū groups with whom councils will be required to collaborate.⁷⁴

An NEP would also be developed in close consultation with councils, recognising that much of the actual leg work of implementation (eg translating to more detailed, place-specific policies and regulation) will still need to be done at the local and regional levels. We have heard repeatedly that meaningful council involvement in actual development (more than just ad hoc secondments) would produce much better outcomes and much less pushback as opposed to presenting a finished policy proposal for feedback and submission, which implies that decisions have already effectively been made. It might also mean that local funding concerns are brought to attention much earlier, and (ideally) addressed sooner. The basic idea, albeit on a fairly informal basis, can be seen in the

The Commission would be independent from government. In its beginning, it may be enough for it to be an independent Crown entity, rather than an officer of Parliament. It would be separate from the Parliamentary Commissioner for the Environment and the Climate Change Commission, recognising the risks of short-term disruption to those crucial institutions. However, from the outset, it could potentially incorporate any Freshwater Commission or other institution of a similar nature. Details of membership, the appointment process, and term of service/tenure would need to be worked through very carefully.

A Futures Commission would be established under statute⁸⁵ and be a permanent, standing institution. Initially, it would take on a handful of targeted functions to fill what we see as gaps in the system. Some of those would be under the RMA. In particular, it would play a crucial role in the process for developing an NEP, as outlined above. Other roles would be outside the RMA, and these are discussed elsewhere in this report (in particular, see Chapter 8).

Generally speaking, the idea is that a Futures Commission would have a structured role in the system's particular legal processes rather than just a general investigative or advisory function.⁸⁶ This would make it much more like the Climate Change Commission, which has been tasked with reviewing and recommending carbon targets and budgets and evaluating the government's progress. The Futures Commission would not be an "operational" or "regulatory" body; it would perform a structured advisory and watchdog function in relation to the decisions of accountable institutions, but not do things like decide particular authorisations (like resource consents).

Perhaps most importantly, the nature of a Futures Commission can be seen in its name. It would have a general, and powerful,⁸⁷ mandate⁸⁸ focused firmly on the future – and the interests of future generations – which are often not well represented in either politics or economic transactions.⁸⁹ The environment – and therefore the RMA – is one natural place for the Commission to have a meaningful role. It would be "a real, nationally-focused effort at looking ahead",⁹⁰ a force for policy stability, and a counterbalance to the important, but ultimately insufficient, accountability provided by the ever-changing elected institutions. The short-termism of parliamentary cycles means that we risk flip flopping on policies that really require continuity – this is as much about things like freshwater and biodiversity as it is about climate change. Adequate resourcing of the Commission would be crucial.

It would also be important to implement the Treaty relationship in the design of a Futures Commission. As in the Western tradition, it is important to have both "representative" and self-organising Māori bodies in the form of iwi and hapū (involved in co-development of instruments like the NEP, as mentioned earlier) and "expert" bodies (respected and independent persons having experience with mātauranga and tikanga).⁹¹

Such an expert Māori institution could exist alongside other independent experts in a Futures Commission, but we see two alternative ways in which this could happen. First, a single Commission could have a number of dedicated "tikanga commissioners".⁹² Alternatively, there could be a separate "Tikanga Commission" acting alongside (or as a clearly defined branch within) the Futures Commission, with the government having a relationship with both. That body could provide a separate assessment of the extent to which an NEP gave effect to Treaty principles and reflected tikanga, and make recommendations for change.⁹³

In the longer term, there is a very good question here about fragmentation and complexity in the system. As some have pointed out, we have a habit in New Zealand of seeking considerable legislative and institutional fixes to particular problems,⁹⁴ and we can ask whether it would be desirable to continue to have separate independent institutions, performing similar kinds of functions. We could think of the Climate Change Commission, a Freshwater Commission, and the Parliamentary Commissioner for the Environment in this category. We therefore see merit, in the longer term, in moving towards greater integration. One way of looking at this would be to expand the strongly independent role of the Parliamentary Commissioner for the Environment to subsume the previously separate roles of the other commissions. This would lead to a single, integrated Futures Commission as an officer of Parliament, with more targeted branches within it to discharge particular functions under different statutory frameworks (eg for climate change, freshwater, urban planning etc).⁹⁵ This would enable the establishment of focused pools of subject-matter experts.

But a single Futures Commission would have one integrated mandate, and would be well placed to take a much needed holistic view of interconnected resource management issues, including under the RMA. We have already seen the risks of having different institutions focused narrowly on particular domains or particular sectors,⁹⁶ and that applies equally to independent institutions as it does to accountable ones (different government departments). We discussed the pros and cons of the "subject focus" of institutions in the Phase 1 report, concluding that at the highest levels of the system we require a wide, integrated focus that can then filter down into more targeted focus areas. Often, valuable synergies only appear where a subject focus is broad enough for the dots to be joined. That said, we are not convinced that a Futures Commission should incorporate the proposed Infrastructure Commission, which is a positive step but, by its nature, quite a different thing.⁹⁷

A final note should be made about concerns that a Futures Commission would be too powerful. We would respond that stronger independent influence is part of its point (and why an appointment process and questions of tenure are important), but also that its actual powers would vary depending on the statutory frameworks under which it had functions. For example, in the development of an NEP under the RMA, its role would not be to make

landscape. At the same time, policy under the RMA lacks real teeth if not accompanied by regulatory restrictions.¹¹⁰ But objectives and policies usually involve some value-based choices to be made (elaborating on Part 2 of the Act), whereas regulatory provisions are for the most part about *implementing* those values.

We therefore do not see it as beyond the pale for an accountable institution (a Minister) to create the values-based policy component of an NEP, and for a more independent institution – perhaps an operational agency like a strengthened EPA – to translate that into regulatory provisions. In our view we are fast approaching a point at which there is a strong convergence in national values concerning things like freshwater,¹¹¹ and this might justify “a more consistent, independent voice in setting [regulatory] bottom lines in advance”.¹¹² If the EPA were to take on such a role, its mandate and its resourcing would have to be strengthened considerably,¹¹³ and the Victorian model may provide a good example. As we pointed out in the Phase 1 report:¹¹⁴

[The Environment Protection Act 2017 (Victoria)] establishes the objective of the EPA as being “to protect human health and the environment by reducing the harmful effects of pollution and waste.” This can be contrasted with the current objective of the New Zealand EPA, which is much vaguer: to undertake its functions in a way that “contributes to the efficient, effective, and transparent management of New Zealand’s environment and natural and physical resources; and enables New Zealand to meet its international obligations.” The Victorian model demonstrates the success of an EPA which has a clear purpose and tight focus on dealing with serious environmental risks.

On balance, we do not recommend giving the EPA a blanket NES-style regulation-making power under the RMA (ie removing that power from Ministers). However, the EPA’s capacity to do so should be developed in

the short term. That would allow specific powers to be transferred should it prove necessary in light of poor environmental outcomes (particularly for freshwater). The Act could also usefully provide criteria or trigger points for where a transfer of power from Ministers to the EPA could (or even must) occur.¹¹⁵

An NEP would contain both policy and regulatory components. It would be possible for Ministers to determine questions of policy, and for an arm’s length EPA to then create regulation that gives effect to it. We do not suggest that this should happen immediately, but should be carefully considered for some matters (eg freshwater). Capacity should be strengthened in the EPA to deal with such an eventuality, and criteria put in place to determine when that should happen.

6.9 Other roles for central government under the RMA

Central government currently has many functions under the RMA, and would continue to do so in a future model. While the production of national direction (and associated regulations and National Planning Standards)¹¹⁶ is core to that, the government’s role is broader. Most obviously, in our view, there is a pressing need for central government to get more involved in the implementation of national direction, not just in creating and imposing it.¹¹⁷ For example, there needs to be a clear, at least partially independent, central agency tasked with supporting councils (including through deploying funding and resourcing assistance) to achieve stricter freshwater standards.¹¹⁸ Elsewhere we have called this a “Freshwater Commission”,¹¹⁹ but we stress that this type of implementation agency would be quite different to the watchdog-type Futures Commission described earlier. It could, instead, form part of a strengthened EPA, or an entirely new government implementation agency.



Port Taranaki

values protected. Some activities can make things worse in the future, even if they have already been consented (eg they may be able to intensify, or they may represent rights that have not yet been exercised).¹³³ That needs to change. Orders also do not prompt enhancement mechanisms (the Act specifies that they may be granted to protect outstanding values, rather than improving their condition in the face of human and other pressures, like climate change). That is also no longer good enough – we require a strong link to the public funding and resourcing (including oversight) necessary to ensure the values are maintained. In this sense it would be appropriate for a dedicated watchdog or guardian model to be put in place where we recognise outstanding values, to ensure that those values on a piece of paper actually result in corresponding outcomes on the ground.¹³⁴ Monitoring should also be clearly required by law for the values protected under water conservation orders, and results and trends reported on under an expanded system of national level environmental reporting.¹³⁵

Perhaps of most concern is that the strength of water conservation orders is limited to where consent authorities are considering water permits, coastal permits or discharge permits.¹³⁶ They do not directly influence other kinds of resource consent, which can nevertheless severely impact on the values being protected (notably in relation to the control of land).¹³⁷ For example, forestry and agricultural activities (especially new operations) really need to have appropriate conditions imposed, not just for their discharges or their direct taking of water, but for reasons connected to the use of the land itself that pose perhaps less obvious risks for the values being protected.¹³⁸ For example, many regional councils control diffuse discharges from agricultural stock as a land use rather than a discharge, so may not be required to consider the effects on a protected waterbody. Similarly, urban development that increases impervious cover will affect water quality but is usually managed as a land use. And even if it did not affect its flows or water quality, would we really want unchecked urban development butting up against a protected river?

Finally, there are process issues. Resource consent decisions must be issued within 15 days of a hearing concluding, but there is no timeframe for decisions on water conservation orders. In some cases, this can lead to unacceptable delays in decisions being issued, and degradation in the water body's condition in the meantime. For example, the Special Tribunal considering the Te Wāikoropupu Springs water conservation order application has taken 14 months (and counting) to release its decision. In the meantime, algal mats have been found in the springs.¹³⁹

In a future system, water conservation orders should be strengthened in various ways. There should be a stronger mandate for central government to proactively deploy them in a strategic manner, and the existence of an order should have meaningful influence over the exercise of existing consents and apply to future land use consents.

Water conservation orders are a direct mechanism by which the “normal” RMA planning process can be bypassed, where there are outstanding values to be protected. But why should that mechanism be limited in that way? For example, rather than just protecting examples of relatively pristine elements of the environment, could a similar process be used to impose directive environmental “emergency” orders at the other end of the spectrum – where bottom lines have been infringed and a water body is unacceptably degraded? In Chapter 7 we are proposing a more agile mechanism for council planning generally, and the government is currently proposing a similarly streamlined mechanism specifically for freshwater planning. But a more directive approach may be needed for the really bad cases, resembling more our approach to biosecurity incursions: a focused deployment of funding, resourcing and regulatory restrictions where key trigger points are breached (including compensation, where appropriate).¹⁴⁰

The significant degradation of freshwater bodies may often be much slower and “creeping” than a biosecurity incursion, or a specific incident like an oil spill, but that does mean it is any less of an emergency to be actively and intensively managed across agencies.¹⁴¹ The prospect of facing such an “emergency” order, automatically deployed on the event of certain trigger points, may be powerful incentive to avoid a breach of bottom lines in the first place, for both councils and a collective of users within a catchment.

We can also ask whether the concept of a bottom up, application-based “order” should be limited to the context of freshwater. In the Phase 1 report, we asked:¹⁴²

Could such an approach be usefully applied to other outstanding areas? Should we in a future regime, for example, make provision for Marine Conservation Orders, or perhaps Conservation Orders more generally, that could be applied to any outstanding area or feature?

In light of other changes recommended in the marine space in Chapter 11 (such as integrated marine spatial planning, a new Oceans Act, and the establishment of a coherent network of marine protected areas), there may be less need for marine conservation orders (although that remains an option). However, on land, the proposition of broadening a bottom-up, application-based order strikes us as an attractive one. As with freshwater, this could be an “emergency” type order (eg a more directive mechanism to protect critical habitat of threatened species on private land – a “conservation order” perhaps, or a “habitat protection order”).¹⁴³

On a more pre-emptive basis, though, orders could be deployed to impose an additional and more nuanced layer of protections for landscape and biodiversity across private land. The concept of a “Heritage Area Order” is explored in the spotlight below.

and regional plans concerned with land use. In Chapter 10, we criticise a proposal for a similar “override” power for an urban development authority to bypass the planning framework in the interests of general strategic objectives for an area. An alternative would be for nationally significant landscapes to be identified and protected through a more active (ie mandated) use of national direction within an NEP, which could include both policies and regulatory provisions to be given effect to in plans and consents.¹⁴⁸ Furthermore, a Heritage Area Order would be partly targeted at controls on how large areas of private land are used, which goes a great deal further than water conservation orders (which are about protecting a “common pool” resource, notably its flows). That said, planning under the RMA already has the ability to restrict land use, and the innovative thing here would be the ability for this to be done using a bottom up, application-based approach. We see the concept as having significant potential in a future system, just as strengthened water conservation orders do.

Finally, there is a question as to whether the RMA would be an appropriate place for a concept like Heritage Area Orders, or habitat protection orders, or similar tools resembling water conservation orders. Would we not want to put conservation-focused tools within conservation legislation? We consider this further in Chapter 12, but note that the strong connection with private land suggests they are probably most appropriately located in a framework like the RMA, even if they had their own bespoke purpose(s) within it (as with water conservation orders).¹⁴⁹

A future system could usefully expand on the concept of water conservation orders to include “emergency orders” that would be deployed to more actively manage the environment and human activities if bottom lines were breached. That could include a “habitat protection order”. Such orders would be accompanied by a rapid and coordinated agency response and support, resembling our response to biosecurity incursions. We are also floating another “order”-based tool that would impose an additional and more nuanced layer of protections for landscape and biodiversity across private land: a Heritage Area Order.

6.11 Concluding comments

In this chapter, we have considered the role of central government under the RMA. We have proposed the integration, over time, of national direction within a single NEP. We consider it anomalous that we have no equivalent to a regional policy statement for the nation, and that there can be significant gaps, political prioritisations and confusing inconsistencies in national direction. The concept of an NEP responds to these issues.

To accompany an NEP would be a clearer definition of subsidiarity, outlining the spheres of influence of local and central government, and provision for councils and

Māori to be much more closely involved in the co-creation and review of national direction. In a revised process for producing national direction, a completely new institution has also entered the stage in our model: a Futures Commission. We see this firmly independent entity as having roles under multiple statutes (as explored in subsequent chapters), but one important role would be in providing truly independent and impartial review of an NEP.

In this chapter we have also briefly canvassed other “central” roles under a revised RMA. In particular, we have proposed expanding central government’s role in implementing national direction (eg by providing operational and resourcing assistance to implement stronger freshwater requirements), strengthening water conservation orders, and expanding the concept of such orders to encompass other aspects of environmental protection, such as landscape and biodiversity.

A strong theme here was that we should have agile tools to respond to manmade environmental crises in a similar way to biosecurity incursions, where there is a focused and coordinated deployment of regulatory, compensatory, and active agency responses. More specifically, we shone a spotlight on one way in which a water conservation order model could be expanded: via the concept of a Heritage Area Order.

Having considered the role of central government in a reformed RMA, we turn in the next chapter to the role of local government. While an NEP, and more direct assistance in implementation, would amount to a more active involvement by central government under the Act, this should not take away from the fact that most of the groundwork would still be left to councils. We see considerable scope for reform in how that happens.



ENDNOTES

- 1 Planning is a general term for a collection of different but connected tools being deployed in the same place for the same purpose. It can encompass strategic tools, regulatory tools, and non-regulatory tools. See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 12.
- 2 For example, the NZCPS is the only mandatory central government instrument under the RMA.
- 3 See, for example, The New Zealand Initiative *Go Swiss: Learnings from the New Zealand Initiative's visit to Switzerland* (2017). In recent times, central government has been much more involved in questions of urban planning (precipitated by housing issues) and other land uses (eg forestry). See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 166-167.
- 4 Resource Management Act 1991, ss 30-31.
- 5 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 9.
- 6 Resource Management Act 1991, pt 6AA.
- 7 More direct powers of central intervention and approval are more noticeable in Australian states.
- 8 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 167.
- 9 New Zealand Productivity Commission *Local government funding and financing* (Draft report, July 2019) at 180.
- 10 Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 16, citing C Miller *Implementing sustainability: The New Zealand Experience* (Routledge, 2011).
- 11 For example, see The New Zealand Initiative *Go Swiss: Learnings from the New Zealand Initiative's visit to Switzerland* (2017).
- 12 For example, climate change, food production, nationally significant infrastructure, energy, and housing.
- 13 Especially where it requires central funding.
- 14 For example, in Copenhagen.
- 15 For example, central government created a legislative framing for the development of the Auckland Plan and Auckland Unitary Plan, but decision making was largely left at a local level.
- 16 See also New Zealand Government *Urban development authorities: Discussion document* (2017).
- 17 Even if it is just a robust assessment that local jurisdiction is the best way to achieve the national interest.
- 18 For example, housing supply is not explicitly mentioned in Part 2 of the Act, yet has been a strong focus of recent national direction.
- 19 See R Peart *A place to stand: The protection of New Zealand's natural and coastal landscapes* (EDS, 2004), where it was suggested that nationally and regionally significant landscapes need to be insulated, to some extent, from local politics. On the need to map significant biodiversity areas, see *Report of the Biodiversity Collaborative Group* (2018) at 92, 107. Compare also the recently released discussion document on an NPS for Indigenous Biodiversity.
- 20 The closest the RMA comes is in section 45, where the purpose of an NPS is to deal with matters of national significance. That is not exhaustively defined.
- 21 Resource Management Act 1991, pt 4.
- 22 *Ibid*, s 24; Environment Act 1986, s 31.
- 23 See Resource Management Act 1991, ss 24A-25B. That said, the Department of Conservation has, under separate legislation, an obligation to advocate for natural and historic resources, which in practice results in an important litigation role under the RMA (see Conservation Act 1987, s 6).
- 24 Compare MA Brown and others *Evaluating the environmental outcomes of the RMA* (EDS, 2016), where it was pointed out that a lack of national direction has limited the potential of the system to effectively and efficiently achieve its environmental goals.
- 25 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 3.2.
- 26 At the time of writing, work on an NPS for Indigenous Biodiversity is still being progressed, with a discussion document having been recently released.
- 27 For example, air quality, contaminated land, the protection of drinking water sources, and even the concept of "swimmability" for freshwater are about human health.
- 28 For example, for forestry, urban development, electricity transmission, and renewable energy development.
- 29 Compare M Petrie "Reversing the degradation of New Zealand's environment through greater government transparency and accountability" (2018) 14(2) *Policy Quarterly* 32.
- 30 Which would also be expanded (see discussion on Part 2 of the Act in Chapter 5).
- 31 Communities need to have buy in to make measures most effective.
- 32 Or be targeted at the needs of particular places. Compare Local Government New Zealand *A "blue skies" discussion about New Zealand's resource management system* (2015) at 39.
- 33 See <www.mfe.govt.nz/rma/rma-legislative-tools>
- 34 For example, a new NPS and NES on freshwater.
- 35 Environmental issues were prominent during the most recent election.
- 36 *Environmental Defence Soc Inc v New Zealand King Salmon Co Ltd* [2014] NZSC 38, [2014] 1 NZLR 593.
- 37 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 268.
- 38 On concerns with forestry, see M Wright, S Gepp and D Hall *A review of the Resource Management (National Environmental Standards for Plantation Forestry) Regulations 2017* (EDS and Forest and Bird, 2019).
- 39 See New Zealand Government *Essential freshwater: Healthy water, fairly allocated* (2018); New Zealand Government *Action for healthy waterways* (2019).
- 40 Policy C2.
- 41 Objective suite A.
- 42 Noting this is not yet in the form of a draft NPS, only a discussion document with some potential wording. See New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* (2019).
- 43 There are often sections in discussion documents on such relationships, but these are often fairly vague and are no substitute for cross referencing between actual legal instruments. See, for example, New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* (2019) from 57.
- 44 *Ibid* at 57-58.
- 45 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 100.
- 46 *Ibid* at 268.
- 47 Compare also the United Kingdom National Policy Planning Framework, which was created to align fragmented and conflicting planning policies. See Ministry of Housing, Communities and Local Government (UK) *National Planning Policy Framework* (July 2018).
- 48 R Schofield *Alternative perspectives: The future for planning in New Zealand - A discussion for the profession* (commissioned by the New Zealand Planning Institute, 2007), cited in Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 16.
- 49 As in a combined plan for a region.
- 50 See also the discussion on a self-evaluative system in Chapter 13. Compare G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 287; MA Brown "Compliance, monitoring, enforcement and evaluation" in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018) at 196.
- 51 For example, EDS previously recommended the promulgation of an NPS on nationally important landscapes, which would proactively map landscape boundaries, outline the outcomes being sought from protection, and elaborate on what types of activities were inappropriate within such areas (see R Peart *A place to stand: The protection of New Zealand's natural and coastal landscapes* (EDS, 2004).
- 52 See Environment Act 1986, ss 31-32.
- 53 Compare the discussion in Chapter 13. See also G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 100.
- 54 An alternative to an NEP, explored later in this Chapter, would be to deploy a new tool: a Heritage Area Order.
- 55 Resource Management Act 1991, s 45A(3).
- 56 See J Boston "Anticipatory governance: How well is New Zealand safeguarding the future?" (2017) 12(3) *Policy Quarterly* at 11.
- 57 Compare the Welsh approach: see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 224.
- 58 See J Boston "Anticipatory governance: How well is New Zealand safeguarding the future?" (2017) 12(3) *Policy Quarterly* at 11; and J Boston *Safeguarding the future: Governing in an uncertain world* (Bridget Williams Books, 2017).
- 59 Compare New Zealand Productivity Commission *Low emissions economy* (2018). Budgets, akin to carbon budgets, may also be appropriate for some things (eg pollution) where reductions are required over time to meet targets.
- 60 For example, in the NPS for Freshwater Management, pol A6.
- 61 Environment Bill 2019-2020 (UK).
- 62 Local Government New Zealand *A "blue skies" discussion about New Zealand's resource management system* (2015) at 39.
- 63 Compare the discussion in Chapter 13. See also G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 100.
- 64 *Ibid* at 249.

- 129 M Doole *Conservation system reform: A proposed model to better protect and enhance species and ecosystems in New Zealand* (Unpublished commissioned paper, The Catalyst Group, 2019) at 18.
- 130 Ibid.
- 131 New Zealand Conservation Authority *Protecting New Zealand's rivers* (2011).
- 132 See Resource Management Amendment Bill 2019; New Zealand Government *Action for healthy waterways: A discussion document on national direction for our essential freshwater* (2019).
- 133 For example, forestry activities that require harvesting in several decades' time. This does not mean harvesting cannot occur. It just means that the values protected in the order need to be protected when that happens.
- 134 For example, see the concept of the Fiordland Marine Guardians under the Fiordland (Te Moana o Atawhenua) Marine Management Act 2005, pt 3. This could be a specific role assigned to the EPA, or a bespoke arrangement encompassing those who sought the order and others in the community, including tangata whenua.
- 135 See Chapter 13.
- 136 Resource Management Act, ss 104 and 217.
- 137 Especially for regional council functions (eg sediment, erosion etc) but also for other things (eg amenity and landscape concerns, such as the impacts of forestry near protected waterways).
- 138 For example, future forestry harvesting rights (subject to permitted activity standards under the NES, and therefore not requiring consent) can have enormous impacts due to the runoff of sediment. New plantation forestry activities are also water thirsty, and can impact flows without there being a specific take authorised.
- 139 See <www.stuff.co.nz/environment/117091420/ongoing-silence-over-te-waikoropu-springs-conservation-bid-alarms>
- 140 Compare biosecurity, where compensation is forthcoming where livestock needs to be destroyed to prevent the spread of an incursion.
- 141 For example, through the strategic deployment of funding (as under the Freshwater Improvement Fund) based on where the risk or need is greatest.
- 142 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019).
- 143 Compare MA Brown and others *Vanishing nature: Facing New Zealand's biodiversity crisis* (EDS, 2015).
- 144 Compare the bespoke purpose for water conservation orders in section 199 of the RMA.
- 145 Compare R Peart *A place to stand: The protection of New Zealand's natural and coastal landscapes* (EDS, 2004).
- 146 This raises questions about whether the Environment Court should have power to decide on the final form of a Heritage Area Order, given that the Crown may need to contribute money to its success. The Court should not be able to direct how central government spends money.
- 147 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 107.
- 148 On the need to give effect to, rather than have regard to, national direction in consenting decisions, see Chapter 7.
- 149 Instead of having a separate purpose within the RMA, the outcomes sought could be deemed to be additional bottom lines for the purposes of a revised Part 2; for example, by inclusion of the values protected by water conservation orders as part of the definition of "natural heritage" (see Chapter 5).

the RMA). Infrastructure New Zealand has put forward persuasive reasons for thinking regionally for some things, including urban planning and infrastructure provision.

A spotlight on thinking regionally

Many have stressed the benefits of thinking regionally, which applies both to the specific functions of councils under the RMA and in a broader sense (eg through cross-statutory spatial planning, discussed in Chapter 8). We currently have dozens of regional, unitary and local councils, most of the latter being fairly small, and some have pointed out the increasing challenges and burdens facing them in light of their financial, technical and human capacity.¹⁰ Some of that relates to regulatory services under the RMA (eg plan making, consenting), and some of it is related to the provision of community services (including infrastructure like roads, water pipes and treatment plants, and streetlights). Economies of scale are important for some things.¹¹ That has led to suggestions for shared services or, more dramatically, to fundamentally overhaul what local government boundaries look like.¹²

A recurring criticism of district and regional planning under the RMA is its fragmented nature and a lack of consistency or integration between documents. Since the inception of the Act, there has been the ability for territorial authorities and regional councils to “agree to jointly prepare, implement, and administer” combined district plans and unitary plans (which incorporate both district and regional planning documents).¹³ Yet outside the six existing unitary councils, only the Wairarapa Combined District Plan and the newly announced West Coast Combined District Plan appear to have taken advantage of this. This is despite the direction to local authorities to “consider the preparation of a combined regional or district plan under this section whenever significant cross-boundary issues relating to the use, development, or protection of natural and physical resources arise or are likely to arise”.¹⁴

Despite its benefits (consistency across a region, accessibility for users, potential for shared resources, cross-boundary concerns like labour markets and movements of people), there are difficulties with doing this. Under section 80 of the RMA, a combined document must still be prepared in accordance with the provisions of Schedule 1 of the Act, and needs to be approved by each local authority. This exposes any combined planning process to potentially different political pressures, depending on the councils involved.

Some have therefore suggested that the solution is regionalisation of local government units themselves, whether along current lines or different ones.¹⁵

Overall, our model sees regional cooperation as crucial, and would not be inconsistent with a shift towards regionalisation of council boundaries. That could, for example, see territorial authorities merged with each other, or for them also to be merged with regional councils

to form unitary authorities. Indeed, overall complexity in our model would reduce were that to happen (eg proposals for regional level spatial planning and regional combined plans under the RMA would become simpler because there would be fewer actors involved). We do not comment on exactly how greater regionalisation of boundaries would look, and it is something that must happen in close partnership with communities themselves. It should be subject to a dedicated piece of further work.

Recognising the benefits of regionalism is not to dismiss the importance of localism and community ownership and identity. In many cases grass roots localism makes a great deal of sense.¹⁶ The more basic point, we think, is that issues need to be managed at scales where communities of interest lie and where there is the ability to address issues effectively, efficiently and fairly. There can be tensions between those things, and a difficult adjustment to be made where circumstances change (eg where costs become prohibitive to deal with things at one scale). Communities of interest do not always reflect the ability of a population to fund some of their functions. For example, small and dispersed populations are sometimes expected to fund planning and consenting activities across huge geographical areas that, in some cases (as in the Mackenzie Basin), can have nationally significant implications.

Thus, while conversations often seem to be framed coarsely and pejoratively in terms of council “amalgamation” and “restructuring”, the more important thing in our minds is to test where particular functions should be exercised, allow for those to shift according to context,¹⁷ and build institutional arrangements around them. For example, it would be entirely possible to have regional unitary authorities for things requiring scale and consistency (eg urban growth strategy, infrastructure provision), and for those to be complemented by local boards with clearer functions and more secure budgets.¹⁸ In fact, we have suggested elsewhere that the system have a clearer definition of subsidiarity, which would apply to different aspects of local government as much as it does to the relationship between central and local government. The conversation should focus first on what functions should lie where, not where existing council boundaries should be drawn.

We see a strong case for amalgamation of councils where they are no longer viable economic units, and for scale to be embraced where this is beneficial (eg for the provision of infrastructure and regulatory services). Stronger cooperation will be vital at a regional level, and that would not be inconsistent with further amalgamations or greater regionalisation of council boundaries. However, we encourage a conversation around that to continue, which must cover territory beyond the scope of the resource management system.

A spotlight on the Auckland Unitary Plan process²⁷

The process for producing the Auckland Unitary Plan (an RMA instrument) was outlined in special legislation, following recommendations from the Royal Commission on Auckland Governance in 2009. Auckland's eight former city, district, and regional councils were amalgamated into the unitary Auckland Council, and with them went their associated district and regional plans. With the formation of an integrated institution came the need to integrate the former councils' RMA planning instruments.

However, the first step in the Unitary Plan process was a completely different plan required under another piece of legislation, called (rather confusingly) the Auckland Plan. This was a "spatial plan" for Auckland, the purpose of which was different to the RMA (to contribute to Auckland's social, economic, environmental, and cultural wellbeing through a comprehensive and effective long-term strategy for Auckland's growth and development). The Auckland Plan was to set a strategic direction for Auckland and provide a basis for aligning infrastructure plans, regulatory plans (including RMA ones), and funding programmes of the now unitary Council. We shone a spotlight on the Auckland Plan in the Phase 1 report.²⁸

The Unitary Plan followed a modified RMA (Schedule 1) process, whereby things were (generally) streamlined. For example, while the time for submissions and further submissions was extended (because of the enormity of the exercise), there was no discretionary ability to extend or waive time limits beyond that. The Council was then required to deliver up the proposed plan, all submissions, a section 32 (of the RMA) report and other information to an Independent Hearings Panel. That panel was established by the Minister for the Environment and Minister of Conservation. The entire process from notification to recommendations was required to be completed within three years.

When the Plan was notified in 2013, 13,000 submissions were lodged. Mediations were held on a large number of topics, with participants working on "marked up" versions of the notified plan. Those "marked up" versions were usually put forward by Auckland Council as their preferred version and often formed the starting point of the Panel's consideration. Across 249 days and 70 topics, the Panel considered over 10,000 items of evidence and presided over 4000 appearances by submitters. Hearings were held by topic, with the "big picture" regional policy statement and Auckland-wide topics heard first, before a host of more specific zoning questions.²⁹ Hearings largely followed the usual RMA process, with legal submissions, summaries of pre-circulated evidence, and questions from the Panel. Cross-examination was the exception, rather than the rule.³⁰

However, there were significant challenges, and important lessons. For example, the Council's

summary of requested decisions ran to some 4000 pages, presenting significant issues for submitters in identifying what areas they should lodge further submissions on. The Council itself lodged a lengthy submission on its own plan. Towards the end of the process, it became apparent that the Panel might not report within the three-year timeframe. Last minute changes were made in response.³¹

The result was that, by the end of the process, there was a significant increase in submitter burnout. The rezoning topics, which had a large number of site-specific submission points, were held at breakneck pace in the last four months of the 20-month process, after most of the other Auckland-wide topics had been heard but before any decisions had been made. Hearings on proposed changes to the rural urban boundary, another contentious issue, were also held towards the end of the process. The process was also still also open to political pressure. In February 2016 the Council voted controversially to withdraw evidence it had filed in support of intensification³² in some suburbs. There were also issues with timing, and a lack of higher order policy to inform lower level decisions.³³ Ultimately, decisions about whether to accept or reject the Panel's recommendations lay with the Council. Very little time was provided by law for the Council to consider and decide on the Panel's recommendations. A small number of recommendations were rejected, opening up merits appeal rights to the Environment Court.

The efforts of the Panel to consolidate and integrate Auckland's myriad planning instruments into one coherent document were heroic. That said, implementation has not been without its challenges. Despite constraints on appeals, a number of actions have been filed. A recent decision in the Court of Appeal has even said that the Panel failed to give proper reasons for declining a site-specific rezoning request, and so the Panel (now three years later) must reconstitute to give those reasons. There have also been declaration proceedings brought by landowners, successfully challenging the Council's interpretation of key provisions of its own plan. The result has been yet more plan changes.

In short, and as shown in Figures 7.1 and 7.2, we are floating the idea of reducing a two-stage process for plan making to (largely) a single stage. Because of this, we consider there would no longer be a need for a separate "streamlined" planning process in the RMA. However, as we expand upon below, we are also floating two sub options for feedback.

7.4 Option 1: An Auckland Unitary Plan-type model

Option 1 is based broadly on the kind of model used in developing the Auckland Unitary Plan, where an independent institution considers a proposed plan, makes recommendations to councils, and where merits appeals are then constrained.³⁴ However, there would also be significant differences to the Auckland Unitary Plan process.

and ensure that planning happened in a coordinated way (including making links to plans under other acts).³⁷ As we said in the Phase 1 report:³⁸

Councils write a huge number of plans: long-term plans and annual plans, pest management strategies, flood management plans and asset management plans, regional and district plans, and transport plans. Those are often produced by different parts of the same organisation...

Some councils have created central "policy" teams – for example Taupō District Council has a policy team that works across different legislation (notably the RMA and Local Government Act). This allows the council to deploy policy resources efficiently to meet fluctuating workloads ... [and could] help lead to more integrated plans as an alternative to legislative integration.

We would also envisage a framework that encouraged creative mechanisms for public engagement as part of plan creation, including the potential for informal collaborative processes³⁹ and citizens' assemblies and juries (see below). Plans should not *just* be imposed from the top down,⁴⁰ and more emphasis needs to be placed on community co-design rather than reactive submissions and litigation. Community and stakeholder buy in and ownership is essential to durable outcomes, and innovation in engagement will be important to reach out to what will be a more diverse and rapidly changing population, especially in urban areas.⁴¹ There is huge potential in the use of social media and technology to innovate, which many are already exploiting to positive effect.⁴² As the New Zealand Initiative has pointed out:⁴³

Simply put, when people get a chance to see how their efforts actually make a difference to the outcome, their level of interest in the discussions increases.

Greater experience in engagement also supports public understanding of the kinds of decisions councils face.⁴⁴ In particular, we see collaborative processes (which we shone a spotlight on in the Phase 1 report)⁴⁵ as a good idea in principle. Getting stakeholders in a room together to work through disagreements and find common ground can create more durable agreements, encourage creativity, reduce later tension and litigation, and provide for increased awareness of issues.⁴⁶ Although they were not without their challenges, significant steps forward have been achieved through groups like the Land and Water Forum and the Sea Change – Tai Timu Tai Pari Stakeholder Working Group, which were designed to influence policy more broadly than just under the RMA.⁴⁷

In the RMA specifically, a collaborative group's consensus recommendations could usefully be something to which decision-makers are obliged to have particular regard.⁴⁸ However, we see the existing collaborative planning track in the RMA as inherently risky, complex and difficult to formalise in legislation as a replacement for (or alternative to) a more general planning process.⁴⁹ In particular, it leaves few safeguards around who can be appointed to a collaborative group, raising risks of entrenching existing interests and creating power imbalances.⁵⁰ A collaborative process can bring with it a risk of relegating biodiversity

outcomes to the decisions of vested resource users, often with a short-term focus, and devolving statutory responsibilities to the public. It can unduly place a burden of responsibility on a collection of under-resourced environmental groups and individuals. While collaborative processes have significant value as inputs to broader planning processes, and potential in determining the "how" when evidence determines the "what" (eg in deciding how to deallocate existing rights within a catchment in order to meet environmental limits), they have weaknesses in setting hard agendas (the limits themselves). The most recent amendment bill to the RMA proposes dispensing with the formal collaborative process currently contained in it.⁵¹ That is for the best, but could usefully be complemented by the creation of more general principles for informal collaboration through national direction.

A spotlight on citizens' juries and assemblies

In the Phase 1 report, we floated the idea of formalising the use of citizens' juries in the local planning process, as a way to ensure a wider variety of voices are heard. We explained that:

Members of the jury are randomly selected from the relevant population. They jointly hear submissions and evidence, deliberate and reach a conclusion. Such juries have been extensively used overseas...

In the New Zealand context, such a jury could be established, for example, through randomly selecting between 10 and 20 participants from the relevant district or region. The jury could sit in on the public hearings of the proposed plan provisions and then meet to deliberate and provide recommendations to the council. The council could be required to take the recommendations into account.

This model could also be used much earlier in the process, so that a citizens' assembly actively contributed to creating a plan or plan change. For example, in Vancouver, the City Council established a citizens' assembly to develop a plan for the Grandview-Woodland community.⁵² An open invitation resulted in 500 volunteers, from which 48 members were selected by lottery.

Recommendations in such a model should not be binding (they are not a substitute for local democracy or a replacement for firm limits to achieve environmental bottom lines), but they should have substantial moral authority, contribute useful local information, and provide an indication of community feeling. They should be one matter to take into account.⁵³ Broad citizens' assemblies could be supplemented by ones targeted at under-represented groups (such as youth).

Furthermore, we see a valuable opportunity for direct input from central government in the development of council plans. That proactive input is lacking at the moment,⁵⁴ and would be valuable early on so that plans (and plan changes) could develop in a way that gave effect to an NEP and linked well to other statutory

A spotlight on the Christchurch Replacement District Plan process

The traumatic earthquake of February 2011 presented many challenges for the people of Canterbury, not least of which were crucial decisions as to how Christchurch was to be rebuilt and what shape it would take. Central to this was the development of a Replacement District Plan, effectively rewriting the rulebook for the Christchurch metropolitan area. Pursuant to the Canterbury Earthquake Recovery Act 2011, The Canterbury Earthquake (Christchurch Replacement District Plan) Order 2014 modified the RMA to provide a streamlined process for the review of the existing district plans and for the preparation of a comprehensive replacement district plan for Christchurch.

The process provided for the notification of proposals for a replacement plan and for the making of submissions. A hearings panel, appointed by the Minister for the Environment and the Minister for Canterbury Earthquake Recovery (in consultation with the Christchurch City Council) conducted hearings and made decisions on whether to make changes to any proposal. Almost 5000 submissions were considered, covering over 48,000 submission points in 134 decisions.

The process was complex, and made more so by the overlay of central government direction through a "Statement of Expectation" and the Recovery Strategy (the new Plan had to "have particular regard to" the former and "not be inconsistent with" the latter). The Plan was set down for hearing in three stages. Generally, the first dealt with the strategic level outcomes, temporary activities related to earthquake recovery, repair and rebuild of multi-unit complexes, and rezoning of particular land under the Land Use Recovery Plan. The remaining topics were heard across the remaining two stages, with decisions released on those stages in batches.

The panel notified the stage-one proposal in August 2014. At the other end of the process, final decisions were made in December 2016. Unlike the Auckland experience, the decisions of the Panel were final, and the Crown (through the Canterbury Earthquake Recovery Authority) participated heavily. There were no appeals to the Environment Court, only to the High Court on points of law.

The process was not without its critics. Participants reported feeling bruised by the adversarial nature of the hearing process. Unlike Auckland, cross-examination was the norm rather than the exception. An independent review part way through the process also found that the Council had "not produced an effective plan" for the panel to consider. Staging, in particular, made it difficult for participants to know on which topic and at what level to engage, and by the end of the process some submitters found out that their chance to effect change had already gone.

A spotlight on Māori as gatekeepers

There are significant questions to be asked in the local planning context about the role of Māori, especially in light of any strengthened Treaty obligations in a revised Part 2 of the RMA. Should iwi and hapū as "representative" groups be treated as gatekeepers (ie final decision-makers, among others) at the system-wide level,⁶⁸ not just as co-designers in plan production, or "expert" advisors on Māori issues or tikanga/mātauranga? Is a strengthening or greater resourcing of Mana Whakahono ā Rohe agreements the way forward, to allow those questions to be tailored and negotiated up front between councils and Māori?⁶⁹ Do they need to be brokered more actively by the Crown as Treaty partner?⁷⁰

In the model described above, there is provision for co-production of plans by mana whenua⁷¹ and independent review by a Tikanga Commission/ commissioners. This recognises that Māori are not just "objects" of the system to be protected, but also Treaty partners whose voices must be heard and contribute to plan development.⁷² This is more than just "consultation",⁷³ and should ensure that sites and landscapes of particular significance to Māori are identified in plans, preventing the kinds of issues that arose in relation to the non-notified consenting of earthworks on Te Mata Peak.⁷⁴ Support is needed for the proactive identification and management of sites of cultural significance as well as structured feedback about the adequacy of protections, not just provisions allowing for these things to be considered on a reactive basis.⁷⁵

Our model should also address concerns that iwi management plans have proved only a weak input to RMA processes despite councils having to take them into account,⁷⁶ given that there would be a champion for such plans in the plan development process. The exact nature of what collaboration looks like would not necessarily need to be prescribed by law.⁷⁷ But it may require greater resourcing by the Crown to allow some iwi and hapū to collaborate meaningfully.⁷⁸

However, recommendations in the model described above are still ultimately left to be accepted or rejected by councils, followed by potential (albeit constrained) appeals to the Environment Court. Thus while the model strengthens Māori involvement relative to the current RMA process, some may question whether it goes far enough to give effect to the principles of the Treaty.⁷⁹

Alternatively, there could be more fundamental institutional reform to actual decision-making entities. For example, a future system could introduce Māori wards for councils, or provide more specifically for co-governance arrangements and power sharing between councils and iwi/hapū (and potentially also the Crown, as under the Waikato River Authority model).⁸⁰ There could even be the mandatory transfer of some functions (eg where control is in relation to

7.5 Option 2: A hybrid hearings panel

Option 2, shown in Figure 7.2, looks quite different to both Option 1 and the status quo. It seeks to combine the independent and accountable aspects of decision-making into a single-stage hearing by one “hybrid” institution. This reflects the idea that independence and accountability, as well as central and local, can be reflected in the internal design of a single institution rather than having hierarchical roles for separate institutions (eg first instance decisions followed by appeals).⁸⁶

In this model, proposed regional and district plans would be prepared separately by territorial authorities and regional councils (albeit with a direction to work together), in close collaboration with iwi and hapū. (As in Option 1, there would be room for collaborative processes and creative forms of community engagement, such as citizens’ assemblies, to inform that process.) Regional and district plans would continue to remain separate (ie they would not be joined into a combined plan), although

regional plans and regional coastal plans would be integrated into a single regional document.⁸⁷

However, instead of a truly independent hearings panel (the Futures Commission) considering submissions and making recommendations, there would be a hybrid institution making a final decision. This would comprise Environment Court and/or independent commissioner expertise, iwi/hapū, as well as elected members of the relevant territorial authority or regional council.⁸⁸ There would also be the opportunity for Crown and (for district plans) regional council representatives to contribute as observers. In the current system, there are very few formal places where this kind of coming together of different levels of government, and government with Māori, occurs, and we think it would be a positive step.⁸⁹ An alternative way of looking at the model would be for the Environment Court to simply be “co-opting” members onto a panel in a way prescribed by statute.⁹⁰ Either way, the panel would have latitude to establish its own procedures.⁹¹

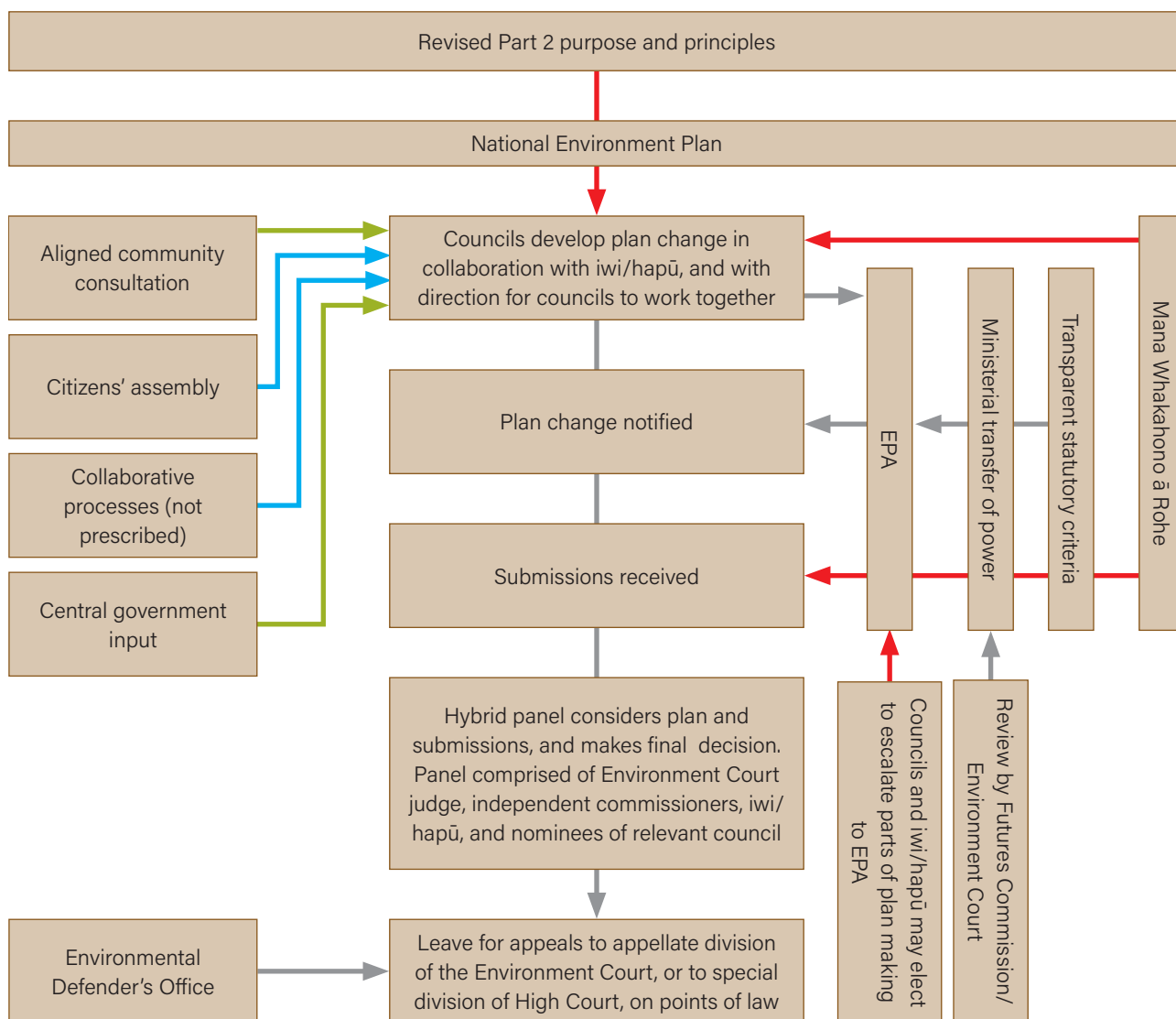


Figure 7.2: A “hybrid” panel model for council planning under the RMA. Red arrows denote strong directions (eg give effect to); blue arrows denote medium-strength directions (eg have particular regard to); green arrows denote weak directions (eg take into account); black arrows denote process directions.

7.6 Which option is better?

While some may see the current Schedule 1 process as preferable to either option described above, on balance we consider a new approach is needed to provide greater agility. Option 2 offers some benefits in terms of (arguably) a more democratic blend of panel members, as well as a (largely) single-stage process. However, it has drawbacks. Some of these have been mentioned above (questions over the relative representation between different groups, and how conflicts are resolved).

Furthermore, the model would not address the fragmented planning landscape, or integrate plans at the regional level (through a combined plan). Instead, it would see the retention of district and regional plans as separate instruments. While it would be possible to require councils to work together across boundaries in developing a single plan for a region (as in Option 1), the hybrid institution proposed in Option 2 would present serious challenges when it came to making final decisions on such a plan. In particular, it would undermine local democracy if panel members from, or nominated by, one local authority (eg Porirua) could have influence over decisions applying to another (eg Wellington City). There would therefore need to be sub-panels that applied only to particular district plan or regional plan components, with the same judge and commissioners sitting across all of them. That strikes us as introducing too much complexity.⁹⁴

The model could, however, have real promise in the event of council unitisation at a regional level. Option 2 could also be a feasible model for future reviews of the Auckland Unitary Plan or the plans of other existing unitary authorities, where a single plan for a region can be produced by a single democratic institution.

Option 1 has definite attractions, including the consolidation of district and regional planning objectives, policies, and rules within a single combined plan. However, while it *constrains* merits appeals, it does not entirely do away with them. Furthermore, while a

recommendatory (rather than binding) role for the Futures Commission preserves some elements of local democracy (councils make final decisions on the plan),⁹⁵ it also opens the door to continued politicisation of issues. Whether that is a good or bad thing may depend on one's perspective.⁹⁶

Both of the options outlined above have positive and negative features. As described below, we see merit in deploying each of them in different circumstances.

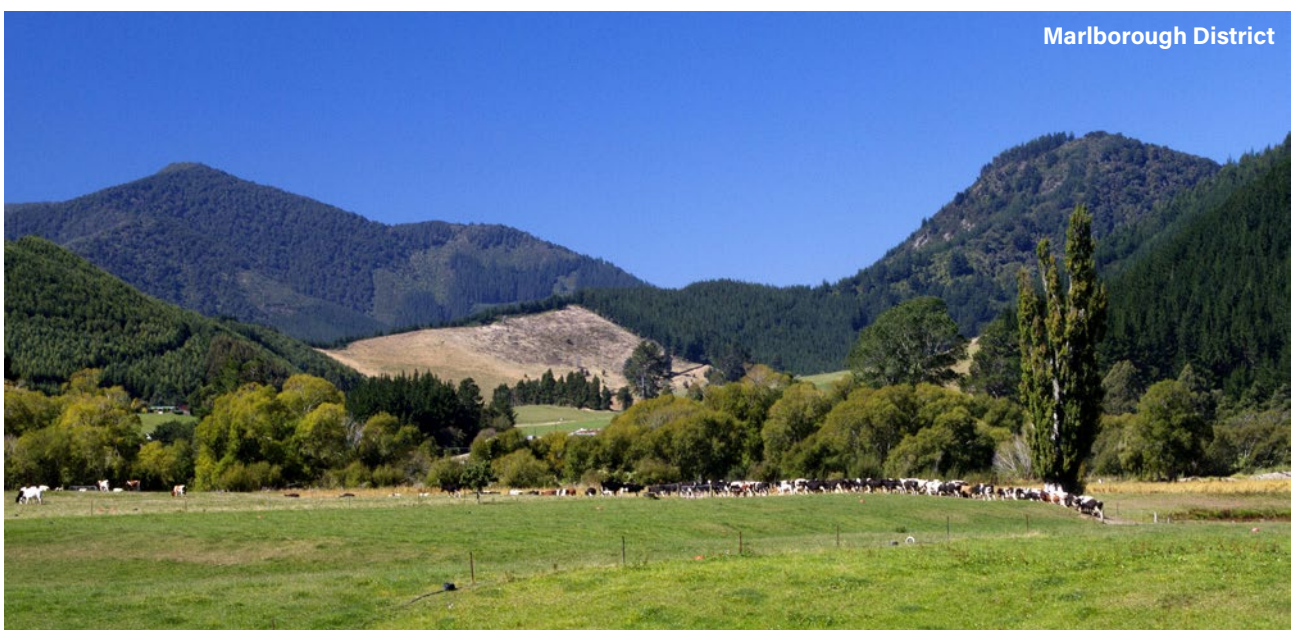
7.7 On the distinction between plan “creation”, “change” and “review”

On balance, we are thinking that Option 1 is a preferable process for plan *creation*. This preference is because we see a greater regional level cooperation in plan making – through a single, coherent combined plan – as a good thing for the future. It would be difficult to achieve that in Option 2, because of the nature of the hybrid panel proposed.

However, there is a potentially important distinction in process to be made between plan “creation” and plan “changes”. Lying somewhere between those two concepts is the idea of a plan “review”. In some cases a plan review can be an assessment of a whole plan (similar to creating a new plan), and in others it can be more targeted (eg rolling reviews of particular “topics” that are more akin to changing a plan in a targeted way). Many RMA plans are now reviewed in this manner.⁹⁷

Do we really want an Auckland Unitary Plan-style process for every single plan change, given that these vary considerably in their potential impacts, geographical extent, and complexity?⁹⁸ The strength of the status quo is that simple or minor plan changes (or those having little opposition) need not be escalated to the Environment Court at all (if there are no appeals), with councils retaining effective control.

Currently, the Schedule 1 process in the RMA applies to both plan creation/review and plan changes, but that



Plan "reset" following development of NEP and revised Part 2

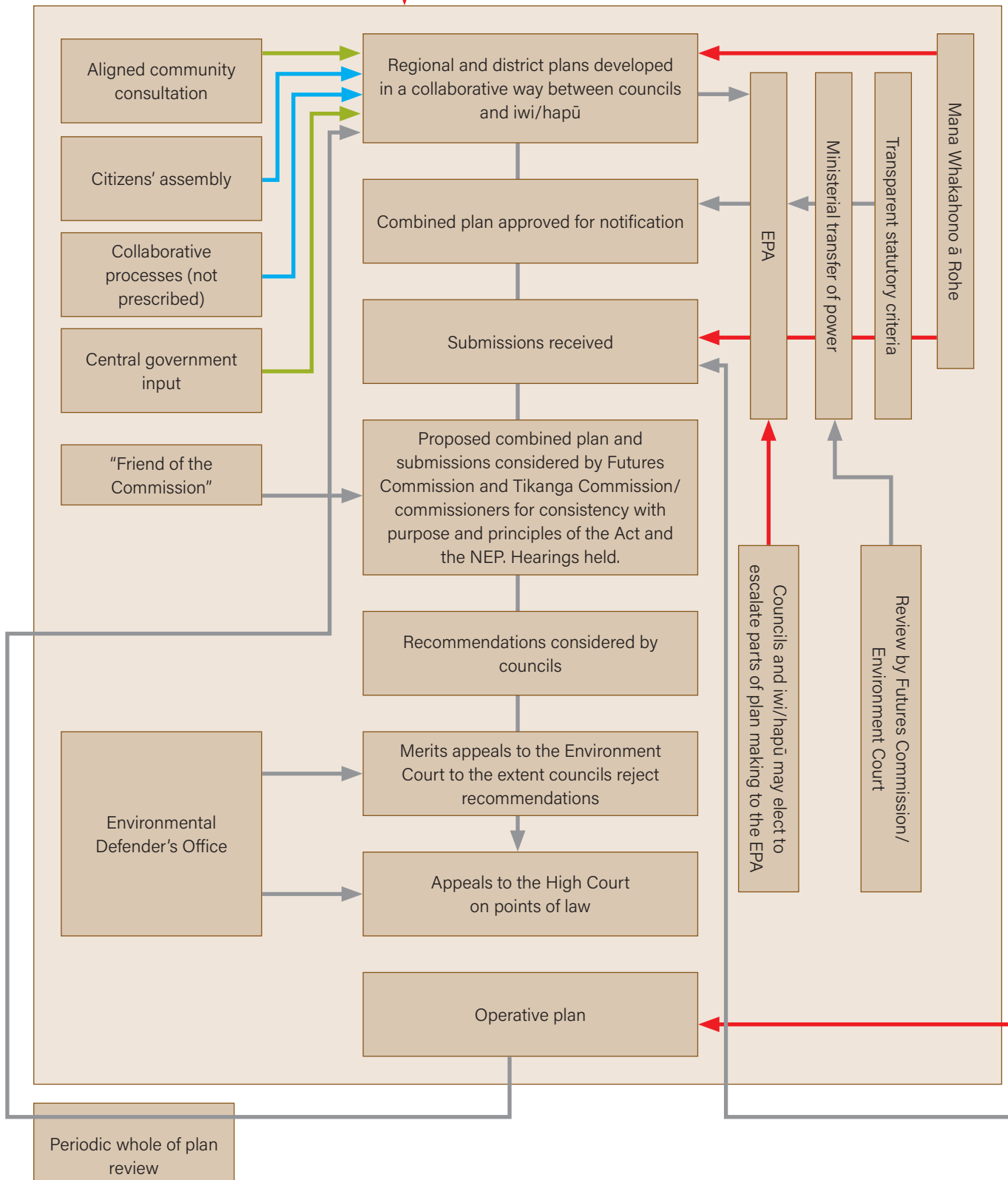


Figure 7.3: Separate processes for plan creation/review and plan changes.

It is also significant that plan *changes* (rather than plan creation or whole of plan reviews) are likely to apply only to a single council area/jurisdiction (eg an application to rezone land in one district). This means that the hybrid decision-making entity in Option 2 is far more suited to that process than to a region-wide review of a combined plan. The panel's members would be comprised of a mix of independent members and nominees from the relevant council and iwi/hapū, but there would be no representatives of *other* councils and therefore no perverse outcomes for local democracy.¹⁰⁵

A spotlight on mixed-membership panels for private plan changes

Increasingly, decisions on private plan changes under the RMA are being handled by entirely independent hearings panels.¹⁰⁶ Those panels then report back to the relevant council with recommendations, which are either accepted or rejected. Other panels have included a blend of independent and councillor membership,¹⁰⁷ with a similar reporting and recommendatory function.

This trend is not so different in principle from what is being floated above, in that there would be a mix of independent and accountable decision-makers in a single institution. The key difference is that this would be formalised in legislation, and that the independent element would integrate the appellate function of the Environment Court with the first-instance hearing function of independent commissioners into a single stage. There would also be a more permanent place for mana whenua, and appeals from the panel's decisions would be limited to points of law.

An important thing to note is that plan changes are not all alike. In particular, some will be needed to give effect to changes to national direction (in an NEP). For some of these it would be appropriate for the normal plan change process (floated above) to apply, such as where general policies in an NEP need to be implemented over time. For others (such as regulatory components or policies of more specific or urgent application), it would continue to be important for NEP provisions to have the ability to be directly inserted into council plans.¹⁰⁸



Langs Beach

We see merit in adopting both of the two options outlined above, but in different circumstances.

Option 1, involving a wide-ranging independent review from a standing Futures Commission and the ability for constrained appeals to the Environment Court, would be used as a robust process for resetting existing plans under a reformed RMA at an integrated, regional level. It would also be used for periodic whole of plan reviews, and where significant plan changes were escalated on the initiative of the responsible Minister or the Futures Commission.

Option 2, involving a single-stage hybrid decision-making panel comprised of Environment Court judge/commissioners, council representatives, and iwi/hapū representatives, would be used as a process for other plan changes (except where an NEP required direct insertion of a provision into a plan).

7.8 Regional policy statements in a future system

One of the key lessons coming from the Auckland Unitary Plan process has been the need to resolve higher questions of policy before addressing more detailed questions around rules and zonings. And while regional and district plans contain objectives and policies, the ideal place to provide strategic guidance is in the higher level regional policy statement. This must be given effect to in plans, and cannot be changed through private plan change applications.¹⁰⁹ It therefore offers a valuable form of policy stability and integration. We have heard from many people that getting this level of decision-making right is crucial, and that in some cases its potential is not being realised. Some have pointed out, for example, that these instruments have sometimes been used primarily to parrot general statements from the RMA rather than elaborate on them in the regional context or provide for their specific spatial expression. One reason offered for this was that councils fear legal challenge if they stray too far from what the Act clearly states.

We agree that a regional level policy instrument is vital to integrated management. In the Auckland model, a regional policy statement has been incorporated into the unitary plan.¹¹⁰ That approach could be rolled out more broadly in the model described above, with decisions taken on that component before proceeding to more detailed questions.

However, in Chapter 8 we discuss the need to have regional spatial planning that aligns not just matters under the RMA, but also other legal frameworks (eg those concerning transport and other infrastructure). This would happen under an overarching piece of legislation – a “Future Generations Act”.

The key question, then, is whether it would then be too duplicatory to have both regional spatial plans under that legislation *and* regional policy statements under the RMA.

extensive argument and interpretation of a 'rule-like' policy ... Where were the actual rules?"¹¹⁹

There are different ways in which we could move our emphasis away from consenting and towards planning. One would see greater use of permitted activity status in plans. In other words, if people met minimum standards, which would be prescribed in more detail, no consent would be required. We do not think reforms should travel down that path. Standards for what may be carried out "as of right" have generally been too large and should, in contrast, be strengthened. If nothing else, compliance with permitted activity standards is much harder to monitor than consent conditions.

It would be preferable, we think, to focus on making policies more specific, clarifying the relationships and hierarchies between them, and tailoring them towards requirements for particular activities and sectors rather than general statements of desirable environmental outcomes.¹²⁰ It would also be desirable to provide for more common minimum consent conditions for particular types of activity.

In some senses, this would be a shift away from an "effects-based" framework. While consents would still be required, it would be clearer in advance what the outcome would be and what kind of conditions would need to be complied with. A revised Part 2 of the Act would also make clear that environmental bottom lines (minimum outcomes) would need to be translated into regulatory limits. We expect they would be associated more strongly with prohibited activity status and moratoria in plans, for which consent could not be applied for.¹²¹

Close consideration should also be given to smoothing the regulatory pathway for projects that have significant environmental *benefits* (eg through permitted or controlled activity status).¹²² However, there is a need to be acutely aware of the risks that many "beneficial" measures (eg renewable electricity) can still have. For example, we have previously highlighted that a high trust model for plantation forestry embedded in a sector-specific NES (including extensive use of permitted activity standards and a permissive approach to clear-felling methods) is an uneasy fit for a high risk industry that requires close consideration through a consenting process (including at the point of afforestation or replant, where many legacy impacts can be locked in for decades to come).¹²³ However, there is a stronger case for implementing permitted activity standards (in appropriate areas) where continuous cover forestry is proposed.¹²⁴

Overall, we think a future system should provide greater predictability in advance through environmental standards and clear policies in plans, rather than relying on the discretionary weighing of general and potentially conflicting policies through a string of consenting decisions. Environmental limits defined in a revised Part 2 would need to be translated into regulatory limits, associated more strongly with prohibited activity status, moratoria, or common mandatory consent conditions.

That said, a degree of discretion in consenting will always be important, as plans cannot cover every eventuality. Tailoring conditions to the needs of a particular proposal can also lead to better overall outcomes. So while more relative emphasis should be placed on the planning stage, some form of project-specific authorisations will be required in a future system. However, we suggest a number of reforms.

We see a case for jurisdiction over some forms of consent (eg for freshwater in vulnerable catchments) to be assumed by the arm's-length EPA, through the exercise of the Minister's powers of transfer.¹²⁵ That would be a logical complement to the transfer of related regulation-making powers from councils to the EPA, as mentioned earlier. Again, there should be clearer principles in the Act around when such a power can and should be exercised, to provide safeguards for local democracy.

Furthermore, a more holistic view of consenting should be taken where possible. In particular, there should be stronger directions for consent authorities to bundle related applications and consider them as a package. At present, as has been experienced in the context of the Mackenzie Basin, it is possible for consent authorities to assess a string of consent applications one by one to the detriment of the bigger picture.

For the same reasons, we see merit in formalising tailored, property-specific, environment plans (eg farm level environment plans) rather than consenting individual activities on an ad hoc basis.¹²⁶ Those would need to have regulatory effect and be enforceable (ie in the nature of a holistic resource consent), not be a parallel or alternative framework to the RMA. However, at the same time, they could be linked to funding and other support from councils and/or government (eg to provide for ecosystem services and environmental enhancement activities).

Public participation in consenting – especially whether we retain a two-stage hearing process – is an even bigger question. Some consider that the consenting process is too long and cumbersome, although that is as often a complaint about council practice as it is about the availability of appeals. There may be some grounds for private appeals to be curtailed if we were to have an effective, independent and adequately resourced Environmental Defender's Office to take on public interest litigation under a firm advocacy mandate.¹²⁷ Constraining merits appeals in this way might even then allow for greater public notification of consent applications (because notification would no longer be automatically linked to hearing or appeal rights),¹²⁸ enhancing both communities' and decision-makers' understanding of what is happening in their environment and reducing developer pressure for applications to be non-notified.¹²⁹

However, as we have seen with the Department of Conservation's advocacy role in recent memory, institutional arrangements for public interest litigation can be susceptible to budgetary and political constraints.¹³⁰ We need to think carefully about whether appeal rights are truly worth giving up in the context of consents. While

Close consideration of the duration of consents and how they are reviewed will be important too,¹³⁶ as will procedural alignment between different permitting processes (including cross-statutory ones). We have previously highlighted that:¹³⁷

For consents, we have direct referral to the Environment Court and call-in procedures where council decision can be bypassed, and a separate designations regime... we also have separate ... permitting processes under multiple conservation statutes, mining legislation, marine and coastal legislation, and the Building Act. Is this too complex? Is it time to rationalise, or at least connect these ... processes even if we do not integrate statutory frameworks themselves?

We see merit in the idea of an integrated “project permit”.¹³⁸ This would be for complicated projects requiring multiple authorisations across statutes (eg those mentioned above), and would be used to align decisions in a procedural sense. An application could be lodged with the EPA, which would oversee the process.¹³⁹ However, it would not be a “carve-out” for significant projects, and would still require each authorisation to be obtained from decision-makers under the usual decision-making criteria (eg Part 2 of the RMA for resource consents).

A future system could usefully provide for an integrated permitting process (a “project consent”) for complex or nationally significant projects, which would align permitting process under multiple statutes.

Furthermore, if there were to be a robust process for producing integrated national direction in the form of an NEP, and that were deemed to implement Part 2, we see little justification for then throwing everything up in the air again at the consenting stage in a big bowl of policy soup. It is remarkable that we have a statutory direction for consent decisions only to “have regard” to national direction alongside a whole range of other matters (including anything relevant and reasonably necessary to consider), yet a clear directive to “give effect” to national direction in local plans.¹⁴⁰ This should be changed to a direction to “give effect to” or at least “be consistent with” national direction when considering resource consents.¹⁴¹

Restrictions on how councils can consider climate change in consenting decisions, in place since 2004, also need to be removed or heavily amended. It is anomalous not only that the greatest existential environmental threat of our age fails to get a mention in Part 2 of the Act, but also that (effectively) it specifically cannot be considered at all when planning and consenting decisions are being made under the RMA.¹⁴² That requires urgent attention. We discuss this further in Chapter 9.

Section 104 of the RMA should clarify that consenting decisions must at a minimum be consistent with national direction. Restrictions on councils considering the impacts of activities on climate change should be removed or heavily amended.

Intimately related to a consenting framework is a framework for monitoring and enforcing compliance with consent conditions and other regulatory requirements.¹⁴³ This is explored in the section that follows. Alongside both of those things, though, institutional (and funding) arrangements will be crucial.¹⁴⁴ In particular, we have pointed out previously that:¹⁴⁵

it is arguable that an institution responsible for creating policy and regulation at the beginning of the policy cycle should not be tasked with enforcement or dispute resolution at the end of it. This reflects an idea central to the separation of powers more generally, that those responsible for creating the law should not be those responsible for interpreting and applying it. Although resource consent decisions are essentially a regulatory role, they are also about implementing values rather than determining them. We can see a recognition of these risks in a trend towards the use of independent commissioners for consenting decisions within councils, and the use of good practice guidelines in depoliticising enforcement decisions.

... a future system could formalise the already common practice of using independent decision-makers (eg commissioners or the Environment Court, or even an expanded EPA) to make decisions on individual projects (eg through resource consents or similar). Infrastructure New Zealand’s concept of a Planning and Environment Commission can be understood in this light; that is about independent decision-making on projects.¹⁴⁶

As mentioned above, while we see a case for the EPA to become more involved with consenting certain types of application where there is a national interest, it would be excessive and unnecessary to remove all consenting responsibilities from councils. However, we see a firmer case for removing consenting functions from elected councillors, and placing them firmly with council staff, independent commissioners, or (on appeal or direct referral) the Environment Court. Presently, only a small fraction of consents are decided by elected members anyway.¹⁴⁷ Consenting decisions are arguably much more about applying values already established through planning instruments, rather than deciding value-based questions, and therefore much more amenable to independent analysis.¹⁴⁸ Furthermore, rather than having councils appoint independent commissioners, we see merit in establishing a nationally accredited pool of standing independent commissioners (perhaps under the umbrella of the Futures Commission, or the EPA), which would be deployed upon request from councils.

A future system could usefully see jurisdiction for consenting decisions removed from elected councillors and placed firmly with council staff or commissioners (or, upon direct referral, the Environment Court). Commissioners could be drawn from a standing pool of accredited commissioners under the umbrella of the Futures Commission or EPA.

7.11 Compliance monitoring and enforcement under the RMA¹⁴⁹

There is no point having a system that imposes limits on human activities (eg through prohibited activities or consent conditions) if those limits are not respected in practice. Ensuring that the regulated community is actually complying will be crucial, particularly under a future RMA that, through national direction, local plans, and consents, still allows substantial resource use subject to a wide range of carefully considered environmental limits.¹⁵⁰

Although robust monitoring and information gathering is important for much wider reasons, it is also essential for reasons of ensuring compliance. In other words, authorities need to know if people are conforming with their environmental obligations (eg through baseline and ongoing monitoring)¹⁵¹ and, if they are not, the extent to which there is non-compliance (eg through reactive investigations). Similarly, while formal enforcement is important (in the sense of forcing people to comply through mechanisms like abatement notices, enforcement orders and prosecutions) it is not the only method of achieving compliance and other softer measures can be used (eg education and positive reinforcement).¹⁵² The system must also have robust mechanisms to address any failures to comply if they do occur. Enforcement is about remedying breaches (eg cleaning up any pollution) as well as providing punishment and a deterrent for future breaches.

This aspect of the resource management system, which cuts across multiple regulatory regimes, is often called “compliance monitoring and enforcement” (CME), to distinguish it from monitoring and enforcement undertaken for other reasons (eg state of the environment monitoring).

Monitoring and enforcement will be crucial to a future system, including to ensure that people are complying with their obligations under the RMA and other regulatory frameworks.

Previous work, including by EDS, has highlighted alarming shortcomings in a system that generally seems to place more emphasis on planning and consenting than compliance.¹⁵³ Inadequate oversight for the last 30 years by the Ministry for the Environment has allowed this failure to persist, and limited external evaluation of the effectiveness of CME has occurred.

The CME system also remains highly fragmented; it is reliant on marshalling the efforts of 78 different agencies with a slew of often competing priorities and often limited capacity and capability, and with little overarching national level or statutory guidance. Agencies undertake the role with varying degrees of capacity and enthusiasm, meaning the consequences of causing environmental harm are far from uniform nationally and do not necessarily reflect the strength of provisions in plans and consents. More specifically, key outstanding issues include:

- Some councils are reluctant to use (particularly punitive) enforcement mechanisms, leading to a very inconsistent pattern of enforcement activity across the country.¹⁵⁴
- Councils (particularly territorial authorities) appear to struggle to maintain core resourcing. For instance, the 2017/2018 National Monitoring System data set shows that 37 of 78 councils (approximately half) had one or fewer full-time equivalent staff for RMA compliance monitoring, and 13 of those (17 per cent of councils) have zero capacity at all (all of these are territorial authorities). This highlights that CME activity and capability is largely concentrated at the regional (and unitary) level. A lack of resourcing is aggravated by only weak provision for cost recovery for compliance related monitoring.
- Managing information on CME is generally poor, and there are insufficient tools to support effective prioritisation in the deployment of resources.

A failure to insist upon compliance, and to use the full range of tools available to do so, appears to have been material to significant environmental decline. The drivers for this are many, but low political priority and resource shortfalls (which in themselves are strongly correlated) are significant contributors. That said, recent years have seen an upsurge in recognition, effort and resourcing, and the increasing professionalisation of the discipline is likely to lead to improved environmental outcomes.¹⁵⁵ It should be noted that such improvements are mostly concentrated at the regional level.

We do not see a need to completely overhaul institutional arrangements relating to CME, at least in the short-term (eg transferring all RMA enforcement functions to a national agency). In other words, we see a strong case for the task of enforcement to be linked, within a single institution, to related regulatory (eg consenting) functions. The logic is that those who impose consent conditions are well placed to understand and manage the enforcement of them. This suggests that default CME responsibility under the RMA should remain with councils (or other agencies responsible for imposing consent conditions).¹⁵⁶

That said, other measures should be taken. For example, we see a case for amending the Criminal Procedure Act 2013 to specifically identify council prosecutions as “public”, thereby attracting the mandatory oversight of the Solicitor-General. A future system could also usefully increase and broaden the range of civil and criminal penalties available under the RMA, to provide flexibility and effective deterrence.¹⁵⁷ The introduction of a formal warning mechanism that can be issued without delay (onsite, like a parking ticket), the expansion of possibilities for financial penalties (eg a broader schedule of fines by activity, means-based sentencing, asset seizure, and the removal of fine limits etc) could help. This has been echoed by the government’s resource management system review group, which has pointed out that “Penalties imposed by the courts at sentence are often dwarfed by the commercial gain obtained by the offender”.¹⁵⁸

Finally, if things did not improve, a conditional reform may be that default enforcement responsibility under the RMA could simply be transferred to the EPA. That would be a “backstop” measure,¹⁷¹ and if it were seen as a realistic prospect (eg legislated for without coming into effect) could act as a powerful incentive for practice to improve.¹⁷² We note that this is not, however, an ideal scenario, given the strong links that need to be made between consenting decisions, monitoring of compliance with conditions,¹⁷³ and enforcement where there are failures to comply. Furthermore, local institutions are usually best placed to understand local conditions, including what works best for compliance, as long as they face the right incentives. In our view, strong incentives for improvements would already be offered by the ability for the EPA to take over enforcement actions.

We see a much stronger role for the EPA in enforcement, including powers to take over or commence enforcement action, and active oversight of council CME activities. There should be clear criteria for when the EPA would get involved in enforcement at an operational level.

Finally, it is worth emphasising that effective CME is not just about ensuring that the conditions of resource consents (or other specific authorisations like conservation concessions) are complied with. The monitoring and enforcement of permitted activity standards (where activities can occur without a consent) are also crucial, as this is where many cumulative effects are felt.¹⁷⁴ Policy makers will need to give careful thought to associated funding arrangements.

In particular, greater cost-recovery for permitted activity monitoring should be explored across the system. This would be fair, because it would impose the burden of monitoring on the regulated community in line with the polluter-/user-pays principle, rather than on the community as a whole. Recouping costs would also mean fewer financial barriers to councils performing this function. Recent efforts have been made, for example, to do this in the context of forestry, given the use of a rules framework that relies heavily on permitted activity standards.¹⁷⁵ Options here could include the use of targeted rates and levies,¹⁷⁶ but the RMA itself could also be firmer in setting general expectations around cost-recovery.

Greater cost recovery for monitoring and enforcing permitted activity standards should be sought in a future system.

Overall, we see a need for a future system to have greater standardisation of approaches to CME (potentially through national direction or other regulations), stronger resourcing, the provision of incentives to do it well (carrots and sticks), a stronger national role in both enforcement and oversight of CME undertaken by councils (through the EPA), and stronger requirements for integrated reporting and evaluation of CME activities. While the need is particularly important under the RMA, these features will also be important under other regulatory regimes in which CME occurs. For example, it may be possible for the EPA to act as a watchdog and take on enforcement functions under conservation legislation if there were failures to perform adequately.



Whanganui

There are also different forms that allocative questions can take, and each poses its own set of challenges. We can allocate new rights where no rights have previously existed (or where existing rights have expired); we can reallocate rights in some way between people who have them and those who don't; and we can deallocate to reduce the overall rights in existence. In the latter case, we also need to speak of reallocating the proportion of *lost* rights between former rights holders (eg where rights to take water in a catchment have been overallocated and environmental bottom lines have been exceeded). We have pointed out that, where there are no specific property rights:¹⁹¹

Allocative issues are most intensely controversial and political if the question is not just allocation but reallocation.... Some may feel that an incumbent user should be favoured, others will not. Timeframes are important, too. Some rights have been granted for significant periods of time – would it be fair to derogate from those rights? Controversy can also arise if there has been over allocation beyond bottom lines already, and users have to determine the proportions in which allocations should be returned.

There are a number of “allocative” issues in the current system, and these play out not just under the RMA. For example, Treaty redress is an ongoing process, including in relation to the redistribution (or, more accurately, return) of land, but also other resources and taonga.¹⁹²

The fisheries quota system is also far from ideal, as explored in EDS’s recent publication *Voices from the Sea*.¹⁹³ But the RMA has provided notable flashpoints for allocative issues, largely because it deals with contested rights to use common pool resources (those not privately owned) that people feel strongly, and have expectations, about. A prominent flashpoint has been freshwater: how rights to take water, discharge into it, and otherwise use it should be allocated, reallocated (if at all), and deallocated.

Freshwater has proved to be a particularly difficult area of allocation in recent times, as the resource becomes scarcer and questions around its ownership become more prominent. Allocative questions here take three key forms: (1) how to allocate new rights, (2) how (or if) to reallocate existing rights, and (3) how to allocate relative contributions to reducing existing rights (deallocation).

7.13 Allocation and legislative design

Allocation gives rise to a broad question of legislative design. Under what legal frameworks should we resolve allocative questions? At the moment, we have many different regimes that relate to particular resources (eg minerals, fisheries, freshwater). Is that appropriate?

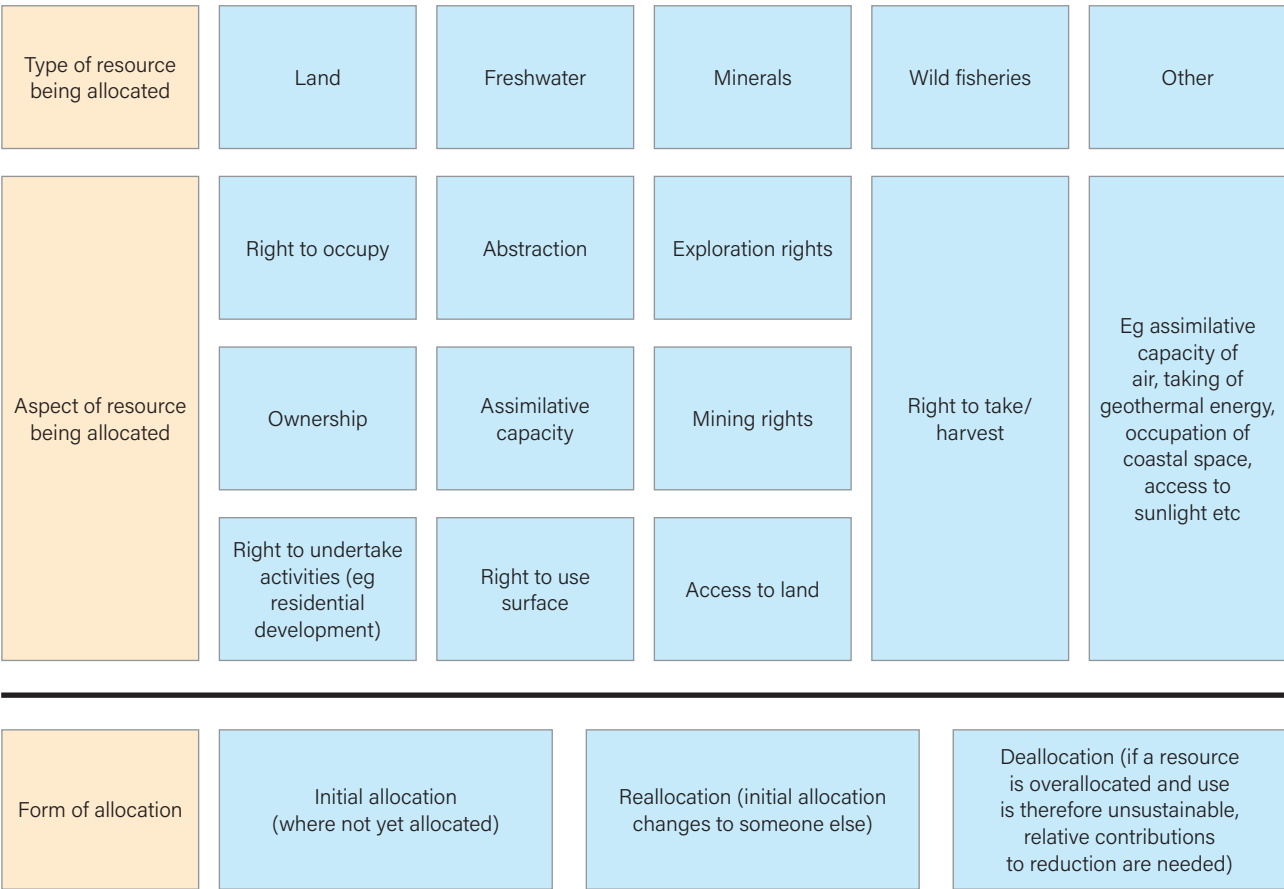


Figure 7.5: Different allocative issues to be addressed in a future system. For each aspect of a scarce resource, there is a need to consider how it is initially allocated, how it is reallocated, and (where it is overallocated) in what measure to reduce people’s existing rights. Different approaches may be required for different things.

7.14 Allocation under the RMA

Generally speaking, the proactive allocation of resources remains an uncomfortable prospect for an effects-based act like the RMA (which was born at a time of great enthusiasm for market freedom) and which has also struggled to address aspects of the Treaty relationship. In practice, this has meant that allocative issues under it have not been resolved in the same way they have been for some other resources like minerals (considerable nationalisation)²⁰⁰ and fisheries (Treaty settlement and considerable privatisation). There is a need for the Act to grapple with such questions more proactively. As the government's resource management review group has pointed out:²⁰¹

Allocation under the RMA has generally been on a "first in first served" basis, with an expectation by users that access rights will extend over long periods and be renewed. This approach ... grew out of a situation where there was little resource scarcity. As we have approached environmental limits, it has led to issues with environmental quality, economic efficiency, and fairness. Extending access to a resource for long periods has limited the ability of the management system to respond to new environmental pressures. As resources have become scarcer and limits more stringent, new users have been excluded. The "first in first served" approach has not been an effective mechanism to achieve highest value use of resources. In some cases, Māori have been particularly disadvantaged, such as where they own under-developed land and cannot access water to improve production capacity.

We have previously pointed out that the purpose and principles of the Act need to be expanded to embrace the allocative role that the Act clearly performs. It is no use pretending that the Act does not grapple with allocative choices, or that the status quo is the result of a conscious policy choice. We consider that general allocative principles in the Act could usefully be expanded on in national direction (through an NEP). Even within the RMA, different approaches may be needed for different kinds of resources,²⁰² but we see merit in an overarching set of allocative principles to set general expectations.

The RMA should contain general or resource-specific allocative principles, which could be expanded upon in an NEP.

That would be a start. But the manner in which allocation should occur – the tools we use – is much less clear, and lawmakers will be required to tread carefully across a delicate political landscape. In particular, the allocation of freshwater (both water itself and its use as a receiving environment) poses enormous challenges in the short term, and we focus on that in the sections below.

Freshwater allocation must grapple with environmental limits, Treaty obligations, entrenched and existing interests, and pressure from new entrants. There are no

firm concepts like environmental bottom lines to provide the answers, and vaguer concepts like fairness will be prominent. We also need to recognise realities – a path forward will need to leave a fairly broad corridor for politically driven compromises, and provide a gradual rather than abrupt approach to change. Below, we offer what we see as a desirable direction of travel, while at the same time acknowledging that there is no obvious or simple solution here.

First, let us consider what we are trying to achieve through the allocation of freshwater. People may have different views, but there appear to us to be four key elements: (1) environmental sustainability, (2) resolution of Māori rights and interests, (3) fairness, and (4) efficiency. Points (2) and (3) are, of course, closely linked. A future system may look different depending on how one interprets these factors, and which ones receive more or less weight.

In our view, however, the overriding concern is for all allocative questions to be resolved within a firm envelope of regulatory environmental limits.²⁰³ That is now a fairly uncontroversial proposition, and accords with the Crown's obligations under the Treaty and the government's political mandate received at the 2017 general election.²⁰⁴ Progress is being made through the Essential Freshwater programme, and the proposed new NPS for Freshwater Management and related NESs.²⁰⁵ In our model, stronger bottom line outcomes for freshwater would be set at a high level in a revised Part 2 and elaborated on, with regulatory force, in an NEP and council plans.²⁰⁶ Those would have to be respected, including by imposing prohibited activity status to applications that exceed limits.

Limits would also need to drive the *improvement* of water quality and flows, according to an ambitious timeframe, where they have already been breached. In other words, where bottom lines have been overshot, the question is not *whether* deallocation of rights occurs, but *how*. Deallocation would, ideally, be a temporary feature of the system, given that the imposition of firm limits in the future should mean that overallocation never occurs.²⁰⁷ A process should remain as a backstop to deal with any future issues, too.

As a first step, we would envisage the use of facilitated collaborative processes to determine how existing users within a catchment are to reduce their rights to meet environmental limits (in terms of both ecological flows and nutrient/pollution runoff). That would encourage users to understand each other's perspectives and to come up with innovative and mutually beneficial solutions. It would require a clear set of principles around which discussions would revolve, and options for collaborative groups to consider.

However, collaboration is no guarantee of consensus, and there should be a backstop regulatory measure waiting in the wings if consensus could not be reached. Timeframes need to be ambitious, and in some cases the conversation has gone on long enough – in which case collaboration may not be an acceptable option.

Because significant aspects of natural justice would be involved, a regulatory backstop should involve the

A spotlight on more proactive approaches to allocation

Both the Court of Appeal and Supreme Court have hinted in past years that, even in the absence of a structured allocative method under the RMA,²¹³ the merits of consent applications submitted within a short time of each other may sometimes be compared to determine who should get scarce rights to resources. This is on the understanding that one of them might *better* promote sustainable management, and therefore be preferred.²¹⁴ Furthermore, it has been held that using a resource in one way (eg land for commercial purposes) that could otherwise be used for other, more valuable, purposes (eg industrial use) can be regarded as having an “adverse effect” on the environment.²¹⁵

Foregoing the benefits of using a resource in an alternative way from what is proposed – the opportunity cost – is an interesting way to perceive an “adverse” effect under the RMA. It leaves the door open to a much less effects-based approach, and one that embraces allocative principles. Some have expressed a view that the RMA was always meant to be a place where allocation occurred in a more proactive manner,²¹⁶ but others have been of the view that the market was meant to be the driver for how resources are used.

So when should a foregone opportunity to use a resource in a particular way be seen as an “adverse effect” to be addressed through something like the RMA, rather than a choice to be driven by the market? We can think of the proposed NPS on Highly Productive Land in this way: we are preserving the potential *benefits* of using land in a particular way in the future (for growing food), not just addressing the adverse effects of urban development on soil, water, flora and fauna. The system is arguably making value judgements about what use is preferable in light of its benefits, not just managing the impacts of an “efficient” choice the market has made.

Some have therefore highlighted the “ingenuity” of using an effects-based, regulatory framework like the RMA, with no real allocative guidance in it, to “make the allocation of resources a necessary means of controlling effects”.²¹⁷ That is becoming increasingly necessary as greater pressures are being placed on New Zealand’s resources.

Environmental wellbeing could also be enhanced through the use of economic allocative tools, not just regulatory ones. For example, a publicly funded national Environmental Water Holder could usefully be established, which would provide a mechanism for rights to be purchased and sold at auction for reasons of public interest (eg buying rights for environmental enhancement purposes in some place, and selling them in others). That would not be a replacement for regulatory limits,

of course (there should be no obligation for the public purse to buy back water where bottom lines have been infringed). But it could encourage positive environmental outcomes associated with water to be managed more dynamically across catchments, and with potentially less opposition, than through the plan making process alone. It would, effectively, allow nature to become a participant in the market for water, with a water holder mandated to act on its behalf. A similar model, whereby the Crown purchases rights gradually over time, could also be used as a mechanism to implement any Treaty settlement that emerges from the ongoing debate over water ownership.

It is an open question as to whether regulatory mechanisms, or tools like auctioning, should be used simply to “reset” an unfair allocative system that has been created through the ad hoc granting of consents on a first in time basis. Some have suggested, for example, that after an initial allocation (or reallocation) of rights – whether based on grandparenting, regulation, compulsory acquisition, auctioning, or something else – we can then let the market do the reallocation work. In other words, some support the use of trading regimes or water markets, which allow rights to use resources to be bought and sold, as the way forward.²¹⁸ The two most prominent aspects of freshwater trading are the trading of rights to abstract water and rights to discharge nutrients into it.

Trading has a lot going for it, and we support its further deployment in a general sense (subject to strict regulatory environmental limits). Indeed, the RMA already allows for the transfer of water permits to occur, although its approach is not what would be called sophisticated when compared to international market models,²¹⁹ and it imposes many restrictions on transfers that mean it has rarely been used. The benefits of a more sophisticated trading regime for water have been described in many places, including by the New Zealand Initiative.²²⁰ If carefully designed, trading directs water to its highest value use and allocates it in a highly efficient manner. Leaving aside questions over the initial allocation of rights, it also alleviates fairness concerns by allowing new users to enter the market for water. That could allow, for example, the Crown to purchase water rights from willing sellers to fulfil its Treaty obligations, and could improve environmental outcomes if an Environmental Water Holder (or civil society initiatives) could purchase water rights and use them dynamically to target priority issues.

However, trading is not a silver bullet, even if the question of how to initially allocate tradeable rights were to be solved.²²¹ First, economic value is only one measure of the value of water to a community. For example, should the representatives of the public be powerless to choose whether or not its rivers or aquifers are exploited by multinational bottling corporations instead of other activities that benefit (or are perceived to benefit) communities more? Is that still the case even if a resource rental were to be charged and returned to the relevant community?

A spotlight on Porotī Springs

Porotī Springs, west of Whāngarei, are in a block of Māori land which was given reserve status in 1895. In 1960, the Springs were formally gazetted by Order-in-Council as a water supply for the local hapū. However, in 1967, through the enactment of the Water and Soil Conservation Act, that newly affirmed authority of the hapū effectively disappeared with the power of decision-making on water takes being placed with local authorities. One consequence was that the hapū needed to apply for permission to use their own water.

From the late 1960s, council use of the water for public reticulation in Whāngarei, and then also for horticulture irrigation, greatly increased. In 1983 and 1987, during a time when council had no limits on the quantities of water extracted, and the hapū had little input into or influence over management, the headwaters of the Springs were run dry. This resulted in unacceptable ecological and cultural impacts.

With the enactment of the RMA came the potential for more effective tangata whenua input into decision making over management of the water of the Springs. In practice, however, this has not happened. Existing water rights for council and irrigation takes were renewed under the new law. More recently, a further water right for a water bottling operation was granted. While the hapū could argue cultural issues against these consents (eg that they would have adverse

effects on cultural wellbeing), their other rights and interests in the water, including any claim in the nature of a property right, could not be considered.

Recently, the government purchased the water bottler's consent so it could be part of a future Treaty settlement. This may be an indication of how the government will respond to Māori water rights issues in the future. However, at this time most of the hapū's concerns with the water takes from the Porotī Springs water remain unaddressed and unresolved.

In Chapter 13, we recommend the fair and gradual imposition of resource rentals. While these are not an "allocative" tool per se (simply making someone pay for something does not determine who, among many willing purchasers, gets a scarce right), it may in practice encourage resources to be directed to higher value uses. The revenue rentals generate could also, potentially, be partly used as a way to redirect value to Māori without (or as well as) the direct allocation of water rights themselves.

A future system will need to provide a space for issues around Māori rights and interests to play out, and to be incorporated. A mechanism may be needed by which new allocation can be provided to Māori over time, or whereby a rental for the use of freshwater is partly channelled to Māori.

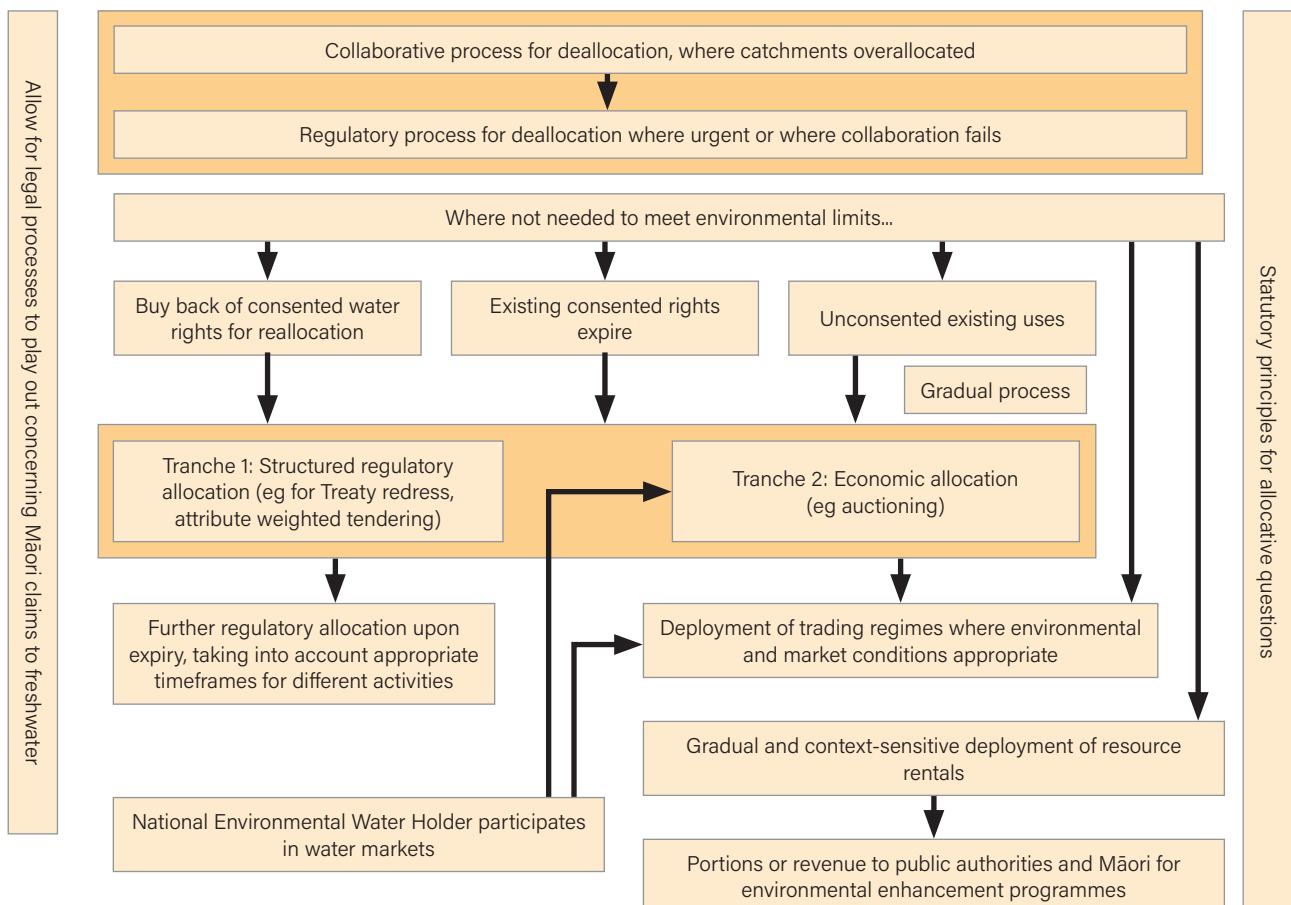


Figure 7.6: A potential way forward for freshwater allocation

ENDNOTES

- 1 Compare the current section 55 of the RMA. Regulatory provisions in an NEP would also have direct effect as regulations in their own right.
- 2 For example, environmental limits for urban development, and the necessity for densification of urban form.
- 3 That would not necessarily always be about ad hoc Crown grants, as some funding arrangements strike us as being much more systemic (eg the immense cost of upgrading wastewater treatment plants to achieve national freshwater quality standards).
- 4 On the expected costs of water infrastructure upgrades to meet stronger national standards, see Beca *Cost estimates for upgrading water treatment plants to meet potential changes to the New Zealand drinking water standards* (2018); GHD and Boffa Miskell *Cost estimates for upgrading wastewater treatment plants to meet objectives of the NPS Freshwater final report* (September 2018).
- 5 See New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015); Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019). See also G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 248.
- 6 Compare Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019).
- 7 See New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 17.
- 8 M Doole *Conservation system reform: A proposed model to better protect and enhance species and ecosystems in New Zealand* (Unpublished commissioned paper, The Catalyst Group, 2019).
- 9 And unitary authorities.
- 10 New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) from 11.
- 11 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 167.
- 12 See generally New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 50-51.
- 13 Resource Management Act 1991, section 80.
- 14 Ibid, section 80.
- 15 Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019).
- 16 The New Zealand Initiative Go Swiss: *Learnings from the New Zealand Initiative's visit to Switzerland* (2017).
- 17 For example, in providing escalation pathways for particularly complex or difficult regulatory functions (eg climate change adaptation measures). Compare Local Government New Zealand A "blue skies" discussion about New Zealand's resource management system (2015) at 39.
- 18 These could even continue to be called "councils" or "territorial authorities".
- 19 As in the Auckland Unitary Plan model.
- 20 See Resource Management Amendment Bill 2019.
- 21 Ministry for the Environment *Resource Management Act 1991 National Monitoring System selected findings 2014/15* (2016); New Zealand Productivity Commission *Better urban planning* (2017) at 216; B Devlin *Analysis of timeframes for the development of policy statements and plans under the Resource Management Act 1991* (Brown & Pemberton, 2008).
- 22 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 10.
- 23 Ibid at 248, 272.
- 24 Compare G Palmer "Law-making in New Zealand: Is there a better way?" (2014) 22 Wai L Rev 1.
- 25 One example might be a simplification of activity statuses.
- 26 See generally B Devlin *Analysis of timeframes for the development of policy statements and plans under the Resource Management Act 1991* (Brown & Pemberton, 2008).
- 27 Acknowledgement: Aidan Cameron, barrister.
- 28 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 226.
- 29 Extensive mediation and expert conferencing was held for each topic, facilitated by Panel members and other experienced practitioners, in an attempt to refine matters and/or resolve submission points prior to hearing.
- 30 The champion of the process was the Panel Administrator, who co-ordinated hearing time with numerous parties, juggled various and often difficult requests, and made the process run like clockwork.
- 31 Aided by legislative changes, the Panel met its brief by reducing its quorum from three to two for the final topics, allowing three additional members to be appointed, clarifying that it could hold concurrent sessions with alternative Chairs, and by enabling the delivery of its recommendations in stages.
- 32 Just weeks before the rezoning hearings were due to be held.
- 33 The Panel was required to give non-binding "interim guidance" to assist submitters in giving evidence on other topics of the Auckland Unitary Plan, which relied on higher-order direction.
- 34 See also the alternative proposed by the Productivity Commission: New Zealand Productivity Commission *Better urban planning* (2017) from 389.
- 35 Compare Ministry for the Environment *Improving our resource management system: A discussion document* (2013) at 42.
- 36 Resource Management Act 1991, section 80.
- 37 This would complement the idea of having an overarching spatial plan feeding down into multiple different plans (eg under the RMA and local government and infrastructure legislation). On spatial planning, see Chapter 8.
- 38 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 168. Acknowledgement: Helen Marr, Perception Planning.
- 39 This would not be an alternative track to decision-making as in the current system, but rather a precursor to the more formal planning process. That approach would have many of the same advantages as outlined in G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 12.
- 40 Although for bottom lines, such as for freshwater, they will often need to be.
- 41 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 45. See also N Elmi and N Davis "How governance is changing in the 4IR" World Economic Forum (18 January 2018) <www.weforum.org>
- 42 Including potential to allow voting online, which may increase youth rates of voting.
- 43 B Craven, J Goldingham-Newsom and O Hartwich *#localismNZ: Bringing power to the people* (2019) at 53.
- 44 Ibid.
- 45 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 10 and at 233.
- 46 See Ministry for the Environment *A draft guide to the collaborative planning process under the Resource Management Act 1991* (2017) at 11.
- 47 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 187.
- 48 For example, in Canterbury, a collaborative process was used to develop the Canterbury Water Management Strategy, which was then implemented in the regional policy statement and land and water regional plan. See N Newman *The collaborative governance model: Implementation of the Canterbury Water Management Strategy in New Zealand* (Environment Canterbury, 2016) at 6.
- 49 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 205.
- 50 Ibid. See also Resource Management Act 1991, sch 1, cl 40; Ministry for the Environment *A draft guide to the collaborative planning process under the Resource Management Act 1991* (2017) at 11.
- 51 Resource Management Amendment Bill 2019.
- 52 *Vancouver City Council Citizens' assembly on the Grandview-Woodland Community Plan: Final report* (2015).
- 53 See M Bennett and J Colón-Ríos "Public participation and regulation" in S Frankel (ed) *Learning from the past, adapting for the future: Regulatory reform in New Zealand* (LexisNexis, 2011) at 21.
- 54 Central government can create national direction, including a requirement to directly insert policies into a plan, and require a council to prepare a plan (or a plan change) or review a plan. If not satisfied with the result, it can require a council to vary the proposed plan. See Resource Management Act 1991, ss 25A and 25. However, this is a fairly reactive approach to ensuring national direction is implemented, in that there is no obligation to work with councils in plan development.
- 55 Currently, no government agency is required to comprehensively check as to whether plans give effect to national direction, with much being left to the courts if matters happen to be appealed. See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 176. In California, non-voting members from government agencies are involved in the work of the Coastal Commission to ensure it links well to other initiatives.
- 56 Ibid at 185.
- 57 Along with a section 32 (or equivalent) report.
- 58 As in the Auckland Unitary Plan process, cross-examination should be available (acknowledging that the process effectively supplants the ability to appeal de novo to the Environment Court), but it should be the exception rather than the norm. Parties would not need to cross-examine witnesses in order to put their cases to the Panel.
- 59 Recommendations on the plan would be released after each stage, so that there is no need to give interim or non-binding guidance halfway through the planning process.
- 60 And a standing, independent institution not subject to ad hoc political appointments.

- 114 On the ability to transfer powers under the current Act, see Resource Management Act 1991, section 25.
- 115 Compare Local Government New Zealand A “blue skies” discussion about New Zealand’s resource management system (2015) at 39; Resource Management Act 1991, section 33 (which allows for agreements to be reached on the transfer of functions and powers, including to “statutory authorities”, but could not require the EPA to take on a function).
- 116 For example, in the concept of a project consent; see New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015).
- 117 Compare Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 15: “Matters that should be addressed in plans are left to the resource consenting process to resolve, generating unnecessary uncertainty.”
- 118 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 140, 213.
- 119 Ibid at 235.
- 120 Compare the proposal for an NES on freshwater relating to particular agricultural activities in New Zealand Government *Action for healthy waterways: A discussion document on national direction for our essential freshwater* (2019).
- 121 Compare the recommendation of the Land and Water Forum, that additional use above an allocated limit is to be a prohibited activity (Land and Water Forum *Advice on improving water quality: preventing degradation and addressing sediment and nitrogen* (May 2018) at 12). Compare A Aarnio “Taking rules seriously” (1990) 42 ARSP 180.
- 122 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 107; M Williams Resource management system: Reform or transform? (April 2018) Resource Management Journal 3 at 5.
- 123 For example, an expectation of clear-felling harvest methods, or an expectation that vulnerable areas will be harvested at all. We have previously proposed that the activity status for clear-felling in red-zoned areas should be non-complying. See M Wright, S Gepp and D Hall *A Review of the Resource Management (National Environmental Standards for Plantation Forestry) Regulations 2017* (2019).
- 124 See *ibid*.
- 125 Resource Management Act 1991, section 25.
- 126 These have developed largely around nutrient and water management, but could be extended to include other environmental impacts and enhancement opportunities on private land: see *Report of the Biodiversity Collaborative Group* (2018) at 101.
- 127 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 214–215.
- 128 Rates of non-notification are extremely high at present.
- 129 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 215.
- 130 Ibid at 212.
- 131 Reported for the 2017/18 year in the Ministry for the Environment’s National Monitoring System: see Ministry for the Environment “Resource consents” <www.mfe.govt.nz>
- 132 Ibid.
- 133 On the implications of “efficiency” for access to justice, see L Newhook, D Kirkpatrick and J Hassan “Issues with access to justice in the Environment Court of New Zealand” (2017) Resource Management Theory & Practice at 52.
- 134 There would also be greater standardisation of digital information and a national consenting and compliance database, making this transmission of information simpler (see Chapter 13).
- 135 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 215; J Maassen “Legal report on Te Mata Peak east-face walking track issue” (undated) <www.craggyrange.com>
- 136 See Resource Management Amendment Bill 2019, for proposed changes to provisions concerning review of consent conditions.
- 137 G Severinsen and R Peart *Reform of the resource management System: The next generation* (EDS, 2019).
- 138 See New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 75.
- 139 The EPA already has a role in managing resource consent applications for nationally significant projects: see Resource Management Act 1991, section 145.
- 140 Although this has become more nuanced under the Court of Appeal decision in *RJ Davidson Family Trust v Marlborough District Council* [2018] NZCA 316, [2018] 3 NZLR 283, there is still no clear directive to actually give effect to national direction (as there is with plans and plan changes). This distinction is quite odd, given that small-scale plan changes can effectively have the same effect as a land use consent.
- 141 The choice here may depend on whether we see the direction as being about its “strength” (eg giving effect to is “stronger” than being consistent with) or what the instrument is actually doing (eg plans actively implement national direction, but consents are reactive and are more about ensuring they don’t infringe it).
- 142 There are nuances to this, admittedly. The intention is not to remove climate change considerations from the RMA per se, but rather to prevent inconsistent rules and policies being put in place by councils for something that requires a coherent national level approach. The problem is that a meaningful nationally consistent approach has not been implemented under the RMA to fill the gap.
- If that gap were to be filled (in the form of an NES and NPS (or NEP)), then councils would be obliged to give effect to them.
- 143 On reform options here, see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 177.
- 144 See generally MA Brown “Compliance, monitoring, enforcement and evaluation” in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018).
- 145 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 171. See also MA Brown Last line of defence: *Compliance, monitoring and enforcement of New Zealand’s environmental law* (2017); MA Brown *Independent analysis of the 2017/2018 compliance monitoring and enforcement metrics for the regional sector* (The Catalyst Group, 2018).
- 146 New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 72, 74 and 7.
- 147 See the Ministry for the Environment’s National Monitoring System, data for the year 2017/18.
- 148 See G Severinsen and R Peart *Reform of the resource management System: The next generation* (EDS, 2019), ch 9.
- 149 Grateful acknowledgement for much of the content on which this section is based goes to Dr Marie Doole of The Catalyst Group: M Doole *Enforcement and evaluation in the new regime* (unpublished commissioned paper, The Catalyst Group, 2019).
- 150 Of course, compliance is also important under other regulatory regimes, such as conservation, building, and hazardous substances legislation.
- 151 Which can be either related to consent conditions or the impacts of permitted activities.
- 152 See MA Brown “Compliance, monitoring, enforcement and evaluation” in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018).
- 153 Ibid; MA Brown *Last line of defence: Compliance monitoring and enforcement of New Zealand’s environmental law* (EDS, 2017).
- 154 Ministry for the Environment *Compliance, monitoring and enforcement by local authorities under the Resource Management Act 1991* (2016).
- 155 See, for example, the development of the Ministry for the Environment’s *Best practice guidelines for compliance monitoring and enforcement*; the development and review of the regional sector strategic compliance framework; and other initiatives including the fledgling CME Metrics reporting programme.
- 156 While that would not, of course, include the Environment Court (which is not an operational body), it may include the EPA if it were the relevant consenting authority. Similarly, in Chapter 11 we talk about an arm’s length Oceans Agency having consenting functions under a new Oceans Act, in which case enforcement would also lie within that Agency.
- 157 Compare Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 18, where it is pointed out that penalties for non-compliance are weaker in New Zealand than in other countries.
- 158 Ibid at 18.
- 159 In the previous sections, we also considered whether rule-making and consenting are things that should also be apolitical, suggesting that there is a case for elected officials to be excluded from decision-making for consents. That fits well with enforcement decisions being apolitical, and taken by, or in close collaboration with, those responsible for consents (most often council staff).
- 160 Resource Management Amendment Bill, cl 66 (introducing a new Part 12A).
- 161 Compare Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 18.
- 162 Budget 2018 allocated 3.1 million to the establishment of a supplementary investigative resource within central government to assist in RMA enforcement.
- 163 See New Zealand Productivity Commission *Regulatory institutions and practices* (2014).
- 164 This would be a difficult distinction to draw where local plans gave effect to policies in an NEP, rather than being directly triggered by a regulatory provision in an NEP.
- 165 Powers to call in could be exercised by the Minister or a Futures Commission, as we are proposing for consents.
- 166 Compare *Report of the Biodiversity Collaborative Group* (2018) at 123.
- 167 Or until, for example, a council could show it had remedied the causes of systemic failings (eg a lack of resourcing). This could be prompted by, for example, a scorecard produced by the Futures Commission, which would include performance in relation to CME functions (see Chapter 8).
- 168 This would need to clarify that councils did not retain ultimate responsibility for the exercise of those powers, which is an issue with the current transfer provisions. There would be a need for caution here, though, in that councils should not be incentivised to avoid the task on the understanding it would simply be undertaken by someone else.
- 169 Currently CME data is included in the Ministry for the Environment’s National Monitoring System, but not linked to environmental outcomes reporting under the Environmental Reporting Act, so the links between the two are sketchy.
- 170 Under the Environmental Reporting Act or the Future Generations Act. Councils would be required to submit and maintain records within a national consenting and compliance database (see Chapter 13), and to meet national scale requirements for CME reporting.

regulatory matters that often refers directly to Part 2 – would be left devoid of its own purpose/principles? We could, instead, simply replicate Part 2 in a higher level act, but then why would we not just say the RMA itself was pre-eminent (arguably it already is)⁷ without going to the trouble of creating more legislation?

Furthermore, there are many legislative frameworks that this higher level purpose would need to apply to. The RMA has a broad purpose, but it is not all-encompassing. It is also not really targeted at mechanisms by which environmental improvements are required or funding is secured for public projects, or even at other frameworks where bottom lines are imposed (eg in the conservation estate, fisheries caps and sustainability measures, caps under the emissions trading scheme, and regulations under the EEZ Act). The interests of future generations are also not just about environmental protection – they are about ensuring that both society and nature are not made worse off than they are at the moment. That requires the active provision of things like energy generation and transmission, housing, food security and liveable environments. Equally, the system needs to contemplate risk and drive resilience at the highest levels, since “we cannot discount the possibility that one or more of the global social, economic or environmental systems will collapse, with devastating consequences”.⁸

This leads us to think that what we need is a higher level purpose describing the relationships between what more targeted parts of the system do. For example, rather than repeating the RMA’s (or other frameworks’) environmental bottom lines, a higher level purpose would make clear that the *concept* of environmental bottom lines and their associated limits on human behaviours – including in relation to climate change – are pre-eminent when it comes to ensuring the wellbeing of future generations.⁹ Bottom lines would then be more clearly defined in other acts (as in our proposed redrafting of Part 2 of the RMA).

We envisage that the Act’s purpose would more closely resemble a “preamble” or “declaration”, familiar to international treaties, than the more elaborate and legalistic purpose of a regulatory framework like the RMA. For example, the Canadian Environmental Protection Act 1999 begins with a declaration: “It is hereby declared that the protection of the environment is essential to the wellbeing of Canadians...”. It is followed by a powerful preamble in which the whole government commits itself to action. The Canadian Government, it states, “recognises the importance of endeavouring, in cooperation with provinces, territories and aboriginal peoples, to achieve the highest level of environmental quality for all Canadians” and “is committed to implementing pollution prevention as a national goal”.¹⁰ This reads more like a powerful cross-party manifesto for change when compared to the permissive and reactive approach of something like the RMA (in which the government has many powers and functions but few duties – attested to by the patchy promulgation of national direction over the last 28 years).

The Future Generation Act’s purpose could even be the place where nature as a whole is given “rights”, rather than trying to give specific personhood to a patchwork of natural features or areas.¹¹ These need not be specific legal rights; there could instead be a statement that the natural world as a whole has, for example, “the right to exist, persist, maintain and regenerate its vital cycles, structure, functions and its processes”.¹² It could usefully be worded in a way that reflected the intersection between Te Ao Māori and Western perspectives, building upon ideas like Te Mana o Te Wai. Such a right would be supported by a general mandate for the Futures Commission to defend the rights of both future generations of people and nature. This duty would be necessary to accompany rights for nature, as “rights alone are no use to a tree that cannot speak”.¹³ Furthermore, the Act could outline, at a high level, the nature of the Treaty relationship in relation to the use and protection of natural resources.¹⁴ Some have called for the promulgation of national direction on the Treaty under the RMA, but in our view this guidance really needs to be enshrined in a way that applies across multiple acts relevant to resource management.

Another way of looking at a purpose statement for a Future Generations Act would be a simplified, narrative version of the criteria for reform that we outlined in Chapter 2. It would describe what we wanted the system as a whole to achieve. In fact, a comparison with reform criteria is actually a significant observation, because part of its point would be to ensure that any *future* reforms to more targeted statutes did not undermine this higher purpose. In a way, this would embed a principle of coherence and non-regression at the highest level, such that once essential protections are in place they could not later be eroded.¹⁵ While the system will always need to evolve over time, this element would be durable, and suggests the desirability of some form of constitutional entrenchment.¹⁶

While constitutionally significant, the Act’s purpose would not be *binding* on particular decisions. For example, a subsequent reform bill could not be struck down by the courts for being inconsistent with it. That kind of measure would require a much more in-depth constitutional debate going well beyond the resource management context. However, the Act’s purpose would be a mandatory *consideration* for any legislative reform, providing pause for thought, and would need to be addressed in any regulatory impact statement. This obligation would not be limited just to reforms that directly weakened “environmentally focused” statutes (eg to expand mining on the conservation estate, or changes to Part 2 of the RMA). It would apply more broadly. For example, it would need to be considered closely in any reforms to the Building Act or the Education Act, or in the development of completely new legislation having implications for future generations.

More specifically, some have pointed out that in the absence of any overarching set of principles, a concerning normative disjunction has occurred between the RMA, Local Government Act and Land Transport Management

A spotlight on the Canadian Environmental Protection Act 1999

Canada is a federal state, with many resource management powers lying with provinces rather than the central government. As with a number of federalised systems, this has led to fairly proactive formulations of what responsibilities lie where, as a matter of constitutional importance. In this context, the Canadian Environmental Protection Act imposes what it somewhat modestly describes as “administrative duties” on the federal government.

These include, for example, duties to “exercise its powers in a manner that protects the environment and human health”, to “take preventive and remedial measures to protect, enhance and restore the environment”, to “take the necessity of protecting the environment into account in making social and economic decisions” and to “implement an ecosystem approach that considers the unique and fundamental characteristics of ecosystems”. There are many other such duties listed. We might also compare the Welsh approach, where public bodies are obliged to improve wellbeing;²⁷ they must publish objectives, take all reasonable steps to achieve them, and report on progress.

While the RMA (and other legislation) assigns specific functions to Ministers under a fairly protective purpose and principles, those functions exist for the fairly narrow range of decisions taken under that Act. Furthermore, while the Environment Act establishes the Ministry for the Environment and provides it with functions relating to ministerial advice and information dissemination, it does not impose duties on Ministers (or even the Ministry) to act on it in a certain way. It also does not apply to wider government decision making (much of which occurs outside specific legislative frameworks).

We can contrast the broader duties that are expected of the Canadian government above. Those are much more geared towards change. They are also the kind of general principles that would find a good home within an overarching statute that is designed to influence government action within, and beyond, targeted legal frameworks for environmental “protection”. With suitable amendments, they could also be extended to local government decision-making and even arm’s-length public bodies (eg Crown entities, state-owned enterprises, CCOs).

We do not attempt to provide an exhaustive list of relevant principles or duties here, but at the forefront would need to be principles relating to the pre-eminence of environmental bottom lines, joined by the need to embrace synergies that would enhance both the environment and essential social wellbeing when a long-term view is taken.²⁸ The idea of *fairness* would be prominent,²⁹ as would *resilience*, and *intrinsic value*. It would be a logical place to flesh out a system-wide duty to give effect to the principles of the Treaty of Waitangi. The existential need for

climate action – both mitigation and adaptation – would also be spelled out. More specific duties could be included too, for example to ensure an increase or at least no reduction in the area of indigenous habitat.³⁰

While the Act may not itself outline specific targets for improvement, we envisage that it would provide a framework requiring them to be set,³¹ and an accountability framework around their achievement. The OECD has pointed out, for example, that the current system in New Zealand lacks a robust framework for objective setting (and associated reporting and accountability).³² We have been in reactive mode, and need to shift towards a system that outlines a clear vision for what we want the environment to look like, not just to maintain it or mitigate effects. In fact, our approach to the environment stands in sharp contrast to the well-developed system of targets and accountability mechanisms surrounding fiscal outcomes (eg under the Reserve Bank Act and Public Finance Act).³³ Again, we might look to Sweden for inspiration, where 16 environmental quality objectives are set by Parliament. These are accompanied by a series of interim targets.³⁴

Of course, care would need to be taken that principles and duties in a Future Generations Act did not override the more targeted, legally binding criteria applied by other frameworks for specific decisions (eg the grant of resource consents under the RMA, investment decisions under local government legislation). However, to the extent that such frameworks did not preclude the consideration of broader factors, they would need to be taken into account or had particular regard to. They would be legally influential, not just aims for the government to pursue. Regimes like the RMA generally provide for the “catch-all” consideration of other relevant matters already, so change should not be overly disruptive.³⁵

To complement the establishment of an overarching set of decision-making principles should be an ongoing programme to review the principles contained in more specific legislation. For example, firmer principles of sustainability and resilience could be built into frameworks for the management of Crown land generally (eg the Land Act).

Finally, while the decision-making principles in a Future Generations Act would not be directly enforceable through an appeal process, they would still be a useful hook for judicial review proceedings (eg if they were not considered, or if they were misinterpreted). It would be an important expansion of our system of administrative law to embrace environmental and inter-generational concerns.

We envisage the enactment of common decision-making principles or duties that would apply to all public decision-making, not just regulatory decisions made under protective frameworks like the RMA.

Robust institutional arrangements would be essential to how a Future Generations Act would operate. We suggest several things here. Because the Act’s focus would be

a more fundamental watchdog role across the system. In particular, while New Zealand government institutions have relatively high levels of transparency and audit in most areas, environmental governance has been a notable exception. It is rare to see any law hold agencies to account for the environmental outcomes their oversight allows. In fact, if financial capital had been managed in the same way as natural capital has been in New Zealand (ie systematically eroded over time), there is no doubt in our minds that much stronger action would have been taken in response a long time ago. Overall, our framework for environmental performance does not lay blame (or even require action); it simply points out facts and trends. In a way, that is a strength, because it increases transparency by reducing the incentive for government to hide inconvenient truths from the public.⁵³ Yet the step that is missing is a subsequent one: where accountability for outcomes (both good and bad), and a mandate for future change, is assigned.

In our proposed system, a Futures Commission would be required to issue a triennial report card (potentially aligned with the parliamentary cycle) assessing the government's (as a whole and/or particular departments') overall performance against the purpose and principles of the Future Generations Act, including Treaty principles and any more specific performance measures outlined in regulations (eg targets). That would include an assessment of whether any of the government's *legislative* reforms were consistent with the purpose of the Act (resulting in a declaration not dissimilar to that under the Bill of Rights Act).⁵⁴

This feature recognises that the focus of "success" should be much broader than just (or even) performance measures like the speed with which consents are processed, and that environmental performance is important across the whole of government, not just "protective" departments like the Ministry for the Environment.⁵⁵ A report card process could also be a place where overall performance was independently assessed for measures cutting across different statutes and institutions, including compliance monitoring and enforcement activities.⁵⁶ In other words, the process would not just be about holding agencies to account for environmental outcomes; it would also be about assessing the extent to which public authorities are actually undertaking the tasks expected of them.⁵⁷

As is the case in Sweden,⁵⁸ the government would be required to respond to a report card, outlining how it intended to rectify any shortcomings or implement the principles of the Future Generations Act over the following parliamentary term. And, as in the Welsh model, the government could even be compelled to take reasonable steps in response (unless there were good reason not to), or there could be a general duty imposed to take some corrective action in response to poor or declining indicators emerging from environmental reporting.⁵⁹ This framework would, ideally, provide an incentive for effective and timely internal evaluations to be undertaken within government, to avoid the ignominy of a poor scorecard.

It would, for example, address shortcomings that are prominent in the context of biodiversity, and which EDS has previously pointed out:⁶⁰

Consequences for responsible agencies and their executive leaders of failing to protect biodiversity are minor or absent. More meaningful measures of outcome (rather than outputs) and estimates of difference made are required.

In the medium term, a structured report card system could even be extended to other public bodies, including councils, if resourcing allowed. At the local government level, this approach could create a healthy competitive mindset, both between different councils and between different candidates come election time. It could encourage a race to the top for environmental outcomes.⁶¹

It would be important for this report card framework to be founded on robust evidence, but a poor score should not flow automatically from poor results of environmental monitoring (or other wellbeing indicators).⁶² This is because many environmental and other indicators can be slow to change (eg nutrients flowing into waterways), and poor outcomes measured at the end of a relatively short political cycle do not necessarily reflect the degree to which a problem is being addressed or duties being undertaken by a public authority. The framework would also need to be sensitive to what had been achieved by an organisation in light of the resources available, especially for councils. In other words, the system should not punish organisations for what they are fundamentally unable to do. This suggests a need to address funding constraints and incentives, which are addressed in Chapters 10 and 13.

There would be no automatic legal consequence for a poor scorecard. For example, we do not envisage that it would be enforceable in the courts in a blanket way (although for some things, like a failure to meet climate change targets, enforcement mechanisms should be stronger).⁶³ Instead, the idea is that any failings (or successes) of an accountable government would be highlighted in an evidence-based manner by a robustly independent institution, and New Zealanders could take that into account when going to the polls. In that way, an independent entity would enhance, rather than undermine, the democratic process. Because of growing environmental awareness and concern among the public, this would be a strong practical incentive for agencies to undertake (and Ministers to drive) robust evaluation and corrective action, alongside stronger legal duties to do so.

We acknowledge that there is potential overlap here with the role of the Parliamentary Commissioner for the Environment (in its general investigative and advisory function, and its review role).⁶⁴ Indeed, the new, more structured role outlined above could be given to that institution *instead* of a Futures Commission. We leave that as an open question, with a note that appropriate resourcing would need to be provided in either case.

As well as a retrospective scorecard for performance, councils could also be required to obtain accreditation from the Futures Commission, in advance, for the

The Futures Commission should be given a futures scanning function. It would look ahead to identify and report on potential threats and opportunities (particularly environmental ones), and the government would be compelled to respond.

Another key element of a Future Generations Act could be the imposition of a general duty on all persons to protect, or even enhance, the environment.⁷⁵ The idea is that all people should be held responsible for environmental wellbeing, not just the government. We heard from several people at workshops that such a measure would be a positive step, and that it would reflect the “emergency footing” that a future system will need. It would complement the general rights of nature enshrined in the Act’s purpose statement and the advocacy role of a Futures Commission, addressing the complaints of some that giving rights to nature without associated human responsibilities is greenwashing and window dressing.⁷⁶

Of course, we already have a general environmental duty contained in section 17 of the RMA. However, aside from the ability to issue enforcement orders and abatement notices, this is not enforceable, and liability does not follow. Furthermore, it is focused on the avoidance, remediation and mitigation of adverse effects rather than taking positive measures. As we have pointed out in the Phase 1 report, under the RMA “the trigger for action is still potential harm, not a drive for improvement”,⁷⁷ and the courts have said that activities with no significant adverse effects are not to be controlled by the RMA.⁷⁸ We see scope for a general duty to be strengthened and elevated to a Future Generations Act, including through the issuing of guidance as to what a general duty would entail in

specific sectors or for particular activities. It may also be useful to impose a specific duty on public authorities to enforce a general duty, addressing concerns that section 17 of the RMA is underutilised.

There are, of course, significant challenges here. Is it beyond the pale to require people to actively do things, rather than just preventing them from acting in harmful ways? We explored this question in the Phase 1 report, concluding that much more needs to be done in the non-regulatory space (eg economic instruments and behavioural incentives) to encourage environmental enhancement.⁷⁹ We need a system that drives as well as encourages positive outcomes.⁸⁰

But some regulatory options may also be possible. In particular, aspects of the system already contemplate that people can be actively compelled to do positive things, not just mitigate harm that they cause. For example, authorities under the Biosecurity Act can compel people to destroy pests on private property.⁸¹ Biodiversity offsetting using a biobank and a principle of net gain also has potential for making people enhance the environment overall (see further exploration in Chapter 12).⁸² And we already have the ability for esplanade reserves and strips to be set aside under the RMA in the event of subdivision – a profitable change in the use of private land leads to an expectation of public benefit, even if not directly linked to adverse effects.⁸³ Could we use such triggers to enhance the environment in other ways? For example, could urban development or the rezoning of land trigger the need to contribute to a national biobank rather than windfall profits going to private interests? Such mechanisms deserve further exploration.



Kenepuru Sound

be formalised and broadened through amendments to relevant sections of the Companies Act, where it could be made clear that a fiduciary duty to act in the best interests of the company is tempered (but not overridden) by a general environmental duty. As described in the spotlight below, there is likely to be considerable common ground between those two things as investors demand more environmental action and companies face more stringent regulation. Alternatively, the Act could be amended to include mandatory environmental and climate considerations in determining what the “best interests” of a company are.

Such reforms are not beyond the realms of possibility, given that there is ongoing debate in New Zealand about the extent to which a company’s interests should be narrowly equated to *shareholders’* interests. One commentator has noted that directors may already take into account the interests of “the community and the environment, provided that they do not pursue those interests without any regard to the company’s interests”⁸⁸ and that “there is a clear drift in New Zealand towards appreciating the impact of company actions on other stakeholders [including the public] that seems unlikely to be reversed”.⁸⁹ The United Kingdom’s Companies Act expressly provides that directors must take into account a company’s impacts on the environment (including communities).⁹⁰ We should look to do the same.



A spotlight on directors’ duties in the context of climate change⁹¹

Chapman Tripp⁹² has recently written a legal opinion for the Aotearoa Circle concerning the extent to which New Zealand company directors and fund managers are permitted or required to take account of climate change in decision-making. The opinion concludes that climate change has evolved from an environmental concern to a financial risk. While that does not mean it will pose a financial risk for every business or investment, it does mean that it needs to be taken into account in decision-making. Where the risk is material, one would expect directors to formulate appropriate strategies for addressing it, based on directors’ duty to act with reasonable care. Financial risk to business from climate change stems from both *physical risks* and *transition risks*:

- Physical risks include damage to assets and supply chain disruption
- Transition risks include regulatory risks, legal risks, technology risks, market risks and reputational risks

Many company boards will rightly conclude that their businesses are unlikely to be directly affected by physical risks caused by climate change. But transitional risks are likely to be of much broader application. For instance, even if you operate nowhere near a coastline, failing to respond to consumer demand for sustainable products might mean that the market shifts out from under you.

In principle, company directors should approach climate risk in the same way as any other financial risk. Among other things, they would be expected to seek independent expert advice on the climate risk faced by the company and options for addressing that risk, retain adequate expertise on the board, and to take concrete steps to address the company’s risk exposure.

For fund managers, the legal context has traditionally been less clear. This is because of the important rule that those who invest other people’s money are not entitled to indulge their own ethical or environmental scruples. This rule has sometimes been understood as requiring a blunt “profit maximisation” approach, whereby fund managers must by law invest in the highest-returning stocks. The legal opinion says that this was never true and is certainly not true today. In particular, the law does not require a focus on short-term non-risk-adjusted gain at the expense of longer-term financial considerations – including potentially significant climate related risks. These are no longer environmental “scruples”. While an overall investment approach will usually still be to enhance long-term financial return, climate risk will often be a relevant consideration in determining what that looks like.

8.4 A framework for strategic and spatial planning

The Future Generations Act would not just be a framework for general, system-wide principles/duties and accountability/reporting mechanisms. It would also be a place where high level strategic plans were developed. Those plans would influence decision-making under more detailed “implementation” frameworks like the RMA. What we mean by strategic and spatial planning, and how this would work, is explored below. It would be a key mechanism by which urban growth would be managed in an integrated way (largely to ensure that land use decisions under the RMA married up with infrastructure planning and funding under a Local Government and Infrastructure Act).⁹⁵

A spotlight on strategic spatial planning

In the Phase 1 report, we pointed out that the current system lacks strong strategic planning. That means, essentially, that it is not firmly focused on the future or the need for change. Some have characterised this as a system that is reactive or (adverse) effects based, rather than one that is geared towards positive change and is outcomes focused. That is not uniformly the case (eg a lot of strategic planning already goes on in government departments and councils),⁹⁶ and it is sometimes a complaint about what RMA plans have done in practice rather than the wider system or what *could* be done under the RMA.⁹⁷ However, the key point is that strategic planning at a system-wide level can be patchy, overlapping, and not well integrated. We are used to operating in strategic silos. As such, we have previously said:⁹⁸

The current system is by no means devoid of strategy. For example, some have pointed out that the Local Government Act and the Land Transport Management Act are strongly future focused. Central and local government often produce strategies under more general (or no) statutory frameworks. The issue is more that, currently, strategy happens on an ad hoc and piecemeal basis, and that the links between strategic and other kinds of tools (eg regulation) are not always strong.

... [R]esource management strategy seldom get[s] looked at in a holistic way. It is more common to have strategies relating to economic development, energy, conservation, local and regional infrastructure, climate and so forth.

But what is a strategic *spatial* plan? Not all elements of a strategy are spatial (eg a strategy to reduce waste over time might involve the deployment of taxes, funding, or product stewardship schemes, none of which have real spatial aspects). But many aspects are. For example, an urban growth strategy is dependent on knowing what (infrastructure, houses, businesses, public services) goes where over time. Equally, not all

spatial plans are strategic. That is what Infrastructure New Zealand means when it points out:⁹⁹

Spatial planning differs from conventional land use planning as practiced in New Zealand. Land use planning under the RMA is not strategic. It is effects based and reactive. It is designed to minimise the impacts of physical development on other residents, activities and the environment. It is not designed or set up to proactively promote outcomes.

Thus complaints about RMA plans are usually not so much that they are not spatial (eg district plans are spatial almost by definition) or even that they *cannot* be strategic (there is nothing in the RMA that prevents an instrument being future focused), but rather that they do not *have* to be strategic (and in practice they tend *not* to be).¹⁰⁰ Under our reformed model for the RMA, that would no longer be the case. A new Part 2, and the use of targets, would be much firmer about driving positive social and environmental change.

However, there are other senses in which the system as a whole does not provide for adequate strategic spatial planning, and where a reformed RMA would not be enough. In short, we need:

- (1) Horizontal integration: the ability for one spatial planning framework (eg land use under the RMA) to influence or be aligned with another (eg infrastructure planning/funding under the Local Government Act).
- (2) Vertical integration: the ability for a higher level spatial plan to have influence on lower level decision-making (eg the Auckland Plan is not binding on the Auckland Unitary Plan)
- (3) A *requirement* to do it in a way that aligns other decisions: while many councils *have* engaged in cross-district spatial planning under the Local Government Act to manage urban growth, that is not mandatory. Such efforts also tend to be responsive to rather than pre-emptive of pressures.¹⁰¹
- (4) An integrated *national* effort at spatial planning.

We suggest that, under a Future Generations Act, two key subordinate instruments be developed to rationalise, integrate, align and fill gaps in this complex strategic landscape. They would be mandatory.

The first instrument would be a *national* strategy. This would take a holistic approach to all strategic planning that goes on within the bounds of the resource management system, and join it up. More targeted strategies (eg for tourism, biodiversity, minerals etc) could, of course, continue to be developed, but they would be done either to inform the wider strategy or as specific domain- or sector-based expressions of it. It would address concerns that a more joined up approach is needed to produce positive, efficient, and certain

8.5 The legal effect of futures strategies and spatial plans

Spatial plans would not have direct regulatory effect. As we have pointed out previously, “A strategic tool is an overarching instrument that guides the actions of public authorities over time without being binding on people as a matter of law”.¹¹⁰ However, we think that futures strategies and associated spatial plans would need to be *legally* meaningful (see Figure 8.2). By this we mean that they should not just be another level of wishful thinking or nice words on paper. If we bother to do this kind of thing – which we think is well worth the effort – it needs to have real influence on other legal frameworks by which more targeted decisions (including regulatory and funding decisions) are made. Strategy is worthless if it does not lead to action and, at present “the lack of legal weight and disconnection with RMA plans means that the full benefits of strategic planning are not being realised throughout the system.”¹¹¹

However, there is a significant tension to be resolved here. Implementation frameworks like the RMA, conservation legislation, transport legislation, and local government legislation all have their own, more targeted, purposes and processes. There are thus serious questions to be asked about the direction of influence here.

Should, for example, a National Futures Strategy have to give effect to an NEP developed under the RMA? Or should an NEP have to give effect to a National Futures Strategy? Perhaps even more significantly, should expenditure decisions under local government

legislation (eg through long-term plans and annual plans) be *required* to implement those things that cost money (eg infrastructure) under a regional futures strategy? Or should that strategy itself have to change based on the funding that councils and ultimately communities are willing to stump up in any given year?

How to spend ratepayer money goes to the heart of local democracy, even if there are concerns that too many candidates campaign myopically on a platform of lower rates.¹¹² It would also be beyond the pale for long-term central government funding decisions to be bound by a high level, long-term strategy. The budget process is the preserve of a democratically elected government (and, ultimately, Parliament), which can come into sharp relief when the makeup of the government changes.¹¹³

This is a question that played out in the context of the Auckland Plan, which can be seen as analogous to the kind of regional futures strategies we are talking about here. That was designed to provide a high level blueprint which other instruments – especially the subsequent Unitary Plan under the RMA – would achieve. But the legal direction was always weak; the latter was only obliged to have regard to the former.¹¹⁴ The unitary plan, where the rubber really hit the road for many things (including regulatory restrictions and zoning decisions affecting people’s property) had a robust process involving an accountable council, an independent panel, and the courts. It was important that this – and associated funding decisions under other legislation – could not be overridden by a more aspirational spatial plan created (in many ways) in a less formal manner.



8.6 How would strategies and spatial plans be developed?

If futures strategies and spatial plans are to have real legal influence (even if they are not absolutely binding), the process for creating them needs to be robust. It cannot simply be another round of strategising that emerges from locked rooms within government departments. How the purpose and principles of the Future Generations Act are drafted will also be significant, because those will be powerful drivers behind what strategies look like. We welcome suggestions for drafting.

A spotlight on the creation of futures strategies and spatial plans

We envisage that a National Futures Strategy, and its expression in a spatial plan, would be developed in a collaborative manner. It would be led by responsible Ministers (forming a Cabinet sub-committee). Departmental support and advice would be provided under the umbrella of the “Futures Group” mentioned earlier in this chapter. That would be a standing group of officials from various relevant government departments, chaired by a senior official from the Department of the Prime Minister and Cabinet. The point would be to break down institutional siloes at the highest level.¹¹⁷

Again, there would be no new functions given to central government here. It would simply be a way to ensure the vast amount of strategic planning already occurring came together in a coherent fashion, reflecting the “silo busting” intent behind wider state sector reforms.¹¹⁸ The first task here would be to ensure that environmental bottom lines were given effect to in the strategy, reflecting the purpose of both the Future Generations Act and implementation acts like the RMA.¹¹⁹

However, this would not be a closed-door government exercise. The strategy would be co-developed with Māori (while acknowledging the difficulties in determining what such a group would look like at the national level).¹²⁰ Advice would be proactively sought in that process from local government, the Infrastructure Commission, and infrastructure providers. We could look to Sweden for inspiration on this front. There, an All-Party Committee on Environmental Objectives has been established to pursue national environmental targets, which works with experts, stakeholders and local government.¹²¹

A National Futures Strategy would then be publicly notified, and submissions received. There would be an independent review under the auspices of the Futures Commission and Tikanga Commission/ commissioners, which would provide an assessment of consistency with the purpose and principles of the Act. In the short to medium term (prior to greater institutional integration), other independent institutions (the Parliamentary Commissioner for the Environment, Climate Change Commission, and potential Freshwater

Commission) would also feed into that review.¹²²

The government would be required to respond to recommendations made, and justify why they had been accepted or rejected. A final decision would be made by Cabinet, and the strategy would be promulgated by order in council.

Regional futures strategies and associated spatial plans would be developed in a conceptually similar manner, but with different actors involved. While it would not be the only thing they would do, such strategies and plans would be crucial for managing urban issues in an integrated way, especially in areas experiencing or expecting rapid growth (eg mapping strategic growth corridors and sequenced land release).

Councils within a region would lead the development of these instruments, but it would be a collaborative exercise alongside mana whenua and CCOs. Again, the first job would be to ensure that environmental bottom lines were given effect to. As at the national level, advice would be proactively provided by the Infrastructure Commission and infrastructure providers (including requiring authorities and Kāinga Ora – Homes and Communities). The Crown would also be actively involved, not least in its capacity as the partial funder for some measures (eg transport infrastructure) and the planning authority for others (eg new schools and hospitals). The instruments would then be publicly notified, and submissions received. Again, there would be an independent review under the auspices of the Futures Commission and Tikanga Commission/ commissioners, as outlined above. Final sign off would be by councils and mana whenua.¹²³ Both national and regional level instruments would need to be reviewed periodically, potentially to align with environmental reporting timeframes.¹²⁴

Strategies and spatial plans would have varying levels of detail, and this would not be prescribed. Some areas may require quite elaborate provisions (including detailed mapping), whereas others may not. A lot of conversations have focused on areas experiencing rapid urban growth, and the need to unlock land for development in an integrated and timely way. That is undoubtedly important.

But the trigger for spatial planning here would not just be about the pace of urban growth.¹²⁵ Many other kinds of pressures warrant a meaningful strategic and spatial assessment of how we are using and protecting resources, including slower urban creep, implications for productive (food producing) land, and active measures to address (and adapt to) climate change. In fact, some form of integrative strategy and spatial plan would be mandatory (rather than trigger-based), recognising two things: that we should not wait until issues are manifest before thinking about how to address them, and that we need to actively provide for positive change. It would recognise that all regions are different, and that strategic approaches and partnerships may differ too. As the New Zealand Initiative has pointed out, “A blanket policy set by the central government can never adequately cope with the specific requirements of the regions”.¹²⁶

A spotlight on the Mackenzie Basin: Spatial planning for a drylands protected area

The Mackenzie Basin is an expansive inter-montane basin in the central South Island. It has outstanding landscape and high ecological values. It is also an area with, among other things, a rich history of pastoral farming. The human interactions that have occurred on the land for generations have in part formed the landscape we see today; however land use is changing and is no longer compatible with that landscape. The RMA has not been able to pre-empt this change, and consequently has not been able to adequately protect the landscape from negative change.

An integrated approach is required to manage landscapes such as the Mackenzie Basin. The area is a patchwork of freehold, Crown pastoral lease and public conservation land that spans the jurisdiction of two territorial authorities, a regional council, and numerous central government agencies. The protection of such landscapes could be improved through a cross-jurisdictional spatial planning exercise – outlining a common vision – that is then implemented through the coherent deployment of tools in a number of “implementation” statutes. In the Mackenzie Basin, this would allow for activities that have shaped the landscape, such as pastoral farming, to occur in some areas while ensuring full ecological protection in others.

The overarching concept of a Heritage Area Order was briefly discussed in Chapter 6. That is one tool among many that could be deployed to realise a broader vision in a spatial plan. In short, Heritage Area Orders would be promulgated as a new tool under a revised RMA for landscapes of national significance (using a process similar to that for Water Conservation Orders). Once designated, the entire Heritage Area would be overlaid with a protective purpose that would guide decisions on both plans and consents under the RMA. The Order would specify values that need to be protected, and activities that must be restricted or prohibited to protect these values. Compliance with the Order would need to be demonstrated when granting resource consents for activities within the Heritage Area. However, the value of a spatial plan would be that it would flow through into other necessary mechanisms not contained in the RMA. For example, it would guide associated funding decisions made under local government legislation, as well as budget bids and financial planning by relevant central government agencies. It would influence connected decision-making under conservation legislation, given that public conservation land would comprise an important ecological core of a drylands heritage area. It would also influence decision-making under the Crown Pastoral Land Act, relating to permissions for activities on pastoral leasehold land (and any future replacement for tenure review).

A spatial plan would thus provide for areas of stricter control for areas of ecological, landscape or other national significance. The current government is

intending, for example, to create a Mackenzie drylands protected area to ensure protection of threatened dryland ecosystems across their full ecological sequence. This could be identified in the spatial plan as an area to be managed as public conservation land under dedicated (and more integrated) conservation legislation (discussed in Chapter 12).

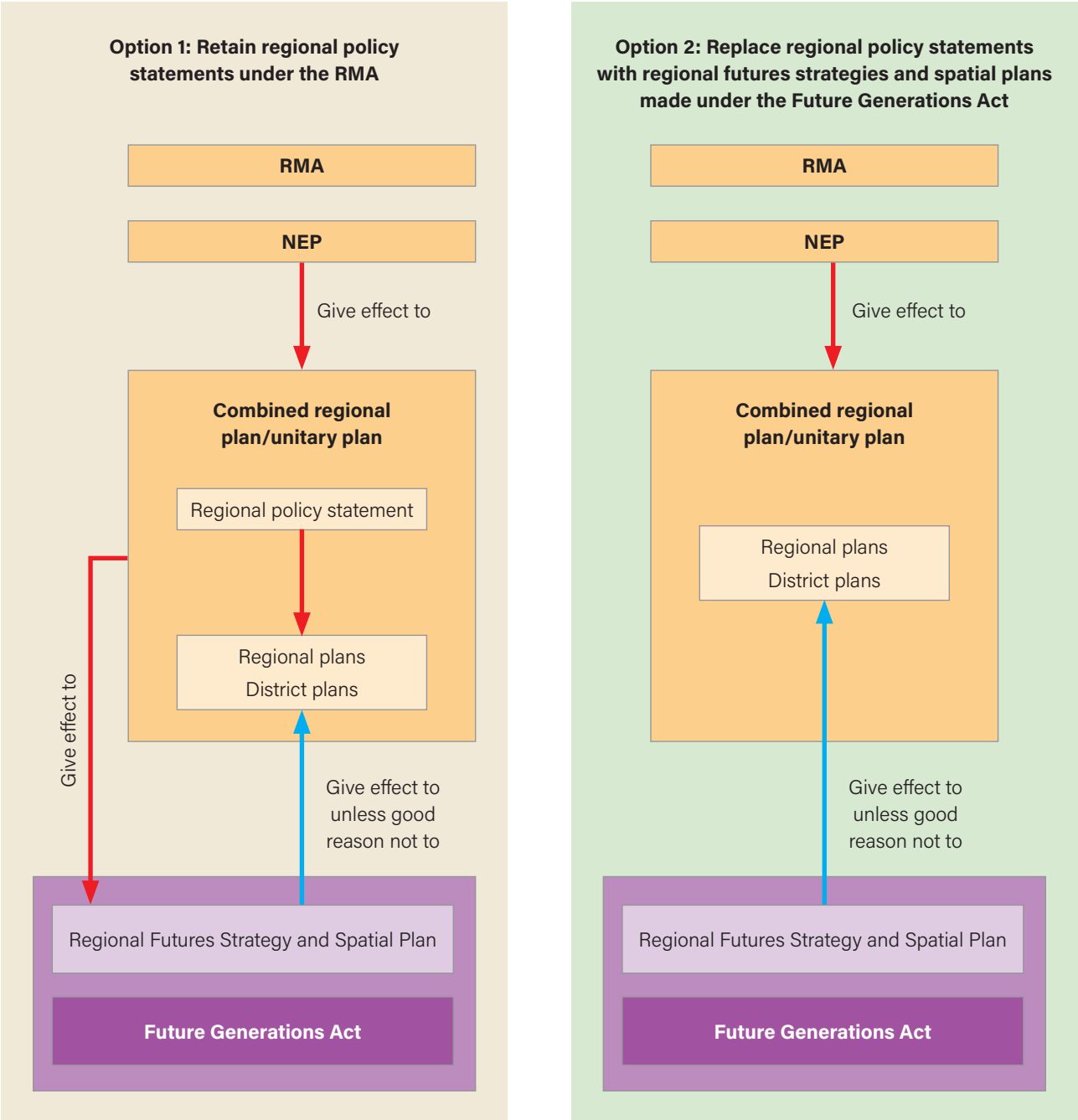
A spatial planning exercise would prompt the supply of supportive measures from central and local government. This would include funding and resourcing commitments. For example, it is envisaged that there would be dedicated and integrated resource for monitoring and compliance across the different tenure types and jurisdictions in the area, to ensure both public and private land is being managed in accordance with the vision.

Management responsibilities (ie institutional responsibilities) for parts of the area would not change. Private land would still remain under the control of local authorities and landowners, and conservation land would be the responsibility of the Department. However, we consider that a single agency (a Trust or Forum with a representative Board) is required to coordinate action, identify where certain activities (such as farming) must be restricted, and provide strategic direction. The Trust/Forum would therefore be in charge of designing and implementing the spatial plan for the area as well as distributing funding. There could usefully be provision within a Future Generations Act for such cross-cutting institutional arrangements to be formalised and tailored to the needs of an area which merits spatial planning, although it would not be able to alter the ultimate institutional responsibilities enshrined in more specific legislation (eg functions under the RMA, Crown Pastoral Land Act, local government legislation or conservation legislation).

The conceptual role of a spatial plan here would be not dissimilar to that currently existing for the Waitākere Ranges as a result of bespoke legislation: the Waitākere Ranges Heritage Area Act 2008, although that is much wider in scope and effect. The legislation establishes the Waitākere Ranges Heritage Area, and sets out objectives for its management. These include the protection and enhancement of its features (such as its prominent indigenous character, and different classes of natural landforms) for present and future generations. It has links to the RMA: for example, councils must give effect to these objectives, and the purpose of the Act, when making planning or policy decisions under the RMA. The Act also provides provision for the development of Local Area Plans, which outline how the Act's objectives will be met. However, as the provisions contained in these Plans do not have to be implemented by either the Council or landowners, they lack teeth. Other statutory frameworks are therefore influenced by a broad set of purposes and principles in legislation, not more detailed spatial plans that outline, for example, where some things should and should not occur or where funding must be deployed to support regulatory measures.

of planning may strike some as inefficient, the RMA would retain a more targeted purpose and principles than a Future Generations Act. The regional policy statement can be seen not just an integrative mechanism, but as a focused and ultimately protective set of policies that filter down into more specific rules and policies. One option would be for regional futures strategies to give effect to it rather than to replace it.¹⁴¹

It would be possible to replace regional policy statements under a revised RMA with regional futures strategies created under a Future Generations Act. This would be to address concerns that the two would be too duplicatory. Alternatively, a more focused regional policy statement could be required to be given effect to in regional future strategies.



initial view that only targeted changes are required on this front,¹⁵¹ while others have proposed a more far-reaching overhaul of how growth and development is paid for.¹⁵² For example, it has been alleged that a need to tax *existing* residents for the substantial costs of infrastructure for *new* residents leads to (understandable) resistance from councils to embrace urban growth, or an incentive to provide infrastructure on a “just in time” basis.¹⁵³ Many councillors campaign specifically to keep rates down.

Funding in this context is considered further in Chapter 10. But we emphasise that any effort to align planning and funding (eg through spatial planning) that is not itself binding as a matter of law will need to carefully consider the underlying incentives on actors to actually follow through and implement it in other frameworks. That is not just about the incentives provided by funding mechanisms (eg rates); it is also about incentives on local government to follow through on changes to RMA instruments (eg providing for urban growth through intensification of low density suburbs – the so called “nimby” issue).¹⁵⁴ Again, it is to be hoped that a role for the Futures Commission in RMA planning (akin to the role the Independent Hearings Panel played in Auckland), and a more nuanced set of matters in Part 2 of the RMA, will assist.

A spatial planning framework for urban growth could usefully be complemented by changes to more targeted frameworks like the RMA and local government and infrastructure legislation. A spatial plan can outline what should happen when, and indicate how it is to be paid for,

but cannot integrate the actual processes by which those things happen under other frameworks. For example, it has been pointed out that:¹⁵⁵

district plan processes can take years and in many cases up to a decade or more to complete. Meanwhile council annual and ten year plans [under the Local Government Act] run separately from three yearly National Land Transport Programme planning cycles [under the Land Transport Management Act].

While different processes for each are inevitable given the different nature of the roles, these should be aligned more closely in a future system as far as possible. As mentioned already, we also see merit in going further and integrating the Local Government Act with the Land Transport Management Act (and proposed Water Services Act), to form a single statute dealing with the infrastructure planning and funding issues relevant to urban growth. In that case, there would be fewer inter-statutory connections to be managed through a higher level spatial planning regime.¹⁵⁶

Alongside robust strategic and spatial planning, there would be a case for further aligning decision-making processes under more targeted statutes that would implement it. In particular, land use planning and infrastructure funding should occur in a more connected manner. It may make sense to integrate the Local Government Act with the Land Transport Management Act (and any separate water services legislation) in a Local Government and Infrastructure Act.



considerations (including opportunities for enhancement) into the earliest phases of project development, and many synergies are possible here.¹⁶² As we pointed out in Phase 1, environmental considerations “can usefully influence how a [public] proposal looks right from the start, to remove inappropriate features (eg culverting urban streams ...) and pursue synergies”.¹⁶³ This “greening” of our statutes could usefully filter down to other frameworks too – such as more directive provisions within, for example, local government, building and infrastructure legislation.¹⁶⁴

National level spatial planning would not be about giving central government greater powers. It would be about coordinating the use of existing powers, including under specific statutory frameworks, towards a more joined-up end point. It would certainly not be an opportunity for a development-minded government to override environmental considerations, and safeguards in the Act would make this clear.

8.10 Concluding comments

In this chapter we have considered the place of a Future Generations Act in a reformed system. We would envisage this having two roles. The first would be to provide an

overarching set of principles/duties to guide all forms of public decision-making, to ensure that cross-cutting environmental considerations are considered in all places where it counts. No longer can we afford to treat many environmental matters as the sole preserve of “environmental” (ie restrictive) frameworks like the RMA; they need to infuse all aspects of public (and corporate) decision-making if we are to make improvements and pursue synergies. Climate change is one key cross-cutting concern, and biodiversity is another. As the Biodiversity Collaborative Group has said, “Success in arresting biodiversity decline ... requires integrating and aligning wider government policy, institutional arrangements and regulations. Otherwise we run the risk of one initiative negating or impeding the other”.¹⁶⁵

The second role of the Act would be to establish a framework for strategic and spatial planning at national and regional (and potentially cross-regional) levels. These plans would percolate down into multiple layers of more targeted decision-making, such as the RMA and a Local Government and Infrastructure Act. In particular, regional spatial planning would be key to coordinating land use planning with infrastructure planning and funding, especially in areas experiencing rapid urban growth. We look at aspects of infrastructure – and the built environment more broadly – in the following chapter.



ENDNOTES

- 1 For example, in legislation focused on waste, hazardous substances, biosecurity, conservation, oceans etc.
- 2 For example, separate legislation focused on infrastructure and urban development.
- 3 For example, focus can be provided by having targeted business units within wide ranging government departments.
- 4 See <<https://ssc.govt.nz/resources/changes-state-sector-act-1988/>>
- 5 See <www.mfe.govt.nz/rma/improving-our-resource-management-system>
- 6 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 97.
- 7 In that an authorisation obtained under other acts (eg conservation concessions, mining permits) does not usually remove the need to obtain RMA permissions.
- 8 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 46; World Economic Forum *The global risks report 2018* (World Economic Forum, 2018); J Diamond *Collapse: How societies choose to fail or survive* (Penguin, 2011).
- 9 Future generations encompass both people and nature.
- 10 Canadian Environmental Protection Act 1999, preamble.
- 11 Although that is something that could develop in parallel.
- 12 Compare Ecuadorian Constitution, art 71.
- 13 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 231. See generally C Iorns Magallanes "From rights to responsibilities using legal personhood and guardianship for rivers" in B Martin, L Te Aho and M Humphries-Kil (eds) *ResponAbility: Law and governance for living well with the Earth* (Routledge, 2018).
- 14 The Act could, for example, provide mechanisms to clarify expectations of how Crown and Māori would work together under other frameworks.
- 15 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 5.
- 16 Ibid at 125. On the durability (or not) of legislative frameworks, see G Palmer "Law-making in New Zealand: Is there a better way?" (2014) 22 Wai L Rev 1 at 3.
- 17 See Simpson Grierson *The statutory framework of New Zealand's local government sector: Is the key legislation working properly?* (Simpson Grierson, 2016); New Zealand Productivity Commission *Better urban planning* (2017) at 93 and 94; New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 44; Legislative Design and Advisory Committee *Legislation guidelines: 2018 edition* (2018) at 10.
- 18 New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 34.
- 19 Ibid at 125, 224.
- 20 See Chapter 10.
- 21 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 225. See also C Smith *Treasury living standards dashboard: Monitoring intergenerational wellbeing* (2018); Treasury and Statistics New Zealand *Indicators Aotearoa New Zealand* (2018).
- 22 See H Rutherford "NZ Super Fund to cut fossil fuels, makes 'fundamental shift' to prepare for climate change" *Stuff* (19 October 2016) <www.stuff.co.nz>
- 23 For example, in the concept of a wellbeing budget and associated living standards framework.
- 24 M Petrie "Reversing the degradation of New Zealand's environment through greater government transparency and accountability" (2018) 14(2) Policy Quarterly 32 at 37.
- 25 <www.nzherald.co.nz/nz/news/article.cfm?c_id=1&objectid=12244139>
- 26 Compare *Report of the Biodiversity Collaborative Group* (2018) at 90: "policy, investment, and development decisions should be required to consider impacts to determine consistency with objectives to maintain indigenous biodiversity".
- 27 Well-being of Future Generations (Wales) Act 2015 (UK), ss 2, 3(1).
- 28 For example, a decision to invest in electric vehicle infrastructure.
- 29 For example, this would be relevant in terms of allocative outcomes and who should bear the cost of restoration action.
- 30 Compare MA Brown and others *Vanishing nature: Facing New Zealand's biodiversity crisis* (EDS, 2015).
- 31 Which might cross-reference other legislation (eg the RMA), or might outline general targets to be fleshed out in more targeted statutes.
- 32 OECD *Environmental performance review – New Zealand* (2017).
- 33 See M Petrie "Reversing the degradation of New Zealand's environment through greater government transparency and accountability" (2018) 14(2) Policy Quarterly 32 at 35.
- 34 Ibid at 35.
- 35 For example, Resource Management Act 1991, s 104(1)(c).
- 36 Compare MA Brown *Evaluating the environmental outcomes of the RMA* (EDS, 2016), where we pointed out that a lack of effective strategy and oversight of decision-making has reduced the potential to protect environmental values, including the capacity to manage cumulative effects.
- 37 For example, the "Natural Resources Sector" grouping of agencies.
- 38 New Zealand Productivity Commission *Better urban planning* (2017) at 393.
- 39 See Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 3, 21. Compare *Report of the Biodiversity Collaborative Group* (2018) at 87.
- 40 New Zealand Productivity Commission *Better urban planning* (2017) at 51.
- 41 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 169.
- 42 In the same spirit, but narrower application, some have suggested having a single government department responsible for the RMA, Local Government Act and Land Transport Management Act.
- 43 On the importance of formality of creation for durability, see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 171.
- 44 A Futures Group would be given a statutorily defined mandate.
- 45 On the need to change how government agencies work together, compare *Report of the Biodiversity Collaborative Group* (2018) at 89, 91.
- 46 See <www.nzherald.co.nz/nz/news/article.cfm?c_id=1&objectid=12244139>
- 47 <<https://ssc.govt.nz/resources/changes-state-sector-act-1988/>>. For a focus on outcomes rather than "services", see Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 34.
- 48 Ibid.
- 49 On reasons for institutional independence (including to enhance accountability of other institutions), see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 165. Compare New Zealand Productivity Commission *Better urban planning* (2017) at 51.
- 50 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 175.
- 51 Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 32.
- 52 Ibid. Compare J Diamond *Collapse: How societies choose to fail or survive* (Penguin, 2011) at 434: governments "regularly operate on a short-term focus: they feel overwhelmed by imminent disasters and pay attention only to problems that are on the verge of explosion".
- 53 Although see Chapter 13 on issues with the adequacy of the information base on which our understanding of environmental issues and trends is based.
- 54 New Zealand Bill of Rights Act 1990.
- 55 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 286; Resource Management Act 1991, s 36AA.
- 56 On the need for more robust evaluation of public authorities' performance (including in relation to enforcement), see MA Brown "Compliance, monitoring, enforcement and evaluation" in G Severinsen and R Peart *Reform of the resource management system: The next generation – Working paper 3* (EDS, 2018) at 197.
- 57 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 286. On shortcomings in enforcement, see MA Brown *Last line of defence: compliance monitoring and enforcement of New Zealand's environmental law* (EDS, 2017); MA Brown *Independent analysis of the 2017/2018 compliance monitoring and enforcement metrics for the regional sector* (The Catalyst Group, 2018).
- 58 M Petrie "Reversing the degradation of New Zealand's environment through greater government transparency and accountability" (2018) 14(2) Policy Quarterly 32 at 35.
- 59 See MA Brown "Compliance, monitoring, enforcement and evaluation" in G Severinsen and R Peart *Reform of the resource management system: The next generation – Working paper 3* (EDS, 2018) at 184; G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 237.
- 60 MA Brown and others *Vanishing nature: facing New Zealand's biodiversity crisis* (EDS, 2015).
- 61 However, much would depend on other incentives faced by councils in making decisions, including the particular concerns of their constituents and financial considerations.
- 62 See *Indicators Aotearoa New Zealand – Ngā Tūtohu Aotearoa* at <www.stats.govt.nz>
- 63 See Chapter 9.
- 64 See Environment Act 1986, s 16. The Commissioner also has a role in responding to environmental reporting.
- 65 Building Consent Authorities are accredited and overseen by the Ministry of Business, Innovation and Employment pursuant to the Building (Accreditation of Building Consent Authorities) Regulations 2006 which require, among other

- 132 Consistency is desirable, but one can also imagine conflicts that could arise (eg if the government wished to provide for more renewable generation in particular parts of the country, but local government preferred to maintain local landscape or amenity values). That may be resolved in part by providing a clearer definition of subsidiarity, and the appropriate roles of central and local government, as suggested earlier in the context of the RMA.
- 133 R Peart *A place to stand: The protection of New Zealand's natural and coastal landscapes* (EDS, 2004).
- 134 Who funds what, and how, is a more systemic question that is explored in Chapters 10 and 13. The point here is that respective funding commitments need to closely inform the development of spatial plans. On proposals to change the funding arrangements of local government, see New Zealand Productivity Commission *Local government funding and financing* (Draft report, 2019); Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 15; Local Government New Zealand *Reinvigorating local democracy: The case for localising power and decision-making to councils and communities* (2019).
- 135 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 268.
- 136 Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 3.
- 137 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 187.
- 138 For example, in relation to transport infrastructure funding in Auckland and Wellington, and projects funded by the Housing Infrastructure Fund and Provincial Growth Fund.
- 139 Resource Management Act 1991, s 60.
- 140 See <<http://greaterchristchurch.org.nz/projects/strategy/>>
- 141 This choice will need to be cognisant of impacts on Treaty settlement legislation. For example, the Vision and Strategy relating to the Waikato River under the Waikato-Tainui Raupatu Claims (Waikato River) Settlement Act 2010 is deemed to form part of the regional policy statement. If that were morphed into a wider ranging strategy with less direct legal influence on subordinate plans, it may cause problems. Treaty settlements must be upheld in a future system.
- 142 See Chapter 5.
- 143 See generally New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* (2019).
- 144 Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 12, citing Ministry of Social Development *Household incomes in New Zealand: Trends in indicators of inequality and hardship, 1982 to 2017* (2018).
- 145 One objective talks about the need for "coordinated and aligned planning decisions within and across local authority boundaries". The government has proposed to make that more explicit in terms of alignment with infrastructure, and for authorities to be "strongly encouraged to work together" (New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* [2019] at 52). We can compare the general (and somewhat hopeful) direction in the RMA itself to "take into account management plans and strategies prepared under other acts" (s 66).
- 146 Local Government Act 2002, s 15.
- 147 New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) 35, 9.
- 148 <www.stuff.co.nz/national/115277636/councillor-questions-city-councils-funding-streams-for-64-billion-transport-programme>
- 149 Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 36.
- 150 On attempts to define "quality urban environments", see New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* (2019).
- 151 New Zealand Productivity Commission *Local government funding and financing* (Draft report, 2019).
- 152 See Local Government New Zealand *Reinvigorating local democracy: The case for localising power and decision-making to councils and communities* (2019).
- 153 See generally Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 15-18.
- 154 Proposed national direction on urban development is designed to target good quality urban densification: see New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* (2019).
- 155 New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 34.
- 156 Compare G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 123.
- 157 <www.hud.govt.nz/urban-development/urban-growth-agenda/>
- 158 For example, whether aquaculture in Fiordland should be allowed.
- 159 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 178.
- 160 Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 37.
- 161 For example, in the Muldoon era of "think big" projects.
- 162 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 172-173, 180, 276.
- 163 Ibid at 276.
- 164 These acts already contain some general environmentally focused principles, but they could be more directive (see *ibid* at 180). For example, creating vertical and rooftop green areas, requiring solar panels or using wetlands to filter stormwater, providing benefits for biodiversity, water quality, amenity, open space, natural hazard resilience and other things. See generally City of Melbourne *Green our city strategic action plan 2017-2021* (2017).
- 165 *Report of the Biodiversity Collaborative Group* (2018) at 86.

sense to locate amendments within the Climate Change Response Act: it is our preeminent climate change statute.

However, we suggest that most of the Amendment Act's content would be a better fit within a more integrative Future Generations Act. The links between climate change action and almost all other aspects of the system need to be extremely strong. Thus while close connections are undoubtedly needed between climate strategy and the emissions trading scheme, equally close or even closer links are needed with many other legal frameworks in the system.¹¹

9.2 Emissions reduction plans and adaptation plans

In particular, emissions reduction plans and adaptation plans would be integrated into a single futures strategy. They would not *just* be about meeting targets or budgets; they would also be designed to reflect the wider range of matters contained in the Act's purpose and principles. Climate elements of a futures strategy would therefore need to take into account the risks and co-benefits of different approaches to climate change mitigation (eg the biosecurity risks of monoculture plantation forestry, the synergies of indigenous forest for other aspects of the environment, the need to consider the economic impacts of different land uses on rural communities, and the synergies between mitigation and adaptation outcomes that nature restoration can provide).

A spotlight on emissions reduction plans and adaptation plans within a futures strategy

Under the Climate Change Response (Zero Carbon) Amendment Act, the government is obliged to produce emissions reduction plans and adaptation plans. These will, respectively, outline how emissions are to be reduced to meet targets and carbon budgets, and how New Zealand is to respond to the effects of climate change.

However, the exact nature of these instruments remains unclear (eg it could be that they are simply a means for further discretionary government action, including plans for further legislative reform, rather than an actual instrument like an NPS). While the Amendment Act clarifies the relationship between emissions targets/budgets and other decision-making frameworks (they are permissive considerations only), it does not clarify the relationship between emissions reduction and adaptation plans and those frameworks. Some relationship is extremely important, as it will drive how a whole variety of agencies with impact on the ground (eg the Electricity Authority, Energy Efficiency and Conservation Authority, NZTA, councils and CCOs etc) respond to the climate change challenge.

As instruments that are embedded in a wider National Futures Strategy (and spatial plan), we see a future in which emissions reduction and adaptation measures – including in relation to particular sectors¹² – would be legally meaningful from the outset. This is because a futures strategy would need (as one option) to be “given effect” to in other decision-making frameworks (including under the RMA) unless there were “good reasons” not to. Alternatively, there could be a requirement for it to be given “particular regard” to, or some other wording.¹³

Either way, the need is urgent – we require something that will have real influence on the ground in implementation frameworks, not just another “plan to make a plan” that that might or might not eventually lead to action. In that vein, we have previously said that we need to specifically outline in a strategy “how or whether [other frameworks, like the RMA] are to be used to meet budgets and targets, and why/why not. Otherwise, the risk may be an undue focus ... on non-regulatory or soft approaches to reducing emissions.”¹⁴

Legal relationships are equally important for the climate change adaptation component of a futures strategy, especially with regard to how it flows through to regional policy statements¹⁵ and district plans under the RMA (which address land use planning) and infrastructure planning and funding under local government and infrastructure legislation. National influence here is important, given the potential for strong local opposition to (and therefore lack of a political stomach for) adaptation measures that can impact on property rights.¹⁶ Plans for mitigation and adaptation also need direct influence in broader public budgeting and investment processes. As we have already pointed out in the context of urban growth, a futures strategy needs to be accompanied by indicative sources of funding (who is going to pay and how) to make sure its approach to climate change adaptation is actually realistic. The costs involved in adapting to climate change will be substantial, because it will require proactive measures (not just stopping people doing things).

On balance, we would prefer a stronger relationship between futures strategies/spatial plans and other planning frameworks (eg to give effect to *unless there are good reasons not to*). Emissions reduction and adaptation plans within a futures strategy could not be *absolutely* binding, as that would run the risk of upsetting other carefully designed statutory schemes (such as the RMA, which also provide safeguards to protect local environments).¹⁷ In short, we cannot forget other aspects of the environment in the rush to address climate change. For example, it may be challenging to simply “deem” adaptation aspects of a futures strategy to be national direction under the RMA. Preferable would be a direction that an integrated NEP under the RMA had to give effect to the strategy as a whole, unless good reasons existed not to.

In particular, a drive towards near zero gross carbon dioxide emissions will be important. This is because the law requires some mechanism to push society to low or zero-carbon *alternatives* through technological and social change, not just a net zero carbon economy characterised by endless tree planting. Forest carbon sinks are not a permanent solution, especially given other pressures on land use that may be required (such as for food production, landscape protection, and urban development) and even “permanent” forest sinks can disappear – they can burn down, or (especially if they are monoculture, as is often the case now) may be susceptible to disease. A specific aim of lowering gross carbon dioxide emissions would be important in driving public investment in technologies and infrastructure relating to electric vehicles and solar energy, not just embarking on extensive and narrowly focused programmes of offsetting that can have significant risks.²⁴ Below, we shine spotlights on electric vehicles and the desirability of a synergistic approach to forestry. We have also previously said that:²⁵

[The Climate Change Commission] could usefully be required to comment not just on progress against percentage targets and integrity of [carbon] budgets, but also on the extent to which government policies (across many different portfolios) are reflecting broader decision-making principles under the Act.

This reinforces the earlier (albeit wider) proposal for a Futures Commission to review government performance against a high level set of principles/duties, and provide a form of scorecard that would include consideration of climate change-focused principles and targets.

We also see a case for embedding the target and budget setting and review process within the framework of a broader National Futures Strategy, albeit along much the same lines that is currently proposed. The setting of a long-term target, and structured stepping-stones (budgets) for getting there, are crucial framework features for addressing New Zealand’s greenhouse gas emissions. Legislative targets help to outline clear end points in order to achieve a stable, predictable policy and therefore investment landscape for business, government, and the public.

A strengthened purpose and principles for climate change (including the desirability of reducing gross carbon dioxide emissions) and the target and budget setting/review process could be integrated into the Future Generations Act framework.

We consider that the government should retain the final decisions on carbon budgets, given that there are still many value-based judgements to be made about *how* we reach targets over time. That is what an elected government is for. However, we see a case for stronger enforcement mechanisms here. Currently, targets and budgets, and related duties (eg the duty of the Minister to ensure net budget emissions do not exceed the emissions budget) lack legal enforceability. There is no mechanism to enforce failures in court, only a declaratory jurisdiction. The only financial consequence provided in

the Amendment Act is the award of costs. We see room for that to change.

One option would be an appeal pathway whereby the courts cannot direct the government to act in a specific way, but where they are empowered to direct the government to put in place measures that would achieve the target or meet a budget. There is already a specific process provided for in the Amendment Act for targets to be amended and budgets to be borrowed and banked, and to us that provides a comprehensive list of reasons for when flexibility is acceptable. If none of those reasons applied, why would we *not* provide for meaningful enforcement action to be taken for failure to achieve an extremely clear and specific (even numerically measured) outcome?

Ultimately, climate change targets are specifically legislated by Parliament. As a matter of hard law, not quasi-legal policy or ministerial discretion, we can therefore expect the government to meet targets (and adhere to budgets). It is not a radical constitutional proposition to expect the Crown to comply with the law and for there to be meaningful consequences if it does not. The novel aspect is that targets would be legislated to begin with, and (despite ongoing disagreement about the specifics), that no longer appears a controversial approach.

Therefore while a review and scorecard role for the Futures Commission would be important to raise public awareness of the government’s performance so New Zealanders can take that to the polls, elections are not an effective means of enforcing a failure to meet environmental obligations of constitutional significance. Many different issues – health, education, welfare etc – need to be weighed at elections, and they will always be at risk of reflecting shorter-term priorities or fluctuating over time.

We see room for stronger enforcement mechanisms for a failure to achieve climate change targets and budgets.

9.3 Institutional change

In the short to medium term, we would not anticipate significant institutional change to what has recently been enacted. The Climate Change Commission would be maintained as an independent Crown entity and exercise its legislated functions. We do not wish to upset the apple cart too much as this valuable step forward beds in. There are significant benefits in having a robustly independent, science-focused institution to provide advice and act as a watchdog and accountability mechanism alongside an elected government making policy decisions. The model encourages transparency, is likely to provide greater stability in climate policy across governments, and helps to depoliticise climate change issues.

However, this logic applies across the whole resource management system, and is reflected in our proposal for a broader Futures Commission. In the longer-term, therefore, it would make some sense to integrate the Climate Change Commission in some way with a Futures Commission (eg as a branch) while retaining targeted

A landscape approach is already visible in certain parts of New Zealand, whether through the use of shelterbelts or hedgerows, riparian planting around rivers and waterways, poplar and willow pole planting on erosion-prone land, the retiring of marginal land or sensitive catchments for native regeneration, the protection of wāhi tapu and mahinga kai, or the retention of special ecosystems alongside more intensive land uses. These diverse land uses demonstrate a sensitivity to the needs and challenges of particular sites and the peoples attached to them.

The concept recognises that land can be used and managed in ways that have multiple benefits. For example, if land use decisions are driven solely by a drive towards short-term carbon sequestration, then dense plantings of fast-growing exotics, such as *Pinus radiata*, may be the rational choice. However, if we take a broader view of value – including, say, native biodiversity, climate adaptation, social licence from local communities, and so on – then it isn't at all obvious that we should blanket the landscape with *Pinus radiata*. From this perspective, biodiverse native forests are likely to perform better.³⁵ While native species tend to take longer to sequester equivalent volumes of carbon,³⁶ these diverse forests may ultimately form better long-term stores of carbon, given their ecological resilience and social licence.³⁷

A landscape approach carefully considers the diverse human values that rural communities hold, then recommends land uses that align with these. Aspects of recent policy are pointing in this direction. The mantra that guides the One Billion Trees programme, for example ("the right tree in the right place for the right purpose"), implies a commitment to the diversification of forest systems. Similarly, the primary sector's 2019 strategy for responding to climate change, *He Waka Eke Noa – Our Future in Our Hands*, emphasises on-farm mitigation opportunities (such as small scale carbon sequestration) and climate adaptation (through future-proofing strategies to enhance land resilience). Finally, a renewed focus on the hydrological catchment in recent years, which harks back to the days of the catchment boards in the mid-twentieth century, re-emphasises the important of landscape level analysis and intervention.³⁸

The challenges lie, as they always do, in implementation. While national level instruments, such as NESs and the emissions trading scheme, have a role to play, these instruments may lack the nuance and granularity for optimal outcomes at the landscape level. A lack of access to finance or funds can impede change, as can shortages of skills and trustworthy advice or expertise. Also, the transition to a low emissions landscape involves disruptions and redirections that can be threatening to those affected, even when the ultimate objective is desirable. Accordingly, issues of equity, inclusivity and due diligence also need play a role to ensure a "just

transition", no less for the primary sector than the industrial sector.³⁹

However, a transition to a low emissions landscape also offers an extraordinary opportunity for "multi-solving" (addressing multiple overlapping challenges like water quality, biodiversity loss, climate mitigation and land resilience) through a single and coordinated investment of effort.⁴⁰

All of this points towards the importance of having a meaningful place where multiple strategic aims come together to be expressed spatially, across a scale that is appropriate. In particular, climate change is a concern that cuts across most other parts of the resource management system, and needs to play a central role in decision-making. Futures strategies and spatial plans would provide a useful tool to implement a landscape approach.

9.4 The importance of funding

How we fund climate change measures will be crucial, particularly in terms of our adaptation efforts. In short, we know that the costs of adapting to climate change will be enormous.⁴¹ Yet they are uncertain in their extent and location. We require integrated, and substantial, mechanisms for public funding that will span many parts of the system. Many of those relate to built aspects of the environment – the need to upgrade or shift (or remove) infrastructure, the management of coastal retreat involving the abandonment or movement of houses and other buildings. Others may be less tangible; compensation for lost property rights (eg through compulsory acquisition), measures to enhance social and ecological resilience, or support for vulnerable or transitioning industries. In short, we do not have a clear sense of the full impacts, so cannot have a clear sense of what may need funding. However, it is clear that new measures are required, and that they must operate at both a national and local level.

The most obvious measure, of course, is to closely integrate climate change within decision-making frameworks that require *new* funding decisions to be made. We will be locking in risk, or resilience, for decades to come, and it is far more expensive and disruptive to change things in the future than it will be to address them in advance.⁴² Most funding decisions by central and local government will need to be informed or even driven by a climate change risk assessment, required under the Zero Carbon Act, as well as the national adaptation plan that follows.

Funding required for other reasons – eg that infrastructure has reached the end of its useful lifespan and needs replacing – can be an opportunity to reduce future climate risk by choosing to, for example, reroute it away from at risk areas.⁴³ The system should not fund new infrastructure in vulnerable places (unless it can be easily relocated, and where that is an actively planned feature of its design), and we should not allow new activities to be established in places where there is any expectation of public support for compensation or relocation.

Here, we will have to be extremely wary about trying to “fight” rather than “adapt” to climate change by funding expensive but ultimately futile measures like seawalls and hard flood protection structures. We are not the Netherlands, where it makes a great deal more sense to construct substantial hard infrastructure to keep the floodwaters out,⁴⁸ and risks are constantly changing and need to be managed adaptively.⁴⁹ If we lock in short-term, path dependent choices, we may then “feel reluctant to abandon a policy ... in which we have already invested heavily”.⁵⁰

There will be a role for protective measures to play in a transition, but a focus needs to be on measures that work flexibly with environmental change over the long term, like managed retreat and support for changing industries. For example, the Productivity Commission has suggested taking measures to “make room” for rivers rather than seeking to control them,⁵¹ and Judy Lawrence warns against creating public expectations of ongoing protection.⁵²

Furthermore, some issues of funding are novel, and will require public measures where private measures have sufficed in the past. For example, some people may find their properties uninsurable or prohibitively expensive to insure as risk increases.⁵³ Is there to be support for people who, without fault or willing blindness in the past, now face the prospect of losing their homes and livelihoods? We agree with others that the answer must be yes.⁵⁴ New Zealand has a proud history of social welfare and risk pooling,⁵⁵ although politicians love to argue around the margins. As a society we cannot tolerate the prospect of potentially thousands of people losing fundamental contributors to their wellbeing due to environmental risks that they could not, when they made the relevant decisions, predict or mitigate.

The overriding question for all of this, of course, is *how* we fund all the things we need to. Mechanisms need to be fair, efficient and effective. We also need to take a nationwide approach, as impacts will be connected and because – as with drinking water quality and public health issues – no New Zealander should be left behind based on where they happen to live. Yet many measures will need to be deployed locally, with sensitivity to local concerns and aspirations. We also need to think carefully about who should pay and in what measure, including across different geographical areas and generations. That is not a technical question, and requires ongoing debate, but it is clear that inter-generational equity demands that the current generation bears a significant amount of the burden despite not having yet felt the full effects of change, and that contributions come from both central and local levels.

In Chapter 13 we look at how economic instruments could be deployed with more vigour in a future system. These have two consequences – they raise money and they influence behaviour. Both could be used in the context of climate change, in that financial incentives to adapt and to mitigate could raise money to help fund adaptation measures. For example, some have suggested that revenue from auctioning units under the emissions trading

scheme could be directed to an adaptation fund.⁵⁶ There could also be risk-based contributions as conditions of resource consent allowing development in risky areas, or through the deployment of targeted rates (which would need to be directed to the fund rather than a general pot of council money).

Irrespective of who or what contributes, we see a strong case for the establishment of a national Climate Change Adaptation Fund as a core mechanism for funding necessary measures over a long period of time. That should happen as a matter of urgency in the short term.⁵⁷ It would make sense for this to be established and managed under the Future Generations Act, under which a holistic strategic approach is taken to resource management, and for funding to be deployed and prioritised in accordance with a spatial plan dealing with adaptation across New Zealand.⁵⁸ There would be common principles for apportioning support, not a competitive lolly scramble.⁵⁹ This could be similar to the Natural Disaster Fund administered by the Earthquake Commission, but would be deployed in a more pre-emptive way to promote resilience and avoid risk rather than respond to it.⁶⁰

One potential model could be akin to that under the Land Transport Management Act (where regional level plans prioritise projects, inform a national programme, and seek money from a national land transport fund in accordance with common criteria). In that model, the government (ie the Ministry/Minister) can set policy expectations, but is not directly involved in fund management (done at arms’ length by a Crown entity). Prioritisation of funding in this model is therefore both bottom up and top down, which is what is required in the context of climate change adaptation. Indeed, some have suggested that funds could actually be apportioned through this existing model for adaptation measures relating specifically land transport, together with (or having access to) a “Local Government Resilience Fund”.⁶¹ We tend towards a broader, more integrated fund where strategic prioritisations are made between many sectors, at arms’ length and in line with consistent criteria, and where the aim is supporting adaptation as a whole (including national and private initiatives) rather than being focused on supporting those matters within local government jurisdiction.

Active assistance in project planning and implementation will also be required by central government. This is more important for climate adaptation than, perhaps, for any other measure, but it reflects a more general expectation in our proposed model that central government will no longer be an aloof policy setting or money dispensing body for resource and land management issues. It will also get its hands dirty in undertaking, supporting and monitoring implementation. (By comparison, elsewhere we have proposed active funding and resourcing for councils for freshwater measures, to accompany new national direction, to be delivered through a new or strengthened arm’s length agency.)⁶² In other words, climate change funding is not just about parcelling out vast amounts of money to local government under general policy guidance. It is about central and local government

targets and budgets are able to be considered under other frameworks, but under the RMA (for local government, at least) they explicitly *cannot* be considered.⁷³ This will create an anomalous situation that requires urgent reconsideration.

One of the key rationales for the RMA restrictions on local government jurisdiction was that there was no national level plan/policy in place to create consistency between regions or districts.⁷⁴ With targets, budgets, and emissions reduction plans (as part of a National Futures Strategy), that will no longer be the case. Furthermore, there has never been good justification for preventing consideration of climate change in matters of urban design and broader land use change (eg a compact urban form). The Productivity Commission has also pointed out that relying only on the emissions trading scheme does not reflect “the varying range of co-benefits and co-harms associated with different land uses” – which is firmly within the jurisdiction of the RMA.⁷⁵ Some industries may require closer management to achieve a transition than possible under a market-based mechanism.⁷⁶

It is also of concern that many decision-making frameworks that have potentially significant bearing on climate change do not require its consideration. We see potential in revamping the purpose, principles or decision-making criteria in a range of statutes, including the Environment Act, State Sector Act,⁷⁷ Land Transport Management Act, Local Government Act, Public Finance Act, various pieces of conservation legislation and others, to more strongly reflect climate change concerns. In Chapter 8, we also looked at strengthening directors’ duties and financial disclosures, including in relation to climate change.

Climate change considerations need to shape government policy beyond particular statutory frameworks. As discussed in Chapter 8, all public authorities should have general environmental duties, and climate change would be core to those. Such duties would influence decision-making in, for example, investment, procurement, and the development of non-statutory policies and programmes. But the duties would also encourage the pursuit of synergies where climate change measures would further other objectives at the same time. Investment in electric vehicles is a good example where a synergistic approach could be driven by strategic planning under a Future Generations Act, and where climate change considerations would be deeply embedded.



A spotlight on electric vehicles⁷⁸

A future resource management system is not just about legislation and regulatory restrictions. Complementary and ambitious policy measures, which not only prohibit environmentally poor outcomes but also actively promote positive ones, should be more common features of a reformed system. There are many tools available to do so. In particular, we pointed out in the Phase 1 report that where a behaviour is restricted or prohibited as harmful, the system should offer or pursue alternatives to reduce social and economic disruption. That often requires considerable investment of money and resources, and is why we have proposed that a Future Generations Act provide general duties and principles for public decision-making, not just under specific “environmental” (ie restrictive) legislation.

The relationship between climate change mitigation and transport policy is one area where the deployment of meaningful incentives is essential to shift the trajectory of New Zealand’s emissions profile with the urgency required. The transport sector presents a unique opportunity, since it produces around one-fifth of New Zealand’s total greenhouse gas emissions and almost half of our carbon dioxide emissions. In fact, as the Productivity Commission notes:⁷⁹

Transport has been by far the biggest contributor to the rise in New Zealand’s gross emissions since 1990. As a result, CO₂ emissions have risen much more than other gases. Between 1990 and 2016, transport emissions increased by about 70%. Over this period, New Zealand’s vehicle fleet increased in size by 1.5 million vehicles. New Zealand’s vehicle fleet is among the oldest (and lowest in terms of fuel efficiency) in the developed world, therefore exacerbating the emissions impact of having additional vehicles on the road.

Decarbonising the domestic transport system would result in significant emissions reductions. And this mitigation pathway is entirely achievable with appropriately calibrated incentives designed to accelerate the adoption of low emissions vehicles and transition to cleaner modes of transport.⁸⁰

The successful deployment of electric vehicles in Norway shows how a suite of supportive incentives – both carrots and sticks – is critical. Norway’s incentives are underpinned by the rationale that “it should always be economically beneficial to choose zero and low emission cars over high emission cars”.⁸¹ Thus, drivers of electric vehicles have enjoyed the following carrots:⁸²

- No purchase/import taxes (from 1990) and an exemption from the country’s 25 per cent VAT on purchase (from 2001)
- No annual road tax (since 1996) and no charges on toll roads or ferries (1997–2017)
- A maximum charge of 50 per cent of the total amount on ferry fares (from 2018) and on toll roads (2019)

It is crucial that our whole statute book is reviewed to align it with climate change imperatives – both for mitigation and adaptation. Climate change considerations, and synergies with other environmental and inter-generational concerns, need to be embedded in the fabric of public decision-making more broadly.

9.6 Concluding comments

In this chapter, we have considered how climate change would be addressed in a future system, building on changes we have already floated for the RMA in Chapters 5–7. To date, measures to mitigate climate change have been focused on the Climate Change Response Act and the emissions trading scheme, alongside government support through programmes focused on electric vehicles and forestry. We see room for change on each of those fronts. However, more fundamentally, the existing legislative landscape on climate change has recently changed dramatically with the enactment of the Zero Carbon Act. This injects a much wider range of tools and strategic planning content into the Climate Change Response Act. It is a landmark moment.

We have proposed, however, that the strategic content of the Zero Carbon Act (a strengthened purpose and principles, targets and budgets, creation of the Climate Change Commission, and adaptation and emissions reduction plans) be integrated over time within a new Future Generations Act rather than in the Climate Change Response Act, to better integrate it with other elements of a holistic, strategic framework. It is crucial that emissions

reduction plans and adaptation plans have meaningful legal effect in other statutory frameworks; in particular, those plans need to be given effect to through the RMA and infrastructure-focused legislation, and integrating them into futures strategies and spatial plans under the Future Generations Act would provide a suitable pathway for that to happen in a way that embraces other synergies for environmental improvement. In particular, we have looked at a synergistic “landscape approach” to forestry. We have also proposed that there be stronger enforcement mechanisms for a failure to meet targets or adhere to carbon budgets, and that (in the longer term) the Climate Change Commission gets folded into an independent Futures Commission.

A broader review, well beyond the scope of this report, will be required to align all our legislation with the climate change imperatives in the Zero Carbon Act. We have considered the RMA specifically already, but alignment is also crucial under frameworks that provide for the funding of public goods that will face substantial climate risks (eg local government and infrastructure legislation). A new approach to funding will also be required to meet the enormous costs of climate change adaptation and increase our resilience. We support calls to establish a Climate Change Adaptation Fund, and see merit in the deployment of novel financial instruments and revised requirements for climate-related financial disclosures. Funding climate change adaptation will be particularly important in urban environments, where huge amounts of property and infrastructure are at risk and may need to be relocated. Yet the urban and built environments pose many other challenges, and it is to these that we turn our attention in the following chapter



- 55 Ibid.
- 56 Ibid at 232.
- 57 Ibid at 233.
- 58 The scale of investment that will be required will be enormous, given that billions of dollars of assets and tens of thousands of people are at risk. New funding mechanisms will likely be needed: see J Boston and J Lawrence *The case for new climate change adaptation funding instruments* (Institute for Governance and Policy Studies and New Zealand Climate Change Research Institute, 2017).
- 59 Compare New Zealand Productivity Commission *Local government funding and financing* (Draft report, July 2019) at 268: "Formulating a set of principles about funding the costs of adaptation to climate change is a helpful place to start." These could be based on need, ability to pay, and ambition.
- 60 Questions would need to be answered as to what it would cover: for example, would it be used to compensate landowners for reduction in property values due to the identification of hazard zones?
- 61 New Zealand Productivity Commission *Local government funding and financing* (Draft report, July 2019) at 227, 270, 268.
- 62 In other work, we have called that a Freshwater Commission. Here, we do not give it a label, to avoid confusion with a Futures Commission.
- 63 See generally Aotearoa Circle *Sustainable Finance Forum: Interim report* (2019).
- 64 See generally *Native forest bond scheme: Indicative business case* (Mohio Research Ltd).
- 65 Resource Management Act 1991, s 7(i).
- 66 See New Zealand Productivity Commission *Local government funding and financing* (Draft report, July 2019) at 231; J Boston and J Lawrence "Funding climate change adaptation" (2018) 14(2) *Policy Quarterly* 10 at 24.
- 67 See New Zealand Productivity Commission *Local government funding and financing* (Draft report, July 2019) at 220.
- 68 Resource Management (Energy and Climate Change) Amendment Act 2004, pt 2.
- 69 See *Greenpeace New Zealand Inc v Genesis Power Ltd* [2008] NZSC 112, [2009] 1 NZLR 730 at [49]; *West Coast ENT Inc v Buller Coal Ltd* [2013] NZSC 87, [2014] 1 NZLR 32.
- 70 In the form of an NES (the ability to promulgate an NPS is less clear, although arguably implicit given the policy intent of the 2004 amendments). See generally G Severinsen "Climate change considerations under the Resource Management Act: A barrier to carbon capture and storage deployment in New Zealand?" (2014) 22 *Wai L Rev* 117.
- 71 That need not be just through a dedicated section on climate change. For example, it could usefully be embedded in other domain-based or sectoral provisions imposing performance standards (eg for industrial emissions) or policy support (eg for renewable electricity or some forms of forestry).
- 72 For example, provisions could still include reference to the desirability of taking a nationally consistent approach to mitigation measures.
- 73 Resource Management Act 1991, ss 70A and 104E.
- 74 See generally *Environmental Defence Soc Inc v Auckland Regional Council* [2002] NZRMA 492 (EnvC); *Environmental Defence Society Inc v Taranaki Regional Council* EnvC Auckland A184/02, 6 September 2002.
- 75 New Zealand Productivity Commission *Low emissions economy* (Final report, 2018) at 284.
- 76 Compare Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 31.
- 77 And any new successor act (eg a proposed Public Service Act).
- 78 Acknowledgement: Olivia Grainger, EDS.
- 79 New Zealand Productivity Commission *Low-emissions economy* (2018) at 32.
- 80 Ibid at 340.
- 81 See <<https://elbil.no/english/norwegian-ev-policy/>>
- 82 Ibid.
- 83 Congestion is still a potential issue, especially if electric vehicles are autonomous (people may be less inclined to resent sitting in cars if they can do other things at the same time and save money on fuel). Electrification of the fleet is therefore not a substitute for congestion pricing.
- 84 See <<https://elbil.no/english/norwegian-ev-policy/>>
- 85 B Barton and P Schütte "Electric vehicle policy: New Zealand in a comparative context" (Centre for Environmental, Resources and Energy Law, University of Waikato, 2015) at 26.
- 86 <www.stuff.co.nz/motoring/news/116395302/government-abandons-electric-vehicle-target-for-public-service-fleet>
- 87 <www.newsroom.co.nz/2019/07/12/677947/paul-winton-decarbonising-transport>
- 88 B Barton and P Schütte "Electric vehicle policy: New Zealand in a comparative context" (Centre for Environmental, Resources and Energy Law, University of Waikato, 2015) at iii.
- 89 Ibid at 38.

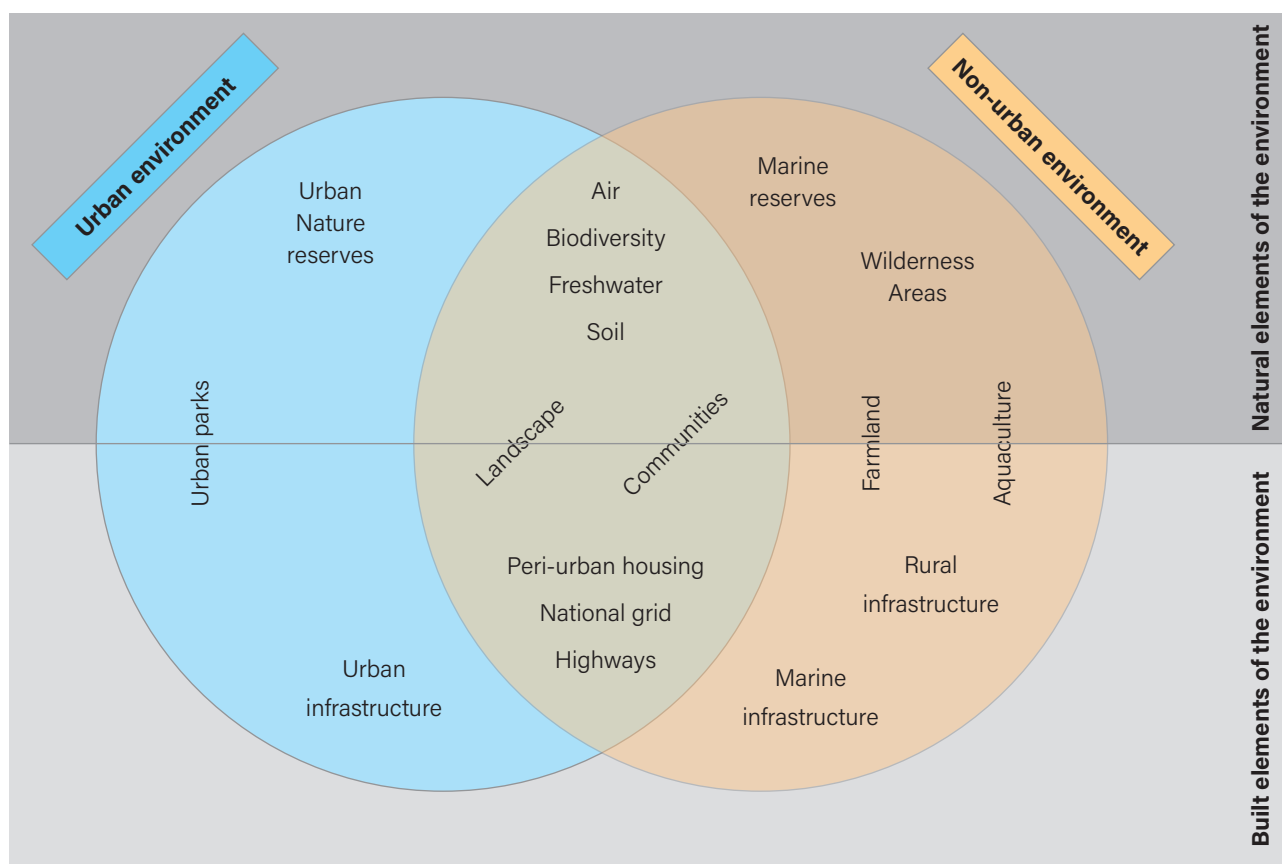


Figure 10.1: Difficulties in distinguishing between built, natural, urban and non-urban environments

10.2 Aspects of the built environment already covered

So what does all this mean for the content of this chapter? Given that the report is structured around the different statutes we envisage operating in future, we need to consider what is still missing in the context of the urban or built environment. It is worth briefly recapping things from a purely urban/built perspective. The contribution of the RMA and the spatial planning aspects of managing urban growth under a new Future Generations Act have been covered in previous chapters. Much of that has been about ensuring that built elements do not have unacceptable adverse effects on the environment (eg the impacts of urban sprawl on the climate or productive soils),⁵ and that the provision of built aspects like roads are well aligned with choices about how land is used.

In particular, we have pointed out that there is a lack of coordination between frameworks for land use and infrastructure provision; the RMA planning framework is not agile enough; there are insufficient independent checks and balances on democratic decision-making (which can favour existing residents over future ones); and there are few normative “hooks” in the RMA’s purpose and principles for good urban planning and design. We have addressed some of these things through proposed reforms to the RMA itself (Part 2, the planning process, and institutional changes) and the introduction of regional level spatial planning under a Future Generations Act.

In previous chapters we have considered a number of aspects of resource management system reform relevant to the built environment. In particular, we have proposed changes to the RMA, and the deployment of regional spatial plans under a new Future Generations Act.

10.3 The focus of this chapter

What we have not yet explored, and the main concern of this chapter, is the layer of additional legislation required to ensure that some built elements of the environment are actually *provided*.

At the most fundamental level, there is a legitimate conversation to be had about what things should be provided through the system (ie publicly funded or supported) and why. For example, drinking water infrastructure is currently largely provided by councils, but there is a much greater role for the private sector (albeit subject to close regulatory oversight) in providing electricity and telecommunications. Other publicly important resources, like food, have very little public intervention in production, distribution and consumption, despite some compelling arguments to do more.⁶ We do not delve down that particular rabbit hole, and overall do not see a pressing need to revisit such arrangements (eg for electricity, communications, ports, gas, food) in a fundamental way as part of resource management system reform.⁷ Nor do we extend our analysis to questions of

may or may not need to be revisited (eg based on the conclusions of an economic regulator,¹⁶ or simply because an annual plan needs to differ from a long-term plan due to the availability of funds in any given year). We cannot just artificially declare that one process will do everything, because different decisions need to be designed in different ways.

Similarly, the process for funding and planning some infrastructure and services (eg three waters) may need to look quite different from the process for funding and planning other kinds of infrastructure (eg transport), because institutional settings are different for each. For example, we cannot have a single process for funding and planning wastewater infrastructure and local roads if the former requires only council funding (through long-term and annual plans), but the latter requires a more complex process by which the NZTA apportions funds from a national fund alongside local council contributions.

While this is not the appropriate place to provide a detailed redrafting of procedural provisions, we think that there are two key things to consider here to encourage alignment of processes within a new Local Government and Infrastructure Act. The first is for different processes to occur within a reasonable temporal envelope, so that they combine to produce outcomes in a timely way. This does not mean that there needs to be a single decision, or that outcomes must be reached on exactly the same day. It is simply to say that the effectiveness of one decision (eg rezoning land as residential) should not be stymied by the need to wait interminably for a different decision (eg funding the infrastructure needed to service it). That is partly what a revised planning process under the RMA would be designed to achieve, as that is where planning delays are most noticeable.

The second thing would be for separate processes to be driven by a common vision in a higher level strategic spatial plan, so that they did not pull in different directions. For example, funding for roads to service an area rezoned for greenfields growth under the RMA should not be diverted to other priorities in an annual plan unless there were very good reasons to do so.¹⁷ We have discussed this coordinating role for regional spatial planning in Chapter 8.

At a bigger picture level, it would also be desirable to revisit the purposes and principles of “development” focused legislation – particularly a Local Government and Infrastructure Act – to strengthen environmental considerations within them. For example, when Auckland’s freight is projected to increase by 78 per cent over the next 30 years,¹⁸ it highlights the importance of making smart decisions about what kinds of public infrastructure we will be locking in for years to come (eg road vs rail, the location or relocation of ports etc). While considerations of sustainability are already present in the Local Government Act and Land Transport Management Act, we see potential for them to be made much stronger

and more detailed in terms of our aims,¹⁹ especially with regards to climate change.

Overall, we consider this package of reforms would go some way to addressing concerns that “there is poor alignment between land use and infrastructure plans, processes (including public participation) and funding” in the present system, without creating legislative fragmentation between land use and other aspects of “environmental” planning.²⁰

We see merit in integrating the Local Government Act, Land Transport Management Act, and other infrastructure-focused legislation into a single Local Government and Infrastructure Act. Different infrastructure planning and funding processes need to be better aligned, including with processes under the RMA, although it will be difficult to pigeon hole them into a single process. Environmental considerations within development-focused legislation should be strengthened and aligned with imperatives in a new Future Generations Act.

10.5 Institutional reform

In the sections that follow, we consider the key aspects of the “built” environment that would be tackled within (or closely connected to) a Local Government and Infrastructure Act. In particular, system reform needs to contemplate two types of measures that can be used to improve three waters and transport services: (1) institutional reform and (2) funding reform. The two are closely related, and can be alternative or complementary measures. For example, if we are faced with a need to upgrade water infrastructure, we could overhaul local government funding arrangements to increase revenue, in which case there may be less or no need to transfer local government functions (ie the supply of drinking water) to a central government agency. Alternatively, we could do the opposite – transferring a function elsewhere may mean it is no longer necessary to rethink how councils are funded. Or we could do a mix of both – for example, introducing new funding mechanisms (eg a system of centralised grants) may bring with it an expectation of institutional reform (eg a degree of central government control). We present our thinking on institutional reform first. Those arrangements then provide an envelope within which broader funding arrangements can be explored.

Let us consider the three waters.²¹ The government is currently undertaking a review into the sector, both in terms of (1) how it is regulated for its health and environmental risks²² and (2) how services are delivered to people (including related infrastructure such as pipes, pumping stations and treatment plants). It has signalled its intentions in relation to the first (regulatory) aspect, and thinking is ongoing for the second (service delivery) aspect at the time of writing.

replace ageing infrastructure, to accommodate urban growth, and to increase resilience to climate change.

So what should institutional arrangements for three waters look like in a future system? Various suggestions have been put forward, and options canvased. Should we have national, regional or local providers of water services? Should there be a separation of regulatory, funding and operational tasks? What degree of subject focus is appropriate (an institution for all three waters or just drinking water and/or waste-water)? And how independently should they operate from accountable institutions like councils or ministers?

We shone a spotlight on institutional arrangements for three waters in the Phase 1 report, and will not cover that ground again here.³⁰ In short, there are compelling reasons for institutional change, which have been traversed by a number of reports already. For example, the Productivity Commission has pointed out that independence and expert management is necessary, noting that:³¹

Except for Watercare and Wellington Water, the governance of drinking water and wastewater suppliers is carried out directly by elected councillors and their officials. In many instances, this will be compromising supplier performance and muddying their accountability to councils.

The sector also lends itself to economies of scale and coordinated investment that have not been realised across most of New Zealand.³² A fragmented system has meant the dilution of a limited pool of technical expertise. As Infrastructure New Zealand has pointed out, "Larger

organisations can employ, diversify and develop deeper expertise across everything from technical proficiency to project procurement, financial management and environmental mitigation."³³

Of even greater concern has been the institutional incentives to underfund core inter-generational water infrastructure (including spending less than the money specifically budgeted for the purpose), which is now at risk of failure and requires significant sums to replace or upgrade. Part of the reason has been a lack of capacity and capability, but a lack of accountability has also been highlighted.³⁴

There have been suggestions that a lack of enforcement of environmental standards has been down to regulatory capture by local government suppliers – a "fox guarding the henhouse" argument.³⁵ And more conceptually, we can genuinely ask whether there is a truly *local* community of interest in the quality and delivery of water services to the public. It is a core part of what councils have always done, but is there a compelling reason for that to be the case in a future beset with different challenges?

In our view, we need to rethink our approach to managing service delivery in the three waters sector.

Below, we provide a short proposition for reform. We also note that, irrespective of their institutional form, public providers of three waters infrastructure should be required to implement a regional spatial plan in the same way as other entities, as described in Chapter 8 (eg to ensure that the provision of infrastructure aligns with land use in the context of urban growth).³⁶



One might hope that this proposition represents something of a middle ground for reform that local government could be happy with. For example, the Productivity Commission has pointed out that “some councils appear to be reticent about losing control of their water functions as it is regarded ... to a certain extent ... as justifying their ‘existence’”.⁵⁷ Communities would retain a degree of control through a CCO model, especially when compared with alternatives (eg transferring functions to Crown-owned utilities or a single national water service provider, as in Scotland).

That said, the regional provision of water services through a jointly-owned CCO model would be broadly compatible with the regional unitisation of councils themselves (shareholders would simply change from existing territorial authorities to one or more regional authorities).⁵⁸ Especially for smaller councils where infrastructure comprises a significant part of what the institution does, serious questions will need to be asked about whether removing key infrastructure responsibilities from direct council control would really require some form of local government structural reform in parallel. However, as discussed earlier, we find it best not to talk about “amalgamation” here. It is more appropriate to talk about which functions should lie where. Local autonomy is essential for truly local matters, and the shifting of some functions to a regional level should not mean that councils with sub-regional boundaries simply “disappear” or that everything suddenly becomes the responsibility of regional unitary authorities.

There is a sub option to consider here, too. Regional CCOs (with Crown involvement) could be a conditional measure, deployed where there were a demonstrative need for them (eg proven or persistent underperformance by councils). The provision of central government funding could even be conditional on the voluntary use of a regional CCO structure, providing a carrot rather than a stick.⁵⁹ Not all districts are facing the same challenges, nor have they had the same record of non-compliance and under-investment. Do we wish to colour them with the same brush? A conditional reform here would reflect similar measures we have suggested in the context of the RMA, where a transfer of regulatory powers to the EPA could be a conditional measure for poor outcomes or performance.⁶⁰

We see merit in deploying jointly owned CCOs at a regional level for the planning, funding and delivery of drinking water and wastewater infrastructure and services. A CCO model could be tweaked by allowing for the Crown to be a partner in these organisations alongside local government. At the same time, there would be an economic regulator with responsibility to ensure that investment levels and pricing were sufficient and fair.

Similar arrangements (a regionalised CCO model) could be made for the provision of land transport infrastructure in a future system, for similar (albeit, in our view, less pressing)⁶¹ reasons. Some have suggested a model similar to that in Auckland, where a single regional CCO (Auckland Transport) operates at arm’s length from council and takes on the planning role of a regional council under land transport legislation. We see merit in investigating that possibility further over the medium term, noting that arm’s-length decision-making has, at the national level, been carefully formalised through the separation of the NZTA from the Ministry of Transport (subject to general direction in a government policy statement), yet that separation has not been seen as necessary at a local level.

The use of a CCO model for land transport would not mean that a CCO would need to be financially self-supporting (as is Watercare), or act entirely independently. Councils would likely still be required to fund it,⁶² alongside contributions from the NZTA through the national Land Transport Fund, and would have the corresponding ability to appoint and remove directors, issue statements of expectation, and review performance.

However, as with water services, institutional change on this front could be a conditional measure dependent on council performance or need. Not all areas face the same challenges. And while it certainly makes sense to manage transport at a regional level, that already occurs in a structured, albeit complex, way through regional transport committees.

We also consider that it is appropriate for central government, through the NZTA,⁶³ to continue to have a role in transport infrastructure planning, irrespective of how local government is organised. As the Productivity Commission has explained:⁶⁴

The rationale [for central government involvement] is that the state highway network interconnects with local roads to form a secondary part of the national roading system. While most use of local roads is by local people, out-of-district people and businesses also use them.

Oversight by central government is important, and (in contrast to the three waters experience) is encouraged in the transport sector through a model that requires the NZTA to pay close attention to the details of investment choices.⁶⁵ That said, the relative *degree* to which effective control is exercised by central and local levels of government should, we think, be revisited in light of a clearer definition of subsidiarity in a future system.⁶⁶ For example, there could usefully be a review of which revenue raising tools should feed into the Land Transport Fund or, instead, go directly to councils (or jointly owned regional CCOs, if that were the preferred option).⁶⁷

Reform should also revisit the potentially perverse incentives provided by excessively linking NZTA revenue with the use of *roads*;⁶⁸ a more balanced set of revenue sources (eg through value uplift capture) could do more to make the development of environmentally friendly transport choices (eg mass transit, active transport

A spotlight on funding three waters

Above, we have suggested rolling out a model that would see three waters service delivery performed by regional CCOs. But the funding model associated with these entities could also usefully be reformed. That would be in three key senses. First, user-charging would be embraced more, including through encouraging the use of volumetric charging and fully internalising the cost of trunk infrastructure upgrades on new developers (through development contributions and connection charges). For one, that would have the effect of driving the efficient use of what can often be a scarce resource.⁸⁰ For example, one reason for the underperformance of the three waters sector has been “poor financing, funding and pricing arrangements, due to under-recovery of costs and funding from council rates rather than water service charges and development fees”. Others have observed that “those who benefit from, or cause the need for, a service should pay for its costs”.⁸¹

However, user-charging should not be excessive or unduly burdensome. After all, water is still a public good. Thus despite concerns from some about a lack of full cost recovery and therefore efficiency,⁸² we still see a case for services to be subsidised, where necessary,⁸³ in a transparent manner by more general sources of revenue like rates and central government grants. That reflects a broader community (or national) responsibility to provide essential services.⁸⁴

But existing residents should not be expected to bear the burden of funding growth-related infrastructure through rates. Indeed, such incentives would be important in practice to prevent resistance to the implementation of a spatial plan in high growth areas (and a greater ability to raise debt would be appropriate here). An economic regulator would also play an important role in ensuring that user charges were fair, the use of more general sources were transparent and justified, and overall investment would be sufficient for achieving inter-generational outcomes.

Secondly, the Crown would be expected to contribute, recognising a national community of interest in the environmental and health outcomes that are influenced by funding and investment in water services and the enormity of the costs faced.⁸⁵ As in other areas of the resource management system (eg freshwater quality), this recognises that national level standards need to be met by a corresponding commitment by central government to implementation. Local government is not just a dumping ground for additional functions without the means to implement them.

A central government funding contribution could be linked to, and be proportionate with, representation on the board of a CCO, and targeted to the needs of particular regions. An interesting parallel here can be drawn with membership of catchment boards prior to the local government reforms of the late 1980s, in that these had both locally elected members and appointees of the Crown, and received significant

central funding for erosion and flood control works. We should not, however, treat central government funding in an ad hoc way through the creation of specific funds (eg a Housing Infrastructure Fund), or only for particular purposes (eg supporting urban growth in favour of renewal of failing assets). The need is more systemic and ongoing, and funding needs to be linked clearly to prioritisations needed to achieve health and environmental outcomes (targets) as well as the need to deliver more housing. For example, the Productivity Commission has suggested that central government funding for water be deployed in a comparable way to transport – including criteria based on need and the ability to fund in other ways (eg through rates).⁸⁶

Alternatively, Crown involvement could be treated as a stopgap measure until legacy issues (eg failing pipes) or current challenges (eg urban growth or the need for treatment plant upgrades) have been resolved.⁸⁷ How long the resolution of such issues would take may vary by region, but they could be significant and ongoing (especially in light of increasing climate change challenges).⁸⁸ All indications are that costs will be formidable.⁸⁹ It might be that, as a country, we simply need to recognise the importance of central government involvement in essential services like water.

Thirdly, the ways in which local government is funded, and therefore how it could fund these regional entities, could be reformed. That is a much broader topic, and is explored below. The effectiveness of local government funding reform and regionalisation through a CCO model *might* mean, however, that the need for direct central government involvement and funding became less important over time.

Aside from institutional change, we see merit in revisiting how the provision of water services is funded. In particular, there should be greater deployment of user-charging (including volumetric charging) and predictable, need-based central government contributions where required. Because in our model councils would ultimately be responsible for the operation of CCOs and may be required to fund them (in part), we also see a need to revisit how local government itself is funded.

Some aspects of local (and, indeed, central) government funding are not specifically to do with the built environment (eg the funding of compliance monitoring, general planning functions, and the subsidisation of beneficial activities like community restoration projects and electric vehicles). Some revenue can also be obtained as a byproduct of economic instruments designed primarily to influence people's behaviour (eg a green tax).⁹⁰ These broader aspects of funding and economic incentives in the resource management system are considered further in Chapter 13.⁹¹

Type of funding or financing pressure	Issues to be addressed	Tool(s) required to respond
Rapid urban growth requiring timely provision of new, or upgrading of existing, infrastructure	Some councils are approaching their debt ceilings, ¹⁰² so cannot use this to finance infrastructure in order to spread its costs over future residents/generations ¹⁰³ Councils take significant risks in making large capital investments up front based on growth forecasts that may underestimate or overestimate actual growth ¹⁰⁴	Use of “special purpose vehicles” to remove debt from the balance sheets of debt constrained councils
		Greater use of user-charging (eg volumetric charging for wastewater) and targeted rates to reflect that those who benefit should be those who pay ¹⁰⁵
		The ability to capture value uplift (increased property values resulting from public investment in infrastructure or services, eg a new mass transit system) ¹⁰⁶
		Structured contributions from central government transparently linked to demand or need
		An urban development authority could play a greater role in funding and financing new developments, ¹⁰⁷ de-risking large scale developments for councils
The renewal and replacement of ageing or failing infrastructure	Significant (and ultimately unknown) amounts of infrastructure are ageing and at risk of failure	Use of “special purpose vehicles” to remove debt from the balance sheets of debt constrained councils ¹⁰⁸
		Greater use of targeted rates to reflect that those who benefit should be those who pay. ¹⁰⁹ Some have suggested that legislation should specifically require the process for setting rates to match the burden of rates to the benefits obtained from related services, and only then consider people’s ability to pay (ie distributional mechanisms). ¹¹⁰
The need to maintain infrastructure used by tourists/ visitors	Increasing visitor numbers in parts of the country impose pressures on infrastructure that cannot, or should not, be met by local communities. This poses risks to social licence and community support for tourism, potentially threatening national level benefits.	Contributions from central government
		Greater user-charging for services where feasible
		Allow councils to charge an accommodation levy (bed tax) as a proxy for charging for the use of services ¹¹¹ Direct government assistance (through the international visitor levy) for councils with tourist hotspots that cannot reasonably recover costs in other ways ¹¹²

Figure 10.2: New funding and financing measures suggested by the Productivity Commission for the “built” elements of a future system. Note that other funding challenges – relating to climate change and new or strengthened expectations on councils – are explored in Chapters 9 and 13.

the major issue facing councils is that their primary source of revenue – rates – is detached from council or area performance and instead linked to constituent perceptions of need and affordability. Rates must be approved each year by local residents and public opposition to higher charges has contributed to a severe funding deficit across many areas.

Without a financial benefit from decisions which improve welfare, the dominant priority for councils is minimising rates increases for existing residents. [While] the government benefits directly from improved economic performance via growth in income, corporate and sales taxes... local government expenditure which improves economic performance requires an increase in rates with the tax windfall returned to central government.

Local councils, who carry the majority of responsibility for infrastructure for new development, have resisted large investments which would have improved developable land supply and accelerated the provision of affordable housing.

The Productivity Commission has agreed that incentives to raise and spend money need to be corrected, alongside measures to increase total money available. However, the Commission suggests fairly targeted or surgical measures to do so, and supports the ongoing use of rates to fund most council activities. Many of these surgical measures are about ensuring that the costs are borne by those who enjoy associated benefits (eg by charging specific users or groups of users, or by requiring funding from central government). Solutions include allowing councils to charge users for services more directly, where feasible, or through broader proxy measures, for instance through imposing a hotel bed tax or through value uplift capture, where:¹²⁴

owners who enjoy “windfall gains” in their property value as a result of nearby infrastructure investment that is publicly funded [would be required] to pay a portion of this gain to the council. In turn, revenue raised would help the council fund future growth.

The Commission also envisages greater need-based or performance-based assistance from central government where there is a national interest, thereby relieving pressures by constituents that are unwilling to fund measures that they do not benefit from. As such, in the context of urban growth, it agrees that there is at least a perception among ratepayers/voters that the community as a whole does not obtain net benefit from growth and yet feels as if it is expected to subsidise it through general rates.¹²⁵ It describes this as an issue of political economy (as opposed to an economic reality), but it is the perception among constituents that ultimately matters in council decisions, because those people are the ones that create political incentives for councillors.

However, others have gone further, arguing that instead of just shifting costs onto those who benefit, we should embrace the other side of that coin: by instead shifting the benefit to those who bear the costs. Some have therefore suggested allowing local government itself to

collect income tax, providing an incentive for investing in measures that would enhance people's incomes. That particular measure may be difficult to implement at a local level, given the complexity of the system required and challenges with tying people's incomes to particular geographical areas within New Zealand.¹²⁶ Others have suggested returning funds to local government based on their proportionate generation of GDP.

Another potential solution floated by the Productivity Commission has been a system of central government grants to councils, proportionate to new building work (eg based on the value of building consents issued).¹²⁷ The idea is that this would be a carrot for councils to increase the supply of serviced land, but through a mechanism that may be more easily and efficiently administered than others (eg a local income tax). That more systemic approach would, in our view, be a much better method for government assistance than a continuation of using ad hoc, competitive and constrained funds that are parcelled out on a discretionary basis and can be vulnerable to politics.¹²⁸ As Infrastructure New Zealand has observed, “Infrastructure funding and financing solutions for one council area risk opening an argument for similar assistance elsewhere, disincentivising central government from intervening”.¹²⁹ Revenue flows need to be predictable for core funding responsibilities, not based on handouts.

An alternative that we see considerable merit in is deploying a form of local GST (as long as it were met by a corresponding reduction in national GST), rather than relying on an extensive system of government grants to facilitate urban growth.¹³⁰ There are many challenges and benefits of using GST,¹³¹ and further investigation should be undertaken on their relative strength, but the benefit we find most compelling is not a particularly technical one: it would provide communities with greater control of their own destinies and better reflect subsidiarity. As Infrastructure New Zealand has pointed out, regional development is currently, counterintuitively, a central activity: “Successive Governments have sought to lift regional economic performance, but with little demonstrable success. Major central investments risk the appearance of backing winners”.¹³² Similarly, another commentator has pointed out the OECD's view that:¹³³

local governments need greater incentives to promote and accommodate economic development and growth in a way that best suits their region, not the current one-size-fits-all approach.

...

[O]nce local governments in New Zealand are given more autonomy and incentives, they will offer a package of goods and services that meets the needs and demands of the residents of that region.

That assumption clearly does not hold for all cases – we might think of the inter-generational outcomes produced by regulatory “services” protecting the environment (eg freshwater). Even for more tangible public goods, we can be forgiven for not always trusting the wisdom of the short-term “demands” of residents (we can think of the

seen as a bespoke and positive partnership designed to deliver a particular outcome for Auckland.

Innovative experiments require funding, too, beyond the normal state of play. Some, for example, have put forward the idea of a satellite city to address Auckland's population challenges; rather than growth happening slowly and incrementally, we could create a new, compact urban hub (eg potentially through a government developer)¹⁴⁴ in an area of low land productivity and low environmental value, and link it into plans for wider mass transit. If we are resigned to rapid urban growth, that may not be such a bad idea for environmental, efficiency and overall affordability reasons. On a less ambitious scale, efforts could be made to turn Auckland into more of a multi-nodal city (with several equally important centres and hubs of employment).

Whatever they look like, special partnership arrangements with shared funding highlight the need for a coherent plan to made, and for there to be reasonable certainty it will be followed through with.¹⁴⁵ We see an important role here for spatial planning, which would have legal influence over both regulatory and financial decision making under other frameworks (see Chapter 8).

The incentives provided by the current system of funding infrastructure in the context of urban growth and tourism pressures require correction. Targeted measures to shift the costs of infrastructure onto those who benefit will help (eg a bed tax and grants from central government). However, we also see merit in allowing councils to levy a local form of GST, which provides incentives for funding growth while allowing communities more control. That cannot be a complete replacement for rates, but would be a useful addition to the toolbox. More bespoke funding arrangements may be required for particular projects over time, but ad hoc agreements should not form the basis of funding for essential services.



10.7 The bigger picture

At this point, we wish to take a step back to take a bigger picture view. There is clearly a need for incentives to increase housing supply and provide for tourist infrastructure while also providing minimum service levels for declining communities. (Climate change adaptation funding, and funding of other public functions, is significant as well, but is not just about the built environment and is therefore explored in Chapters 9 and 13.) Cities need to be allowed to grow, because more people are demanding to live there.

But we need to be cautious that powerful financial motivations for councils to grow and develop – to build – do not in practice lead to perverse incentives for environmental outcomes. For example, while unconstrained Nimbyism and funding constraints are not among them, there are good reasons to resist some forms of urban growth: they can be unsustainable. One can think of the paving over of productive soils, the climate implications of dispersed urban form, and pressures on infrastructure leading to congestion and pollution. Similarly, tourism has immediate impacts not only councils' balance sheets, but also on the environment. Indeed, this is a current focus area for the Parliamentary Commissioner for the Environment.

Councils' roles in good urban planning and environmental management under the RMA – a very different hat that they wear – should therefore not be undermined by the incentives placed on them through changes to their funding models. For example, we would need to be very careful about exacerbating conflicts within a regional level of government that is mandated with crucial aspects of environmental regulation as well as economic development. Funding linked to economic activity should not drive the environmentally inappropriate deployment of, for example, irrigation.¹⁴⁶

Such risks might be addressed through the more active and clear use of national direction (eg requirements for densification, preservation of productive soils), as well as the role of central government in creating spatial plans and the role of an environmentally focused Futures Commission in RMA plan-making. As discussed in Chapter 13, it may also be addressed by introducing an environmental footprint tax to supplement more general forms of revenue. This would not discourage growth, but (if able to be levied by councils) would provide a powerful economic incentive for *ecologically sustainable* growth rather than financial incentives butting heads against regulatory restrictions.

At an even higher level, it is timely to reiterate another observation we have made already. There is often an important underlying assumption in the context of discussions about urban growth: we have little ability to control demand through the resource management system, and we simply have to respond to accommodate population pressures.¹⁴⁷ But do we want growth? How much? And in what areas?

facing. Failing to do so not only locks in risks for decades or even longer (the lifespan of buildings), but also locks in foregone opportunities we may later regret (as we are forced to retrofit green measures, which may not always be straightforward). That is firmly in the realm of the public interest, not just something for architects and their clients to ponder.

Of course, the Building Act is not inherently deficient. It already provides a clear purpose on this front: that buildings are designed, constructed and able to be used in ways that promote sustainable development.¹⁵⁸ There are several relevant principles, too, relating to energy and water efficiency and conservation, the efficient and sustainable use of building materials, and the reduction of waste. This is a big improvement on the Act's predecessor (even if embracing green principles have given rise to questions about the ability of the RMA to require stronger measures to be taken).¹⁵⁹

In practice, however, this has led to "a delineated range of acceptable solutions, or processes, to achieve [standards] ... [M]any developers adopt the specified 'acceptable solutions' to achieve compliance with the Code, as this is an easy route to take".¹⁶⁰ The New Zealand Green Building Council has also observed that "the energy requirements of New Zealand's woefully inadequate Building Code have not been substantially updated since 2007".¹⁶¹ More broadly, the OECD's 2017 Environmental Performance Review of New Zealand called on the government to modernise and strengthen the Building Code.

In most cases, further "greening" of the Act should not be prescriptive, in keeping with the performance-based ethos of the Building Act. We do not want to stifle innovation, a lot of which is happening anyway. However, the outcomes being sought could be much clearer and specific, especially in urban contexts. Climate resilience needs to be much more prominent in our decision-making criteria (eg to address flooding and urban heating), as do biodiversity outcomes. Furthermore, recognising that people often take the easiest option, there should be active effort to develop more "acceptable solutions" (ie measures that are deemed to comply with the Building Code) that embrace new green technology. That could drive voluntary uptake of such measures. More generally, there should be an effort to make the regulatory pathway easier (where appropriate) for green innovation. Some commentators have pointed out that the consenting process can be a barrier to better outcomes,¹⁶² and have persuasively called for fast-track consenting measures and the implementation of stronger financial incentives (eg tax rebates, reduced development contributions).¹⁶³ While we need to take care that the matter does not turn into sectoral propaganda (eg a competition between forestry vs concrete to see who can shout the loudest), there are also bigger questions to consider here about what materials we should be using, and why.

Furthermore, while the RMA would remain separate (and could not directly require higher standards than the Building Code), there could usefully be a stronger link to the Building Act within planning policies. It would be

important for green building measures within a building's envelope to be considered as part of an overall package with measures surrounding it (eg density, links to public transport). Green building is not just about construction; it is also about how a building interacts with surrounding elements of the built and natural environment.

For example, policies made under the RMA could expressly recognise the benefit of complying with stronger green construction standards, thereby making higher performance a positive consideration (to which weight needs to be given) in consenting decisions about associated land use. There is an opportunity for this to be contained within national direction (as part of the current process to develop an NPS for Urban Development, which would be incorporated into an NEP). Indeed, the RMA is no stranger to this approach to boundary issues (ie where jurisdiction is split across statutes), where the positive impacts of an activity (eg renewable electricity benefits for climate change) can be considered, but the negative impacts of an alternative (eg climate impacts of fossil fuels) cannot. Recognising green construction in RMA policies would not *require* a higher level of compliance than the Building Code as a matter of law, but it would provide a tangible reward for those that who adopted it and a lever for planners to influence outcomes in a more holistic way. More generally, one commentator has pointed out that:¹⁶⁴

Ideally, all local authorities should implement practices that will promote sustainable construction and the interface between the [RMA and Building Act] in order to magnify the level of sustainability that might be achieved. There are no specific or clear statutory criteria presently in existence to achieve this aim.

...

Issues of design and spatial planning, water management, community heating systems such as local combined heat and power generation, waste management and so on, all fall within the remit of the local authority. It seems clear that the synergies between the two acts, and indeed the overarching authority of the Local Government Act, must be exploited to achieve truly sustainable construction and buildings.

To us, such suggestions reinforce a bigger picture point: while legislative silos are required for targeted action and accessibility, they need to be directed towards common ends. Cross-cutting strategic and spatial planning under a Future Generations Act again puts its hand up for a powerful role.

At the more ambitious end of the scale, however, close consideration should be given to strengthening performance standards themselves within the Code. While voluntary certification schemes are valuable in themselves for driving performance improvements (see Chapter 13), formal performance standards under the Building Act could also be linked to, or gradually adopt, the more stringent certification requirements of the Green Building Council (eg in its Homestar or Green Star rating).¹⁶⁵ As discussed in Chapter 13, subsidies

10.9 An urban development authority: Kāinga Ora – Homes and Communities

One final aspect of the built or urban environment that we wish to touch on in this chapter is the concept of an urban development authority. The idea is that a single institution (an arm's-length public entity) is empowered to master plan, fund and lead development of a whole area (eg suburb or neighbourhood) in an integrated way. It would, essentially, take on many powers of local government. Once development had been completed, an area would revert to normal settings. Such a measure would usually reflect an urgent need (eg to provide housing), particular physical challenges (eg amalgamating fragmented land ownership), or a desire to de-risk large scale development for the private sector (by providing a government role in funding and development).

The previous government released a paper proposing bespoke legislation for urban development authorities, under which these institutions would be given significant powers to override RMA instruments, fund and deliver infrastructure, compulsorily acquire land, and deliver development. The current government has gone further and enacted legislation establishing the entity itself, and expanding its role (to include a role as a government landlord as well as a government developer).¹⁷⁰ However, while a separate bill is expected to actually confer powers on the entity, all indications are (from Cabinet decisions) that those powers will be substantial.¹⁷¹

A spotlight on Kāinga Ora – Homes and Communities

Following attempts under the Housing Accords and Special Housing Areas Act 2013 to speed up the release of land and increase supply of residential housing to address affordability issues (through the deployment of housing accords and special housing areas), the government has established an urban development authority (Kāinga Ora—Homes and Communities) under bespoke legislation.¹⁷² An independent Crown entity, Kāinga Ora is tasked with delivering urban development and infrastructure projects, particularly the supply of affordable homes.

Further legislation (an "Urban Development Bill") is expected to be introduced later in 2019 which will set out Kāinga Ora's statutory powers. These are expected to cut across a swathe of RMA processes. Among them will be powers to fast track urban development for large-scale and complex projects, called "specified development projects". Once a specified development project is established, Kāinga Ora will have wide ranging planning and consenting powers in order to achieve pace and scale. Cabinet papers released by the Ministry of Housing and Urban Development¹⁷³ suggest that Kāinga Ora's powers will include the ability to:

- Produce a development plan for each specified development project that outlines how the development will be undertaken and set out resource management planning rules
- Override, add to, or suspend land use provisions in the district plan, regional plan and regional policy statement
- Issue resource consents, and undertake compliance monitoring and enforcement of consents
- Remove, change or replace, or put in place designations for infrastructure
- Act as a heritage protection authority
- Plan and fund associated infrastructure

Those Cabinet papers also suggest that Kāinga Ora will have the power to access funding for infrastructure and development activities, reconfigure reserves (certain types, with approval of the Minister of Conservation), acquire private land under the Public Works Act 1981, and suspend, make or amend bylaws.

These are sweeping powers. To some extent, the proposed urban development authority model reflects deficiencies in a broader resource management system that has not provided for timely planning or funding outcomes to facilitate urban growth. It is, in a way, an ambulance at the bottom of the cliff, designed to address the same kinds of housing supply issues that the NPS on Urban Development Capacity and the Auckland Unitary Plan seek to do in a more proactive, systemic – but ultimately slower – way.¹⁷⁴ However, it is something of a nuclear option, potentially providing an arm's-length public institution wide-ranging powers to override other legislation in pursuing ad hoc strategic development objectives for urban development in a defined area. It will be bound to give effect to a Government Policy Statement on Housing and Urban Development.

We see a role for a spatially targeted urban development authority in a future system,¹⁷⁵ but subject to robust constraints. Its value is, to us, primarily in land aggregation powers, the ability to make decisions under different statutes concurrently rather than sequentially, and as a way for the government to get its hands dirty in the actual development (and funding) of urban areas for public benefit.¹⁷⁶ As with other parts of the system in which government has been reluctant to get involved directly over the past few decades (eg freshwater implementation), that is a very good thing. But its purpose should categorically not be to weaken environmental protections.

Furthermore, we would envisage that this would be largely a sleeping framework, only being used in exceptional circumstances. Other reforms, including a legally meaningful spatial planning framework and more agile planning mechanisms under the RMA, would mean that such measures would – hopefully – seldom

The concerns outlined above are not, however, fatal to the use of an urban development authority model. In short, we propose that, in a future system, targeted legislation would:

- Clarify that a strengthened Part 2 in the RMA remains the primary test for decision-making (although strategic objectives could be highlighted as one of the relevant and reasonably necessary matters to consider)
- Not include powers to override provisions of council plans which do not relate to territorial authority land use functions¹⁸⁵ or subdivision
- Treat regional councils more like territorial authorities and require their agreement up front to establish a project¹⁸⁶
- Build key environmental protections into the strategic objectives when a project is established
- Emphasise that national direction (an NEP) needs to be given effect to, and that a Government Policy Statement on Housing and Urban Development is not to be elevated above it. Alternatively, this Government Policy Statement could be required to be incorporated into an NEP in a way that

implemented a reformed Part 2 of the RMA. It could also have strategic elements incorporated into a National Futures Strategy under the Future Generations Act, to ensure that it informed and aligned other decision-making processes (eg Crown investment in infrastructure)

- Clarify that a project is a way to implement a regional spatial plan under the Future Generations Act, not an excuse to override it for a narrower purpose¹⁸⁷

While more direct government involvement in development through an urban development authority is a good idea, and a bespoke statute is required due to its cross-cutting and spatially focused nature, the current proposal would be significantly amended in a future system. In particular, it would be made plain that it does not influence the hierarchy of matters in a revised Part 2 of the RMA or weaken national direction under that Act.



10.10 Other legislation for the built environment

Other resource management legislation also exists that shapes or influences the urban or built environment. For example, there is the Heritage New Zealand Pouhere Taonga Act (although that is not just about “built” aspects of heritage). Heritage protection deserves further attention, and we do not make specific recommendations here. Our general sense is that more could be done to integrate or rationalise various heritage protection measures and processes under the RMA (eg district plans and heritage protection orders) and dedicated heritage legislation (heritage listing and archaeological sites). There may also be merit in more formal input from Heritage New Zealand Pouhere Taonga in the development of council plans under the RMA, which would be consistent with more proactive central government involvement in shaping plans.¹⁸⁸ And the protection of archaeological sites would not seem out of place in Part 3 of a reformed RMA, although we do not take that thought any further for now. We have a work programme planned for 2020 to apply the findings of broader system reform to the built and urban environments specifically, where we will look at built heritage in more depth.

To complete the legislative picture, we also now have separate legislation that sets up an arm’s-length Infrastructure Commission, which is charged with strategising and advising government on infrastructure issues.¹⁸⁹ Such a Commission makes a great deal of sense, and is consistent with a general theme in this report of ensuring there is strong independent advice and accountability for government. Purely in terms of a rational approach to legislative design, we see merit in folding this into an integrated Local Government and Infrastructure Act. At present, bespoke legislation makes sense (it is not a comfortable fit within the Local Government Act, Land Transport Management Act, or proposed Water Services Act), but it would be a better fit within a more integrated act that focuses on many aspects of publicly provided inter-generational infrastructure. However, while it is unquestionably valuable, we do not consider it appropriate for a predominantly development-oriented institution like the Infrastructure Commission to be folded into the more environmentally-oriented Futures Commission.

10.11 Concluding comments

In this chapter, we have considered various elements of the system relating to the built or urban environment. In particular, we have suggested the integration of (and process alignment for) local government legislation and infrastructure legislation within a single Local Government and Infrastructure Act. But the built environment is a context in which legislative rearrangement will not be enough. We need to think about institutional

arrangements, and have suggested the regionalisation of drinking water and wastewater services within arm’s-length CCOs, and the possibility of taking similar measures for land transport. Funding will also be crucial for the effective delivery of services vital to people’s essential social wellbeing, and to ensure that those services actually comply with strengthened environmental and health standards. In many cases, government assistance will be required. However, we need to move towards a more sustainable long-term model for funding, and address misaligned incentives that exist in the current system.

We have agreed with the Productivity Commission’s preliminary findings that targeted measures are required to correct incentives for raising and spending money, as well as deploying a wider range of tools to ensure enough money is raised in timely ways to deal with pressures like urban growth, tourism, and the renewal and upgrade of infrastructure. But we also see a need for local government to remain in control of its own destiny and not be dependent on central government assistance, and thus see merit in the deployment of a local GST. Of course, funding related to climate change measures is crucial as well, and has been looked at in Chapter 9.

We also considered the place of the Building Act, concluding that while it should remain a standalone framework, its links to other frameworks like the RMA should be stronger and it has potential to contribute more to environmental outcomes. So too do green infrastructure standards.

Finally, we recognised a need for the kind of integrated spatial focus that an urban development authority model provides, and that this realistically needs to occur through bespoke legislation (given the number of connections that would need to be made with many other statutes). As of 2019, we already have an urban development authority: Kāinga Ora – Homes and Communities. But this has yet to be endowed with development powers. We have outlined changes that would, in our view, need to be made to the current proposal to make it align with wider system reform measures. Central to those would be the need for environmental limits to hold firm in the face of development pressures, including those under the RMA.

An additional layer of legislation relating to the built/urban environment would operate under the umbrella of a Future Generations Act. For example, alongside the RMA, it would be important for the planning and funding of infrastructure under a Local Government and Infrastructure Act to adhere to a regional spatial plan developed under the Future Generations Act. Urban growth and renewal requires this coordination. In the following chapter, we turn our attention to quite a different context, one where far fewer people are found and where there is much less infrastructure, but where system wide strategy is equally important: our oceans.

ENDNOTES

- 1 See New Zealand Productivity Commission *Better urban planning* (2017) at 5.
- 2 Despite the fact that a “city” council does not always contain just urban areas (one might think of the fairly broad boundaries of Palmerston North City).
- 3 Centred on the complex interactions between land use and other environmental outcomes.
- 4 Although not entirely; for example, public infrastructure (eg for flood protection) can also be supported in non-urban areas.
- 5 This is not just about the adverse impacts of the built environment on the “natural” elements of the environment (eg water, soil, air etc). It is also about the adverse impacts of built components on other built components (eg heritage), or on people directly (eg amenity concerns).
- 6 For example, a sugar tax or removing GST on healthy food. More recently, there have been moves to protect soils for food production.
- 7 For example, under the Electricity Act (and related legislation), Gas Act, Telecommunications Act, etc. Infrastructure New Zealand has pointed out that telecommunications and electricity infrastructure is performing reasonably well in New Zealand; see Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 19.
- 8 Highly politicised debate goes on as to how best to provide for this, including through a government developer (urban development authority) discussed later in this chapter.
- 9 See *Strengthening the regulation of drinking water wastewater and stormwater* (Cabinet minute CAB-19-MIN-0332, 1 July 2019).
- 10 For example, infrastructure strategies need to be closely associated with Long-Term Plans.
- 11 On the legislative design implications of integrating or splitting the RMA, Local Government Act and Land Transport Management Act, see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 140-141.
- 12 See Local Government Act 2002, s 10(1); Local Government (Community Well-being) Amendment Act 2019, s 6.
- 13 See also Local Government New Zealand *A “blue skies” discussion about New Zealand’s resource management system* (2015) at 40; Resource Management Act 1991, sch 1, cl 3C (which makes aligned consultation possible, but does not require it).
- 14 In that they both involve councils – although there can, of course, be silos within councils dealing with different things.
- 15 In a future model, appeals would still be possible on points of law in the “hybrid” model, and merits appeals would be possible in the Auckland Unitary Plan-style model to the extent that councils rejected the recommendations of a Futures Commission.
- 16 Later in this chapter we suggest the use of an economic regulator to oversee adequate investment and fair charging for three waters services.
- 17 See Chapter 8 on the role of spatial planning.
- 18 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 45; Treasury *He tirohanga mokopuna: 2016 statement in the long-term fiscal position, New Zealand* (2016).
- 19 Compare *Report of the Biodiversity Collaborative Group* (2018) at 110.
- 20 Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 15.
- 21 Other important uses are, for example, irrigation, water storage, and hydro-electric generation.
- 22 See *Strengthening the regulation of drinking water wastewater and stormwater* (Cabinet minute CAB-19-MIN-0332, 1 July 2019).
- 23 See <www.dia.govt.nz/Three-Waters-Review>
- 24 See Chapter 6. A new NES on wastewater has been proposed by the government: see New Zealand Government *Action for healthy waterways* (2019) at 58.
- 25 See *Drinking Water Standards for New Zealand 2005 (revised 2018); Strengthening the regulation of drinking water wastewater and stormwater* (Cabinet minute CAB-19-MIN-0332, 1 July 2019).
- 26 For example, through requirements for green infrastructure and water sensitive design.
- 27 See New Zealand Government *Action for healthy waterways* (2019) at 54-56.
- 28 Compare New Zealand Productivity Commission *Local government funding and financing* (Draft report, July 2019) at 270 and 245, where poor enforcement has been pointed out as a key reason for failings in the sector (eg for wastewater discharges). It is pointed out that no prosecutions have been pursued for breaches of health standards and too many suppliers of wastewater are allowed to continue operating with expired consents.
- 29 See *Strengthening the regulation of drinking water wastewater and stormwater* (Cabinet minute CAB-19-MIN-0332, 1 July 2019). See also Local Government New Zealand *Water 2050: Governance – a better framework for drinking water regulation* (2018); L Stevens, K Poutasi and A Wilson *Report of the Havelock North drinking water inquiry: Stage 2* (2017).
- 30 See also the model floated in New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) from 56.
- 31 New Zealand Productivity Commission *Local government funding and financing* (July 2019) at 243.
- 32 Ibid at 242.
- 33 Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 23.
- 34 Office of the Auditor-General *Managing the supply of and demand for drinking water* (2018) at 11.
- 35 New Zealand Productivity Commission *Local government funding and financing* (July 2019) at 245. However, we note that in most places there is institutional separation between territorial authorities having operational responsibility, and regional councils having environmental enforcement functions for water quality.
- 36 Which could be something along the lines of “give effect to unless there were good reason not to” or “have particular regard to”: see Chapter 8.
- 37 Compare New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 5, 57.
- 38 Although there could be a tailored process for different regions according to different timeframes, depending on complexity and particular issues arising.
- 39 For example, the assets managed by Wellington Water are owned by several different councils at both regional and local levels. Watercare in Auckland owns water assets. Part of this question is about who we wish to have the ability to borrow against those assets (local government, for a variety of purposes, or a water utility for a narrower range of purposes). At least in some cases, the latter may be preferable to ensure that money raised is earmarked for the renewal and maintenance of essential water infrastructure.
- 40 It might make sense for stormwater systems, so intertwined with land use planning and related flood control measures, to remain with councils.
- 41 Including the ability to cross-subsidise, an equitable distribution of population (and therefore funding), connection of infrastructure networks, fair distribution of legacy issues (eg historic underinvestment or significant upgrade costs), and growth pressures etc.
- 42 For example, Watercare as a CCO acts independently of Auckland Council, but has responsibilities to give effect to relevant aspects of a long-term plan. It must also act consistently with relevant aspects of any other plan or strategy of the Auckland Council to the extent specified in writing by Council’s governing body. Furthermore, it must provide a statement of intent, including a narrative on how the organisation will contribute to Auckland Council’s and (where appropriate) the government’s objectives and priorities for Auckland.
- 43 In the Phase 1 report, we pointed out that Watercare, as a regional water entity, has been able to socialise costs effectively and cause investments to be made in areas that otherwise may not have been. See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 184.
- 44 For example, an obligation not to make a profit, to be guided by a statement of expectation and council/Crown policy, and considerations of fairness and public interest.
- 45 A balance would be struck through the internal design features of the institutions (elements of independence and accountability), rather than having separate institutions with different features (one accountable, one independent). See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 164.
- 46 Although Watercare, as an asset owning CCO, is not dependent on funding from Auckland Council.
- 47 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 165, 183.
- 48 For example, reflected in a proposed NES on wastewater discharges and overflows; see New Zealand Government *Action for healthy waterways* (2019) at 54-56.
- 49 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 9.
- 50 One can compare the Productivity Commission’s concept of a “partners in regulation” protocol, where expectations are clearer about engagement and cooperation between levels of government, although that does not go as far as suggesting hybrid local-central entities.
- 51 See Local Government (Financial Reporting and Prudence) Regulations 2014, reg 20 (1). The Productivity Commission has pointed out that the Auditor-General has expressed concern that councils appear not to be meeting the benchmark for their core assets: New Zealand Productivity Commission *Local government funding and financing* (July 2019).
- 52 To achieve the purposes of the legislation.
- 53 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 252-253. Compare the availability of objection and reconsideration rights for development contributions under the Local Government Act, and similar rights in relation to infrastructure growth charges imposed by Watercare (using independent commissioners) under the Local Government (Auckland Council) Act 2009.
- 54 New Zealand Productivity Commission *Local government funding and financing* (July 2019) at [271].

- tax increment financing. This could be done through a new tax, or by changing targeted rates to allow them to be levied on changes in land value; see New Zealand Productivity Commission *Better urban planning* (2017) at 334.
- 125 New Zealand Productivity Commission *Local government funding and financing* (Draft report, July 2019) at 6, 161.
- 126 Ibid.
- 127 Ibid at 264. Compare B Craven, J Goldingham-Newsom and O Hartwich #localismNZ: *Bringing power to the people* (2019) at 42.
- 128 For example, the Provincial Growth Fund or Housing Infrastructure Fund.
- 129 Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 30.
- 130 Although government grants seem necessary for some things, such as correcting historical underinvestment deficit in three waters infrastructure and the need to meet strengthened national standards.
- 131 For example, the Productivity Commission has pointed out that GST and some forms of income tax (eg pay as you earn) are less painful than mechanisms like rates, because they are less visible and people are not faced with a standalone bill. However, they are also complex to design, implement and enforce.
- 132 Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 25.
- 133 B Craven, J Goldingham-Newsom and O Hartwich #localismNZ: *Bringing power to the people* (2019) at 40, citing OECD *Economic Surveys: New Zealand* (2017).
- 134 New Zealand Productivity Commission *Local government funding and financing* (Draft report, July 2019) at 2.
- 135 Compare ibid at 265: "Central government should not expect local government to act simply as its regulatory agent. Rather, the two levels of government should seek a regulatory partnership based on mutual respect and an agreed protocol."
- 136 Ibid at 165.
- 137 Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 26.
- 138 For example, direct assistance may still be needed where tourist spending, captured through GST, does not correlate to pressures on infrastructure that also cannot be charged for (eg where people take day trips from a neighbouring district to visit natural attractions that do not have nearby shops, hotels etc).
- 139 Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 27.
- 140 B Craven, J Goldingham-Newsom and O Hartwich #localismNZ: *Bringing power to the people* (2019) at 43.
- 141 Compare New Zealand Productivity Commission *Local government funding and financing* (Draft report, July 2019) at 172; citing J Hollander and others *Planning shrinking cities* (2009) 72(4) *Progress in Planning* 223. Contrast the more optimistic view of the New Zealand Initiative in B Craven, J Goldingham-Newsom and O Hartwich #localismNZ: *Bringing power to the people* (2019) at 40.
- 142 See New Zealand Productivity Commission *Local government funding and financing* (Draft report, July 2019) at 65.
- 143 Ibid.
- 144 For example, Kāinga Ora – Homes and Communities. On the idea of a satellite city, see Infrastructure New Zealand *Meeting Auckland's growth challenge: The innovation city* (2017).
- 145 Subject, of course, to environmental considerations protected in legislation.
- 146 Note that Infrastructure New Zealand's model would see a strong economic development function within regional government safeguarded by shifting environmental regulation to central government; see Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 48.
- 147 There are other ways to control demand, of course, such as through the immigration system, but that is not generally considered in an integrated way with strategic questions of resource management.
- 148 New Zealand's total population is projected to reach 5.8 million in 2038, with an average increase of 1.1 per cent per annum (using Statistics New Zealand medium projections). See Statistics New Zealand *Estimates and projections* (February 2018).
- 149 On population policy, see N Jackson "Does New Zealand need a population policy" (Plenary presentation to the Biennial Population Association of New Zealand Conference, Wellington, June 2013).
- 150 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 151.
- 151 See for example C Warnock "Sustainable Construction in New Zealand" (2005) 9 *New Zealand Journal of Environmental Law* 337, at 356, summarising the effect of *Christchurch International Airport Ltd v Christchurch City Council* [1997] 1 NZLR 573 at 579 (per Tipping J) and 594 (per Chisholm J).
- 152 Building Act 2004, s 18.
- 153 The notion of a "quality urban environment" in the proposed NPS on Urban Development goes further, but still does not really delve into questions of building standards. It is primarily about managing the spatial aspects of land use, not buildings themselves.
- 154 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 151.
- 155 Which should defuse legal questions about, for example, any differences between sustainable management and sustainable development.
- 156 C Warnock "Sustainable Construction in New Zealand" (2005) 9 *New Zealand Journal of Environmental Law* 337 at 376.
- 157 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 151.
- 158 Building Act 2004, s 3(a)(iv).
- 159 In other words, the Building Code truly becomes a code, including in terms of sustainability (not just health and safety) measures. This is because specifically including green performance measures in the Act suggests there are no longer any sustainability "gaps" to be filled by other frameworks. See C Warnock "Sustainable Construction in New Zealand" (2005) 9 *New Zealand Journal of Environmental Law* 337 at 360.
- 160 Ibid at 348.
- 161 New Zealand Green Building Council *A policy plan for the built environment* (2017) at 3.
- 162 H Kirpensteijn "Planning for green building design and technology in New Zealand" (Masters Dissertation, Lincoln University, 2017) at 14.
- 163 New Zealand Business Council for Sustainable Development *Better performing homes for New Zealanders: Making it happen* (November 2008); M Howell *Local Government Incentives to promote Sustainable Building* (SB10 New Zealand Paper 478) at 1; <www.branz.co.nz>
- 164 C Warnock "Sustainable Construction in New Zealand" (2005) 9 *New Zealand Journal of Environmental Law* 337 at 354.
- 165 European Union regulations require every new building or major renovation to have an energy performance certificate.
- 166 For example, supporting insulation for warmer homes.
- 167 <www.nzgbc.org.nz>
- 168 Compare New Zealand Business Council for Sustainable Development *Better performing homes for New Zealanders: Making it happen* (2008).
- 169 Ibid.
- 170 See Kāinga Ora – Homes and Communities Act 2019, s 13.
- 171 See Cabinet papers and minutes at <www.hud.govt.nz/urban-development/kainga-ora-homes-and-communities/related-documents/>
- 172 Kāinga Ora – Homes and Communities Act 2019.
- 173 <www.hud.govt.nz/urban-development/kainga-ora-homes-and-communities/related-documents/>
- 174 As well as through previous housing accords legislation (Housing Accords and Special Housing Areas Act 2013).
- 175 Softening the view expressed in the Phase 1 report (at 150) that the trend of making carve outs should be halted and reversed, but still embracing the underlying idea that such carve outs should not be able to override the fundamental tenets of more general protective legislation.
- 176 <www.hud.govt.nz/urban-development/kainga-ora-homes-and-communities/related-documents/>
- 177 It should not be an alternative to the normal planning process, or it will risk creating incoherence. Compare S Berry, H Andrews and J Vella "The death of the RMA by a thousand cuts: The next two incisions" (2017) *Resource Management Journal* 3; S Berry and H Andrews "The final straw for the RMA? Some shortcomings of the Resource Legislation Amendment Bill 2015" (September 2016) *Resource Management Journal* 1.
- 178 As identified at paragraphs 547 and 593 of the proposal's regulatory impact statement, "[R]isks may arise in relation to environmental quality particularly if a completely different balance of considerations relate to regional council functions."
- 179 See DEV-18-MIN-0170, para 10; CAB-19-MIN-0168.01, para 44.
- 180 See CAB-18-MIN-0243, paras 24-26 on the Act's purpose and principles and strategic objectives: "[T]he intention is to give weight and priority to urban development, so that there is a presumption in favour of urban development in each project area."
- 181 See DEV-18-MIN-0170, para 11.
- 182 See DEV-18-MIN-0170, para 18; CAB-19-MIN-0168.01.
- 183 Which is already fairly vague at national level under the proposed NPS, and requires firm translation at local level.
- 184 See the proposal's regulatory impact statement, para 548.
- 185 Which, as described in Chapter 7, would no longer include responsibility for biodiversity.
- 186 Recognising that regional councils have strategic oversight over the whole region and are not just "environmental" regulators as some like to believe. Note that territorial authorities are not proposed to have an *absolute* right of veto; see CAB-18-MIN-0243, para 34.
- 187 Although that might still possibly allow for out of *sequence* development if infrastructure could be fully funded and financed (ie bringing forward development that was already anticipated in a spatial plan).
- 188 See Chapter 7.
- 189 See also the discussion of the current system in Chapter 4.

Land	Territorial sea (out to 12 nautical miles)	Exclusive economic zone (12 to 200 nautical miles)
Resource Management Act 1991		
		Exclusive Economic Zone and Continental Shelf (Environmental Effects) Act 2012
	Fisheries Act 1996	
	Marine and Coastal Area (Takutai Moana) Act 2011	
Conservation Act 1987		
	Marine Reserves Act 1971	
	Marine Mammals Protection Act 1978	
Wildlife Act 1953		
	Maritime Transport Act 1994	
Biosecurity Act 1993		

Figure 11.1: *Spatial coverage of the main pieces of New Zealand marine legislation*

The lack of effectiveness of the current marine management regime is reflected in poor environmental outcomes. A joint report by the Ministry for the Environment and Statistics New Zealand, *Our Marine Environment 2016*, reported concern over the potential impacts of ocean acidification and warming; that most marine bird species are threatened or at risk of extinction as well as more than one quarter of New Zealand's marine mammal species; and that coastal marine habitats and ecosystems are degraded.¹¹ One of the biggest failings has been in addressing cumulative effects. Reasons posited for this, in the context of the RMA at least, have included a lack of strategic oversight of decision-making often coupled with a lack of political will and low agency capacity to undertake necessary tasks.¹²

The need for reform is clear, and this has been underscored by the recent Cabinet paper setting out the parameters for the government's review of the resource management system. This refers to overlapping marine legislative frameworks being addressed through "a subsequent review of the marine system".¹³ For this project, however, all of this is in the mix for wider resource management system reform.

The key question here is what form such a reform should take in the spatial context of the ocean. Before delving into this issue, however, it is useful to review how management

of the sea is different from managing land, because the nature of the management challenges influence the legislative and institutional design measures needed to address them.

There has been a complex history of oceans management in New Zealand, resulting in a patchwork of legislation targeting different things. Much is no longer fit for purpose, and a more integrated approach to oceans management is needed.

11.2 The unique nature of the marine environment

The sea is a very fluid environment, with tides, wind and ocean currents moving seawater vast distances around the New Zealand coast and into deep ocean areas. The chemistry of seawater underpins the basis of the marine food chain (phytoplankton production), and this is variously influenced by inputs from land (such as sediment and nitrogen runoff) and upwellings of nutrient-rich deep seawater when warmer surface water is blown away from the coast. The sea is affected more than any other domain by climate change-driven effects, with the sea absorbing around a third of global carbon emissions¹⁴ and 90 per cent of excess heat trapped by atmospheric

importance of the marine and coastal area, for “its intrinsic worth” and “for the benefit, use and enjoyment of the public of New Zealand”.³⁰ The RMA also recognises the greater public interest in managing the coastal marine area by providing for the Minister of Conservation to approve regional coastal plans (rather than leaving that role to regional councils)³¹ and also requiring the Minister to promulgate the NZCPS (which is the only mandatory national instrument under the RMA).³² For oceans, our starting point for public management is quite different.³³

The marine environment is quite different in character from the terrestrial environment and needs to be managed in different ways.

11.3 Jurisdictional boundaries for marine management

New Zealand’s jurisdiction over the marine area is determined by the United Nations Convention on the Law of the Sea (UNCLOS).³⁴ Under this convention, New Zealand’s sovereignty only extends out to the edge of the territorial sea, which is 12 nautical miles from the line of low water. Within the EEZ (which extends seawards from the outer edge of the territorial sea to 200 nautical miles from the low water mark), New Zealand only has limited sovereign rights and the area is not part of New Zealand’s territory. These rights include the ability to explore, exploit, conserve and manage natural resources, including marine life, oil, gas and minerals as well as the ability to economically exploit the zone for activities such as energy production. Other countries retain the freedom of navigation and overflight within New Zealand’s EEZ and can lay submarine pipes and cables within it. Where the outer edge of the continental shelf extends beyond the EEZ, New Zealand has even more limited rights, which only encompass the exploitation of minerals, gas and other non-living resources within the seabed and subsoil as well as sedentary species on the seabed (but exclude harvesting of mobile fish).³⁵

Because of the fundamentally interconnected nature of the marine environment, it is difficult to draw hard jurisdictional lines that align management effort with ecological systems, in the same way that freshwater catchments can be defined on land.³⁶ As described above, coastal management under the RMA extends only to the territorial sea, and there is a different legal regime which applies to the EEZ and continental shelf. There is no scientific or ecological basis for this division. It was based on the political compromises honed through the multi-national deliberations leading up to UNCLOS.

For management under the RMA, the territorial sea has been further divided up into regional council management areas, usually based on a simple extension of the land-based council boundaries out to the 12-nautical-mile limit. Such boundaries are typically based on water catchments and fail to reflect the biophysical realities of the sea. This has resulted in some notable anomalies where

the Kaipara Harbour is divided between two regional councils (Northland and Auckland) as is the Hauraki Gulf (Auckland and Waikato). Horizons Regional Council manages only a small sliver of the south-east coast of the North Island. Where smaller unitary councils have been established, the fragmentation has been even greater. In Tasman Bay, Nelson City Council manages a narrow strip through the middle of the bay, with Marlborough District Council managing the eastern side and Tasman District Council the western side. These arrangements contrast starkly with those for the EEZ and extended continental shelf, which are managed as one enormous, undelineated spatial unit by the EPA under the EEZ Act.

Fisheries management is also largely blind to the territorial sea/EEZ division, but spatially divides the sea up into differently configured administrative units (called “fisheries management” areas). Most of these extend from the shore out to the edge of the EEZ. Seven areas are adjacent to the mainland coast and another four cover offshore areas surrounding island groups. Quota management areas for fish stocks have largely been defined on the basis of these fisheries management areas for administrative efficiency. These areas were largely developed for administrative efficiency and do not coincide with many biological fish stocks, even though such stocks have been the main focus of fisheries management effort.³⁷

There have been some efforts to spatially divide the coast up into ecological units based on biophysical characteristics. For example, biogeographic regions have been identified for coastal areas based on visible ecological patterns and the physical characteristics of the areas. For the territorial sea, 14 areas have been identified of which 9 surround the mainland coast and 5 cover different offshore island areas.³⁸ These biogeographic areas do not currently coincide with jurisdictional and management boundaries, but they have been used by the Department of Conservation as a basis for identifying marine protected areas (see Figure 11.2).³⁹

Jurisdiction boundaries do not always reflect the interconnected nature of the marine environment.



11.4 Institutional responsibilities in a future system

There appears to be good reason for regional councils to have a role in marine management, particularly because what happens on land (and in water catchments in particular) impacts on nearshore areas, including sedimentation, nutrient runoff, contaminated stormwater flows and point source pollution (such as from wastewater treatment plants).. Regional councils should be well placed to manage this land-sea interface and can deploy regional level strategy (eg regional policy statements, which have as their purpose to provide “an overview of the resource management issues of the region and policies and methods to achieve integrated management of the natural and physical resources of the whole region”).⁴⁰ Ideally, management targets and objectives set for the marine area could drive management effort further up the catchment. Integrated management across the land-sea interface is also important when it comes to sea level rise and coastal hazards. In short, it makes a great deal of sense for regional councils, responsible for and aligned according to freshwater catchments, to manage the coastal environment under a framework like the RMA.

But should regional councils be tasked with managing out to 12 nautical miles? Such a distance from shore raises practical issues. Marine management is a specialised and expensive task, requiring the deployment of marine scientists and significant investment in marine science. Research and enforcement at sea requires operating costly vessels. Councils have, as yet, no direct source of funding for this work, apart from when they can piggyback on science undertaken by resource consent applicants and monitoring undertaken by consent holders. Although there has been the ability to impose coastal occupation charges or tender aquaculture space to raise funds, these tools have not generally been deployed by councils (which have largely relied on a general pool land-based rates to fund whatever work is undertaken). Consistent national charging for occupation of the seabed, as part of a revamped allocation regime more generally (which we are continuing to give thought to), could help to address this gap.



Coromandel Coast

As a result, not many councils have sea-going vessels and have largely left the bulk of their vast marine environments to look after themselves. Even where a marine scientist is employed by a council, this does not enable the build-up of a critical mass of expertise within the organisation. When someone wants to do something new in the marine area, applications are largely considered on a case-by-case basis on the scientific information provided by the applicant.

The main exception is in areas where a significant aquaculture industry has established, and so the focus of the councils has been drawn into the marine space. Both the Marlborough District Council and Waikato Regional Council have invested in modelling in order to better understand the cumulative effects of aquaculture, and in the Marlborough Sounds the council has also undertaken work to identify important biogenic habitats and to protect them from further degradation.⁴¹ In Auckland, despite the large size and capacity of the unitary council (6120 employees and a rates revenue of \$1.8 billion),⁴² the bulk of its marine area is yet to be mapped and many significant ecological areas in need of protection are yet to be identified. Such designations outside harbours are largely confined to inshore areas within a few of kilometres of land. This begs the question: if Auckland Council has been unable to effectively map and manage its extended marine domain, what hope is there for other much smaller and less well-resourced councils?

The recent proposal to establish salmon farms in open ocean areas around the north and east coast of the South Island also highlights the difficulties faced by councils in effectively managing such activities. New Zealand King Salmon Limited made applications to four different regional councils, none of which have particular expertise in this kind of activity. Does it make sense for each council to try to come up to speed on the impacts of deep-sea salmon farming for just one application? And what about other activities like minerals mining, were an application to be made?⁴³

Overall, we think there is a strong case in a future system for reducing the jurisdiction of regional councils to the marine area that is affected by land and runoff from it. The extent of this will differ in different places, but would likely include harbours and embayments and open coast out to around the 3-nautical-mile mark (the line could be drawn around the country based on scientific evidence, rather than the kind of coarse jurisdictional declaration we have now). The balance of the marine area could be managed by a better equipped and resourced Oceans Agency which can build up a critical mass of expertise in marine management (see below).

In a future system, regional councils could continue to have jurisdiction over truly coastal matters, out to (generally) a 3-nautical-mile boundary. This would reflect the need to have integrated management of catchments and coasts. Other parts of the marine area could be managed by a well-resourced Oceans Agency.

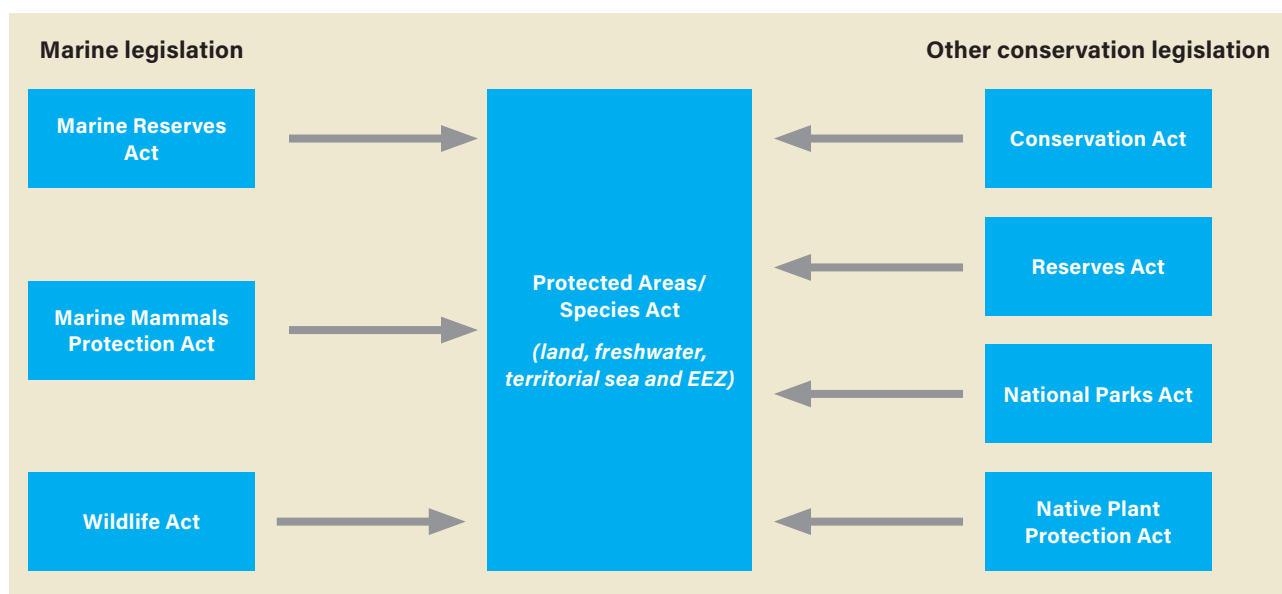


Figure 11.3: One option for integrating conservation-focused marine legislation into more integrated conservation legislation

Another option could be to amalgamate all marine legislation (apart from the RMA), including conservation-focused aspects, into one integrated Oceans Act. The reason would be that the interlinkages between marine management regimes (a domain-based or spatial approach) are stronger than links between marine conservation measures and those relating to freshwater and land. This is the approach that has been taken in the United Kingdom (see spotlight). Again, we need to consider where the stronger, intra-statutory, connections are needed. Integration in one sense will cause fragmentation in another, and either way strong links will need to be made across statutory frameworks.

A spotlight on integrated marine management in the United Kingdom

The United Kingdom took an integrated approach to its marine management a decade ago with the passage of the Marine and Coastal Access Act 2009. The legislation incorporates strategic marine planning (marine spatial planning), the regulation of fisheries, a marine conservation regime (including marine mammal protection and marine protected areas), marine pollution, a licensing system for activities within the marine area and public access. It applies to the territorial sea and the EEZ. The functions under the Act are undertaken by the Marine Management Organisation, a non-departmental public body which is also responsible for monitoring and enforcement.

11.7 Biosecurity

Another consideration here is whether marine biosecurity is better placed with other marine matters (including shipping) than left in a separate Act with other biosecurity matters (which apply across the country). This matter will need closer investigation. The main way that invasive marine organisms enter New Zealand is attached to the hulls of vessels entering the country (or other equipment

like oil rigs) or through the exchange of ballast water by overseas ships. Spread is most commonly through the movement of vessels around the coast (both commercial and recreational) and through the movement of equipment and live marine organisms in the aquaculture industry. Surveillance is focused on the main ports and marinas around the coast. We are therefore attracted to the view that marine biosecurity is more closely related to shipping (and the movement of vessels and equipment around the coast) than other elements of biosecurity (which are more focused on air and shipborne cargo as entry points), and therefore could fit better within an integrated oceans regime.

11.8 An Oceans Act

Overall, we think that there is a good argument for bringing together most marine legislation within an integrated, spatially defined, Oceans Act. This would be a potentially complex transition, and may require time. It would be quite a different way of arranging our laws. Thus the timeline for a new Act could focus on the medium term, but with preparatory policy work starting immediately. The management of the inshore coastal area would remain in the RMA (excluding wild fisheries, maritime transport and biosecurity, which would come under the Oceans Act). But an Oceans Act should have a purpose and principles resembling (or at least well aligned with) a revised Part 2 of the RMA. It would need to recognise the marine environment's intrinsic worth, a notable omission from the EEZ Act.⁵⁰ It could even provide more targeted principles applying to different types of decisions made within the integrated framework (eg to reflect the different roles, like wild fisheries management, compared to the RMA), but they would be under the umbrella of a holistic purpose statement applying to the marine area as a whole. This would be focused strongly on ecosystem-based management.

- *Autonomous crown entities*, which must have regard to government policy when directed by the responsible Minister. They include Heritage New Zealand Pouhere Taonga.
- *Independent crown entities*, which are generally independent of government policy. They include the Health and Disability Commissioner and the Human Rights Commission (and the proposed Climate Change Commission).

In this model, a dedicated Oceans Agency would subsume all of the activities of Fisheries New Zealand (a business unit of the Ministry for Primary Industries) and Maritime New Zealand (a Crown agent), as well as part of the activities of the EPA (a Crown agent) and Biosecurity New Zealand (a business unit of the Ministry for Primary Industries). Alternatively, a dedicated “Oceans Unit” could be established within a strengthened EPA, which would have the advantage of building on an existing institution of a roughly appropriate character. Developing capacity within the EPA could even be an interim step to carving off a dedicated Oceans Agency in the medium term. But if the EPA were to remain an operational agency for oceans, we would need to revisit both its weak mandate under the EPA Act and its institutional character.

In either case, we suggest that the most appropriate institutional choice would eventually be an autonomous Crown entity, rather than a Crown agent. This means that an Oceans Agency (or the EPA, if that were preferred)⁶¹ would only have to *have regard* to government policy. However, “policy” here simply means the policy priorities of the government of the day. As under the RMA, there would also be a robust legal framework in the Oceans Act within which different institutions, including the Minister, could exercise influence through due process (see below).

Māori input into decision-making by the Agency could be supported through a strengthened Ngā Kaihautū Tikanga Taiao model (building on the EPA’s statutory Māori Advisory Committee). The Agency could build on the expertise in these existing agencies, but would need to develop specialist marine science, marine spatial planning and environmental assessment capacity.

A dedicated Oceans Agency could be the operational agency for the Oceans Act and operate at arm’s length from government. Alternatively, a strengthened EPA could take on this role. Māori input into decision-making by the Agency would be strengthened.

11.10 Oceans strategy and planning

The NZCPS is the most comprehensive statutory policy document that currently applies to the marine space, but it is confined to the territorial sea and functions under the RMA. No policy or plans have emerged under the EEZ Act, even though there is now legislative provision for them.⁶² There is no statutory provision for the development of policy under the Fisheries Act (concerning the management of environmental effects of fishing on

the marine environment), and only a poorly developed planning system with a focus on producing high level fish stock plans. More broadly, there is no statutory provision for integrated marine spatial planning that spans all of these (and other) frameworks.

We think there is strong case for rationalising and strengthening this policy and planning framework under a new Oceans Act. At the top of the planning hierarchy in the Act would be an “Oceans Plan” prepared by the Minister for Oceans under a roughly comparable process (and holding a broadly analogous place) as an NEP under the RMA.⁶³ The former would, in content, be quite different. In one sense it would be narrower (applying only to the marine domain) but in another it would be wider (to encompass other oceans management roles not in a framework like the RMA – such as fisheries, maritime transport, and potentially biosecurity).

An Oceans Plan would contain both policy (in the sense of an NPS) and regulatory provisions (in the sense of an NES). It would set out New Zealand’s key priorities for oceans management, and more detailed guidance on the implementation of the purpose and principles of the Oceans Act. It would, of course, need to link to, and take cognisance of, the NEP produced under the revamped RMA (which would, in turn, integrate the NZCPS). The plan – including fisheries components – would also need to be consistent with the marine elements of plans produced under conservation legislation (eg relating to marine mammals protection).⁶⁴ Fishing activity could, for example, be subject to restrictions on the area and method of fishing and bycatch, to be approved by the Minister of Oceans (having a broader mandate) or potentially the Department of Conservation.⁶⁵

Previously, we have also raised concerns about the social impacts of the fisheries’ allocative framework that would find a new home within an Oceans Act. For example, the aggregation of quota, market domination by a few entities, and poor market operation are impeding new entrants and the ongoing participation of existing harvesters.⁶⁶ We have suggested that different models (eg more rigorous non-aggregation clauses, government buyback of quota and support for coastal fishing fleets) could be considered, and that should take place within a broader oceans policy project. Similarly, the effective management of recreational fishing is a significant outstanding issue which needs to be progressed through system reform,⁶⁷ and we have previously outlined a number of further issues that need to be addressed in relation to fisheries:⁶⁸

- Marine reserves have significant potential to contribute to good fisheries management outcomes, in multiple ways, but are not well integrated with fisheries management legislation and regulations. They have also been sparsely used. Habitats of importance to fisheries need to be identified and protected.
- The fisheries management system is largely reactive, and government intervention typically only occurs once serious problems arise. As in our proposal

to be done under an Oceans Act when we have a more integrative (and quasi-constitutional) framework under a Future Generations Act.

At the highest level, a National Futures Strategy under this Act should therefore have a strong oceans component *within* it, and marine spatial planning needs to be integrated into a wider national spatial planning exercise. We envisage that an Oceans Agency would contribute to the production of a National Futures Strategy and National Spatial Plan (that process is described in Chapter 8), with the EPA taking on this role as an interim measure prior to the establishment of the Agency (or if, indeed, the EPA were to become such an agency). A National Spatial Plan could identify, among other things, locations for new marine protected areas (including marine national parks) to be established, to create a representative and ecologically connected network of protections.

A National Futures Strategy and National Spatial Plan, described in Chapter 8, should have a strong oceans component within it.

A Future Generations Act also provides for the development of *regional* futures strategies and spatial plans. Alongside regional spatial plans, we see potential for a parallel process for more targeted marine spatial planning where required. This would reflect that the marine context is quite different to the terrestrial.

These plans could cut across both regional council coastal-marine boundaries and the (roughly) 3-nautical-mile boundary. They could also encompass specified areas within the rest of the territorial sea or EEZ (eg where pressures were apparent or foreseeable).⁷¹ As mentioned earlier (in relation to the Hauraki Gulf), many marine areas that need to be spatially planned cut across jurisdictional boundaries (which have been based regionally on catchments and territorially on communities of people). Marine regions would be a way to address issues of institutional fragmentation when developing regional spatial plans.⁷²

As with spatial planning on land, not all parts of the ocean would require the same degree of effort and attention. Preparation of regional marine spatial plans would therefore necessitate a strategic look at which parts of the marine environment should be targeted, and in what order, allowing prioritisation of effort. There would be a programme established for marine spatial planning to be developed as part of this process over the next 10 years, based on transparent a set of statutory criteria. There would, however, also be automatic triggers for detailed marine regional spatial planning to occur, such as where there was serious ecological decline.⁷³ Iwi/hapū and councils would be able to apply to the Minister of Oceans to have this more in-depth process initiated in their area.⁷⁴

There would be high level objectives for marine spatial plans in the identified areas, akin to high level terms of reference. There could even be a different, more

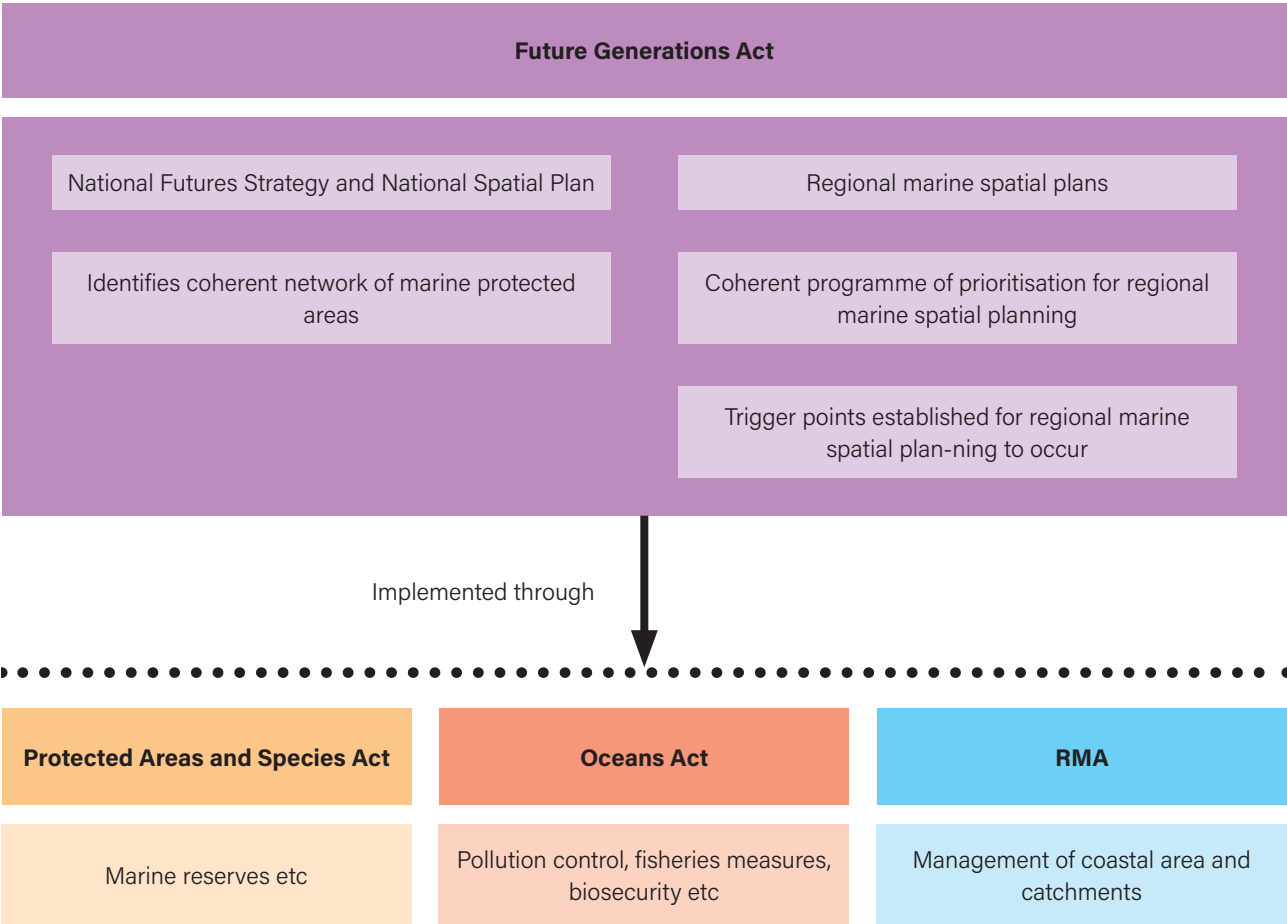


Figure 11.5: Marine spatial planning and instruments under other frameworks

A spotlight on the preparation of marine spatial plans under the Future Generations Act

In EDS's recent publication *Healthy Seas* we outlined a potential new framework for marine spatial planning in New Zealand. Within the auspices of a broader strategy, "marine planning partnerships" would be established to oversee the planning process for a particular marine area. The partnerships would be established between iwi/hapū and relevant agencies. There could also be provision for public funds to be set aside for spatial plan development and implementation, and a direction that the partnership agencies involved consider aligning other planning and funding processes with it.

The plan itself would be developed by a Collaborative Working Group comprised of iwi/hapū and stakeholder representatives. Senior agency staff would be non-voting members of the Group. This Group would be supported by a Project Team built on a core of MSP-trained staff in a dedicated Oceans Agency (or, alternatively an expanded EPA).

Once the Collaborative Working Group had agreed on a draft marine spatial plan it would be submitted to a Marine Planning Partnership for approval. Following approval by the Partnership, the plan would be publicly notified by the Oceans Agency (or, alternatively, the EPA) and public submissions invited. The Futures Commission would provide a review. The non-regulatory elements of the plan would be considered by the Collaborative Working Group and any adjustments made before forwarding onto the Partnership for final approval.

The regulatory component of the plan could be heard directly by the Environment Court. For RMA matters, the Court could make directions to councils to amend their plans directly (to the extent that the plan reflected the purpose and principles of the RMA itself), with appeals on matters of law allowed. For regulatory matters under other legislation (eg the Oceans Act, once in existence), the Court could make recommendations to the Minister of Oceans, similar to the process for Water Conservation Orders.⁷⁶

Alongside regional futures strategies and spatial plans could be a more targeted process for regional marine spatial planning. This would occur under the Future Generations Act. Marine spatial plans would then flow through into decision-making under "implementation" frameworks, including an Oceans Act, the RMA, and integrated conservation legislation. There could even be a more direct process for marine spatial plans to be implemented in such frameworks, involving the Environment Court.

11.12 Concluding comments

In this chapter we have considered the framework for marine management in a future system. The overall proposition can be seen in Figure 11.7 below. A lot of the questions we face here are, as with the RMA, about what we integrate and what we fragment. Presently, the system is fragmented in a number of ways, and we see room for tighter integration along spatial or domain-based lines. In other words, things that are done in and affect the oceans should be managed more closely together. This creates inevitable fragmentation, too (eg between the marine and terrestrial environment, or between the coastal and deep sea environments). There are pros and cons.

On balance, however, we have suggested the creation of an integrated Oceans Act, which would apply on the seaward side of a boundary 3 nautical miles from the coast. That could come to fruition in the medium term. The model would recognise that a close connection within the RMA is needed for decisions concerning land and catchments and decisions concerning the coastal environment (including its marine components). What happens in one can impact significantly on the other. While not a perfect boundary (no boundary is), it also recognises that the management of the deep sea needs to occur in a much more integrated way. This is at an operational, not just strategic, level.

Therefore, while we suggest that marine matters should be prominent in strategies and spatial plans at a nationwide level (under a Future Generations Act), it is also desirable to have greater connections between things like pollution control, shipping, biosecurity, fisheries, and environmental impacts at an operational level. Hence the proposition for a dedicated Oceans Act as one implementation framework for oceans management. Alongside that Act would be more tightly integrated conservation legislation that would span land and sea, an RMA that would apply to coastal management, and the Marine and Coastal Area (Takutai Moana) Act. Treaty settlement legislation would also continue to be upheld.

Accompanying legislative change would be institutional change. In particular, there would be a Minister of Oceans (a portfolio to be established in the short term) and a dedicated Oceans Agency. That could be a standalone institution, or folded into a strengthened EPA. As a transitional measure, the EPA could be built up over time and then separated into a dedicated Oceans Agency.

KEY for Figure 11.7 on page 239

Arrows indicate different relationships between elements of the system

➡ Red arrows: a strong direction (eg "give effect to", "directly insert" or equivalent)

➡ Blue arrows: a medium strength direction

➡ Black arrows simply indicate the direction of a process without a particular normative instruction

ENDNOTES

- 1 Alternatively, it could be based on a mapping exercise based on biophysical characteristics of different areas.
- 2 As is the case now under the RMA and EEZ Act.
- 3 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 128.
- 4 R Peart *Looking out to sea: New Zealand as a model for ocean governance* (EDS, 2005) at 183.
- 5 Except for location specific legislation (eg relating to sub-Antarctic islands).
- 6 K Mulcahy, R Peart and A Bull *Safeguarding our oceans: Strengthening marine protection in New Zealand* (EDS, 2012) at 92-114.
- 7 K Mulcahy and R Peart *Wonders of the sea: The protection of New Zealand's marine mammals* (EDS, 2012).
- 8 R Peart *Looking out to sea: New Zealand as a model for ocean governance* (EDS, 2005) at 184.
- 9 *Ngati Apa v Attorney-General* [2003] 3 NZLR 643.
- 10 Ngāti Porou is the first iwi to be granted customary title under the provisions through the Ngā Rohe Moana o Ngā Hapū o Ngāti Porou Act 2019.
- 11 Ministry for the Environment and Statistics New Zealand *New Zealand's Environmental Reporting Series: Our marine environment 2016* (2016) at 7.
- 12 M Brown, R Peart and M Wright *Evaluating the environmental outcomes of the RMA* (EDS, 2016) at 55.
- 13 Office of the Minister for the Environment *Comprehensive review of the resource management system: Scope and process* (2019) at 10.
- 14 O Rosane "Oceans absorb almost 1/3 of global CO2 emissions, but at what cost?" (World Economic Forum, 2019) <www.weforum.org/agenda/2019/03/oceans-do-us-a-huge-service-by-absorbing-nearly-a-third-of-global-co2-emissions-but-at-what-cost>
- 15 A Borunda "Ocean warming, explained" *National Geographic* <www.nationalgeographic.com/environment/oceans/critical-issues-sea-temperature-rise/>
- 16 R Peart *Voices from the sea: Managing New Zealand's fisheries* (EDS, 2018) at 5.
- 17 R Peart *Farming the sea: Marine aquaculture within resource management reform* (EDS, 2019) at 28.
- 18 MA Morrison, E Jones, M Consalvey and K Berkenbusch "Linking marine fisheries species to biogenic habitats in New Zealand: A review and synthesis of knowledge" *New Zealand Aquatic Environment and Biodiversity Report No 130* (2014).
- 19 R Peart *Voices from the Sea: Managing New Zealand's fisheries* (EDS, 2018) at 64.
- 20 Ministry for the Environment and Statistics New Zealand *New Zealand's Environmental Reporting Series: Our marine environment 2016* (2016) at 19.
- 21 Fisheries New Zealand *The status of New Zealand Fisheries 2018* (2019) <www.mpi.govt.nz/dmsdocument/34419-the-status-of-new-zealand-fisheries-report-2018-final>
- 22 For example, the status of finfish stocks in the Hauraki Gulf; see R Peart *Voices from the sea: Managing New Zealand's fisheries* (EDS, 2018) at 40.
- 23 See, for example, the collapse of the Challenger scallop "enhancement" fishery and failure to recover: *ibid* at 75.
- 24 R Peart, K Serjeant and K Mulcahy *Governing our oceans: Environmental reform for the exclusive economic zone* (EDS, 2011) at 3.
- 25 Marine and Coastal Area (Takutai Moana) Act 2011, s 11(2).
- 26 *Ibid*, s 26.
- 27 Fisheries Act 1996, s 67.
- 28 *Ibid*, s 24(1).
- 29 See Resource Management Act 1991, s 12.
- 30 Marine and Coastal Area (Takutai Moana) Act 2011, s 4(2)(e).
- 31 Resource Management Act 1991, sch 1, cl 19.
- 32 *Ibid*, s 57(1).
- 33 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 6.
- 34 On international law obligations more generally, see G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 2* (EDS, 2018), appendix 4.
- 35 R Peart, K Serjeant and K Mulcahy *Governing our oceans: Environmental reform for the exclusive economic zone* (EDS, 2011) at 7.
- 36 Noting that catchments are not the only meaningful way to divide land-based jurisdictions.
- 37 For example, in the Hauraki Gulf none of the quota management areas coincided with known biological fish stocks. See R Peart *Voices from the sea: Managing New Zealand's fisheries* (EDS, 2018) at 14.
- 38 <www.mfe.govt.nz/more/science-and-data/classification-systems/marine-classification-systems>
- 39 See Department of Conservation and Ministry of Fisheries *Marine protected areas policy and implementation plan* (2005).
- 40 Resource Management Act 1991, s 59. See also Chapter 8, where we leave it as an open question whether regional policy statements should remain, or whether they would be replaced by more integrative regional futures strategies made under a Future Generations Act.
- 41 R Peart *Farming the sea: Marine aquaculture within resource management reform* (EDS, 2019).
- 42 <www.localcouncils.govt.nz/lqip.nsf/wpg_URL/Profiles-Councils-Auckland-Council-Main?OpenDocument>
- 43 There has been greater interest in deep sea mining in recent times, including in the EEZ.
- 44 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 123-124.
- 45 *Ibid* at 137.
- 46 R Peart *Voices from the Sea: Managing New Zealand's fisheries* (EDS, 2018).
- 47 The differences in purpose between RMA and EEZ Act are confusing, and there is little reason for most of them.
- 48 <<http://nzbirdsonline.org.nz/species/wrybill>>
- 49 <www.niwa.co.nz/freshwater-and-estuaries/nz-freshwater-fish-database/niwa-atlas-of-nz-freshwater-fishes/an-overview-of-new-zealands-freshwater-fish>
- 50 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 61.
- 51 Compare New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 7.
- 52 Especially in relation to additional permissions required from rights and title holders for consents under the RMA, the influence of planning documents on RMA plans, and the furnishing of advice to the Director-General of Conservation for various proposals. See Resource Management Act 1991, ss 48 and 49.
- 53 Which could be the place in which it was created, if the Agency were not to be part of the EPA. See also G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 176.
- 54 Public confidence in impartiality drives the need for independent institutions; see New Zealand Productivity Commission *Better urban planning* (2017) at 240.
- 55 R Peart *Voices from the sea: Managing New Zealand's fisheries* (EDS, 2018) at 116.
- 56 N Blake-Persen "DOC 'nobbled' by previous govt - environmental lawyer" (Radio New Zealand, 8 November 2017) at <www.rnz.co.nz/news/national/343368/doc-nobbled-by-previous-govt-environmental-lawyer>
- 57 Resource Legislation Amendment Act 2017, s 227 (which replaced s 52 of the EEZ Act).
- 58 Compare R Peart *Voices from the sea: Managing New Zealand's fisheries* (EDS, 2018).
- 59 See Chapter 8.
- 60 Crown Entities Act 2004, s 7.
- 61 Including in its other roles – for example, under the RMA and Hazardous Substances and New Organisms Act.
- 62 Exclusive Economic Zone and Continental Shelf (Environmental Effects) Act 2012, ss 37A-37G.
- 63 Including a review role for the Futures Commission and Tikanga Commission/ commissioners (rather than appeals to the Environment Court), the latter of which would subsume the existing Māori Advisory Committee under the EEZ Act. As with an NEP, there are challenges in terms of institutional arrangements for co-creation of oceans plans by Māori at a national level.
- 64 Including driving a precautionary approach to fisheries bycatch. In the Phase 1 report, we shone a spotlight on issues with judicial review under the Fisheries Act, noting that it has caused unacceptable delays in introducing measures to protect critically endangered species like the Māui dolphin.
- 65 Acknowledgement: Dr Marie Doole of the Catalyst Group (M Doole *Conservation system reform: A proposed model to better protect and enhance species and ecosystems in New Zealand* (Unpublished commissioned paper, The Catalyst Group, 2019)).
- 66 R Peart *Voices from the sea: Managing New Zealand's fisheries* (EDS, 2018).
- 67 *Ibid*.
- 68 *Ibid*.
- 69 K Serjeant and R Peart *Healthy Seas: Implementing marine spatial planning in New Zealand* (EDS, 2019) at 4.
- 70 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 138. See also R Peart *Bryde's whale voluntary protocol case study* (Unpublished report prepared for the Sustainable Seas National Science Challenge, EDS, 2017).
- 71 For example, where ecologically fragile or where there are growing or competing uses.
- 72 Based mainly on catchment boundaries and regional infrastructure networks (eg transport).
- 73 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019).
- 74 K Serjeant and R Peart *Healthy Seas: Implementing marine spatial planning in New Zealand* (EDS, 2019) at 85.
- 75 Already recognised under the RMA, in the strong role for the Minister of Conservation.
- 76 K Serjeant and R Peart *Healthy Seas: Implementing marine spatial planning in New Zealand* (EDS, 2019) at 87-90.

- The mandatory setting of targets for environmental improvement, including for biodiversity
- Clarifying that council responsibility for biodiversity outcomes lies at the regional, not district, level
- Improving compliance monitoring and enforcement, including in relation to biodiversity
- A stronger involvement by central government (eg the Department of Conservation) in the development of council plans having biodiversity implications
- An independent review of national direction by a new Futures Commission

The concept of nature conservation is broad, and requires multiple statutes to implement (including the RMA). We have recommended significant changes to the RMA to strengthen its role in safeguarding biodiversity. Many of those should also be reflected in the design of an Oceans Act described in Chapter 11.

12.2 The importance of a separate layer of conservation legislation

Nature conservation efforts are equally important on private land (and in the ocean) as they are on public land (eg the conservation estate), and are closely linked. Successfully and sustainably managing, protecting and restoring species and ecosystems demands the curtailment of threats across the landscape, regardless of who owns the land. Conservation is not something that happens just “over there” (eg ringfencing protected areas in public ownership and abandoning meaningful

protections in other areas.⁹ For biodiversity outcomes on private land, the RMA is crucial.¹⁰

However, there are several good reasons for having an additional layer of legislation on top of broader frameworks like the RMA. Some of the reasons for dedicated conservation statutes have been explored in Chapter 8 of the Phase 1 report (concerned with legislative design), and include:

- 1 To establish targeted management frameworks, principles and restrictions for particular areas having unique characteristics. For example, restrictions on activities in protected areas look quite different to restrictions on activities in cities or on farms; we would not expect concessions to be granted in national parks for extensive clearing of indigenous vegetation.
- 2 To implement bespoke Treaty settlements. For example, legislation is required for the creation of legal personhood for Te Urewera, and associated governance and management frameworks.¹¹
- 3 To compel the Crown and local government and other administrators of public land to actively manage their property in a way that reflects the public interest. Crown owned or public land can be managed quite differently from private land, and it is appropriate for legislation to outline how authorities are to do so in a more detailed manner than the more permissive approach for private land.¹²
- 4 To impose different kinds of restrictions or obligations (ie use different tools or trigger points for action). For example, general frameworks like RMA do not encompass restrictions on the direct taking or killing of wildlife.¹³



Abel Tasman National Park

Dedicated nature conservation legislation will continue to be necessary in a future system. This is because particular areas (especially the conservation estate and the commons) require an additional layer of active public management under a more targeted and protective purpose and principles, and because particular species require protections, restrictions and strategies not provided for in more general legislation like the RMA.

In this chapter, we consider what such legislation should look like in the future. Questions of legislative design – what should go where – will re-emerge later in the chapter when we consider novel tools that could apply to conservation on private land as well as public land.

12.3 Issues to be addressed in a future system

In a future system, we propose to address a number of issues with current arrangements for conservation legislation. This is in the context of the alarming decline in biodiversity indicators mentioned in Chapter 4.

A spotlight on issues in current conservation legislation¹⁷

Conservation legislation in the current system is, generally speaking, fairly messy and outdated. Statutes are disjointed and do not work together well. For example, the recent discussion document of the upcoming refresh of the New Zealand Biodiversity Strategy noted that:¹⁸

[t]here are often numerous pieces of legislation governing a particular environment, and sometimes these legislative regimes are overlapping, contradictory, contested, ineffective (allowing activities that cause biodiversity loss) or slow. Some of the legislative regimes are outdated and not able to adapt well to the current and future pressures they need to respond to.

We see an obvious need to revisit how we arrange legislation, and to develop a more coherent framework. This should involve rationalising the many pieces and parts of legislation that canvass the same ground, and to putting in place stronger bottom lines and statutory consequences for failures to meet them.

There are also important questions around how to embrace Māori as genuine partners in the implementation of the principles of the Treaty of Waitangi.¹⁹ Māori perspectives are still underrepresented in conservation norms, even more so than in broader frameworks like the RMA. The Western notion of preservation does not generally provide for Te Ao Māori or expressions of protection embedded in mātauranga Māori and tikanga-based management.

New Zealand is also a signatory to several important international treaties, which recognise some of our wild places as being globally significant. Recognition of international designations placed over many of our wild places could be strengthened, as the management of these sites does not always reflect their international significance.²⁰ Furthermore, the general principles of such instruments sometimes give way to a narrow interpretation of their obligations (eg the Ramsar Convention's core principle of "wise use" of wetlands is not reflected in the management of wetlands across New Zealand).

Perhaps most significantly, there has been chronic underfunding of conservation functions at all levels of government. In particular, insufficient advocacy and energy has been applied to securing marine conservation outcomes. More generally, a failure to halt ecological decline is concerning in the marine environment, where conservation is generally relegated to a very small area geographically. As discussed in Chapter 11, the absence of a protected areas framework beyond the territorial sea is alarming.²¹

Decision-making has also sometimes been driven by economic imperatives, deviating from principled guidance. For example, concessions outcomes can diverge markedly from conservation management plans.

The coming decades will see New Zealand face substantial environmental challenges, many of which will impact on biodiversity. Overall, the present suite of conservation legislation and our institutional arrangements, norms and tools are unlikely to be adequate. Crises of biodiversity loss, depletion of natural capital, and climate change loom large. In the following sections, we put forward suggestions for how we see the system addressing these problems and challenges and providing a framework that is fit for purpose for the future. However, that is just a starting point for what will need to be a much wider review of the conservation system.

We face a number of issues with nature conservation, and conservation legislation specifically, that need to be addressed in a future system.

12.4 Legislative design: A Protected Areas and Species Act

Aside from strengthening conservation elements within the RMA and a new integrated Oceans Act, we propose rationalising and simplifying core conservation legislation. Over time (perhaps coming to fruition in the longer term), this would see the review and integration of a number of existing statutes into two acts, or one act with two substantive parts. These would focus on (1) creating and

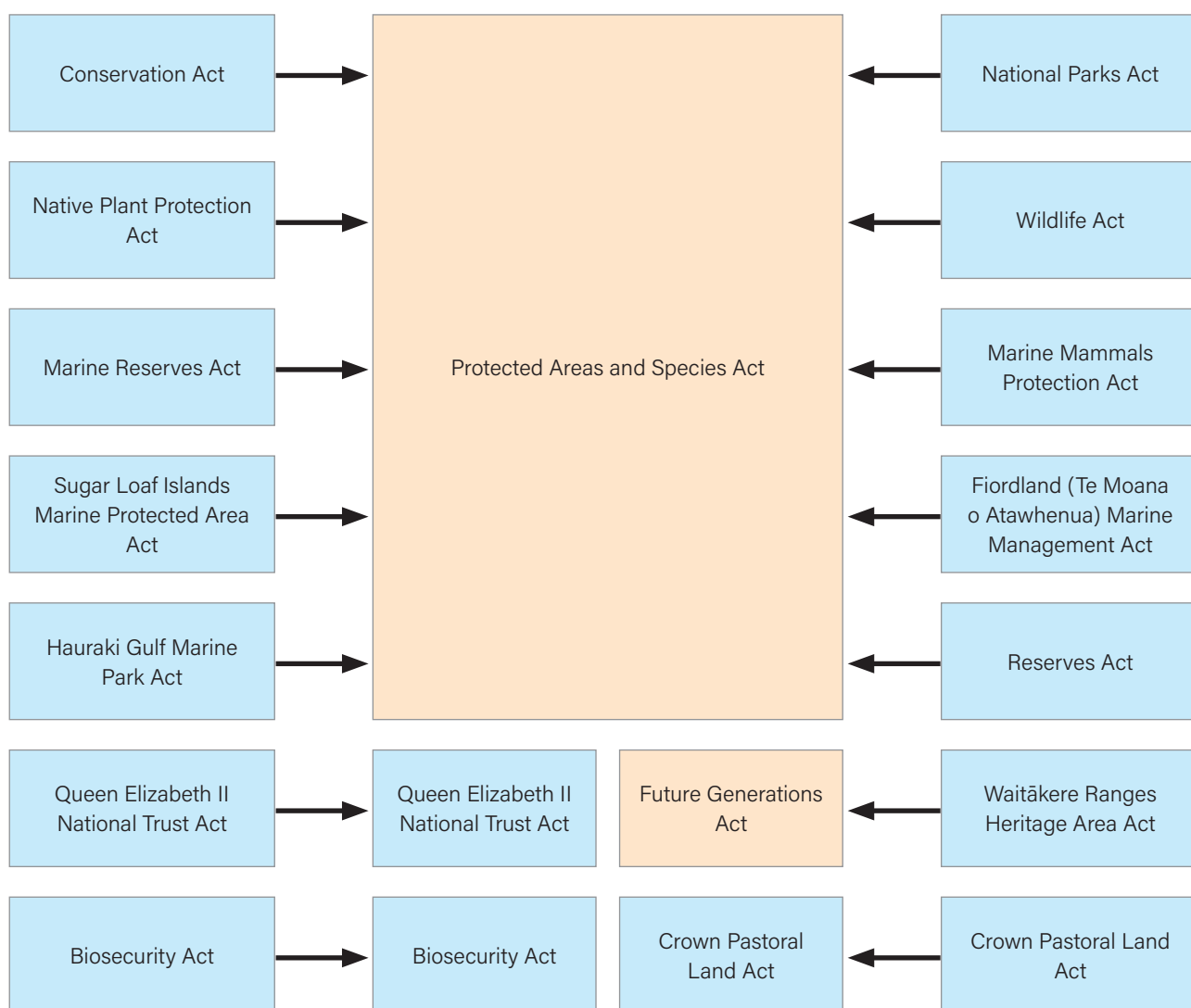


Figure 12.2: Statutes relating to conservation in the current system and proposed future system

We envisage the eventual enactment, over the longer term, of an integrated Protected Areas and Species Act. That would incorporate and simplify the multiplicity of conservation-related legislation we have in the current system.

Critical to the new regime would be a powerful core suite of purposes and principles. That would more strongly recognise the Māori world view, and unabashedly allocate responsibility and accountability to implementing agencies. The Department of Conservation would explicitly have overall oversight responsibility for nature conservation,²⁶ while regional councils would have regional responsibility. The Futures Commission would be expected to vet the performance of the Department through the report card system described in Chapter 8, including in its progress towards meeting specific nature conservation targets required to be set under the legislation.

This sharpened responsibility would necessitate the Department having more levers to pull under the RMA, where many conservation outcomes are driven. It would need to have meaningful input or potentially even an approval role for council planning that is not limited to the

coastal environment. The weak mandate for biodiversity protection in the current system is well acknowledged, and the buck needs to stop with central government.²⁷

Overall responsibility for nature conservation outcomes in a future system should more clearly rest with the Department of Conservation. The Futures Commission would hold the government to account for outcomes through the report card system described in Chapter 8.

12.5 Protected areas

The protected areas component of a new integrated Act would take a holistic approach to managing specific areas both on land and at sea (including to the edge of the EEZ and extended continental shelf). It would focus specifically on areas set aside for conservation purposes, and managing the activities that could and could not occur within them. It would provide a more proactive mechanism and direction for the creation of an ecologically representative network of protected areas, not just focus on the the management of existing ones. Having one act covering all spaces would ensure that

outcomes. We are not at all suggesting eroding our system of existing national parks, which need to be preserved at all costs for a diverse range of reasons.

As such, a rationalised list of protected area categories would be hierarchical, and range from the highest levels of protection (as warranted for areas of international value), to the level of protection warranted for areas of local conservation importance. The international recognition of a site gives New Zealand a global responsibility to manage that area sustainably and - there is considerable room for improvement, especially for our Ramsar sites. Conservation covenants on private land could also usefully be included within this hierarchy of protected areas, as well as any new protected area categories that recognise the protection of a space for cultural reasons (eg wāhi tapu) as well as purely biophysical reasons under a genuine joint management approach with iwi/hapū. Protected area categories would thus be based on a fusion of traditional ecological knowledge and Western thought. Protective measures should be taken where an area is considered tapu, or to reflect concepts like rāhui. These may not necessarily relate directly to the biophysical status or features of stewardship land. For example, there may be a site of very high cultural status (at a wide geographical scale or specific site), but it may sit on land of very low ecological value. The site assessment and plan-making processes of a new Act should provide a

means by which these values are identified for registration and protection.

In short, we propose that protected area categories should be rationalised into a single framework that achieves the following:

- It does not lead to regression of existing protected status²⁹
- It respects mātauranga Māori, including expressions of kaitiakitanga and concepts such as tapu, wāhi tapu, rāhui, and sustainable customary harvest by hapū and iwi
- It is hierarchical, in that it recognises that all areas have value but that some are specifically recognised for having higher value than others
- It reflects international instruments (eg the Ramsar Convention) and the conservation values they recognise

A streamlined management regime should remove duplication or very similar categories of protection. One option would be to base them upon, or partly mirror, the existing International Union for Conservation of Nature (IUCN) protected area categories (Categories Ia–VI) for international consistency, but must specifically include mātauranga Māori as a basis for protection. The model could also usefully carve out a general space for novel categorisations of protected areas relating to

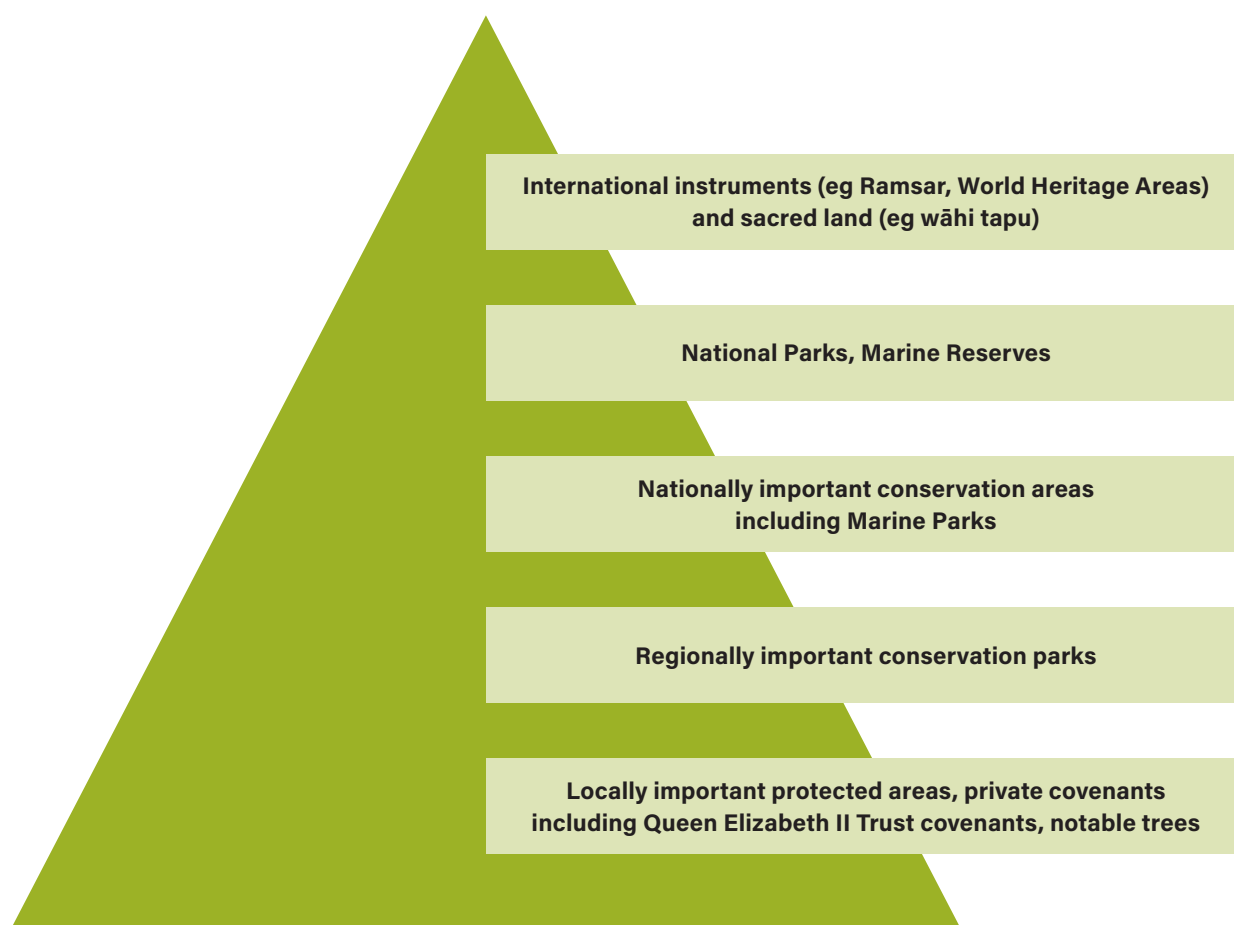


Figure 12.3: A potential hierarchy of protected areas under a Protected Areas and Species Act. There would be a number of sub-categories.

However, species protection is not just about preventing specific instances of harm by humans (eg killing, taking, or disrupting). It also requires proactive measures to be taken to counteract the impact of more systemic drivers of decline (eg pests, habitat loss, climate change), especially in relation to threatened plants and animals.

Management plans here are not like many of those produced under the RMA – they are *action* plans. Yet the current regime for the interventionist³⁴ management of threatened indigenous species and habitats in New Zealand is primarily voluntary and non-statutory. Species and habitats can be identified as threatened but receive no automatic additional management or statutory protection. For an international biodiversity hotspot like New Zealand, this is non-sensical and has allowed the rapid (but strangely quiet) decline of some of our most important species to occur with little acknowledgement and accountability.

More specifically, under current conservation legislation, a species can decline and the only legal requirement is to measure the change in threat status. There is no statutory consequence or trigger point for tangible action if a species becomes increasingly threatened with extinction, and there is no requirement for any additional conservation management actions to be targeted at already threatened species, or their habitats.³⁵

We are proposing a model that includes an independent process for identifying threatened species and habitats, as well as clear statutory consequences for listing. Species that fall below a certain threat classification (under the existing New Zealand Threat Classification System) would have a compulsory management plan produced based on the best available evidence on what works. Such plans

need not be arduously long-winded and need to be agile, and could be produced via a “quickfire” method (a short plan covering off key actions based on current expert knowledge). Before compiling adequate knowledge to determine management approaches, there would be a strong presumption of protection.

Threat status would be determined by an independent expert group convened in a similar way to now, but with additional status and a direct link to Parliament. For example, it could sit within or be appointed by the Futures Commission or the Parliamentary Commissioner for the Environment. The state and trend of species and ecosystems listed would also be a compulsory reporting matter for the Department of Conservation. Comprehensive and consistent monitoring and reporting requirements (including in relation to covenanted private land)³⁶ could also be integrated into the broader framework for environmental reporting under a Future Generations Act (or in the existing Environmental Reporting Act if it were not merged). The importance of environmental monitoring, reporting and evaluation more broadly is explored in Chapter 13.

The species protection component of a new Protected Areas and Species Act would be based on a strengthened Wildlife Act. It would recognise ecosystems, not just species. A change in threat status would require corrective action to be taken, not just changes to be measured. The state and trend of species and ecosystems, and action taken in response, would be integrated into a broader environmental reporting regime.

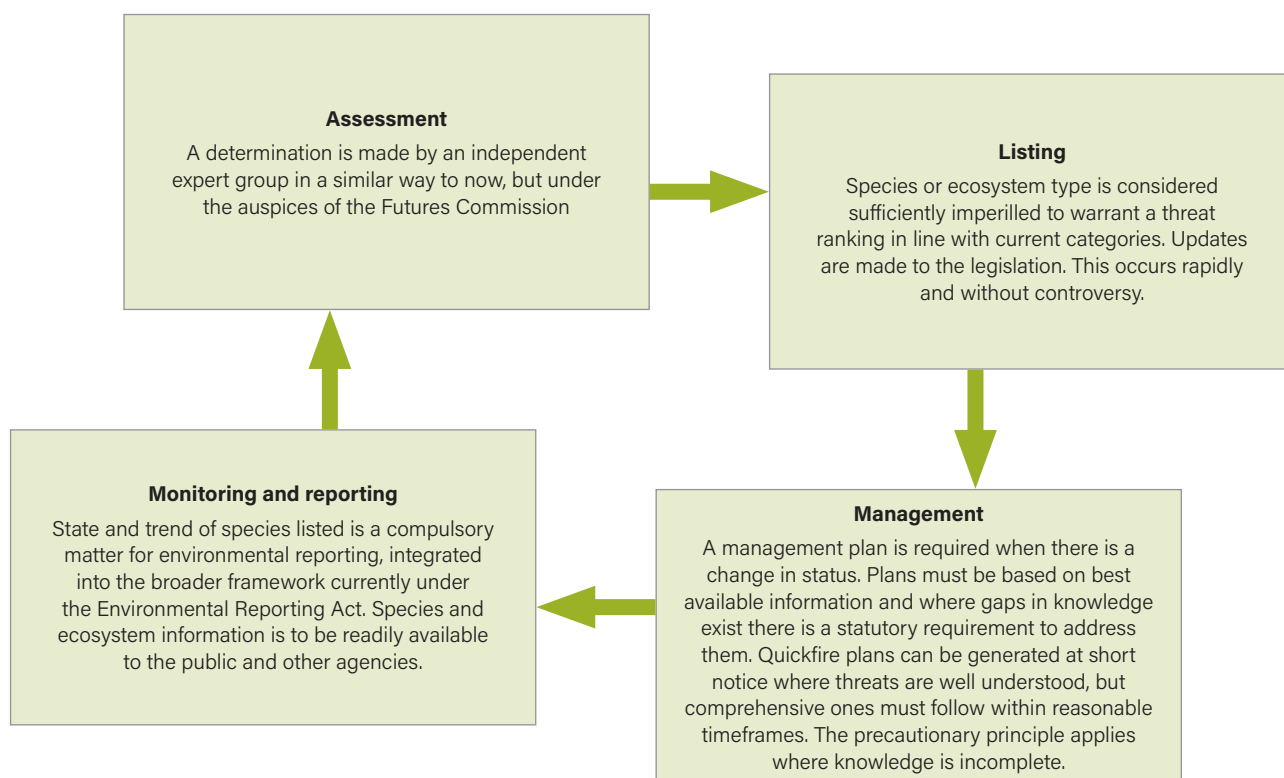


Figure 12.4: Management of threatened species and ecosystems under a Protected Areas and Species Act

12.8 The nature of bottom lines under a Protected Areas and Species Act

An integrated Protected Areas and Species Act would be a key place in which environmental bottom lines were imposed. Those would look different to the kinds of bottom line outcomes envisaged in the RMA, partly because they would represent much more strongly protective and specific outcomes in particular areas (eg no mining in national parks). The notion of bottom lines would also be accompanied by ambitious targets in relation to species and habitats (as well as accountability mechanisms for meeting them). That recognises that the conservation framework would be geared towards the enhancement of threatened species (where bottom lines have, by definition, already been breached), including through active intervention and funding from public authorities (including the Department of Conservation).

The nature of conservation bottom lines would therefore be closely linked to the outcomes sought in different areas and for different species, and we do not seek to define those outcomes exhaustively here.⁴⁵ However, their strongly protective nature and the general nature of the outcomes sought (including intrinsic value) would be embedded within a single purpose and principles.⁴⁶ Examples of hard limits could be zero loss of critical habitat for species, or zero bycatch of vulnerable species in fishing. A clear objective of maintenance, restoration and enhancement of ecosystems would be contained in the principles of both conservation legislation and the RMA (see Chapter 5), as well as the Biosecurity Act, although those frameworks would use different tools to achieve the same overarching goals.

However, there is a broader point here, which mirrors the debate that has already occurred in relation to the RMA under the *King Salmon* jurisprudence. In short, decision-making criteria under conservation legislation will need to be focused on holding bottom lines and associated specific limits on human activities firm, not allowing trade-offs to be made.

A spotlight on Tongariro National Park

The implementation of some conservation plans has seen evidence-based limits negotiated down and exceptions and exemptions allowed in the name of compromise and balance (for economic reasons). This can be seen at sites like Whakapapa and Iwikau Villages in Tongariro National Park, where visitor numbers are consistently exceeded by 5,000-7,000 people per day. The literature identifies the very high economic value generated by this visitor activity, and the physical evidence of impact (on culture and landscape) is plain to see and goes unresolved.

While outcomes have still been far more protective under conservation legislation than the RMA,⁴⁷ the bar is – for good reason – set higher under the former, and a balancing approach is equally unacceptable. This approach contrasts with other regimes such as the NPS for Freshwater Management under the RMA, which now contains bottom lines in relation to freshwater (and these are set to be strengthened further in a new NPS and NESs). The NZCPS also contains meaningful bottom lines. The concept is simple: where environmental quality is poor it is improved, and where it is good it is maintained. The idea is that protective instruments actually mean what they say, and must be implemented rather than considered.

We suggest making this approach explicit under reformed conservation legislation. Permissions under existing conservation legislation are primarily issued by the Department of Conservation. The main type of permission issued is called a concession, which is an authorisation to undertake a restricted activity on public conservation land. The decision-making within the Department of Conservation for concessions and other permission documents has been criticised in the past for not aligning with the Department's own documents designed to influence those decisions. We see this an area where greater transparency and accountability, and less discretion, is desirable to improve conservation outcomes.



A spotlight on the Environment Court under reformed conservation legislation

At present, challenges to plan making processes or outcomes under conservation legislation are tested through the High Court judicial review process. This is not ideal, given that the judges hearing these matters are often skilled in areas other than conservation and resource management. The specialist expertise of the judges and commissioners of the Environment Court may be a helpful addition within the conservation system. The expertise of that Court in respect of natural resource conflicts, support through mediation and expert conferencing is unparalleled.

Should appeals in relation to conservation strategies and plans be available, as they are under the RMA for council plans?⁵² Or should independent input be provided only on a recommendatory basis (eg by the proposed Futures Commission), as it is for national direction under the RMA? In Chapter 6 we considered, on balance, that merits appeal rights should not be available in relation to national level planning under the RMA. A similar logic arguably applies to central government decision-making for conservation. That said, a sub-option would be for appeals to be available only on points of law, and/or only open to an independent, statutory Environmental Defender's Office.

Consideration could also be given to introducing appeals for concession decisions, although we note that the nature of those permissions is quite different to consents under the RMA. We should not be too quick to create yet another forum for litigation. That said, there may be merit in a middle ground: providing appeal rights only to an Environmental Defender's Office, which would have a mandate directing it to take legal action only where decisions were clearly inconsistent with conservation management plans.

A future system could see a stronger role for independent institutions under conservation legislation. In particular, there could be a review role for the Futures Commission in relation to conservation strategies and management plans, and constrained appeal rights for an Environmental Defender's Office in relation to plans and concessions.

Finally, we note that bottom lines for pest and weed management are needed to ensure that current trade-offs (ie the cost of measures) do not continue to allow biodiversity to decline. Both local and national governments should be directed to set ambitious pest and weed management goals and targets for the land and waters that they manage. This should occur through strengthened directions in a Protected Areas and Species Act and the Biosecurity Act, and be firmly linked to adequate funding (including from central government).

12.9 Novel tools

Above, we have talked largely about improving the current system. While proposals involve significant legislative change (eg substantial statutory integration, a shift in norms, and some institutional change), the basic kinds of tools being used would be not that different. There would be a classification of protected areas and species alongside strategies, management plans, and a framework for permissions. Thus far there is little that is *conceptually* novel.

However, we also see room for the use of different kinds of tools, including the deployment of a nationwide biobank, the use of bottom-up application-based orders to protect conservation values, and more systemic use of economic incentives.

We shone a spotlight on biobanking (in the context of biodiversity offsetting) in the Phase 1 report,⁵³ and its key features are described below. We see it as a positive step that should be developed in the short term and rolled out in the medium term.

A spotlight on biobanking

Environmental offsetting, generally speaking, allows a person to cause harm in one area or context in exchange for improvements in another. The original harm remains, so it is not the same thing as mitigation. In New Zealand, biodiversity offsets have been those discussed most. Commentators have discussed the utility of offsets under the RMA, the Crown Minerals Act and the Conservation Act.

Offsetting can be a disastrous road to environmental degradation if offsets are not proportionate to the harm caused. Local Government New Zealand has supported the tool but only where no viable alternatives are available, and subject to careful constraints.⁵⁴ We agree. Offsetting is not an excuse to "purchase" rights to cause environmental harm, and must be subservient to regulatory limits. Case law has provided useful constraints on the use of offsets under the RMA (eg the extent to which we compensate like for like),⁵⁵ and valuable work has been done as part of the collaborative development of an NPS for Indigenous Biodiversity.⁵⁶ Local Government New Zealand has also released guidance on offsetting under the RMA.⁵⁷

Offsetting remains a controversial topic, because it can allow the degradation of one area in favour of another. It is difficult to know how much value we should assign to site or location-specific indicators versus regional or national level indicators. Some forms of harm can never be offset.⁵⁸ Some have seen offsets as potentially inconsistent with strong ecocentrism, as trading off the wellbeing of one ecological system for that of another has ethical implications.⁵⁹

role of conservation legislation be, vis-a-vis frameworks like the RMA? We do not want duplication, overlap or confusion. Thus a Protected Areas and Species Act could limit its scope to managing protected areas (eg publicly owned land), general strategies, and restrictions on direct interactions with (eg taking and releasing) protected species. This focus would, essentially, accept that regulatory restrictions imposed on private land – including for nature conservation reasons – are appropriately deployed in a framework like the RMA, where there are robust procedural and institutional checks and balances (eg public participation and strong oversight by an independent Environment Court).

The concept of a biobank would be a strategic one, rather than a regulatory one. Contributions to a biobank would flow from both the RMA (through compensatory conditions of resource consent) and conservation legislation (concession conditions). It could also usefully be deployed at a national level, and link spatially to an ecological “spine” provided by a network of public conservation areas. As such, it would need to be closely linked to the management of those protected areas. It would also be overseen by the Department of Conservation, which would continue to have roles under both the RMA⁶⁷ and conservation legislation.

As such, we think that it could be appropriately provided for in either framework. Alternatively, given its strategic and cross-cutting nature, it could be provided for in an overarching Future Generations Act. Indeed, that may be the most appropriate option, given that there may even be several further frameworks that could result in contributions to a cross-cutting biobank (eg through offsetting requirements under an Oceans Act, the Crown Minerals Act, or urban development authority legislation). The deployment of a biobank would also be intimately linked to national and cross-regional spatial planning, which would occur under a Future Generations Act.

The most appropriate legislative home for the development of a biobank would be the Future Generations Act discussed in Chapter 8.

The best location for a Heritage Area Order, or any similar kind of application-based order, is also not immediately obvious. We raised this question at the end of Chapter 6, and we can revisit it now in light of the discussion above.

It is interesting, in this context, to compare the place of broadly similar water conservation orders, which are imposed under the RMA. They are focused firmly on conservation outcomes (under their own highly protective purpose, not Part 2) yet have some potential to impact on activities on surrounding private land.⁶⁸ This suggests that the RMA may be a more appropriate location for the formal development of similar, bottom-up tools (like a Heritage Area Order or habitat protection order), even if they were to be subject to their own, more protective, conservation-based purpose and principles. The reason

is that such orders, focused on landscapes and habitats rather than just waterways, would have potentially significant implications for private property rights. They would stray beyond what conservation legislation has traditionally done, into territory that the RMA is better equipped to deal with.⁶⁹

The most appropriate legislative home for new nature conservation-focused tools like Heritage Area Orders or habitat protection orders would be the RMA. These are discussed in Chapter 6.

12.10 The importance of funding and incentives in nature conservation

The regulatory and policy roles of public authorities can be expensive, but adequate funding is particularly crucial for the proactive measures that conservation-focused institutions need to take to protect and enhance particular areas (eg national parks) and species (eg threatened animals). That includes research and operational programmes. Central to that is funding for the Department of Conservation, which we see as continuing to fulfil a central role in a future system. In particular, we recommend that:

- Good existing work should continue on how to fund and support non-statutory efforts to restore and enhance biodiversity, including in urban areas.⁷⁰
- More research should be conducted into fundamental science, including in relation to the life histories of vulnerable flora and fauna. That has been underfunded for many years in New Zealand, and must change for us to have the knowledge to turn the tide of biodiversity decline. Stronger statutory drivers to develop that knowledge and use it to inform critical management would be useful. It may also be worth revisiting the competitive funding model for our science institutions, to ensure the basics are covered. A new Futures Commission could potentially have a role here in making non-binding recommendations about conservation research priorities.
- Science capacity and capability needs to be maintained where it exists, and re-established where it has dissipated. This may demand more than a recruitment process, and require a more sustained investment in capacity building and the development of career pathways. Resourcing will also be required to increase capacity within hapū and whānau and incorporate traditional ecological knowledge into decision-making.

We have previously recommended that more could be achieved with a collaborative partnerships approach to how we deploy resources. Partnerships could be between core conservation agencies (eg the Department of Conservation and regional councils)

12.11 Concluding comments

In this chapter we have considered conservation legislation in a future system and recommended considerable changes to the current situation. Central to that would be the integration, over time, of our fragmented array of existing conservation legislation into a single Protected Areas and Species Act. Within that, there would be a rationalisation (while being careful not to reduce the level of existing protections) of protected area categories, and a strengthening of the protected species element founded on the Wildlife Act. Clear requirements for corrective action would be included, based on pre-set trigger points (eg a change in the threat status of a protected species), and a broadening of the environmental reporting framework to include state and trends of species and ecosystems, as well as relevant actions taken in response (including enforcement). There would be stronger recognition and protection for sites of cultural significance, not just ecological or historical importance. Links to the RMA and Biosecurity Act frameworks would be improved, including explicit recognition in Part 2 of the RMA of the need to support threatened species measures taken under separate legislation. There would also be a greater role for independent institutions, including a review role for a new Futures Commission. Whether limited appeal rights for conservation plans and/or concessions should be available deserves further attention, with one possibility being standing only for an Environmental Defender's Office.

A biobanking framework would be introduced, through which biodiversity offsets under multiple other regimes (eg the RMA) would be deployed, alongside central government and community resources, in a coherent and strategic way to maximise overall biodiversity outcomes.

However, the most appropriate home for that cross-cutting tool would be a Future Generations Act, not dedicated conservation legislation. Similarly, while we envisage the development and active deployment of new tools like Heritage Area Orders and habitat protection orders, the best place for those (given their potential impacts on private property interests) would be within the RMA.

At a broader level, we would envisage placing a clearer overall stewardship responsibility for biodiversity on central government, which would be reflected in stronger influence for the Department of Conservation in regional planning under the RMA. As in most other parts of the system, funding will also be crucial if we are to improve nature conservation outcomes. That must involve significant sums from public authorities for activities like pest management and proactive restoration, investment in fundamental science, and advocacy.

However, we note that much of the harm to species and habitats – particularly threatened indigenous ones – actually occurs under other regimes, including through decision-making frameworks like the RMA that enable use and development. Dedicated conservation legislation has limitations in terms of what it can achieve. That is why, in previous chapters, we have recommended strengthening such regimes considerably and adding new tools to the toolbox. Furthermore, while safeguarding and enhancing protected areas and regulating direct impacts of humans on threatened species are crucial to conservation efforts, at present these activities are a bit like a bucket that bails water out of a leaky boat. Alongside such measures, we also need to focus on changing people's incentives in relation to the environment, especially to improve nature conservation outcomes. In the following chapter, we explore more systemic changes, including the use of progressive economic instruments and behavioural change.

- 59 See T Denne "Resource management law reform and economics" in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018). See also J Martinez-Alier and R Muradian "Taking stock: The keystones of ecological economics" in J Martinez-Alier and R Muradian (eds) *Handbook of ecological economics* (Edward Elgar, 2015) at 1-25.
- 60 Environment Bill 2019-2020 (UK).
- 61 MA Brown and others *Vanishing nature: Facing New Zealand's biodiversity crisis* (EDS, 2015).
- 62 MA Brown *Banking on biodiversity: The feasibility of biodiversity banking in NZ* (EDS, 2017).
- 63 Ibid.
- 64 Ibid.
- 65 This concept has been embraced overseas, for example in the concept of national parks in England (which are working landscapes rather than wilderness, and where there is significant private ownership of land).
- 66 See Chapter 6 concerning RMA national direction.
- 67 A role that would also be strengthened in a revised model.
- 68 Although not as much as needed, as discussed in Chapter 6. For example, they do not influence land use consents (only discharge, water, and coastal permits).
- 69 There would be similarities with the Biosecurity Act framework, but that Act would not itself be an appropriate location given it is focused on incursions and pests rather than direct threats from human activities to the environment.
- 70 Including by the Department of Conservation (see M Peters *Understanding the context of community conservation hubs* [Report prepared for the Department of Conservation, 2019] and Auckland Council (see C Feeney and A Lees *Pest Free Auckland: Enhancing conservation knowledge and capability. A strategy, implementation and evaluation plan* [Report prepared for the Auckland Council, 2019])).
- 71 MA Brown and others *Vanishing nature: Facing New Zealand's biodiversity crisis* (EDS, 2015).
- 72 Ibid.

logically incorporated into other legislation. Its provisions relating to emissions trading could be provided for in the Climate Change Response Act, while its protections on processing, felling and export of indigenous timber (and forest certification)⁸ could find a comfortable home in a broader outcomes-focused Act like the RMA.⁹ There may even be a case for revisiting the restrictive provisions in the Forests Act and asking whether we can do more to increase the commercial incentives to plant and harvest indigenous species in a sustainable way.

Dedicated heritage legislation also performs a vital function that needs to be retained (eg the protection of archaeological sites, heritage listing, and related institutional arrangements). However, as mentioned in Chapter 10, it would be worth exploring further whether there is room for greater integration or alignment between the Heritage New Zealand (Pouhere Taonga) Act and the RMA, where most regulatory protections for heritage are contained.

We have touched on the Crown Pastoral Land Act in Chapter 12, where we mentioned that it is not comfortably described as a “conservation statute” (despite having strong conservation elements), and therefore would be an ill fit within an integrated Protected Areas and Species Act. As with the Land Act, it makes sense to keep this as a standalone framework for managing a particular type of Crown land.¹⁰ We have also suggested that there should be a greater role for the Department of Conservation in decision-making or oversight where nature conservation matters are at stake. Yet a lot of the Crown Pastoral Land Act is devoted to outlining the process for tenure review, which has now been put on hold by the Minister of Conservation.¹¹ The tenure review process was beset by issues and controversy, but its removal does raise important questions about what should replace it and how we strengthen the protection of conservation values on Crown land under pastoral lease.

Further rationalisation seems desirable in other areas too. For example, the confusing ways in which older legislation like the Land Drainage Act 1908 and Soil Conservation and Rivers Control Act 1941 (much of which has been repealed) continue to apply make them contenders for integration into other frameworks concerned with local government, infrastructure, and control of hazards.¹²

While an overall theme of this report is one of legislative rationalisation and simplification, we envisage that many targeted resource management statutes will continue to operate. These include statutes relating to hazardous substance and genetic modification, biosecurity, heritage, and the management of Crown land. However, most will require close attention following framework level reforms, and we have suggested some areas ripe for exploration. A degree of rationalisation may be possible for legislation relating to forests, minerals and flood and erosion control.

It is particularly intriguing that we have bespoke statutes for waste minimisation and litter, and we will linger on this topic for a moment. A move towards a circular economy will be a crucial part of New Zealand’s future. From a purely legislative design viewpoint, we see potential for the Litter Act to be merged into broader local government legislation and linked more closely to the Waste Minimisation Act, but for the latter to remain a standalone statute. The quite unique tools used in that Act, including provision for a levy, product stewardship schemes and other economic tools, form a relatively targeted and self-contained framework that does not intrude on the “planning and consenting” territory of the RMA.¹³ That said, this framework has not lived up to its full potential and much more use could be made of its proactive tools. It is well placed to form the centrepiece of a system that drives towards a circular economy, not just to reduce the environmental footprint of landfills but also to encourage the recovery of useful resources. For example, one commentator has said that the Act:¹⁴

was a watershed moment. This ambitious legislation endowed the Minister for the Environment with multiple policy levers for reducing waste ... The Act generated hope that change was finally afoot after decades of legal uncertainty and deregulation in the waste sector. Regrettably, ten years on, [its] “implementation has been disappointingly lacklustre, its regulatory provisions mostly languishing unutilised.”¹⁵

For example, charging under the waste disposal levy has been too low to make a real difference to behaviour,¹⁶ and it has not been applied to all landfills despite clear powers to do so.¹⁷ Presently, only a small fraction of New Zealand’s landfills and small proportion of its waste stream are covered.¹⁸ This has meant that much material that ends up as waste could have been recovered, but the economic incentive to do so is not present.¹⁹ We agree with the Tax Working Group that more should be done on this front.²⁰ The government’s recent signal to expand the levy is a positive step.

The flipside of the behaviour change driven by a meaningful charge for waste disposal is that part of the revenue generated is used to fund projects that reduce waste (through the Waste Minimisation Fund). While there have been criticisms that the fund is used on a largely reactive rather than strategic approach²¹ (not dissimilar to criticisms of biodiversity offsetting), steps have been taken recently to address this issue.²² However, more needs to be done to direct funding to where it really matters – for example, in enhancing recycling and resource recovery infrastructure, and investing in research and development for alternatives to particularly harmful products that cannot be recovered or biodegrade (eg disposable nappies).

Promisingly, the government has become much more active on this front, starting with a ban on single use plastic bags and signalling an increase in landfill levies, the creation of a deposit refund scheme,²³ and a broadening of product stewardship schemes.²⁴ All of those tools need to be used more in a future system, including more rigorous use of cradle to grave product management

13.3 From resource management legislation to wider system change

Some aspects of the resource management system do not fall comfortably within the boundaries of any existing legislative framework. Some of these have been mentioned in the context of a new, cross-cutting Future Generations Act (eg the imposition of general duties on public authorities, and strategic and spatial planning). Other cross-cutting issues have risen to the surface as examples in chapters concerning more specific frameworks. For example, the ways in which public goods like infrastructure are planned and delivered raises more systemic issues over how those things are *funded* (eg through rates, user-charges or something else), which we considered in Chapter 10.

However, it is worth reflecting in this penultimate chapter on the fact that a lot of meaningful change in a future system will not be about specific frameworks that prevent negative activities, or even ones that require positive action by public bodies. It will also be about influencing fundamental drivers (both financial and social) that push firms and individuals to behave in certain ways.

In particular, regulatory tools have severe limitations in terms of how much they can drive positive change,³⁰ and (aside from strengthening regulatory bottom lines) we need to start speaking much more in the language of incentives than coercion. Statutes like the RMA are, unfortunately, often forced to respond to enormous social and economic pressures that work against their goals, and have had to fight rear-guard actions (and not always successfully). As Dr Theo Stephens pointed out, for example, New Zealand's tax system:³¹

charges very little for depletion of natural capital (royalties on oil and minerals only), and allows deductions for expenses incurred in achieving its depletion while much of the economic benefit is captured in non-taxable capital gains. This creates irresistible economic incentives for private interests to undermine the protection functions of plans and rules.

How much better would it be if positive outcomes were built into incentives that shaped what people sought to do in the first place? And if we thought about "not just whether we are doing the project right, but also whether we are doing the right project"?³² That will be essential as we move from a system based primarily on the management of effects towards something that is about a vision of health, wellbeing and resilience for the future. As we pointed out in the Phase 1 report:³³

Potential harm should not be the only trigger for improvement. In some cases this may mean our institutions simply need to be well funded and resourced to pursue firm mandates themselves (eg the Department of Conservation's advocacy role, and its and regional councils' pest management functions). However, there are ... other ways by which active steps can be taken.

Below, we explore ways in which non-regulatory approaches to improvement could be pursued in a future system.

Regulatory tools are essential in defending environmental bottom lines and preventing further harm, but have severe limitations in terms of how much they can drive positive change. In a future system, we need to start speaking much more in the language of incentives than coercion.

13.4 Economic incentives: Funding

At the risk of stating the obvious, people value money. The prospect of gaining more, or losing it, can therefore have powerful influence over how they behave. Public authorities are not immune from such incentives. Above all, there needs to be sufficient money available to *enable* public authorities to discharge their functions effectively, be they regulatory, policy, or operational. We have touched upon issues of funding throughout this report where they have been relevant to the operation of particular statutory frameworks, but here we draw this together to take a more holistic view.

In some cases, funding pressures within the resource management system have become acute.³⁴ There is either not enough money available, or it is not being deployed in effective or timely ways. That is particularly the case for local government, and has prompted an inquiry by the Productivity Commission (with a final report pending at the time of writing).³⁵ Councils are responsible for performing many of the functions required by the resource management system, and how they fund those functions is therefore of central importance to system reform. But because many questions of council funding are so connected to the need to fund urban growth and the provision of expensive infrastructure, we considered them in our discussion of the built environment in Chapter 10.

There, we expressed support for institutional change: a greater regionalisation of some council functions (eg the provision of drinking water and wastewater infrastructure), to pave the way for a conversation about regionalisation or unitisation of councils themselves. Yet it is clear that the efficiencies and economies of scale to be achieved through institutional reforms will not be enough to address funding difficulties in the built environment. We need to make a wider range of funding and financing tools available, particularly for councils, to fulfil operational functions (especially infrastructure provision). We therefore suggested the investigation and deployment of a locally-levied GST (with a corresponding reduction in national GST), value uplift capture mechanisms, and the use of special purpose vehicles and local-central partnerships in financing urban growth (especially for debt constrained councils). Both Infrastructure New Zealand and the Productivity Commission (among others) have made a persuasive case for adding more funding and financing tools to the toolbox. However, we also reiterate that those tools should be deployed in a way that supports

of funding mechanisms (eg reliance on rates) can have on local government institutions making decisions about urban growth and infrastructure investment.⁴⁶ There is a perception that growth does not pay, which can lead to resistance within existing communities to fund the upfront costs of infrastructure investments, through rates, that will benefit future residents but not themselves.⁴⁷ Thus while councils might be able to raise enough rates to fund their functions adequately, and many can borrow more money to finance them (which spreads the costs of services across generations), there are powerful – and understandable – political incentives not to. Many councillors campaign successfully on a political platform of no rates increases, and there can be resistance to increases in debt.

Of particular concern has been, overall, a chronic underinvestment in three waters infrastructure. There is an urgent need for this to be addressed. On that front, in Chapter 10 we suggested a degree of institutional reform: a shared services model based on service delivery by regional CCOs, alongside independent environmental and economic regulators.⁴⁸ But there is still a need to think about how those institutions would be funded, especially to address enormous short-term costs (eg to replace ageing infrastructure and upgrades to meet strengthened environmental and health standards). Three waters providers (irrespective of who they are) may well need assistance from central government (eg for the replacement or upgrade of infrastructure).⁴⁹

Outside the context of the built environment, there have also been barriers to councils deploying economic instruments like green taxes under the RMA, which could be used to raise revenue (as explored further below).⁵⁰ Central government has also had its issues when it comes to funding environmental mandates. For example, there have been substantial concerns with the extent to which key advocacy functions for the Department of Conservation have been underfunded, and we have previously said that:⁵¹

fluctuating political priorities and pork-barrel politics mean that flows of money through the budget process can be haphazard. The influence of this on the Department of Conservation's advocacy role is a case in point ... It is to be hoped that a living standards budget may provide greater stability [in the budgeting process for such critical roles], but that may be overly optimistic.

To address such issues, we see a case for greater hypothecation of funding (linking particular sources of revenue to the funding of particular institutions or activities) to ensure that political will does not unduly constrain publicly important, and often legislated, institutional mandates. That could be achieved, for example, by requiring revenue generated by some tools (eg green taxes, see below) to be managed and deployed for specific purposes (eg restoration, environmental

advocacy).⁵² Some economists may disagree with this proposition, on the grounds that financial resources would not go to their most efficient use if the law takes a directive approach to how money is spent. However:⁵³

a future system would ... have to be aware of the tension between efficient outcomes and the public interest. Much may depend on who has the power to spend the money, and the risk of politicisation. For example, if we did not link funding sources with particular uses, would we continue to underinvest in crucial public goods like waste-water infrastructure? Or would we underfund measures to improve freshwater quality? Some hypothecation already occurs in the system, whether due to institutional boundaries (Watercare cannot use its revenues to fund roads, for example) or because of intentional earmarking of funds (eg a levy on waste is used for waste reduction measures).

While it is a complex area that requires more detailed exploration in specific contexts, the importance of funding in system reform should not be underestimated. Almost all reform measures will come at a cost – not just the effort of making changes on paper, but the ongoing costs of delivering them. It is crucial that there is enough money, that it appears at times when it needs to be spent, and that there are appropriate incentives to spend it in ways that will secure desirable outcomes.

How public authorities are funded will be a crucial element in a future system. We have touched on many aspects of funding where they arose in the context of previous chapters (especially in the context of legislation for urban and built environments, climate change, and spatial planning). Overall, we see merit in expanding the funding and financing tools available, providing a more active and strategic deployment of central government funds, and protecting vulnerable but essential public functions through greater hypothecation (requiring defined sources of revenue to be used for particular purposes).

The incentives arising from how we fund the activities of public authorities, while extremely important, are largely side effects of a tool designed primarily to raise enough money to fund and finance public goods and services. For example, it is unsurprising that relying on existing residents to fund rapid growth or subsidise expensive infrastructure for tourists leads to a reluctance or inability to do so in a timely way. Its purpose is to raise money, but it also creates incentives.

Yet economic tools can be used in a much more deliberate manner to shape people's behaviour in a positive way. They can provide incentives for people to find innovative solutions that regulations may not. Raising revenue is a side effect of such measures, which can then be used to contribute to solutions for the funding difficulties identified above.

(although a charge can discourage inefficient uses and change demand). It is also not designed to allocate (since imposing a charge for something does not in itself determine who gets to pay that charge if many are still willing to pay it). Charging for resources ... can simply reflect that private use of a public resource should come with an expectation of some public benefit.

A resource rental's primary purpose is to provide a return to the community, by extracting some of the value conferred on users by granting exclusive access to a community resource. It ensures that the value of what may be a scarce resource is reflected in decisions on its use. Charging can also influence behaviour,⁶⁷ with even a modest rental charge encouraging efficient use; unlike completely free provision, it at least triggers people to *think* about how they are using a resource and how much they really need. How strong such incentives for efficiency are in reality may depend on how users respond to a price signal, which can be difficult to predict. But, if nothing else, a charge may send a subtle moral signal – that a resource is valuable and should not be wasted.⁶⁸

Furthermore, requiring the payment of a resource rental may, in practice, make it more palatable for communities to grant private (sometimes exclusive) access to their common resources. For example, even if bottling freshwater were not a community's preferred use of the resource,⁶⁹ at least the community would get a return from it. It may relieve pressure on a user's social licence, which is bound to grow stronger as resources become scarcer.

However, the imposition of resource rentals would be (and has been) a controversial prospect, especially for freshwater.⁷⁰ Indeed, the debate is not a new one, and was played out again at the time of the 2017 general election. Reform on this front would require careful transitional measures. In particular, as with user charging for public services, we need to think about fairness in the context of what we have now, not what we would do with a blank slate.

For example, we cannot simply charge a uniform price across all users. A charge on water bottling would need to look quite different from a charge for irrigation. In 2017, then Labour Environment spokesperson Hon David Parker suggested that bottling plants be charged one cent for every litre of water extracted, and that farmers and other irrigators be charged one or two cents per 1000 litres of water extracted. Some uses would also need to be exempt. For example, we would not expect a charge for gathering rainwater, or for going for a swim in the local river. A robust conversation is needed on whether other uses should be excluded, and on what grounds.⁷¹ One possible distinction would be between consumptive uses (eg bottling, irrigation) and non-consumptive uses (eg navigation, bathing). However, in our view there should be a presumption that commercial activities would be charged in some way.

Historical circumstances are also important for a fair transition towards a nationally consistent system of

resource rentals. The value of some non-private resources like water have, given a long tradition and expectation of free provision, been effectively incorporated into the price of associated private resources, notably land.⁷² That contrasts with a resource like oil and gas, where it has for a long time been clear that, even with resource consent, a landowner does not have rights to extract the resource for free (or at all).

In the case of freshwater, the loser would therefore be a landowner who has paid for the value of the land and, while being expected to pay a resource rental, would not be compensated for the comparable diminution in land value. The landowner who received the true value may have been lost in the sands of time. That may prove significant especially for heavily indebted rural landowners with low profit margins, and has led to suggestions that only new users be charged. As we pointed out in the Phase 1 report, such questions of fairness are difficult, and how we transition depends on how we see our starting point:⁷³

The reason for using a subsidy [or compensation] rather than a charge [or penalty] might be based on some assessment of the existing nature of rights. If it is perceived that firms have a right to [use a resource or] pollute, then [subsidising them] might be appropriate. However, if firms do not have such a right – rather the community has a right ... – then using a charge [or penalty] is more appropriate. This raises difficult ethical issues over when something (be it a specific authorisation, established practice, or implicit encouragement) should be treated as a "right", a "privilege" or as simply an existing state of affairs.

In our view, an existing state of affairs should not prevent a slow, fair and planned increase in resource rentals over the longer term, just as historical "rights" to pollute should not prevent a reduction in such rights occurring for reasons of public interest. No one would expect to receive a private good for no charge, and the public should also expect a fair return for the exclusive private use of a non-private resource.⁷⁴ That has long been recognised in the context of oil and gas (where royalties are owed), and is conceptually no different in the case of other non-private resources. Although some may point out that the case of oil and gas is different, given that its ownership is clearer (it is Crown property, even under private land), it is worth noting that this is not uniformly the case. For example, the Crown does not (and cannot, under international law) "own" minerals in New Zealand's exclusive economic zone.⁷⁵ Yet does not prevent it imposing charges on its extraction in the nature of royalties.⁷⁶ At the very least, a fair and predictable level of resource rentals should be imposed at the point that existing rights come up for renewal (eg upon the expiry or renewal of resource consent), with any subsidies being made separately and transparently.

In the Phase 1 report, we shone a spotlight on coastal occupation charges (a form of resource rental), which have been available under the RMA since 1997. Different charges for using the coastal environment have a long

13.8 Green taxes

The third category of economic instrument we propose for a future system is green taxes.⁸⁵ These are different in nature to both user charges and resource rentals, because they are not associated with the provision of goods or services (eg the delivery of water or the water itself). Instead, they are designed to financially penalise “undesirable” behaviour. That is not to say the behaviour we are seeking to penalise is always morally reprehensible. For example, congestion charging would be a form of “green” tax, designed to reduce the number of cars on the road at busy times, but it is not a signal that driving is “wrong” (even at busy times). In contrast, increasing import taxes on polluting vehicles sends more of a moral signal about environmental action.

In Chapter 9, we encouraged a number of measures that can be categorised as green taxes in the context of encouraging the uptake of electric vehicles. For example, a feebate involves people being charged a fee if their behaviour or performance falls below a set level, or being provided a reward if they exceed it. This highlighted that green taxes should be used as part of a broader package of complementary measures, comprising both carrots and sticks and regulatory and non-regulatory elements. Again, we see the value of having an integrated, cross-cutting strategy under the auspices of a new Future Generations Act – including the proactive deployment of economic instruments – rather than ad hoc and siloed policy responses.

The polluter-pays principle demands that the cost of environmental harm be borne by (internalised to) a polluter. However, green taxes should not be limited to simply charging for pollution in the same way that someone pays for a service. The idea is to set a tax at a level that will meaningfully influence behaviour designed to meet a specified policy objective, not raise revenue (in fact, we would expect revenue to decline as a measure of success). They require constant monitoring and evaluation to determine if they are doing their job. Dr Tim Denne pointed out that:

The environmental outcome [of a green tax] is uncertain as it is not known in advance whether the economically optimal position for a firm is found by reducing waste or emissions significantly or if the economic activity is sufficiently valuable, or control measures sufficiently costly, that emissions will continue.

We do not attempt to outline a comprehensive range of green taxes (they can be used in many situations, and may change over time).⁸⁶ Further policy work should continue. Yet a future resource management system should deploy green taxes with more enthusiasm. This echoes the Tax Working Group, which has said:⁸⁷

there is significant scope for the tax system to play a greater role in sustaining and enhancing New Zealand's natural capital. New Zealand faces significant

environmental challenges that require profound change to existing patterns of economic activity. Taxation is one tool - alongside regulation and spending measures - that can support and guide this transition.

The Tax Working Group also recommended the greater use of tax instruments to address water pollution (if Māori rights and interests can be addressed), including the potential for taxes on inputs that can lead to pollution (eg fertilisers) if outputs cannot adequately be measured.⁸⁸ That would be a sensible measure.

But what about more general legislation like the RMA and Local Government Act? We have pointed out previously that the RMA allows the use of economic instruments (a concept that encompasses levies, charges and taxes), and lists the investigation of such things as a specific function of the Minister for the Environment.⁸⁹ However, it does not particularly encourage or facilitate their use. In practice, few councils have imposed pricing as a demand management tool, and the Minister has not intervened to impose any.⁹⁰ More broadly, taxes and financial tools aimed at environmental behaviour change are rare in New Zealand,⁹¹ with the tax system viewed more as a way to raise revenue in a fair and predictable way. Fiscal neutrality – where tax does not influence demand – has been seen as a generally desirable thing.

That leaves a vast area of untapped potential for environmental improvement. Part of the issue may be that the authorising environment for green taxes is not clear enough under existing environmental laws. For very good reasons that go to the heart of our democratic system, taxes require specific enabling legislation.⁹² We have, for example, clear provisions for green measures like the waste disposal levy.

Other provisions are less clear, and more constrained. For example, differential and targeted rates can be imposed by councils, under local government legislation, to reflect that some groups benefit or cost more than others when receiving services, but not to reflect the wider cost of the environmental outcomes they cause.⁹³ And although the RMA has encouraged the use of economic instruments, the specific tools (or legal ability) to implement them have not been forthcoming.⁹⁴ It is an area ripe for exploration. The Productivity Commission has pointed out that:⁹⁵

local authorities are not legally able to use taxes to discourage environmental “bads” such as discharging pollutants into the air or water bodies or onto land. Such taxes can be an efficient means to modify behaviour and improve environmental quality. ... Regional councils in particular could be well placed to make use of environmental taxes to help carry out their environmental stewardship responsibilities.

We agree. A clearer authorising (and more directive) environment for councils to deploy green taxes could be contained in a new part of the RMA (in the same way that bespoke tools like water conservation orders and heritage orders have their own part), and national direction on

contributions), or it could be rolled out on a more directive basis (like income tax or GST). We face many specific design choices.

The idea, however, would not be to raise *more* revenue or impose another tax, but rather to replace a portion of revenue raised from more fiscally neutral mechanisms (eg income tax or rates) to a mechanism that was self-consciously about changing behaviour. As strange as it may sound, people would be encouraged to engage in tax avoidance measures. Those having tax liability would therefore need to be those with the legal power to improve outcomes. This raises complex questions concerning the tax liability of, for example, landowners, occupiers, leaseholders, and the holders of other interests in land.¹⁰⁴

Furthermore, we do not see an environmental footprint tax as a complete replacement for other more general taxes, even if it could form a much more significant part of the tax base. This is partly for the same reason that a tax on cigarettes cannot be relied upon to raise core revenue, or that the role of fuel levies in funding transport infrastructure will need to be revisited as we move to an electric fleet: if a tax is designed to change behaviour, then the prospect of people actually doing so has implications for the quantum and predictability of revenue raised. In other words, if the tax is successful then it would raise less money.

That is fine when we think about targeted green taxes, where revenue raising is a useful byproduct that can be channelled back into related environmental enhancement measures, or where the penalty in a feebate can be used to subsidise others who exceed a standard. But if we make a broad green tax part of the broader framework – eg to raise revenue for infrastructure, health services, education etc – then we need to be reasonably confident

that people will not be able to avoid it *too* much. We need to be careful of institutional incentives here too, in that the prospect of raising general funds from undesirable behaviour may lead to a reluctance for such behaviour, in practice, to change.¹⁰⁵ There would need to be independent oversight of a tax, transparency about its effectiveness, and a strong legislative mandate for using it primarily to drive behaviour change.

We would also need to be careful not to crowd out voluntary action. There can sometimes be unintended and unexpected consequences from introducing economic incentives, because people are complex individuals motivated by many things. For example, in the Phase 1 report, we pointed out that imposing a modest charge for parents who were late in picking up their child from daycare provided a moral signal that to do so was acceptable, as long as a payment was made. It actually led to the *worsening* of behaviour, because a financial signal crowded out a moral one. In a similar way, we would not want to reduce the valuable voluntary action being taken by community groups and others by, effectively, telling them “thanks for your efforts, but don't worry, the tax system will take over from here”. On the other hand, formalising incentives within the tax system could encourage behaviour to become durable societal norms, not just a regulatory obligation. In short, people's motivations and moral responses are hard to predict and must be approached with caution.

The level of a footprint tax would be significant to incentivise the right outcomes, and would need to be closely monitored. That may prove challenging for reasons of predictability and stability (eg the stability of a flat 15 per cent rate of GST provides certainty for business



tax, the two can work together to incentive people to both reduce harm and provide benefits.

We can also make certain measures tax deductible, to encourage positive behaviour relative to negative behaviour. For example, the Tax Working Group has recommended making costs associated with managing land subject to conservation covenants tax deductible,¹¹³ and for employer contributions to public transport to be exempt from fringe benefit tax.¹¹⁴ More generally, it has also recommended a thorough review of forms of tax that incentivise the depletion of natural capital, and for the introduction of tax concessions for activities that enhance it. We agree with all of that.

However, we also suggest that a future system should be more coherent in its deployment of subsidies. Earlier, we pointed out that the Waste Minimisation Fund has lacked a strategic framework for how it is to be used (although that is being remedied), and this complaint applies across the system as a whole. We have had many funds over the years,¹¹⁵ but many have been transient, undercapitalised and responsive to particular problems, and used in an ad hoc way. In particular, while it can be necessary as part of a wider strategic plan (eg subsidies for electric vehicles) there can be concerns over efficiency and tunnel vision when particular *activities* rather than *outcomes* are subsidised.¹¹⁶ A system of consistent, outcome-based rebates under an environmental footprint tax would in part address this, but we reiterate that opportunities for central government to provide financial and logistical support for outcomes sought under the RMA have generally not been taken in a systemic way, and need improvement.¹¹⁷

Subsidies, through long-term and independently managed funds (potentially contributed to by resource rentals and green taxes), could therefore be used to reward outcomes themselves in a longer-term and more consistent way, in pursuit of clear targets set under a Future Generations Act. That could usefully happen in a similar way to how funding is deployed from the Land Transport Fund (to reflect priority areas and outcomes),¹¹⁸ rather than through the discretionary deployment of small, separate pools of government money. This would encourage a “race to the top” if implemented through a competitive approach (eg grants to those who cause most improvement per dollar).¹¹⁹ We can look overseas for inspiration here – for example, to the concept of Bush Tenders in Australia or the Conservation Reserve Program in the United States, where landowners tender for environmental improvement projects (eg water improvement or land use change) and indicate a price at which they are willing to do it. Bids are then assessed against a list of public interest objectives to determine value for money.

However, subsidies are not just about dishing out public money. Authorities can play an important role in coordinating the resources of others (alongside public resources) who may have a desire and means to contribute, but lack the connections or frameworks to deploy their resources.¹²⁰ For example, we have pointed out that:¹²¹

some may wish to address climate change, but not know how, or think that their contribution will not make a difference. A person might want to help plant trees, but not have the actual saplings. Some people may have great ideas but no money. An institution working with – and not just funding – communities can make that kind of thing easier.

A future system should formalise more programmes that catalyse private action through the deployment of public effort, in much the same way that public building projects can catalyse private urban regeneration.¹²²

The development of a coherent network of community conservation hubs shows real promise in marrying up volunteer effort and passion with public coordination, resourcing and expertise.¹²³ The recent establishment of New Zealand Green Investment Finance (a \$100 million green investment fund tasked with co-investing in projects or companies providing a pathway to a lower emissions economy) is a positive move and could be expanded, both in terms of its size and its environmental aims. Such measures are not just about subsidisation in the traditional sense. They are about catalysing a change in investment patterns that is happening anyway as businesses increasingly appreciate that environmental risks (especially climate change) pose considerable long-term financial risks (see Chapter 9). Thus what may look like subsidies are more accurately characterised as investments from which the public purse can expect a solid return in the long run. As legal advice to the Aotearoa Circle has pointed out:¹²⁴

[T]he New Zealand Super Fund (NZSF) released its “climate change investment strategy” White Paper in March 2019. The White Paper ... concludes that ignoring climate change would be an “undue risk”. NZSF’s climate strategy includes divesting from assets exposed to climate policy through their emissions or fossil fuel reserves, implementing climate change considerations into its asset valuations and identifying climate friendly investments.¹²⁵ NZSF completed the process of divesting from its most carbon intensive equity holdings in July 2017, selling investments worth \$950m (representing 2.7% of its \$35bn portfolio).

Subsidies, and public investment in positive private sector initiatives, should be deployed in a more strategic, long-term and coherent manner in a future system, to support environmental targets set under a Future Generations Act.

13.11 Other “economic” incentives

Two other kinds of economic incentives that we see operating or changing in a future system can be traversed more briefly. First, national guidance on natural capital or ecosystem valuation should continue to be developed further as an input into decisions. Giving nature a monetary value means it cannot be ignored in economic decision-making tools like cost-benefit analyses.¹²⁶ Some consistent way of measuring natural capital would also

13.12 Non-economic incentives

Humans respond to many kinds of incentives. Money is a powerful one, but by no means the only one. As we mentioned in the Phase 1 report:¹³⁵

People are complex beings, and their behaviour is governed by many different things. Economic incentives “rely on the ‘extrinsic’ motivation of people wishing to be financially rewarded or not punished for their actions”.¹³⁶ But money is not the only thing, or sometimes even the main thing, that matters, because people are not just (or even) rational economic actors. We also want to be “(or to be seen as) good citizens and nice human beings”.¹³⁷ People’s ethics, for example, are important not just as the underpinnings of a top-down, formal system that influences them (eg through regulation), but also as an intrinsic motivator.

Most policy effort has historically been directed towards influencing people through economic incentives, and it is difficult for a formal system to tackle issues of morality and private action outside those tools or regulatory restrictions. For example, there would be little point in a statute like the RMA telling people that they “should” look after the natural environment.¹³⁸ We have previously said, for example, that:¹³⁹

The use of behavioural incentives is not easily expressed through the overarching formal structures of a system comprised of laws and institutions. Taxes, regulations and trading require legal frameworks to implement, but many behavioural insights are about encouraging public authorities to be creative in their approaches. We cannot legislate for that. It is a matter of leadership and practice.

However, there are some ways in which a future system could more formally recognise the value of behavioural or moral incentives. A lot of this is about mandating or encouraging public institutions to take measures, rather than the system directly creating incentives for firms and individuals. For example, the RMA currently provides that one function of the Minister for the Environment is to explore the use of economic instruments¹⁴⁰ (and that could usefully be strengthened to be a *duty*, given the general lack of progress on that front, and the benefits that green taxes would provide). However, it could also be expanded to include behavioural, not just economic, incentives.¹⁴¹ Furthermore, we see merit in the creation of a public, cross-cutting behavioural incentives group (perhaps within a Futures Commission or under the auspices of a government Futures Group) tasked with thinking about and funding behavioural change, and providing operational assistance to government departments, councils and community groups to conduct small scale experiments. As we pointed out previously, this is fertile ground for encouraging bottom up change, because:¹⁴²

more prosaic considerations than ethics [or regulations] often govern how people behave. For example, when choosing whether to drive or bike to work, ethics may be less important to some than the impact a helmet can have on one’s hair. In a future system, we need to

be conscious of the limitations of lofty principles and aware of the opportunities to shape behaviour change through more modest means.

Not everything needs to be a grand solution.

The concept of “nudging”, often referred to as a subdiscipline of behavioural economics, has grown in popularity in recent years, led by work by US academics Richard Thaler and Cass Sunstein.¹⁴³ It is based on the idea of “libertarian paternalism”: where possible, people should retain freedom of choice, but should be encouraged to behave in ways that furthers their own (and the public) good. For example, Dr Tim Denne has pointed to an experiment in Norwegian hotels that reduced food waste by 20 per cent simply by providing smaller plates to guests.¹⁴⁴ Recycling can be encouraged by providing larger bins relative to bins going to landfill. A picture of a pair of eyes above an honesty box increases the likelihood people will pay. Resource management is one area in which nudging has great potential, as intrinsic motivation is crucial where private persons are those who need to take action on the ground.

A future system should see the formal creation of a cross-agency behavioural nudging unit, and a more active mandate to investigate and deploy behavioural incentives to improve environmental outcomes.

We do not outline all possible behavioural nudges that would be useful. They are potentially limitless, and can rest on very different aspects of human psychology. For example, public institutions can:

- Make people more aware of information that could influence their choices¹⁴⁵ (eg that the range on electric vehicles is more than they might have thought, or their costs are less)
- Make positive private choices easier to make than negative ones, recognising that people often take the simpler route (eg making a default setting the more beneficial one, as in having to opt out of a measure rather than opt in, or designing buildings that require a card to be inserted for the lights to turn on)
- Provide visual cues to influence people subconsciously (eg painting footprints on the ground leading to rubbish bins)
- Coordinate activities, and the resources of others, that might otherwise not be deployed (making it simple to take positive action)
- Make positive actions enjoyable, other than a way to make money (eg providing preferential parking to those with electric vehicles, providing barriers to make cycle lanes safer)
- Highlighting inconsistencies between people’s morals and their actions, to force them to reconsider
- Make the consequences of people’s actions highly visible in a way that might not otherwise be obvious

Zealand, given related changes occurring (eg the compulsory teaching of New Zealand history)

- A review of tertiary programmes, including the core requirements of vocational qualifications leading to careers in jobs central to environmental management (eg planning, engineering etc)
- A more proactive mandate to pursue public service messaging on environmental issues. As we have asked previously:¹⁵⁵

[C]an we go further – highlighting to New Zealanders ... that we can all do our part to improve our environment? Should we embrace public service messaging about “100% Pure New Zealand” at home as much as we do overseas?

Education, training and capacity building is also important for those exercising public functions. For example, the slow uptake of qualifications for compliance monitoring and enforcement staff in councils, and the informal nature of the key education pathway (the Basic Investigative Skills course), reflect underinvestment and poor prioritisation of capacity building when compared with other public functions (planning, engineering etc). Greater investment in training, and recognition of experience, is likely to improve recruitment and retention rates in environmental enforcement by establishing a clear career pathway.¹⁵⁶ Again, this requires us to think carefully about incentives, not just strengthen regulations. For example, a building consent authority-style framework for formal accreditation of enforcement staff, run through the Ministry for the Environment (or other agency), may assist in establishing and maintaining capability.

A future system should strengthen public education relating to the environment, including through a review of the school curriculum (and amendments to the Education Act), a more vigorous approach to public service messaging, and support for publicly important career pathways.

It must be conceded, however, that there are broader societal and cultural pressures to contend with here. Education and capacity improvements will only go so far, and regulation is not a silver bullet either. Our values as New Zealanders may be harder to change through a formal system. We live in a society that constantly tells us to want more, that we deserve the latest shiny thing, and that often remains sceptical of environmental warnings until it is too late to prevent them. The desirability of “growth” is instilled into our daily lives, as if endless increases in resource exploitation and consumption are both possible and necessary if we are to avoid collapse. We may find, to our surprise and collective pain, that the very opposite is true, and that we are reaching the limits of our model for economic growth.¹⁵⁷ We tend to have blind faith in the ability of technology to solve our problems, ignoring the fact that humanity’s history of technological innovation has tended to create larger problems while solving others. And there is extreme reluctance to even mention the phrase *population policy*, despite the fact that

population growth is a significant driver of environmental pressures.¹⁵⁸

The reality is that more people, and constant expectations for higher standards of living, is putting increasing strain both on the resources we need and the environment that must receive our waste. While New Zealanders are generally more aware than those in some other countries, there is still a lingering perception among some that environmental issues are the preserve of “greenies” or a particular ethical niche, in contrast to the challenging reality that such issues have existential implications for our society, economy, and children. As the Tax Working Group has said, echoing Kate Raworth’s powerful message in *Doughnut Economics*,¹⁵⁹ “environmental challenges call for profound changes to the structure of economic activity.”¹⁶⁰ But when we are confronted by an advertisement urging us to address climate change, sandwiched between advertisements for diesel guzzling SUVs and the latest meat-based BBQ restaurant, which will win out? And when we face the prospect of not being able to do something we did yesterday, in the interests of future generations, what message will we send our politicians at the polling booths? There are limits to what a formal system can do, and people will need to do a lot of soul searching alongside a reform of our laws, institutions and tools.

Alongside reforms to a formal system, New Zealanders will need to do a significant amount of soul searching and test their collective behaviour and outcomes against their ethics.

13.13 A self-evaluative system

The final cross-cutting element of reform we deal with in this chapter is the need for meaningful, system-wide, evaluation.¹⁶¹ In other words, the system needs an inbuilt mechanism for reviewing the effectiveness of everything we are doing as a society. That sounds like a fairly obvious thing to do, but we have a system that, presently, fails to do so properly. In fact, there has been an abject failure to properly track the effectiveness of public interventions and to alter them in response.¹⁶²

There are four key components of a self-evaluative system:

- (1) Gathering robust information
- (2) Synthesising and reporting information in a meaningful, integrated and accessible way
- (3) Evaluating the system’s performance in light of that information
- (4) Taking corrective action in response

We have already touched upon several aspects of system-wide evaluation in the context of particular statutes. For example, we highlighted the importance of requiring clear targets and triggers for action to be set, and for corrective action (eg plan or consent reviews, or threatened species management plans) to be automatically undertaken in response to those triggers.¹⁶³ We also outlined a role for a Futures Commission in evaluating the performance of

A spotlight on integrated data management

A future system needs to do much more than just collect information. How it *flows* through the system is also crucial for reasons of efficiency and accessibility. Regular, integrated environmental reporting, culminating in periodic glossy publications, is a key aspect of this. It means that meaningful information reaches all New Zealanders in accessible form.

However, underlying approaches to how raw data is managed are also important. Numerous reviews have raised concerns about the management of environmental information, from consent level compliance records through to the management of environmental data that feeds from a regional level to a national level. There is ample scope to make improvements in the way information is collected and stored at a regional level, the standardisation of how it is treated and the extent to which it can be pooled at a national level (and the ease of doing so).¹⁷⁹ The Parliamentary Commissioner for the Environment has recently released a persuasive report outlining improvements needed in our system of environmental reporting, highlighting among other things that there are “inconsistencies galore” in how, by whom and for what reasons we collect and analyse data.¹⁸⁰

Doubtless a significant part of the solution is a greater investment in common software, integrated databases, and intelligence tools that simplify the processes used to transfer and aggregate information that originates from many different places (in terms of physical locations, institutions, tools, and legislation).¹⁸¹ For example, councils could usefully be required to submit and maintain records and monitoring data, in a common format, within a single national consenting and compliance database. There could be common requirements, possibly contained within National Planning Standards under the RMA or (given it would not be just about the RMA) within regulations under an environmental reporting regime.¹⁸² That would ease the process for national level environmental reporting and make comparisons (and identification of failings and successes) easier.

In a future system, central government should be specifically obliged to analyse existing environmental monitoring data, clearly identify any gaps, and make a plan to address them over time. Information and data should be managed in a more integrated and standardised manner in a national database, or at least in a form that makes aggregation of data easy at national and cross-regional levels.



Mackenzie Basin

it together, uses it for decision-making and responds to it effectively are also important or we risk monitoring for the sake of it.

Therefore, we need to ask: have recorded public interventions been successful (eg positive incentives for regulatory compliance, product stewardship schemes)? Have they failed (eg a lack of enforcement, or underfunding)? Or have they even *exacerbated* poor outcomes (eg consenting inappropriate dairy conversions, or encouraging urban sprawl)?

This step relies on having not just data, but also clear statements of outcomes sought – including in the form of targets and bottom lines – against which concepts like “success” and “failure” can be measured. At present, we lack targets and clear objectives (except for climate change). As such, environmental reporting is for the most part reduced to general statements about positive and negative trends rather than “achievement” or “failure” of a system within which those trends are occurring.¹⁹³ This clouds a sense of accountability for the very real problems we are seeing.

Admittedly, evaluation does already happen in more specific contexts – for example, in the review of consent conditions, proposed reviews of emissions targets for climate change, and in rolling whole of plan reviews – but seldom at a broader level. In our laws, there are few outcome-based triggers set in advance for when review must occur. In Chapter 12, for example, we highlighted that the classification of a threatened species does not automatically mean anything for its management or funding under conservation legislation. Under the RMA, councils are required only to take “appropriate action” where “necessary” in light of monitoring results, with no real clarification about when (or what) measures are

necessary. And the RMA itself seems to be reviewed more often in response to political priorities (resulting in endless amendment Acts that are enacted and then undone) than pre-set trigger points based on the consistent monitoring of declining biophysical outcomes.

To address such issues, we have suggested that a future system should require system-wide targets to be set for environmental outcomes (eg under a Future Generations Act, the RMA and other relevant legislation), and that progress towards them should be closely monitored and assessed through periodic scorecards issued by a Futures Commission. This should provide powerful incentives for agencies themselves to self-evaluate (to avoid a poor scorecard).¹⁹⁴ The approach aligns with the type of accountability mechanism we have recently seen put in place for climate change, whereby progress towards clear targets is evaluated by a Climate Change Commission. Yet climate change is not unique in this sense, and other environmental issues require a robust accountability framework too. Biodiversity is a clear example.

Robust independence will be vital here. The political implications of a poor scorecard (issued before a general election) suggests that evaluation should not be the role of officials, who may in practice face difficulties when providing free and frank advice, despite a degree of independence.¹⁹⁵ We therefore see robust evaluation as a role for the Futures Commission.

A future system will need to be more self-evaluative. The need for review or other measures should be triggered by pre-set indicators. An independent Futures Commission would play a significant role in evaluating outcomes and agency performance.



Type of monitoring and reporting	Current situation	New framework
Monitoring of public interventions	Councils monitor the effectiveness of plans and other methods under section 35 of the RMA to a variable standard, but there is limited oversight and often significant data gaps.	Mandatory reporting on the effectiveness of a wider range of public and private interventions within an integrated state of the environment monitoring framework (ie linking interventions to more clearly defined outcomes, eg targets)
Monitoring of overall agency effectiveness	Extremely limited, other than voluntary participation by regional sector in CME audits and overarching accountability for financial management (eg to the Office of the Auditor-General)	Accreditation requirements could be introduced for councils exercising environmental functions (eg under the RMA) Review and oversight through regular reporting and assessment (eg a scorecard) by an independent Futures Commission, following regular reporting
Monitoring of compliance and enforcement more specifically	Ad hoc and discretionary monitoring and reporting occurs at a council level. Annual reporting occurs via the government's National Monitoring System, although questions are inconsistent and there are limited details. The Compliance and Enforcement Special Interest Group (CESIG) metrics programme has limited integration with broader state of the environment monitoring and reporting (ie the outcomes being seen). There is limited monitoring of the effectiveness of informal, education-based CME measures). There is also limited monitoring of permitted activity standards.	Mandatory CME reporting within an integrated framework for state of the environment reporting. Integration of CESIG metrics into the government's National Monitoring System and a CME specific national report produced, subject to independent review. A clear link drawn between CME activities and the environmental outcomes being measured. Greater monitoring and reporting of permitted activities (including funding).

Figure 13.2: Monitoring and reporting requirements needed to ensure the effective evaluation of council performance in a future system.



ENDNOTES

- 1 For example, in the varying expressions of "sustainability" across legislation. See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 137.
- 2 For example, aligning permitting processes under multiple statutes needed to progress a single type of activity (eg urban development).
- 3 G Palmer "Law-making in New Zealand: Is there a better way?" (2014) 22 Wai L Rev 1.
- 4 In particular, whether genetic technology should be deployed more to enhance food production and manage pests in light of pressures on resources and indigenous species.
- 5 See Chapter 8.
- 6 The Continental Shelf Act 1964 is little more a shell for key elements of the Crown Minerals Act framework to operate beyond the territorial sea.
- 7 That said, climate change would need to be much better integrated, including in relation to oil and gas exploration. This would be partly addressed through broader government decision making criteria under a Future Generations Act (see Chapter 8), but a specific legislative alignment programme would also be desirable. We note that the government is now pursuing a review of the Act, which should progress in tight connection with wider system reform.
- 8 See Forests Act 1949, pt 3A.
- 9 As do other tools like water conservation orders, which do not rely on more general restrictions in Part 3 of the Act to operate. There is a scattering of other administrative provisions in the Forests Act that would need to be considered.
- 10 Although they could conceivably be merged together, that question would require further investigation.
- 11 See <www.nzherald.co.nz/the-country/news/article.cfm?c_id=16&objectid=12206896>
- 12 See Chapter 5. See also Ministry for the Environment *Report of the Minister for the Environment's Resource Management Act 1991 Principles Technical Advisory Group* (2012); *Report of the Environmental Defence Society Technical Advisory Group on the review of sections 6 and 7 of the Resource Management Act 1991* (April 2012). These statutes are primarily about local government powers and obligations that have been inherited to proactively manage land and waterways, and should not alter the protective provisions of the RMA. They seem a better fit for integration into local government and infrastructure legislation.
- 13 The RMA does not restrict the generation of material likely to become waste.
- 14 H Blumhardt "Trashing waste: Unlocking the wasted potential of New Zealand's Waste Minimisation Act" (2018) 14(4) Policy Quarterly 14.
- 15 J Hannon (Un) *changing behaviour: (New Zealand's delay and dysfunction in utilising) economic instruments in the management of waste?* (submission to the Parliamentary Commissioner for the Environment, prepared on behalf of the New Zealand Product Stewardship Council, 2018).
- 16 Ibid. See also Wilson and others *The New Zealand waste disposal levy: Potential impacts of adjustments to the current levy rate and structure* (Eunomia Research and Consulting, 2017); OECD *Environmental performance review – New Zealand* (2017) at 73.
- 17 Waste Minimisation Act 2008, s 41(a).
- 18 H Blumhardt "Trashing waste: Unlocking the wasted potential of New Zealand's Waste Minimisation Act" (2018) 14(4) Policy Quarterly 14 at 21; Tax Working Group *Future of tax: Final report volume 1 - recommendations* (2019).
- 19 Wilson and others *The New Zealand waste disposal levy: Potential impacts of adjustments to the current levy rate and structure* (Eunomia Research and Consulting, 2017) at 9.
- 20 Tax Working Group *Future of tax: Final report volume 1 - recommendations* (2019).
- 21 Ministry for the Environment *Review of the Effectiveness of the Waste Disposal Levy* (2017).
- 22 Wilson and others *The New Zealand waste disposal levy: Potential impacts of adjustments to the current levy rate and structure* (Eunomia Research and Consulting, 2017) at 17; <<https://gazette.govt.nz/notice/id/2019-go1460>>; <www.beehive.govt.nz/release/fresh-funding-reduce-waste>
- 23 Waste Minimisation Act 2008, s 23.
- 24 To include e-waste, tyres, refrigerants, agrichemicals, plastics and packaging.
- 25 See generally T Denne and L Wright *Evaluating the costs and benefits of introducing a container deposit system for New Zealand: Summary of analysis* (Covec, 2016).
- 26 For example, food waste – which can be used to benefit those in need as well as reducing waste streams to landfill.
- 27 Targets can be set under the Waste Minimisation Act.
- 28 H Blumhardt "Trashing waste: Unlocking the wasted potential of New Zealand's Waste Minimisation Act" (2018) 14(4) Policy Quarterly 14 at 19.
- 29 For example, as of 2014, voluntary schemes had diverted 1.4 per cent of New Zealand's total waste from landfill; see H Blumhardt "Trashing waste: Unlocking the wasted potential of New Zealand's Waste Minimisation Act" (2018) 14(4) Policy Quarterly 14.
- 30 See R Thaler and C Sunstein *Nudge: Improving decisions about health, wealth and happiness* (Penguin, 2009); C Sunstein *Why nudge: the politics of libertarian paternalism* (Yale, 2014).
- 31 RTT Stephens "Economic instruments for environmental management" in G Severinsen and R Peart *Reform of the resource management system: The next generation – Working paper 3* (2018) at 185.
- 32 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 255; oral statement of Professor Spiro Pollalis, 2018 United Nations Sustainable Infrastructure Conference, October 2018. Compare R Joseph "The Treaty, tikanga Māori, ecosystem-based management, the RMA and power sharing for environmental integrity in Aotearoa New Zealand – possible ways forward" in G Severinsen and R Peart *Reform of the resource management system: The next generation – Working paper 3* (EDS, 2018) at 23.
- 33 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 186.
- 34 See Chapters 9 and 10; New Zealand Productivity Commission *Local government funding and financing* (Draft report, July 2019).
- 35 This is due to be provided to the government on 30 November 2019.
- 36 For example, measures to support compact urban form, infrastructure for active transport and mass transit, meeting environmental standards for freshwater, implementing water sensitive urban design etc.
- 37 Compare J Boston and J Lawrence *The case for new climate change adaptation funding instruments* (Institute for Governance and Policy Studies and New Zealand Climate Change Research Institute, 2017).
- 38 See New Zealand Productivity Commission *Local government funding and financing* (Draft report, July 2019); Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 18.
- 39 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019).
- 40 Including costs of permitted activity monitoring. Generally, see MA Brown "Compliance, monitoring, enforcement and evaluation" in G Severinsen and R Peart *Reform of the resource management system: The next generation – Working paper 3* (EDS, 2018).
- 41 Linking government funding to council performance has risks, and requires caution; it should not be used as a back door to push political agendas, to blur the line between "good" planning practice and the expression of local values, or as an alternative to the use of due process through national direction under the RMA.
- 42 *Report of the Biodiversity Collaborative Group* (2018) at 92.
- 43 See also further below, where we note that some aspects of monitoring would be a core element of a new environmental footprint tax, and could be undertaken by central government for the purposes of establishing tax liability. On the need for central government support for biodiversity monitoring, see *Report of the Biodiversity Collaborative Group* (2018) at 105.
- 44 See Chapter 7. Compare proposals under the Resource Management Amendment Bill 2019.
- 45 See *Report of the Biodiversity Collaborative Group* (2018) at 94.
- 46 We generally echoed the sentiments of the Productivity Commission and Infrastructure New Zealand, suggesting that we need to revisit our current arrangements to ensure the right incentives are in place, that enough money can be raised, and that the right institutions are making decisions.
- 47 See New Zealand Productivity Commission *Local government funding and financing* (Draft report, July 2019).
- 48 Which could be achieved through a variety of institutional forms. A dedicated drinking water regulator is a good idea, and economic regulation may be best achieved through expanding the role of the Commerce Commission.
- 49 That would include assistance to public providers – councils and CCOs – as well as to private providers facing stricter regulation.
- 50 But they do not necessarily do so (eg with a feebate scheme, where revenue raised subsidises associated rebates).
- 51 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 249.
- 52 For example, to fund a new Environmental Defender's Office, a Futures Commission, an Environmental Water Holder, or a Climate Change Adaptation Fund.
- 53 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019).
- 54 MA Brown and others *Vanishing nature: Facing New Zealand's biodiversity crisis* (EDS, 2015).
- 55 *Report of the Biodiversity Collaborative Group* (2018) at 86.
- 56 See T Denne "Resource management law reform and economics" in G Severinsen and R Peart *Reform of the resource management system: The next generation – Working paper 3* (EDS, 2018) at 173.
- 57 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 272.

- 121 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 186.
- 122 For example, on community conservation hubs, see *Report of the Biodiversity Collaborative Group* (2018) at 89.
- 123 Ibid at 95; Parliamentary Commissioner for the Environment *Taonga of an island nation: Saving New Zealand's birds* (2017).
- 124 D Kalderimis and N Swan *Sustainable Finance Forum Legal Opinion 2019* (Chapman Tripp, 2019) at 11.
- 125 M Whineray and A O'Connor *How we invest* (White paper: Climate change investment strategy, NZSF, March 2019).
- 126 On the benefits of ecosystem valuation, see *Report of the Biodiversity Collaborative Group* (2018) at 99.
- 127 See generally *Millennium Ecosystem Assessment Ecosystems and human wellbeing: A framework for assessment* (Island Press, 2005); UR Pascual and others "The economics of valuing ecosystem services and biodiversity" in P Kumar (ed) *The economics of ecosystems and biodiversity: Ecological and economic foundations* (Earthscan, 2010); SF Thrush and others "The many uses and values of estuarine ecosystems" in JR Dymon (ed) *Ecosystem services in New Zealand – conditions and trends* (Manaaki Whenua Press, 2013) at 226-237.
- 128 T Denne "Resource management law reform and economics" in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018). See also L Roberts and others *The nature of wellbeing: How nature's ecosystem services contribute to the wellbeing of New Zealand and New Zealanders* (Department of Conservation, 2015).
- 129 J Diamond *Collapse: How societies choose to fail or survive* (Penguin, 2011) at 435.
- 130 See Local Government New Zealand A "blue skies" discussion about New Zealand's resource management system (2015) at 39.
- 131 T Denne "Resource management law reform and economics" in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018) at 168.
- 132 N Stern *The economics of climate change* (Treasury, 2006).
- 133 J Diamond *Collapse: How societies choose to fail or survive* (Penguin, 2011) at 435.
- 134 Compare EB Weiss *In fairness to future generations* (United Nations University Press, 1989).
- 135 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 261.
- 136 T Hazledine "Economics and the resource management system" in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018) at 152.
- 137 Ibid at 152.
- 138 Although it can make some things *relatively* easy compared to others (eg through controlled or permitted activity status, or through express policy support – as with forestry and renewable electricity generation respectively) thereby encouraging them.
- 139 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 262.
- 140 Resource Management Act 1991, s 24(h).
- 141 If nothing else, the complex behavioural consequences of using economic instruments (eg crowding out moral responses) needs to be explicitly factored in.
- 142 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 261.
- 143 R Thaler and C Sunstein *Nudge: Improving decisions about health, wealth and happiness* (Penguin, 2009); C Sunstein *Why nudge: the politics of libertarian paternalism* (Yale, 2014).
- 144 T Denne "Resource management law reform and economics" in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018) at 181 (endnote 99).
- 145 Referred to as knowledge asymmetry.
- 146 MA Brown and others *Vanishing nature: Facing New Zealand's biodiversity crisis* (EDS, 2015).
- 147 See also New Zealand Productivity Commission *Low emissions economy* (2018), recommendation 7.3.
- 148 See D Kalderimis and N Swan *Sustainable Finance Forum Legal Opinion 2019* (Chapman Tripp, 2019).
- 149 See J Diamond *Collapse: How societies choose to fail or survive* (Penguin, 2011).
- 150 For example, Forestry Sustainability Council (FSC) certification.
- 151 See J Diamond *Collapse: How societies choose to fail or survive* (Penguin, 2011). Some government backed certification already exists, notably for energy efficiency (eg through mandatory vehicle fuel economy labels and the energy star rating for domestic appliances).
- 152 Ibid.
- 153 See Chapter 8.
- 154 For example, the Ministry for the Environment under the Environment Act 1986.
- 155 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 186.
- 156 See *Report of the Biodiversity Collaborative Group* (2018) at 123.
- 157 See OECD *Environmental performance reviews: New Zealand* (2017); compare K Raworth *Doughnut economics* (Random House, 2017).
- 158 See, for example N Jackson "Does New Zealand need a population policy" (Plenary presentation to the Biennial Population Association of New Zealand Conference, Wellington, June 2013).
- 159 K Raworth *Doughnut economics: Seven ways to think like a 21st-century economist* (2017).
- 160 Tax Working Group *Future of tax: Final report volume 1 - recommendations* (2019).
- 161 Compare G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 285-287.
- 162 Compare Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 19; OECD *Environmental performance review – New Zealand* (2017); Parliamentary Commissioner for the Environment *Focusing Aotearoa New Zealand's environmental reporting system* (2019).
- 163 See Chapters 6, 7 and 12. See also G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 287.
- 164 See Chapter 8.
- 165 See Chapter 7.
- 166 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 3.
- 167 On the duty to keep records, see Resource Management Act 1991, s 35.
- 168 For example, when needed to implement national direction.
- 169 That could be located in the RMA, bespoke environmental reporting legislation, or – most logically – in a new Future Generations Act.
- 170 M Doole *Enforcement and evaluation in the new regime* (unpublished commissioned paper, The Catalyst Group, 2019).
- 171 Compare Parliamentary Commissioner for the Environment *Focusing Aotearoa New Zealand's environmental reporting system* (2019).
- 172 Tax Working Group *Future of tax: Final report volume 1 - recommendations* (2019) at 69.
- 173 See <www.beehive.govt.nz/release/fresh-funding-reduce-waste>
- 174 Which is entirely possible under section 86 of the Waste Minimisation Act.
- 175 Parliamentary Commissioner for the Environment *Focusing Aotearoa New Zealand's environmental reporting system* (2019) at 4.
- 176 Ibid at 7.
- 177 Ministry for the Environment and Statistics New Zealand *New Zealand's environmental reporting series: Environment Aotearoa 2019* (2019).
- 178 Parliamentary Commissioner for the Environment *Focusing Aotearoa New Zealand's environmental reporting system* (2019) at 4.
- 179 For example, in integrating state of the environment monitoring under the RMA with waste disposal volumes, compositions, and resource recovery information under the Waste Minimisation Act. See generally H Blumhardt "Trashing Waste: unlocking the wasted potential of New Zealand's Waste Minimisation Act" (2018) 14(4) Policy Quarterly at 15.
- 180 Parliamentary Commissioner for the Environment *Focusing Aotearoa New Zealand's environmental reporting system* (2019) from 89.
- 181 Compare *Report of the Biodiversity Collaborative Group* (2018) at 105: "Change is urgently required to move to a system where data collected by one entity is comparable to data collected by another entity, and which is then able to be exchanged and collated to provide a national picture".
- 182 Including under a new Future Generations Act, if reporting were integrated into this alongside state of the environment monitoring requirements currently under the RMA.
- 183 Section 35(2A) of the RMA is narrower.
- 184 For example, through National Planning Standards, or regulations under a Future Generations Act.
- 185 Aspects of this are contained within the National Monitoring System, but are not reported on in a way that is integrated with outcomes reporting.
- 186 On the lack of link between state of the environment reporting and CME activities, see MA Brown *Independent analysis of the 2017/2018 compliance monitoring and enforcement metrics for the regional sector* (The Catalyst Group, 2018).
- 187 A model that incorporates those things is known as a "DPSIR" model (drivers, pressures, state, impact, response). Compare Parliamentary Commissioner for the Environment *Focusing Aotearoa New Zealand's environmental reporting system* (2019) at 83.
- 188 M Petrie "Reversing the degradation of New Zealand's environment through greater government transparency and accountability" (2018) 14(2) Policy Quarterly 32 at 34.
- 189 Ibid at 36.
- 190 M Doole *Enforcement and evaluation in the new regime* (unpublished commissioned paper, The Catalyst Group, 2019).
- 191 Ibid.
- 192 European Commission *Fitness Check on Reporting and Monitoring* (2017) <https://ec.europa.eu/environment/legal/reporting/fc_overview_en.htm>

We need to inject greater **independence** and **objectivity** in decision-making, to both offset and enhance accountability of elected bodies

Introduce an independent Futures Commission, which would hold the government to account

We need stronger **oversight** and **system stewardship**

Introduce a Futures Group within government, to align policy across many different departments

We need **central government to be more involved** in setting parameters, but simultaneously to **strengthen bottom up initiatives** in how action occurs

Require central government to develop a single piece of national direction under the RMA for all matters of national importance, and provide for novel engagement mechanisms like citizens' assemblies

We need to **define outcomes** more strongly, especially in relation to the natural environment

Reform Part 2 of the RMA, and provide for duties in a new Future Generations Act

We need to **drive positive change**, not just respond to it or react to future harm

Require targets to be set, and hold public authorities accountable for meeting them

We need to hold firm to existential **environmental limits**

Revise Part 2 of the RMA

We need to take a **long-term view** of long-term issues

Inject more independence in decision-making to overcome short-term decision making based on election cycles

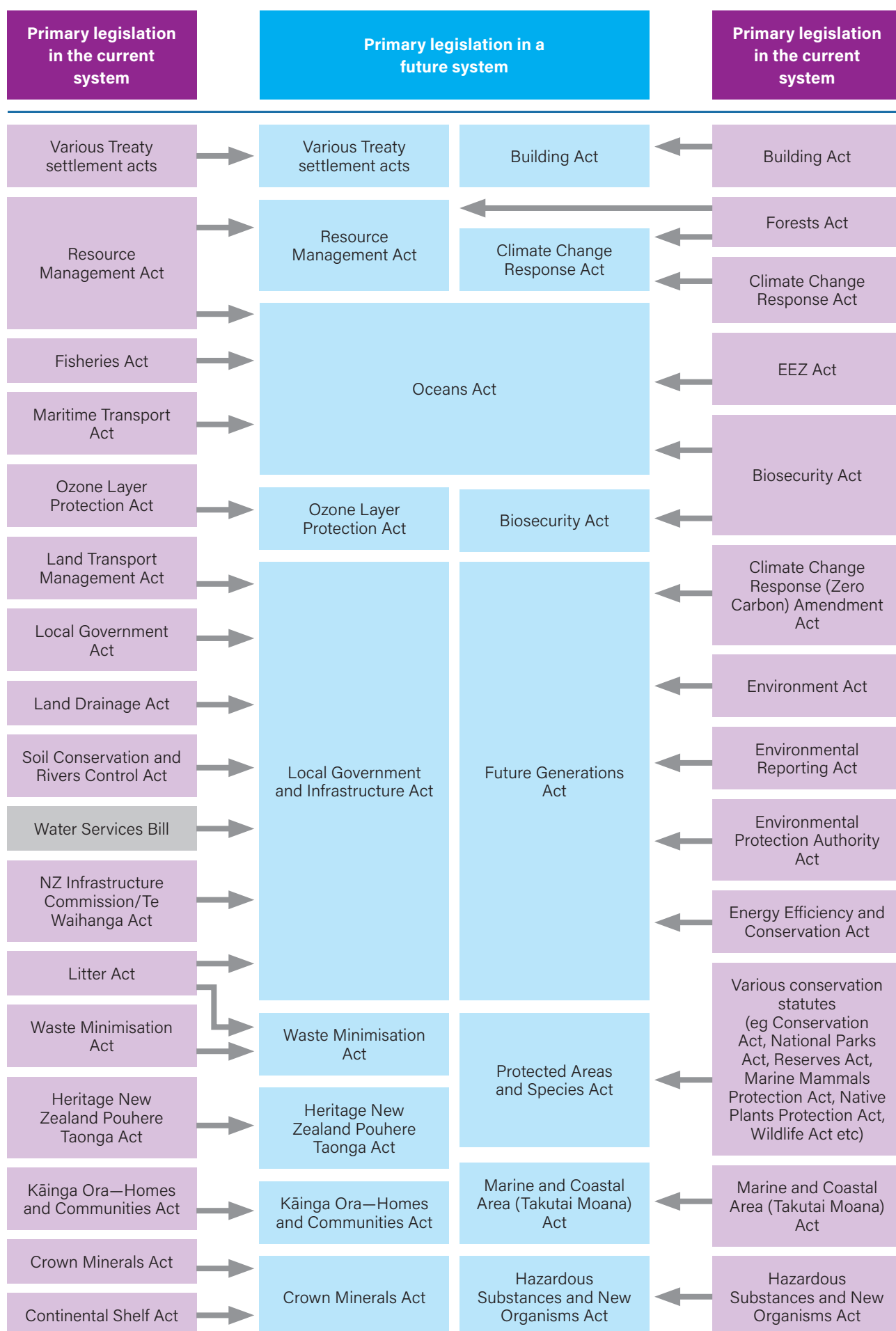


Figure 14.1: Legislative design: Statutes in the current and future system

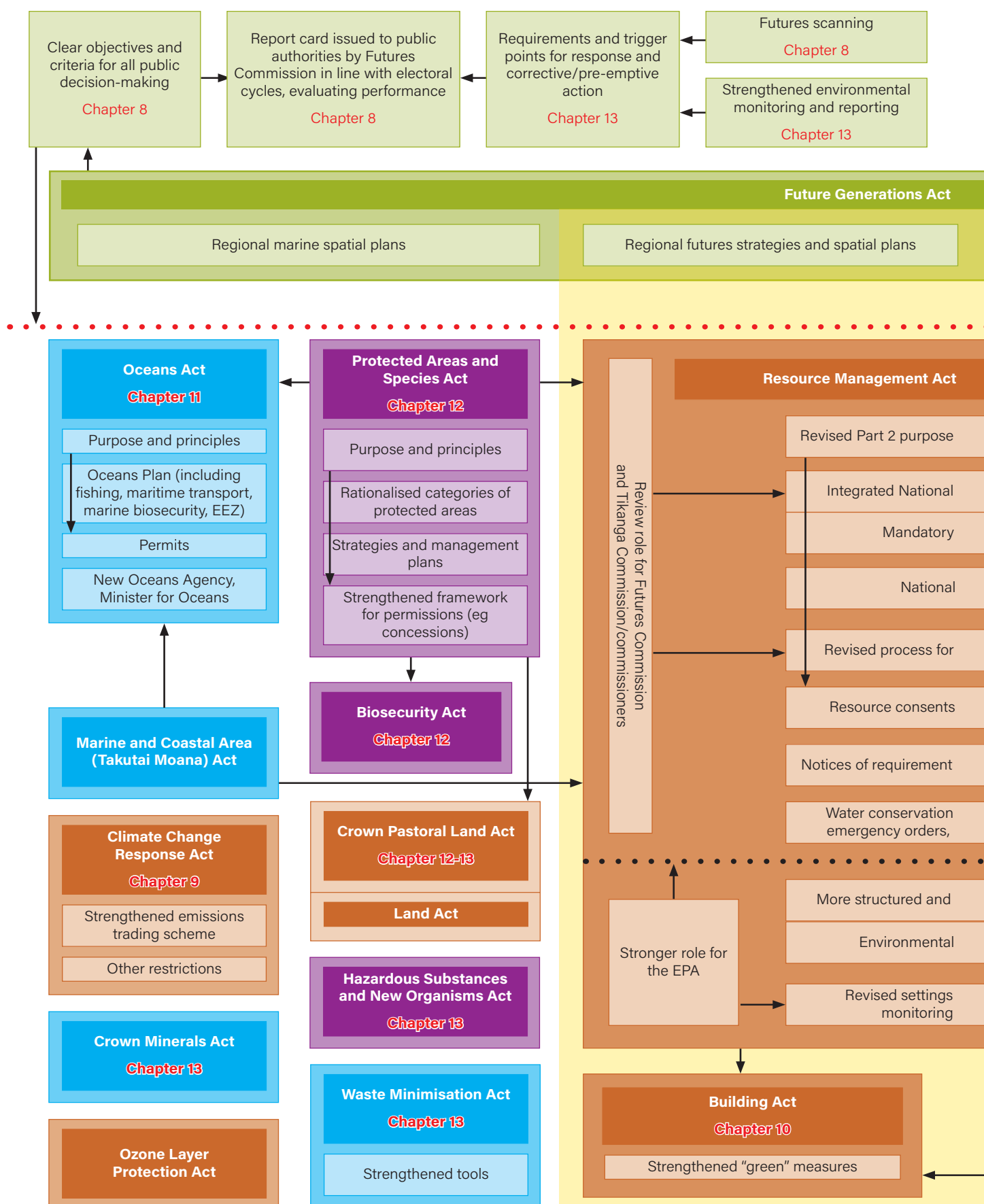


Figure 14.2: Key elements of a proposed future system. Yellow shading indicates frameworks particularly important for managing

Overall, we envisage a resource management system that is quite different from what we have now, but one that is not completely alien. The RMA would still be central, although it would share the stage with a Future Generations Act. Most of the institutions we already have would remain, although the short-term democratic accountability of councils and Ministers would be matched by the longer-term independence of a Futures Commission. And regulation would still be pivotal, but at the same time there would be a greater focus on economic and behavioural drivers. Most (although not all) of the key building blocks are already present, but significant recalibration is needed.

We do not intend to delve into all of the report's proposals in this chapter. That has been done in the overview of our model presented in the Executive Summary. Instead, below, we present our model from a different angle: a purely temporal one. What does our pathway to reform look like? What should happen when? We have, throughout our discussion, talked about various short-term, medium-term and longer-term measures, but in Figure 14.3 we bring that together to outline how we see change happening over time.

Motuihe



Category of reform	Short-term	Medium-term	Longer-term	Conditional reforms ("Plan B" measures)
RMA norms and planning (continued)	Local government	"Reset" existing regional, district and unitary plans using a process akin to the Auckland Unitary Plan process/proposed Freshwater Planning Process (planning process 1). Process 1 includes a greater role in co-creation for Māori, and input by central government. Integrate separate plans into a single combined plan at a regional level.	Undertake periodic whole of plan resets, at a regional level, using planning process 1.	Provide greater role for arm's length EPA in creating regulatory components of council plans
		Establish a separate process for plan changes (planning process 2) involving a single stage hybrid panel, except where called in by the Minister or Futures Commission (in which case use planning process 1). Process 2 includes a greater role in co-creation for Māori, and input by central government.		
		Provide for a more direct role for a strengthened EPA in determining the regulatory components of council plans for some matters of national importance (eg freshwater quality and flow limits)		
		Establish a review role for the Futures Commission and Tikanga Commission/ commissioners under planning process 1 (akin to the role of the Auckland Independent Hearings Panel in the Unitary Plan process).		
		Amend Part 4 of the RMA to clarify that planning, consenting and enforcement responsibility for biodiversity lies with regional councils		
		Implement stronger bottom-up measures in planning, including citizens' assemblies and informal collaborative processes. Remove a separate formal collaborative planning process in the RMA.		
		Empower and fund the Environmental Defender's Office to take on public interest litigation under the RMA, including judicial review.		
		Retain appeal rights for consents under the RMA		
		Allow appeal rights to the Environment Court to be exercised by the Environmental Defender's Office in relation to council notification decisions		
		Introduce a new notification status, whereby a proposal is publicly notified and submissions invited, but no appeal rights follow (or they follow only for an Environmental Defender's Office)		
RMA consenting and compliance monitoring and enforcement	Consenting	Introduce a mechanism for lodging a "project consent" application directly with the EPA for nationally significant proposals, which would then coordinate decision-making processes under multiple statutory frameworks		
		Amend section 104 of the RMA so that it requires consent decisions to give effect to or be consistent with an NEP		
		Remove or amend the prohibition on councils considering the impacts of activities on climate change		
		Consider removing consenting jurisdiction from elected councillors		
		Establish a pool of nationally accredited independent consenting commissioners under the auspices of the Futures Commission or the EPA, to be deployed upon council request		
		Empower the Futures Commission (alongside the Minister) to call in nationally important matters		

Category of reform	Short-term	Medium-term	Longer-term	Conditional reforms ("Plan B" measures)
Future Generations Act	Enact a new Future Generations Act with a general, overarching purpose statement	Establish a process for reviewing all other relevant legislation, including their purposes and principles, to align them with new imperatives in a Future Generations Act	Integrate other legislation of a systemic nature into the Future Generations Act (including those establishing cross-cutting institutions like the EPA, and the framework for general environmental monitoring and reporting)	
	Establish a new Futures Commission, an independent, standing watchdog body having roles under various other statutes (including in the review of instruments under the RMA). Alongside, or within, this Commission, establish a Tikanga Commission (or commissioners) having a comparable watchdog and review role, but from a Māori perspective.		Integrate other independent watchdog institutions (eg the Climate Change Commission and Parliamentary Commissioner for the Environment)	
	Provide a set of general duties and criteria that would apply to all public decision-making (including non-statutory decisions like investment and procurement)	Provide for the Futures Commission to evaluate the performance of public authorities, including assessing progress towards mandatory targets, by issuing a scorecard. Require the government to respond and/or take corrective measures.		Require councils to obtain accreditation from the Futures Commission for the discharge of their environmental functions (eg under the RMA)
	Establish a true whole of system steward within government (a Futures Group) comprised of senior officials from relevant departments and Crown agents			
	Confer on the Futures Commission a futures scanning role, looking ahead to identify threats and opportunities. Integrate or align futures scanning with broader environmental reporting cycles.	Require a government response to futures scanning reports tabled in Parliament		
	Strengthen a general public duty to protect the environment	Development of guidance as to what duties mean in particular contexts		
	Establish a framework for creating a National Futures Strategy and associated National Spatial Plan, including a co-creation role for Māori.	Deploy futures strategies and spatial plans to align and coordinate regulatory, funding and other measures across multiple statutory frameworks and institutions towards common goals. Require these plans to be accompanied by indicative sources of funding.	Facilitate an ongoing conversation around a national population policy	
	Establish a framework for creating regional (or cross-regional) futures strategies and spatial plans, including in relation to planning for rapid urban growth, including a co-creation role for Māori.			
	Establish policy programme to investigate and develop a biobanking framework within a set timeframe	Implement a biobanking framework, where biodiversity offsets required under multiple frameworks are deployed in a coherent manner to maximise overall benefits		
	Integrate the strategic elements of climate change response, presently in the Climate Change Response (Zero Carbon) Amendment Act, into the Future Generations Act, including targets and budgets	Integrate emissions reduction plans and adaptation plans into national and regional futures strategies		
Climate change legislation	Strengthen the emissions trading scheme and price agricultural emissions in some form	Review all relevant legislation with a view to aligning it with climate change mitigation and adaptation imperatives		
	Introduce stronger enforcement mechanisms for a failure to meet targets or carbon budgets			
	Establish a national Climate Change Adaptation Fund	Build up, strengthen and deploy a Climate Change Adaptation Fund using partnership approach between central government, local government and Māori		
	Integrate climate change adaptation considerations in frameworks concerned with funding measures (eg infrastructure) that will be impacted by climate change			

Category of reform	Short-term	Medium-term	Longer-term	Conditional reforms ("Plan B" measures)
Conservation legislation	Commence preparatory policy work on first principles review of the "conservation" elements of the resource management system	Rationalise conservation legislation into an integrated Protected Areas and Species Act, applying to both land and sea, and having two substantive parts: one focused on protected areas, and one focused on species protection		
	Strengthen connections between plans under the RMA and species management plans made under conservation legislation			
	Rationalise and strengthen protections for different categories of protected areas, including recognising internationally significant areas more strongly and providing for Māori concepts and practices in the management of protected areas			
	Provide stronger recognition for ecosystems within the Wildlife Act, and expand its coverage	Provide a clear mandate for the proactive identification, assessment and protection of a coherent network of marine protected areas		
	Provide for a mandatory response when a species' threat classification changes, such as a compulsory management plan			
	Require authorisation under the Wildlife Act to be obtained prior to resource consent under the RMA			
	Provide legal clarification that conservation management plans must be given effect to in the same way that national direction must be given effect to under the RMA			
	Integrate the Litter Act into local government legislation	Consider feasibility of integrating parts of the Forests Act into the Climate Change Response Act and the RMA		
	Strengthen a government duty to establish priority products for mandatory product stewardship schemes	Further regulatory restrictions on products not able to be recycled or recovered		
	Increase the waste disposal levy and expand its coverage			
Other legislative frameworks and wider system change	Facilitate a mature ongoing conversation about the risks and opportunities of genetic technology for improving biodiversity outcomes	Improve genetic technology for improving biodiversity		
	Deploy more targeted economic instruments, including novel financial tools, green taxes, deposit-refund schemes, feebates, and greater (although not absolute) deployment of user-charging mechanisms	Implement a framework for congestion charging and deploy where required	Carry out further investigation, and deployment, of an environmental footprint tax	
	Hypothecate revenue raised through green taxes and resource rentals by channelling it back into environmental restoration measures	Restore environmental restoration		
	Make the RMA and local government legislation clearer to allow for, and encourage, charges to be imposed on people or landowners on the basis of the environmental effects they generate	Deploy national direction (through an NEP) on green taxes		

Having sketched out a rough timeline for reform, we would like to conclude the report by returning to a bigger picture view. It strikes us that resource management system reform might seem like an endless cycle of arguing about the same things. Upon digging out the various papers produced as part of the fundamental reforms of the late 1980s, one is struck by how much the challenges and hopes identified by the authors correspond with those identified in this report. Some of their analysis would not be out of place and could be copied almost verbatim. Furthermore, there are some eerie parallels. The chair of the present government's independent review group on system reform (the Hon Tony Randerson QC) was, in a previous life, the chair of the then Minister for the Environment's review group tasked with recommending changes to the Resource Management Bill before it was enacted in 1991. And the above-mentioned Minister for the Environment is now New Zealand's Parliamentary Commissioner for the Environment.

But the many similarities hide significant differences in context. We are not just relitigating the same old things. Environmental indicators have continued to decline since 1991, many now to alarming levels. There is talk of climate and ecological emergencies, not just sustainability or protection. We have a larger population. We are a more diverse society. We have much greater technological prowess – for both better and worse. We are more digitally connected. We appreciate much better the importance

of issues like climate change. We are more focused on restoring past ecological damage. And we have a new generation of engaged young people who have their own expectations and priorities.

So as we find ourselves heading into a new decade, we also find ourselves at a crossroads. And despite the importance of things like legislative boundaries, institutional settings, purposes and principles, and regulatory and economic tools, we need to be mindful of the moral and emotional importance of what as a society we are trying to do here. The aim should be for people to look after their environment – indeed, their *habitat* – in the same way they look after their children. In fact, there is a strong connection between the two, and there should be a similar degree of social abhorrence if there is a failure to do either. There is an increasingly noticeable social shift occurring at the moment, and we should harness its momentum through the reform effort. In doing so, we can serve as a beacon for a world that is crying out for hope and example.

And we must remember that while reform can be hard, and it has costs, significant biophysical, technological and social change is coming whether we like it or not. Ultimately, we need to make a positive change now to safeguard the future of our children, so that they won't have to deal with the consequences if we don't.



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EDS is leading a project which is taking a first principles look at the resource management system in New Zealand. This synthesis report outlines the bones of what an ambitious future system could look like, and how we might get there.

